OFFICIAL STATEMENT

NEW ISSUE – BOOK-ENTRY ONLY **RATING: See "Bond Rating" herein**

In the opinion of Gilmore & Bell, P.C., Bond Counsel to the Issuer, under existing law and assuming continued compliance with certain requirements of the Internal Revenue Code of 1986, as amended (the "Code"): (1) the interest on the Series 2023 Bonds is excludable from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax; (2) the interest on the Series 2023 Bonds is exempt from income taxation by the State of Kansas; and (3) the Series 2023 Bonds have ***not*** *been designated as "qualified tax-exempt obligations" within the meaning of Code § 265(b)(3). Bond Counsel notes that for tax years beginning after December 31, 2022, interest on the Series 2023 Bonds may be included in adjusted financial statement income of applicable corporations for purposes of determining the applicability and amount of the federal corporate alternative minimum tax. See "TAX MATTERS" in this Official Statement.*

$5,280,000
CITY OF OLATHE, KANSAS
WATER AND SEWER SYSTEM IMPROVEMENT REVENUE BONDS
SERIES 2023

Dated: July 11, 2023 **Due: July 1, as shown on the inside cover**

The Water and Sewer System Improvement Revenue Bonds, Series 2023 (the "Series 2023 Bonds") will be issued by the City of Olathe, Kansas (the "Issuer"), as fully registered bonds, without coupons, and, when issued, will be registered in the name of Cede & Co., as registered owner and nominee for The Depository Trust Company ("DTC"), New York, New York. DTC will act as securities depository for the Series 2023 Bonds. Purchases of the Series 2023 Bonds will be made in book-entry form, in the denominations of $5,000 or any integral multiple thereof (the "Authorized Denomination"). Purchasers will not receive certificates representing their interests in Series 2023 Bonds purchased. So long as Cede & Co. is the registered owner of the Series 2023 Bonds, as nominee of DTC, references herein to the Series 2023 Bond owners or registered owners shall mean Cede & Co., as aforesaid, and shall not mean the Beneficial Owners (as herein defined) of the Series 2023 Bonds. Principal will be payable annually on July 1, beginning in 2024, and semiannual interest will be payable on January 1 and July 1, beginning on January 1, 2024 (the "Interest Payment Dates"). The Treasurer of the State of Kansas, Topeka, Kansas, will serve as paying agent and bond registrar (the "Paying Agent" and "Bond Registrar"). Interest payable on each Series 2023 Bond shall be paid to the persons who are the registered owners of the Series 2023 Bonds as of the close of business on the fifteenth day (whether or not a business day) of the calendar month preceding each interest payment date by check or draft of the Paying Agent mailed to such registered owner, or in the case of an interest payment to a registered owner of $500,000 or more in aggregate principal amount of Series 2023 Bonds, by electronic transfer. So long as DTC or its nominee, Cede & Co., is the Owner of the Series 2023 Bonds, such payments will be made directly to DTC. DTC is expected, in turn, to remit such principal and interest to the DTC Participants (herein defined) for subsequent disbursement to the Beneficial Owners.

The Series 2023 Bonds shall be special obligations of the Issuer payable solely from, and secured as to the payment of principal and interest by a pledge of, the Net Revenues derived by the Issuer from the operation of its water and sewer system (the "System"). **THE SERIES 2023 BONDS SHALL NOT BE OR CONSTITUTE A GENERAL OBLIGATION OF THE ISSUER, NOR SHALL THEY CONSTITUTE AN INDEBTEDNESS OF THE ISSUER WITHIN THE MEANING OF ANY CONSTITUTIONAL, STATUTORY OR CHARTER PROVISION, LIMITATION OR RESTRICTION, AND THE TAXING POWER OF THE ISSUER IS NOT PLEDGED TO THE PAYMENT OF THE SERIES 2023 BONDS, EITHER AS TO PRINCIPAL OR INTEREST**. See "THE SERIES 2023 BONDS – Security for the Series 2023 Bonds" herein. Under the Bond Resolution, Additional Bonds may be issued by the Issuer on a parity with the Series 2023 Bonds and other outstanding Parity Bonds (the Series 2023 Bonds, outstanding Parity Bonds, and any Additional Bonds shall hereinafter be referred collectively as the "Bonds" or the "Parity Bonds").

MATURITY SCHEDULE LISTED ON INSIDE COVER PAGE

The Series 2023 Bonds are offered when, as and if issued by the Issuer, subject to the approval of legality by Gilmore & Bell, P.C., Kansas City, Missouri, Bond Counsel to the Issuer. It is expected that the Series 2023 Bonds will be available for delivery through the facilities of DTC in New York, New York, on or about July 11, 2023.

*THE COVER PAGE CONTAINS CERTAIN INFORMATION FOR QUICK REFERENCE ONLY. THE COVER PAGE IS NOT A SUMMARY OF THIS ISSUE. INVESTORS MUST READ THE ENTIRE OFFICIAL STATEMENT, INCLUDING ALL APPENDICES ATTACHED HERETO TO OBTAIN INFORMATION ESSENTIAL TO THE MAKING OF AN INFORMED INVESTMENT DECISION. "****APPENDIX E*** *– SUMMARY OF FINANCING DOCUMENTS" CONTAINS DEFINITIONS USED IN THIS OFFICIAL STATEMENT.*

The date of this Official Statement is June 22, 2023.

$5,280,000
CITY OF OLATHE, KANSAS
WATER AND SEWER SYSTEM IMPROVEMENT REVENUE BONDS
SERIES 2023

MATURITY SCHEDULE

SERIAL BONDS

Stated Maturity July 1	Principal Amount	Annual Rate of Interest	Yield	CUSIP[1] Base: 679468
2024	$170,000	5.000%	3.280%	F37
2025	175,000	5.000	3.180	F45
2026	185,000	5.000	3.030	F52
2027	190,000	5.000	2.930	F60
2028	200,000	5.000	2.900	F78
2029	210,000	5.000	2.880	F86
2030	225,000	5.000	2.820	F94
2031	235,000	5.000	2.800	G28
2032	245,000	4.000	2.890	G36
2033	255,000	4.000	3.030	G44
2034	265,000	4.000	3.120	G51
2035	275,000	4.000	3.270	G69
2036	285,000	4.000	3.450	G77
2037	300,000	4.000	3.630	G85
2038	310,000	4.000	3.740	G93
2039	325,000	4.000	3.810	H27
2040	335,000	4.000	3.820	H35
2041	350,000	4.125	3.860	H43
2042	365,000	4.250	3.860	H50
2043	380,000	4.250	3.900	H68

(All plus accrued interest, if any)

[1] CUSIP data is provided by CUSIP Global Services, which is managed on behalf of the American Bankers Association by FactSet Research Systems Inc., and is included solely for the convenience of the Owners of the Series 2023 Bonds. Neither the Issuer nor the Underwriter shall be responsible for the selection or correctness of the CUSIP numbers set forth above.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICES OF THE SERIES 2023 BONDS AT LEVELS ABOVE THOSE WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME.

THE SERIES 2023 BONDS HAVE NOT BEEN REGISTERED WITH THE SECURITIES AND EXCHANGE COMMISSION UNDER THE SECURITIES ACT OF 1933, AS AMENDED. THE SERIES 2023 BONDS ARE OFFERED PURSUANT TO AN EXEMPTION FROM REGISTRATION WITH THE SECURITIES AND EXCHANGE COMMISSION. THE REGISTRATION, QUALIFICATION OR EXEMPTION OF THE SERIES 2023 BONDS IN ACCORDANCE WITH THE APPLICABLE SECURITIES LAW PROVISIONS OF THE JURISDICTIONS IN WHICH THESE SECURITIES HAVE BEEN REGISTERED, QUALIFIED OR EXEMPTED SHOULD NOT BE REGARDED AS A RECOMMENDATION THEREOF. NEITHER THESE JURISDICTIONS NOR ANY OF THEIR AGENCIES HAVE GUARANTEED OR PASSED UPON THE SAFETY OF THE SERIES 2023 BONDS AS AN INVESTMENT, UPON THE PROBABILITY OF ANY EARNINGS THEREON OR UPON THE ACCURACY OR ADEQUACY OF THIS OFFICIAL STATEMENT. ANY REPRESENTATION TO THE CONTRARY MAY BE A CRIMINAL OFFENSE.

THIS OFFICIAL STATEMENT CONTAINS STATEMENTS THAT ARE "FORWARD-LOOKING STATEMENTS" AS DEFINED IN THE PRIVATE SECURITIES LITIGATION REFORM ACT OF 1995. WHEN USED IN THIS OFFICIAL STATEMENT, THE WORDS "ESTIMATE," "INTEND," "EXPECT" AND SIMILAR EXPRESSIONS ARE INTENDED TO IDENTIFY FORWARD-LOOKING STATEMENTS. SUCH STATEMENTS ARE SUBJECT TO RISKS AND UNCERTAINTIES THAT COULD CAUSE ACTUAL RESULTS TO DIFFER MATERIALLY FROM THOSE CONTEMPLATED IN SUCH FORWARD-LOOKING STATEMENTS. READERS ARE CAUTIONED NOT TO PLACE UNDUE RELIANCE ON THESE FORWARD-LOOKING STATEMENTS, WHICH SPEAK ONLY AS OF THE DATE HEREOF.

IN MAKING AN INVESTMENT DECISION INVESTORS MUST RELY ON THEIR OWN EXAMINATION OF THE ISSUER AND THE TERMS OF THE OFFERING, INCLUDING THE MERITS AND RISKS INVOLVED.

CITY OF OLATHE, KANSAS

City Hall
100 East Santa Fe,
Olathe, Kansas 66061
(913) 971-8000

ELECTED OFFICIALS

John Bacon, Mayor

Kevin Gilmore, Mayor Pro Tem and City Council Member (At-Large)
Robyn Essex, City Council Member (Ward 1)
Adam Mickelson, City Council Member (Ward 2)
LeEtta Felter, City Council Member (Ward 3)
Marge Vogt, City Council Member (Ward 4)
Wes McCoy, City Council Member (At-Large)

ADMINISTRATIVE OFFICERS

CITY MANAGER
Michael Wilkes

CHIEF FINANCIAL OFFICER
Briana Burrichter

CITY CLERK
Brenda Swearingian

CITY ATTORNEY
Ronald R. Shaver

FINANCIAL ADVISOR

Columbia Capital Management, LLC
Merriam, Kansas

BOND COUNSEL

Gilmore & Bell, P.C.,
Kansas City, Missouri

CERTIFIED PUBLIC ACCOUNTANTS

Allen, Gibbs & Houlik, L.C.
Wichita, Kansas

No dealer, broker, salesperson or other person has been authorized by the Issuer or the Underwriter to give any information or to make any representations with respect to the Series 2023 Bonds other than those contained in this Official Statement, and, if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy the Series 2023 Bonds by any person in any jurisdiction in which it is unlawful for such person to make such offer, solicitation or sale. The information set forth herein concerning the Issuer has been furnished by the Issuer and other sources which are believed to be reliable, but such information is not guaranteed as to accuracy or completeness. The Underwriter has reviewed the information in this Official Statement in accordance with, and as a part of, its responsibilities to investors under the Federal Securities Laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information. The information and expressions of opinion herein are subject to change without notice and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the Issuer since the date hereof. This Official Statement does not constitute a contract between the Issuer or the Underwriter and any one or more of the purchasers, Owners or Beneficial Owners of the Series 2023 Bonds.

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OFFICIAL STATEMENT

$5,280,000
CITY OF OLATHE, KANSAS
WATER AND SEWER SYSTEM IMPROVEMENT REVENUE BONDS
SERIES 2023

INTRODUCTION

General Matters

The purpose of this Official Statement is to furnish information relating to the City of Olathe, Kansas (the "Issuer" or the "City"), the Issuer's water and sewer system (the "System") and the Water and Sewer System Improvement Revenue Bonds, Series 2023 (the "Series 2023 Bonds"), of the Issuer, dated July 11, 2023 (the "Dated Date").

The Appendices to this Official Statement are integral parts of this document, to be read in their entirety.

The Issuer is a municipal corporation duly organized and existing under the laws of the State of Kansas (the "State"). Additional information regarding the Issuer is contained in ***APPENDIX A*** to this Official Statement.

The materials contained on the cover page, in the body and in the Appendices to this Official Statement are to be read in their entirety. All financial and other information presented herein has been compiled by the Issuer. The presentation of information herein, including tables of receipts from various taxes, is intended to show recent historic information, and is not intended to indicate future or continuing trends in the financial position or other affairs of the Issuer. No representation is made that past experience, as might be shown by such financial or other information, will necessarily continue or be repeated in the future. Except to the extent described under the section captioned "LEGAL MATTERS," Bond Counsel expresses no opinion as to the accuracy or sufficiency of any other information contained herein.

Definitions

Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in "***APPENDIX E*** – SUMMARY OF FINANCING DOCUMENTS."

Continuing Disclosure

To assist the underwriter with its obligations under Rule 15c2-12 (the "Rule") of the Securities and Exchange Commission and for the benefit of the Beneficial Owners of the Series 2023 Bonds, the Issuer has covenanted in the Bond Resolution to comply with a continuing disclosure undertaking, the form of which is attached hereto as "***APPENDIX B*** – FORM OF CONTINUING DISCLOSURE UNDERTAKING." Notwithstanding any other provision of the Bond Resolution, a failure of the Issuer to comply with the continuing disclosure undertaking shall not be considered an Event of Default under the Bond Resolution.

The continuing disclosure undertaking requires the Issuer to provide annually certain financial information and operating data to the Municipal Securities Rulemaking Board through its Electronic Municipal Market Access ("EMMA") website. EMMA is an internet-based, online portal for free investor access to municipal bond information, including offering documents, event notices, real-time municipal securities trade prices and education resources, available at www.emma.msrb.org. Nothing contained on EMMA relating to the Issuer or the Series 2023 Bonds is incorporated by reference in this Official Statement.

The Issuer believes it has complied with its prior undertakings under the Rule for the past five years.

For more information regarding the continuing disclosure undertaking, see "***APPENDIX B*** – FORM OF CONTINUING DISCLOSURE UNDERTAKING."

Additional Information

Additional information regarding the Issuer or the Series 2023 Bonds may be obtained from the Chief Financial Officer of the Issuer at the address set forth in the preface to this Official Statement, or from the Financial Advisor, Columbia Capital Management, LLC, 6700 Antioch, Suite 250, Merriam, Kansas 66204 - Attention: Jeff White or James Prichard (913-248-8500) or via email at jwhite@columbiacapital.com or jprichard@columbiacapital.com.

THE SERIES 2023 BONDS

Authority for the Series 2023 Bonds

The Series 2023 Bonds are being issued pursuant to and in full compliance with the Constitution and statutes of the State, including K.S.A. 10-101 to 10-125, inclusive, specifically including K.S.A. 10-620 *et seq*., and K.S.A. 10-1201 *et seq.*, as amended and supplemented from time to time (collectively, the "Act"), an ordinance passed by the governing body of the Issuer and a resolution adopted by the governing body of the Issuer on June 20, 2023 (collectively, the "Bond Resolution"). The Issuer has published notice of its intent to issue the Series 2023 Bonds to finance a portion of the costs of the Project (as defined herein) and no sufficient protest was filed in opposition thereto within the time period provided by the Act.

Security for the Series 2023 Bonds

The Series 2023 Bonds shall be special obligations of the Issuer payable solely from, and secured as to the payment of principal and interest by a pledge of, the Net Revenues derived by the Issuer from the operation of the System. THE SERIES 2023 BONDS SHALL NOT BE OR CONSTITUTE A GENERAL OBLIGATION OF THE ISSUER, NOR SHALL THEY CONSTITUTE AN INDEBTEDNESS OF THE ISSUER WITHIN THE MEANING OF ANY CONSTITUTIONAL, STATUTORY OR CHARTER PROVISION, LIMITATION OR RESTRICTION, AND THE TAXING POWER OF THE ISSUER IS NOT PLEDGED TO THE PAYMENT OF THE SERIES 2023 BONDS, EITHER AS TO PRINCIPAL OR INTEREST.

"Net Revenues" means Gross Revenues less Current Expenses.

"Gross Revenues" means all charges, fees, income and revenues (including interest and investment earnings) derived and collected by the City from the operation and ownership of the System including without limitation the System Development Charge collected pursuant to Section 13.26 of the Municipal Code of the City, as amended, and any rate, fee or charge that succeeds to the System Development Charge, and any amounts deposited in connection with the acquisition, construction, remodeling, renovation and equipping of facilities to be applied during the period of determination to pay debt service on revenue bonds of the System, and net proceeds of any business interruption insurance, but excluding any profits or losses on the early extinguishment of debt or on the sale or other disposition, not in the ordinary course of business, of investments or fixed or capital assets.

"Current Expenses" means all necessary expenses of operation, maintenance and repair of the System, including, current maintenance charges, expenses of reasonable upkeep and repairs, properly allocated share of charges for insurance, and all other expenses incident to the operation of the System, but shall exclude depreciation and amortization charges, interest paid on revenue bonds of the System, all general administrative expenses of the City not related to the operation of the System, and the payments into the Bond Reserve Account provided for in the Bond Resolution.

The Series 2023 Bonds shall stand on a parity and be equally and ratably secured with respect to the payment of principal and interest from the Net Revenues and in all other respects with any Parity Bonds.

Rate Covenant

The City will fix, establish, maintain and collect such rates, fees and charges for the use and services furnished by or through the System, including all alterations, repairs, extensions, enlargements and improvements thereto hereafter constructed or acquired by the City, as will produce revenues sufficient to (a) pay the cost of the operation and maintenance of the System; (b) pay the principal of and interest on the Series 2023 Bonds and any Parity Bonds as and when the same become due at the Maturity thereof or on any Interest Payment Date; (c) enable the City to have in each fiscal year Net Revenues in an amount that will be not less than 110% of the Debt Service Requirements required to be paid by the City in such fiscal year; and (d) provide reasonable and adequate reserves for the payment of the Series 2023 Bonds and the Parity Bonds and the interest thereon and for the protection and benefit of the System of the City as provided in the Bond Resolution.

Additional Bonds

No Senior Lien Bonds. In the Bond Resolution, the Issuer covenants and agrees that so long as any of the Series 2023 Bonds or Parity Bonds remain Outstanding, the Issuer will not issue any Additional Bonds or other long-term obligations payable out of the revenues of the System or any part thereof which are superior to the Series 2023 Bonds or Parity Bonds with respect to the lien on the revenues of the System.

Parity Bonds. The Bond Resolution permits the Issuer to issue Additional Bonds or other long-term obligations that are secured on a parity with the Series 2023 Bonds and Parity Bonds, with respect to the payment of principal and interest from the Net Revenues, upon compliance with certain conditions. See "***APPENDIX E*** – SUMMARY OF FINANCING DOCUMENTS – The Bond Resolution – Additional Bonds" attached hereto.

Junior Lien Obligations and Subordinate Lien Bonds. The Bond Resolution permits the Issuer to issue Additional Bonds or other long-term obligations that are junior and subordinate to the Series 2023 Bonds and Parity Bonds. See "***APPENDIX E*** – SUMMARY OF FINANCING DOCUMENTS – The Bond Resolution – Additional Bonds" attached hereto.

Description of the Series 2023 Bonds

The Series 2023 Bonds shall consist of fully registered book-entry-only bonds in an Authorized Denomination and shall be numbered in such manner as the Bond Registrar shall determine. All of the Series 2023 Bonds shall be dated as of the Dated Date, shall become due in the amounts on the Stated Maturities, subject to redemption and payment prior to their Stated Maturities, and shall bear interest at the rates per annum set forth on the inside cover page of this Official Statement (computed on the basis of twelve 30-day months) from the later of the Dated Date or the most recent Interest Payment Date to which interest has been paid on the Interest Payment Dates in the manner hereinafter set forth.

Designation of Paying Agent and Bond Registrar

The Issuer will at all times maintain a paying agent and bond registrar meeting the qualifications set forth in the Bond Resolution. The Issuer reserves the right to appoint a successor paying agent or bond registrar. No resignation or removal of the paying agent or bond registrar shall become effective until a successor has been appointed and has accepted the duties of paying agent or bond registrar. Every paying agent or bond registrar appointed by the Issuer shall at all times meet the requirements of Kansas law.

The Treasurer of the State of Kansas, Topeka, Kansas (the "Bond Registrar" and "Paying Agent") has been designated by the Issuer as paying agent for the payment of principal of and interest on the Series 2023 Bonds and bond registrar with respect to the registration, transfer and exchange of Series 2023 Bonds.

Method and Place of Payment of the Series 2023 Bonds

The principal of, or Redemption Price, and interest on the Series 2023 Bonds shall be payable in any coin or currency which, on the respective dates of payment thereof, is legal tender for the payment of public and private debts. The principal or Redemption Price of each Series 2023 Bond shall be paid at Maturity to the Person in whose name

such Series 2023 Bond is registered on the Bond Register at the Maturity thereof, upon presentation and surrender of such Series 2023 Bond at the principal office of the Paying Agent.

The interest payable on each Series 2023 Bond on any Interest Payment Date shall be paid to the Owner of such Series 2023 Bond as shown on the Bond Register at the close of business on the Record Date for such interest (a) by check or draft mailed by the Paying Agent to the address of such Owner shown on the Bond Register or at such other address as is furnished to the Paying Agent in writing by such Owner; or (b) in the case of an interest payment to Cede & Co. or any Owner of $500,000 or more in aggregate principal amount of Series 2023 Bonds, by electronic transfer to such Owner upon written notice given to the Bond Registrar by such Owner, not less than 15 days prior to the Record Date for such interest, containing the electronic transfer instructions including the bank, ABA routing number and account number to which such Owner wishes to have such transfer directed.

"Record Date" means the fifteenth day of the month (whether or not a business day) next preceding each Interest Payment Date in each year the Series 2023 Bonds are Outstanding.

Notwithstanding the foregoing, any Defaulted Interest with respect to any Series 2023 Bond shall cease to be payable to the Owner of such Series 2023 Bond on the relevant Record Date and shall be payable to the Owner in whose name such Series 2023 Bond is registered at the close of business on the Special Record Date for the payment of such Defaulted Interest, which Special Record Date shall be fixed as hereinafter specified. The Issuer shall notify the Paying Agent in writing of the amount of Defaulted Interest proposed to be paid on each Series 2023 Bond and the date of the proposed payment (which date shall be at least 30 days after receipt of such notice by the Paying Agent) and shall deposit with the Paying Agent an amount of money equal to the aggregate amount proposed to be paid in respect of such Defaulted Interest. Following receipt of such funds the Paying Agent shall fix a Special Record Date for the payment of such Defaulted Interest which shall be not more than 15 nor less than 10 days prior to the date of the proposed payment. The Paying Agent shall notify the Issuer of such Special Record Date and shall cause notice of the proposed payment of such Defaulted Interest and the Special Record Date therefor to be mailed, by first class mail, postage prepaid, to each Owner of a Series 2023 Bond entitled to such notice not less than 10 days prior to such Special Record Date.

SO LONG AS CEDE & CO. REMAINS THE REGISTERED OWNER OF THE SERIES 2023 BONDS, THE PAYING AGENT SHALL TRANSMIT PAYMENTS TO THE SECURITIES DEPOSITORY, WHICH SHALL REMIT SUCH PAYMENTS IN ACCORDANCE WITH ITS NORMAL PROCEDURES. See "THE SERIES 2023 BONDS – Book-Entry Bonds; Securities Depository."

Payments Due on Saturdays, Sundays and Holidays

In any case where a Bond Payment Date is not a Business Day, then payment of principal, Redemption Price or interest need not be made on such Bond Payment Date but may be made on the next succeeding Business Day with the same force and effect as if made on such Bond Payment Date, and no interest shall accrue for the period after such Bond Payment Date.

Book-Entry Bonds; Securities Depository

The Series 2023 Bonds shall initially be registered to Cede & Co., the nominee for the Securities Depository, and no Beneficial Owner will receive certificates representing their respective interests in the Series 2023 Bonds, except in the event the Bond Registrar issues Replacement Bonds. It is anticipated that during the term of the Series 2023 Bonds, the Securities Depository will make book-entry transfers among its Participants and receive and transmit payment of principal of, premium, if any, and interest on, the Series 2023 Bonds to the Participants until and unless the Bond Registrar authenticates and delivers Replacement Bonds to the Beneficial Owners as described in the following paragraphs.

The Issuer may decide, subject to the requirements of the Operational Arrangements of DTC (or a successor Securities Depository)**,** and the following provisions of this section to discontinue use of the system of book-entry transfers through DTC (or a successor Securities Depository):

(a) if the Issuer determines (1) that the Securities Depository is unable to properly discharge its responsibilities, or (2) that the Securities Depository is no longer qualified to act as a securities depository and registered clearing agency under the Securities and Exchange Act of 1934, as amended, or (3) that the continuation of a book-entry system to the exclusion of any Series 2023 Bonds being issued to any Owner other than Cede & Co. is no longer in the best interests of the Beneficial Owners of the Series 2023 Bonds; or

(b) if the Bond Registrar receives written notice from Participants having interest in not less than 50% of the Series 2023 Bonds Outstanding, as shown on the records of the Securities Depository (and certified to such effect by the Securities Depository), that the continuation of a book-entry system to the exclusion of any Series 2023 Bonds being issued to any Owner other than Cede & Co. is no longer in the best interests of the Beneficial Owners of the Series 2023 Bonds, then the Bond Registrar shall notify the Owners of such determination or such notice and of the availability of certificates to owners requesting the same, and the Bond Registrar shall register in the name of and authenticate and deliver Replacement Bonds to the Beneficial Owners or their nominees in principal amounts representing the interest of each, making such adjustments as it may find necessary or appropriate as to accrued interest and previous calls for redemption; provided, that in the case of a determination under (a)(1) or (a)(2) of this paragraph, the Issuer, with the consent of the Bond Registrar, may select a successor securities depository in accordance with the following paragraph to effect book-entry transfers.

In such event, all references to the Securities Depository herein shall relate to the period of time when the Securities Depository has possession of at least one Series 2023 Bond. Upon the issuance of Replacement Bonds, all references herein to obligations imposed upon or to be performed by the Securities Depository shall be deemed to be imposed upon and performed by the Bond Registrar, to the extent applicable with respect to such Replacement Bonds. If the Securities Depository resigns and the Issuer, the Bond Registrar or Owners are unable to locate a qualified successor of the Securities Depository, then the Bond Registrar shall authenticate and cause delivery of Replacement Bonds to Owners, as provided herein. The Bond Registrar may rely on information from the Securities Depository and its Participants as to the names of the Beneficial Owners of the Series 2023 Bonds. The cost of printing, registration, authentication, and delivery of Replacement Bonds shall be paid for by the Issuer.

In the event the Securities Depository resigns, is unable to properly discharge its responsibilities, or is no longer qualified to act as a securities depository and registered clearing agency under the Securities and Exchange Act of 1934, as amended, the Issuer may appoint a successor Securities Depository provided the Bond Registrar receives written evidence satisfactory to the Bond Registrar with respect to the ability of the successor Securities Depository to discharge its responsibilities. Any such successor Securities Depository shall be a securities depository which is a registered clearing agency under the Securities and Exchange Act of 1934, as amended, or other applicable statute or regulation that operates a securities depository upon reasonable and customary terms. The Bond Registrar upon its receipt of a Series 2023 Bond or Series 2023 Bonds for cancellation shall cause the delivery of the Series 2023 Bonds to the successor Securities Depository in appropriate denominations and form as provided in the Bond Resolution.

Registration, Transfer and Exchange of Bonds

As long as any of the Series 2023 Bonds remain Outstanding, each Series 2023 Bond when issued shall be registered in the name of the Owner thereof on the Bond Register. Series 2023 Bonds may be transferred and exchanged only on the Bond Register as hereinafter provided. Upon surrender of any Series 2023 Bond at the principal office of the Bond Registrar, the Bond Registrar shall transfer or exchange such Series 2023 Bond for a new Series 2023 Bond or Series 2023 Bonds in any authorized denomination of the same Stated Maturity and in the same aggregate principal amount as the Series 2023 Bond that was presented for transfer or exchange. Series 2023 Bonds presented for transfer or exchange shall be accompanied by a written instrument or instruments of transfer or authorization for exchange, in a form and with guarantee of signature satisfactory to the Bond Registrar, duly executed by the Owner thereof or by the Owner's duly authorized agent.

In all cases in which the privilege of transferring or exchanging Series 2023 Bonds is exercised, the Bond Registrar shall authenticate and deliver Series 2023 Bonds in accordance with the provisions of the Bond Resolution. The Issuer shall pay the fees and expenses of the Bond Registrar for the registration, transfer and exchange of Series 2023 Bonds. Any additional costs or fees that might be incurred in the secondary market, other than fees of the Bond Registrar, are the responsibility of the Owners of the Series 2023 Bonds. In the event any Owner fails to provide a

correct taxpayer identification number to the Paying Agent, the Paying Agent may make a charge against such Owner sufficient to pay any governmental charge required to be paid as a result of such failure.

The Issuer and the Bond Registrar shall not be required (a) to register the transfer or exchange of any Series 2023 Bond that has been called for redemption after notice of such redemption has been mailed by the Paying Agent and during the period of 15 days next preceding the date of mailing of such notice of redemption; or (b) to register the transfer or exchange of any Series 2023 Bond during a period beginning at the opening of business on the day after receiving written notice from the Issuer of its intent to pay Defaulted Interest and ending at the close of business on the date fixed for the payment of Defaulted Interest.

Mutilated, Lost, Stolen or Destroyed Bonds

If (a) any mutilated Series 2023 Bond is surrendered to the Bond Registrar or the Bond Registrar receives evidence to its satisfaction of the destruction, loss or theft of any Series 2023 Bond, and (b) there is delivered to the Issuer and the Bond Registrar such security or indemnity as may be required by each of them, then, in the absence of notice to the Issuer or the Bond Registrar that such Series 2023 Bond has been acquired by a bona fide purchaser, the Issuer shall execute and, upon the Issuer's request, the Bond Registrar shall authenticate and deliver, in exchange for or in lieu of any such mutilated, destroyed, lost or stolen Series 2023 Bond, a new Series 2023 Bond of the same Stated Maturity and of like tenor and principal amount. If any such mutilated, destroyed, lost or stolen Series 2023 Bond has become or is about to become due and payable, the Issuer, in its discretion, may pay such Series 2023 Bond instead of issuing a new Series 2023 Bond. Upon the issuance of any new Series 2023 Bond, the Issuer may require the payment by the Owner of a sum sufficient to cover any tax or other governmental charge that may be imposed in relation thereto and any other expenses (including the fees and expenses of the Paying Agent) connected therewith.

Nonpresentment of Bonds

If any Series 2023 Bond is not presented for payment when the principal thereof becomes due at Maturity, if funds sufficient to pay such Series 2023 Bond have been made available to the Paying Agent all liability of the Issuer to the Owner thereof for the payment of such Series 2023 Bond shall forthwith cease, determine and be completely discharged, and thereupon it shall be the duty of the Paying Agent to hold such funds, without liability for interest thereon, for the benefit of the Owner of such Series 2023 Bond, who shall thereafter be restricted exclusively to such funds for any claim of whatever nature on his part under this Bond Resolution or on, or with respect to, said Series 2023 Bond. If any Series 2023 Bond is not presented for payment within four (4) years following the date when such Bond becomes due at Maturity, the Paying Agent shall repay to the Issuer the funds theretofore held by it for payment of such Series 2023 Bond, and such Series 2023 Bond shall, subject to the defense of any applicable statute of limitation, thereafter be an unsecured obligation of the Issuer, and the Owner thereof shall be entitled to look only to the Issuer for payment, and then only to the extent of the amount so repaid to it by the Paying Agent, and the Issuer shall not be liable for any interest thereon and shall not be regarded as a trustee of such money.

Redemption Provisions

Optional Redemption. At the option of the Issuer, Series 2023 Bonds maturing on July 1 in the years 2032, and thereafter, will be subject to redemption and payment prior to their Stated Maturity on July 1, 2031, and thereafter, as a whole or in part (selection of maturities and the amount of Series 2023 Bonds of each maturity to be redeemed to be determined by the Issuer in such equitable manner as it may determine) at any time, at the Redemption Price of 100% (expressed as a percentage of the principal amount), plus accrued interest to the Redemption Date.

Selection of Bonds to be Redeemed. Series 2023 Bonds shall be redeemed only in an Authorized Denomination. When less than all of the Series 2023 Bonds are to be redeemed and paid prior to their Stated Maturity, such Series 2023 Bonds shall be redeemed in such manner as the Issuer shall determine, Series 2023 Bonds of less than a full Stated Maturity shall be selected by the Bond Registrar in minimum Authorized Denomination in such equitable manner as the Bond Registrar may determine. In the case of a partial redemption of Series 2023 Bonds by lot when Series 2023 Bonds of denominations greater than a minimum Authorized Denomination are then Outstanding, then for all purposes in connection with such redemption each minimum Authorized Denomination of face value shall be treated as though it were a separate Series 2023 Bond of a minimum Authorized Denomination. If it is determined that one or more, but not all, of the minimum Authorized Denomination value represented by any

Series 2023 Bond is selected for redemption, then upon notice of intention to redeem such minimum Authorized Denomination, the Owner or the Owner's duly authorized agent shall forthwith present and surrender such Series 2023 Bond to the Bond Registrar: (1) for payment of the Redemption Price and interest to the Redemption Date of such minimum Authorized Denomination value called for redemption, and (2) for exchange, without charge to the Owner thereof, for a new Series 2023 Bond or Series 2023 Bonds of the aggregate principal amount of the unredeemed portion of the principal amount of such Series 2023 Bond. If the Owner of any such Series 2023 Bond fails to present such Series 2023 Bond to the Paying Agent for payment and exchange as aforesaid, such Series 2023 Bond shall, nevertheless, become due and payable on the redemption date to the extent of the minimum Authorized Denomination value called for redemption (and to that extent only).

Notice and Effect of Call for Redemption. Unless waived by any Owner of Series 2023 Bonds to be redeemed, if the Issuer shall call any Series 2023 Bonds for redemption and payment prior to the Stated Maturity thereof, the Issuer shall give written notice of its intention to call and pay said Series 2023 Bonds to the Bond Registrar and the State Treasurer. In addition, the Issuer shall cause the Bond Registrar to give written notice of redemption to the Owners of said Series 2023 Bonds. Each of said written notices shall be deposited in the United States first class mail not less than 30 days prior to the Redemption Date.

All official notices of redemption shall be dated and shall contain the following information: (a) the Redemption Date; (b) the Redemption Price; (c) if less than all Outstanding Series 2023 Bonds are to be redeemed, the identification (and, in the case of partial redemption of any Series 2023 Bonds, the respective principal amounts) of the Series 2023 Bonds to be redeemed; (d) a statement that on the Redemption Date the Redemption Price will become due and payable upon each such Series 2023 Bond or portion thereof called for redemption and that interest thereon shall cease to accrue from and after the Redemption Date; and (e) the place where such Series 2023 Bonds are to be surrendered for payment of the Redemption Price, which shall be the principal office of the Paying Agent. The failure of any Owner to receive notice given as heretofore provided or an immaterial defect therein shall not invalidate any redemption.

Prior to any Redemption Date, the Issuer shall deposit with the Paying Agent an amount of money sufficient to pay the Redemption Price of all the Series 2023 Bonds or portions of Series 2023 Bonds that are to be redeemed on such Redemption Date. Official notice of redemption having been given as aforesaid, the Series 2023 Bonds or portions of Series 2023 Bonds to be redeemed shall become due and payable on the Redemption Date, at the Redemption Price therein specified, and from and after the Redemption Date (unless the Issuer defaults in the payment of the Redemption Price) such Series 2023 Bonds or portion of Series 2023 Bonds shall cease to bear interest.

For so long as the Securities Depository is effecting book-entry transfers of the Series 2023 Bonds, the Bond Registrar shall provide the notices specified to the Securities Depository. It is expected that the Securities Depository shall, in turn, notify its Participants and that the Participants, in turn, will notify or cause to be notified the Beneficial Owners. Any failure on the part of the Securities Depository or a Participant, or failure on the part of a nominee of a Beneficial Owner of a Series 2023 Bond (having been mailed notice from the Bond Registrar, the Securities Depository, a Participant or otherwise) to notify the Beneficial Owner of the Series 2023 Bond so affected, shall not affect the validity of the redemption of such Series 2023 Bond.

In addition to the foregoing notice, the Issuer shall provide such notices of redemption as are required by the Disclosure Undertaking. The Paying Agent is also directed to comply with any mandatory or voluntary standards then in effect for processing redemptions of municipal securities established by the State or the Securities and Exchange Commission. Failure to comply with such standards shall not affect or invalidate the redemption of any Series 2023 Bond.

THE DEPOSITORY TRUST COMPANY

1. The Depository Trust Company ("DTC"), New York, New York, will act as securities depository for the Series 2023 Bonds. The Series 2023 Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered bond certificate will be issued for each scheduled maturity of the Series 2023 Bonds, and will be deposited with DTC.

2. DTC, the world's largest depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.6 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments from over 100 countries that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of "AA+". The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

3. Purchases of Series 2023 Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Series 2023 Bonds on DTC's records. The ownership interest of each actual purchaser of each Series 2023 Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Series 2023 Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Series 2023 Bonds, except in the event that use of the book-entry system for the Series 2023 Bonds is discontinued.

4. To facilitate subsequent transfers, all Series 2023 Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Series 2023 Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Series 2023 Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Series 2023 Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

6. Redemption notices shall be sent to DTC. If less than all of the Series 2023 Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Series 2023 Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Series 2023 Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Redemption proceeds, distributions, and dividend payments on the Series 2023 Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Issuer or Paying Agent, on the payment date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC nor its nominee, the Paying Agent, or the Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Issuer or Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

9. A Beneficial Owner shall give notice to elect to have its Series 2023 Bonds purchased or tendered, through its Participant, to the Paying Agent, and shall effect delivery of such Series 2023 Bonds by causing the Direct Participant to transfer the Participant's interest in the Series 2023 Bonds, on DTC's records, to the Paying Agent. The requirement for physical delivery of the Series 2023 Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Series 2023 Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Series 2023 Bonds to the Paying Agent's DTC account.

10. DTC may discontinue providing its services as depository with respect to the Series 2023 Bonds at any time by giving reasonable notice to the Issuer or Paying Agent. Under such circumstances, in the event that a successor securities depository is not obtained, Series 2023 Bond certificates are required to be printed and delivered.

11. The Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Series 2023 Bond certificates will be printed and delivered to DTC.

12. The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the Issuer believes to be reliable, but the Issuer takes no responsibility for the accuracy thereof.

THE PROJECT

A portion of the proceeds of the Series 2023 Bonds are being issued for the purpose of acquiring, constructing, reconstructing, altering, repairing, improving, extending or enlarging the System, as more particularly described in Resolution No. 23-1004 of the City (the "Project"). A portion of the proceeds of the Series 2023 Bonds will pay a portion of the costs of the Project, with the balance financed through one or more future issuances of Parity Bonds and/or other funds of the City.

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SOURCES AND USES OF FUNDS

The following table summarizes the sources and uses of funds associated with the issuance of the Series 2023 Bonds:

Sources of Funds:	
Principal Amount	$5,280,000.00
Original Issue Premium	269,142.30
Total	***$5,549,142.30***
Uses of Funds:	
Deposit to Project Account	$5,040,250.00
Deposit to Bond Reserve Account	397,900.00
Deposit to Costs of Issuance Account	60,832.30
Underwriter's Discount	50,160.00
Total	***$5,549,142.30***

THE SYSTEM

Organization of the System

The City has operated its public water system since 1883 and its sanitary sewer system since 1915. The ongoing operation of the combined water and sewer system is the responsibility of the City's Infrastructure Focus Area with customer service support from the Exceptional Services Focus Area. Infrastructure is responsible for providing potable water in accordance with state and federal standards and in sufficient quantity to meet the needs of all residences, businesses and industries that the System serves. It is also responsible for the collection and treatment of sanitary sewage and assuring that effluent meets state and federal requirements. These functions are carried out through three Infrastructure divisions: Environmental Services, Engineering, and Field Operations with support from Customer Service.

The Water Production program operates and maintains one water treatment facility in order to provide a continuous supply of treated water in sufficient quantities to satisfy the City's needs.

The Wastewater Treatment program operates and maintains two wastewater treatment plants and one lagoon system and is responsible for treating about 50% of the sewage effluent generated by the homes, businesses and industries of the City. A county sewer district, the Johnson County Wastewater District, treats the remaining sewage generated in the City through a County-owned regional treatment facility. It is the responsibility of the Field Operations Division to maintain, operate and improve the underground water and sanitary infrastructure serving the City. This program also maintains the City's water meters, makes new water service taps, performs water and sewer inspections, and makes emergency repairs to water and sewer mains, valves, and hydrants. The Engineering and Environmental Services Divisions provides engineering services to the facilities and lines. Customer Service responds to customer inquiries and service requests and is engaged in billing and collection of the system revenue, as well as other enterprise fund revenue of the City.

None of the City's employees, including those in the Infrastructure, are members of labor unions nor do any collective bargaining units represent them.

Billings and Collections

The billing, accounting, meter reading and collection of all water and sewer system revenues are handled through the City's Infrastructure and Exceptional Services Focus Areas departments as a direct expense of the Water and Sewer Fund. Customers are billed monthly on a combined statement which includes charges for water, sanitary sewer, and other miscellaneous System charges, all of which constitute part of the revenues of the System. Under

present System policy and City ordinances, utility bills are due when received but contain a penalty date that provides 21 days for payment. If payment is not made in full within 33 days, a notice is mailed which allows seven days before service is discontinued. The billing system also collects the utility sales tax, the state water protection charge, storm water fees, and the City's fee for solid waste services, which are not revenues of the System.

Water Rates

The monthly water services and usage charges approved by the City Council for 2023 are shown below.

Monthly Service Charges

	2023	
	Non-Wholesale	Wholesale
5/8-inch meter	$15.64	$18.34
1-inch meter	$46.89	$45.83
1.5-inch meter	$78.16	$91.64
2-inch meter	$125.06	$146.63
3-inch meter	$250.11	$274.92
4-inch meter	$390.80	$458.21
6-inch meter	$781.50	$916.40
8-inch meter	$1,250.56	$1,466.22
10-inch meter	$1,797.68	$2,199.34
12-inch meter	$2,422.96	$2,749.16

Usage Charges – Single Family Residential (Within City Limits)

	2023
First 600 cubic feet	$3.02 per 100 cubic feet
Next 600 cubic feet	$4.52 per 100 cubic feet
Next 1,400 cubic feet	$6.04 per 100 cubic feet
All over 2,600 cubic feet	$7.54 per 100 cubic feet

Usage Charges – Outside City Limits

	2023
First 600 cubic feet	$3.78 per 100 cubic feet
Next 600 cubic feet	$5.65 per 100 cubic feet
Next 1,400 cubic feet	$7.55 per 100 cubic feet
All over 2,600 cubic feet	$9.43 per 100 cubic feet
Bulk Water Sales	$6.99 per 1,000 gallons
Wholesale	$4.08 per 100 cubic feet

Usage Charges – Multi-Family

	2023
Up to 110% of winter usage	$3.64 per 100 cubic feet
110% to 200% of winter usage	$4.56 per 100 cubic feet
Over 200% of winter usage	$5.47 per 100 cubic feet

Usage Charges – Commercial

	2023
Up to 110% of winter usage	$3.85 per 100 cubic feet
110% to 200% of winter usage	$4.82 per 100 cubic feet
Over 200% of winter usage	$5.77 per 100 cubic feet

Usage Charges – Industrial

	2023
Up to 110% of winter usage	$3.24 per 100 cubic feet
110% to 200% of winter usage	$4.05 per 100 cubic feet
Over 200% of winter usage	$4.84 per 100 cubic feet

Water rates charged by the City, within or outside the City limits, are not regulated by the Kansas Corporation Commission or any other regulatory body. The City tracks water usage during the winter months. The winter usage is then used for the remaining nine months of the year to determine the appropriate category for billing purposes for non-residential customers. Additional usage is added on during those nine months depending on volume of water use. This, in effect, rewards the lower users of water and encourages the high-end users to find conservation measures.

Water Loss Per Year

Year	Percentage
2022	16.0%
2021	12.5
2020	12.3
2019	15.8
2018	11.9

Sewer Rates

Sanitary sewer service charges for residential customers are based on average winter water use. Average winter water is defined as the average usage for the months of December, January, and February. The monthly sewer service charges approved by the City Council for 2023 are shown below.

	2023
Minimum Service Charge	$21.07
Based on Average Winter Water Use:	
Residential	$5.82 per 100 cubic feet
Based on Actual Usage:	
Multi-Family	$5.99 per 100 cubic feet
Commercial	$5.99 per 100 cubic feet
Industrial	$5.98 per 100 cubic feet

Rate Increases

The water and sewer service charges are set annually in conjunction with the City's budget process using a 5-step model that primarily focuses on identifying revenue requirements and allocating costs to meet the City's financial and pricing objectives. Additionally, the City's Forecast Team prepares a 5-year forecast of System revenues and expenses on a monthly basis and a 10-year forecast on an annual basis to facilitate budget decisions and strategic planning. Recent rate increases approved by the City Council are as follows:

Year	Water	Sewer
2023	6.0%	6.0%
2022	4.3	4.9
2021	3.5	4.5
2020	3.5	4.5
2019	3.5	4.5

The City expects to increase water and sewer rates comparable to prior year rate adjustments, subject to City Council approval and authorization. Rates for 2024 are expected to be considered by the City Council on or about August 2023.

In the fall of 2022, the City Council approved a new block structure for residential water customers that went into effect on January 1, 2023. The change in block structure was implemented to improve affordability and equitability for basic resident water needs. The added fourth block consists of extremely high use customers (users of over 2,600 cubic feet, as shown in tables above), and the largest rate increase could be seen in this block. This was done intentionally to attempt to change behavior of high use customers and help with water conservation and demand needs in the future.

Description of the Water System

The City operates one drinking water treatment facility with a treatment capacity of 32 million gallons per day. Raw water is supplied by eleven vertical wells and four horizontal collector wells in the Kansas River alluvium near the City of De Soto, Kansas. The vertical wells have a capacity of 6.0 million gallons per day and the horizontal collector wells have a rated capacity of 25 million gallons per day. Three pipe lines, a 24-inch, a 30-inch, and a 48-inch, convey the raw water from the well field to the treatment plant.

The City has a reciprocal emergency purchase agreement with Water District No. 1 of Johnson County, Kansas. The City does not purchase any of its water supply from another utility. All water treated by the City comes from the City's wellfields located on the Kansas River.

The System also includes seven treated water storage facilities with a total capacity of 17 million gallons and transmission and distribution facilities consisting of 632 miles of various diameter pipes. In 2009, the City finished construction of a 42-inch water transmission main to convey finished water from the City's water treatment facility to the distribution system. Based on the City's growth pattern, the City believes that it will construct additional raw water pipeline, one or more raw water well, additional clarifier and expand the membrane system within the next ten years.

Water Quality Standards and System Operation

The System meets or exceeds all United States Environmental Protection Agency (USEPA) Safe Drinking Water Act (SDWA) and Kansas Department of Health and Environment (KDHE) Rules and Regulations. The System actively participates in the American Water Works Association (AWWA) and, with over 300 other utilities in the National Partnership for Safe Water Program, organized to enhance drinking water quality and treatment. According to the ETC Institute, a firm that surveys over 900 utilities and municipalities in 49 states, the City's water and sewer services received over a 90% satisfaction rating from its customers in 2022. The City actively participates in a Continuous Improvement Program, including benchmarking surveys and continually seeks improvements to optimize treatment practices and operations.

The City operates a NELAC certified environmental laboratory to ensure regulatory compliance and provide analytical analysis for water production, wastewater treatment, parks & recreation, solid waste, storm water, water distribution, and wastewater collection.

Description of the Sewer System

The City operates two wastewater treatment plants and one lagoon system. The Harold Street treatment plant has 3.2 million gallons per day dry weather capacity and 6.4 million gallons per day wet weather capacity. The City does not currently anticipate any capacity expansion at its Harold Street facility.

The Cedar Creek treatment plant was expanded in 2013 from 3.0 million to 7.75 million gallons per day dry weather capacity and from 7.5 million to 23.25 million gallons per day wet weather capacity. The Lakestone Lagoons were constructed in 1979 to facilitate treatment of a residential subdivision. Currently, there are approximately 465 miles of various diameter collection lines in the sewer system.

The City of Olathe Environmental Services Division annually receives many local, state and national awards for exceptional operation, maintenance and safety of the City's wastewater treatment facilities. The City maintains an active pretreatment program and has met KDHE and USEPA standards for over 20 years. The Cedar Creek wastewater treatment facility and Harold Street wastewater treatment facility both received Gold Peak awards from the National Association of Clean Water Agencies in recognition of complete and consistent National Pollutant Discharge Elimination System permit compliance in 2021. Gold award designations are presented to member agency facilities that demonstrate among the highest standards in wastewater treatment with no violations in a calendar year.

The City has also been a leader in using new technologies to meet regulatory requirements. As part of the Cedar Creek Wastewater Treatment Plant expansion, the plant includes Kansas' first in-line fermentation process, which uses biological means to generate a carbon supply rather than trucking in costly chemicals. The five-stage process removes nitrogen and phosphorous, which is required by federal and Kansas Department of Health and Environment (KDHE) regulations for all new or expanding wastewater facilities.

Effluent Standards and System Operations

The National Permit Discharge Elimination System (NPDES) permits the City wastewater treatment plants and sets limits for numerous effluent parameters. City wastewater facilities met permit limits on 100% of all samples taken in 2022.

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Historical Financials

	2018	2019[a]	2020	2021	2022
Gross Revenues[b]	$51,367,036	$48,899,840	$53,992,179	$55,533,227	$58,517,946
Current Expenses[b]	32,042,510	37,418,793	36,810,092	34,912,729	36,458,631
Net Revenue[b]	$19,324,526	$11,481,047	$17,182,087	$20,620,498	$22,059,315
Parity & Subordinate Debt Service	$12,020,350	$12,627,112	$13,132,562	$12,425,538	$11,704,988
Parity & Subordinate Bond Coverage	1.61x	0.91x	1.31x	1.66x	1.88x
Parity Bond Debt Service	$6,929,907	$7,655,480	$8,127,209	$7,974,384	$8,388,331
Parity Bond Coverage	2.79x	1.50x	2.11x	2.59x	2.63x

Average Annual Debt Service on Parity Bonds, including estimated debt service on the Series 2023 Bonds [b][c]	$6,518,076
Debt Service Coverage Ratio for Purposes of Additional Parity Bonds, including Series 2023 Bonds [b][c]	3.38x

[a] The decline in Gross Revenues is partially due to lower water usage because of abnormally high rainfall. In 2019 rainfall in Olathe totaled 60.06 inches compared to the previous 10-year average of 33.48 inches per year. Current Expenses in 2019 were also negatively affected due to expenses considered by the City to be one-time, non-recurring.

[b] Determined in accordance with the Parity Bond Resolutions. See definitions of Gross Revenues, Current Expenses, and Net Revenue in "THE SERIES 2023 BONDS – Security for the Series 2023 Bonds." See ***APPENDIX E*** for definitions of Average Annual Debt Service, Debt Service Coverage Ratio and the requirements to issue additional Parity Bonds.

[c] The debt service on the Parity Bonds is reduced by the Bond Reserve Requirement for each series of Parity Bonds as such series of Parity Bonds is scheduled to mature.

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Number of Customers

The following table lists the approximate number of customers of the System for the years indicated.

Year	Water Customers	Sanitary Sewer Customers
2022	37,234	31,701
2021	36,947	31,669
2020	37,050	31,475
2019	36,600	30,830
2018	36,120	30,602

Source: The City

Customer Classifications

The following is a list of customer breakdown for the System as of December 31, 2022. Less than 1% of total customers are located outside City limits.

	Water Customers	Sewer Customers
Residential and Multi-Family	35,172	30,020
Commercial	2,039	1,662
Industrial	20	19
Wholesale	3	N/A

Source: The City

Water Production Requirements

The following table indicates historical water production requirements and comparison to the previous year:

	Average Daily Demand		Annual Demand	
Year	Gallons (in millions)	Percent Increase/ (Decrease)	Gallons (in millions)	Percent Increase/ (Decrease)
2022	13.40	2.0%	4,888.15	5.3%
2021	12.40	(0.1)	4,653.74	1.5
2020	12.56	6.8	4,583.18	6.8
2019	11.75	(9.1)	4,289.66	(9.1)
2018	12.92	9.3	4,717.27	9.6

Source: The City

Sewage Treatment Requirements

The following table indicates historical sewage treatment requirement of the City but does not include that portion of the City that is served by the Johnson County Wastewater District.

	Average Daily Flow		Annual Demand	
Year	Gallons (in millions)	Percent Increase/ (Decrease)	Gallons (in millions)	Percent Increase/ (Decrease)
2022	6.23	(2.8%)	2,306	(1.4%)
2021	6.41	12.9	2,338	11.8
2020	5.51	(20.0)	2,011	(20.0)
2019	6.88	33.6	2,535	33.5
2018	5.15	(8.0)	1,899	(7.1)

Source: The City

Water and Sewer Peak Daily Demand

The following table indicates the peak daily demand of the water system and the maximum daily flow for the sewage treatment system for each of the last five years.

Year	Water System Peak Daily Demand (in millions of gallons)	Sewage System Maximum Daily Flow (in millions of gallons)
2022	26.51	23.30
2021	24.37	30.98
2020	22.41	25.20
2019	22.50	36.34
2018	25.26	35.20

Source: The City

Largest Customers

The following table lists the ten largest users of the System based on the percentage of total 2022 revenue generated by each.

Water System

	Customer	Type of Enterprise	2022 Water Billing	Total 2022 Water System Revenue (%)
1.	Rural Water District No. 6*	Rural Water	$571,792	2.6%
2.	New Century Air Center	Wholesale	396,484	1.8
3.	Rural Water District No. 7*	Rural Water	355,467	1.6
4.	FSI Santa Barbara Property LLC	Multi-Family	157,880	0.7
5.	Olathe Medical Center	Hospital	149,938	0.7
6.	Cintas	Services	63,522	0.3
7.	Geiger Ready Mix	Industrial	47,913	0.2
8.	Green Lantern Car Wash LLC	Car Wash	45,810	0.2
9.	QuikTrip	Services	43,562	0.2
10.	Garmin International	Industrial	43,019	0.2

*As discussed under "Wholesale Supply Agreements" below, these rural water districts consolidated in 2017. The separate listings in this table represent the formerly-separate service areas of Rural Water District No. 6 and Rural Water District No. 7.

Sewer System

	Customer	Type of Enterprise	2022 Sewer Billing	Total 2022 Sewage System Revenue (%)
1.	Olathe Medical Center	Hospital	$125,252	0.8%
2.	Cintas	Services	116,608	0.7
3.	Green Lantern Car Wash LLC	Car Wash	89,922	0.6
4.	AMC Theaters Mail Stop 4	Industrial	56,713	0.4
5.	Good Samaritan Center	Multi-Family	54,300	0.3
6.	Villa St. Francis	Multi-Family	53,764	0.3
7.	ExxonMobil Grease Plant	Industrial	53,155	0.3
8.	HAMM Incorporated	Industrial	52,946	0.3
9.	Jefferson on the Lake	Multi-Family	47,570	0.3
10.	Johnson County Adult Detention	Government	46,989	0.3

Wholesale Supply Agreements

The City has entered wholesale contracts with Rural Water District No. 7 and Johnson County, Kansas, for the sale of treated water. Rural Water District No. 7 has been party to a wholesale contract to purchase water from the City since at least 1992, and currently receives 100% of its water supply from the City.

In 2017, Rural Water District No. 7 acquired the former Rural Water District No. 6. Rural Water District No. 7 currently has two separate wholesale connections with the City. The first wholesale connection serves Rural Water District No. 7's historic service territory (prior to the merger with Rural Water District No. 6). In 2022, payments under the City's wholesale contract with Rural Water District No. 7 for its historic service territory comprised 1.6% of the total water system revenues. The City's current wholesale contract with Rural Water District No. 7 for its historic service territory expires in 2031, but is subject to alteration, extension, amendment, or termination during its term by mutual consent of the parties.

The second wholesale connection serves the former Rural Water District No. 6 territory, which purchased water from the City prior to its merger into Rural Water District No. 7. Payments from Rural Water District No. 7 for the former Rural Water District No. 6 territory comprised approximately 2.6% of the total water system revenues in 2022. For this wholesale connection, the parties are operating under the terms of an agreement most recently updated in 2020. It is anticipated that the former Rural Water District No. 6 will begin to receive its water from another supplier in the area starting in 2024, and the City will no longer provide service to or receive revenue from this wholesale connection.

The Board of County Commissioners of Johnson County, Kansas, has been party to a wholesale water contract to purchase water from the City for delivery to New Century Air Center since October 2015. Payments from this wholesale agreement comprised 1.8% of the total 2022 water system revenues. The City's current wholesale contract with the Board of County Commissioners relating to New Century Air Center expires in 2035, but is subject to alteration, extension, amendment, or termination during its term by mutual consent of the parties.

Capital Projects

The City's Capital Improvements Program for fiscal years 2023-2027 includes capital projects for the System totaling approximately $118 million. The City currently anticipates issuing System revenue bonds over the next 5 years in an aggregate amount of approximately $73 million (including the portion of the Series 2023 Bonds financing the Project) to provide a portion of the funds for such System improvements, with the balance of the funds coming from other available sources. See "***APPENDIX A*** – DEBT STRUCTURE – Future Financing" for more information.

Outstanding Debt of the System

Revenue Debt ("Parity Bonds")

Dated Date Of Issue	Original Amount	Purpose	Final Maturity	Principal Outstanding As of Dated Date[a]
12/18/2012	$9,585,000	Water & Sewer Improvements, 2012	7/1/2032	$4,815,000
10/1/2015	18,895,000	Water & Sewer Improvements, 2015	7/1/2035	12,835,000
4/4/2017	11,340,000	Water & Sewer Imp. and Refunding, 2017	7/1/2037	8,210,000
4/3/2018	11,580,000	Water & Sewer Improvements, 2018	7/1/2038	9,510,000
4/18/2019	16,360,000	Water & Sewer Imp. and Refunding, 2019	7/1/2039	13,715,000
5/19/2020	13,335,000	Water & Sewer Imp. and Refunding, 2020	7/1/2040	10,460,000
5/20/2021	35,270,000	Water & Sewer Imp. and Refunding, 2021	7/1/2041	30,730,000
7/12/2022	11,740,000	Water & Sewer Improvements, 2022	7/1/2042	11,305,000
7/11/2023	5,280,000	Water & Sewer Improvements, 2023	7/1/2043	5,280,000
		Total		***$106,860,000***

[a] Does not include principal payments payable on July 1, 2023.

State Revolving Fund Loans

The City has entered into loan agreements (listed below) with the State of Kansas to finance various construction improvements to the City's water and wastewater treatment systems. Payments for these loans are subordinate to the payment of the Parity Bonds listed above.

The state revolving fund loans (the "SRF Loans") represent general obligations of the City payable, ultimately, from the City's ability to levy unlimited ad valorem taxes; however, the City intends to provide for payments on the SRF Loans with Net Revenues of the water and sewer system. The revolving fund loan agreements dedicate revenues of the System, subordinate to the Series 2023 Bonds and the Parity Bonds.

Purpose of Indebtedness	**Dated Date**	**Final Payment Date**	**Original Principal Amount**	**Amount Outstanding as of 3/31/2023**
Cedar Creek WWTP Sludge	07/16/03	09/01/24	$2,184,000	$211,567
Cedar Creek WWTP Effluent	03/07/06	09/01/26	768,500	179,445
42" Finished Water Transmission	11/13/07	09/01/28	16,883,916	6,413,328
Cedar Creek WWTP Expansion	03/09/09	03/01/29	5,000,000	1,787,118
			Total	***$8,591,158***

General Obligation Bonds

In 2011, the City issued $17,510,000 General Obligation Refunding Bonds, Series 220 (the "Series 220 Bonds"), the proceeds of which were used to refinance a loan agreement with the State of Kansas for improvements to the City's water system. The outstanding principal of the Series 220 Bonds in the amount of $5,950,000 was refunded in July 2021 by a portion of the proceeds of the City's General Obligation Improvement and Refunding Bonds, Series 234 (the "Series 234 Bonds"). As of the Dated Date, the approximate remaining debt service on the Series 234 Bonds allocable to the refunding of the Series 2020 Bonds is $4,381,369 with the final maturity in 2025. The Series 234 Bonds are general obligations of the City payable from the City's ability to levy unlimited ad valorem taxes. The revenues of the System are not pledged to repayment of the Series 234 Bonds. However, the City intends to provide for payments on portion of the Series 234 Bonds allocable to refunding the Series 220 Bonds from Net Revenues of the System. Repayment of the Series 234 Bonds is subordinate to the Parity Bonds and the SRF Loans.

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Debt Service Requirement of the System

The following table shows the debt service requirements for all Parity Bonds as of the Dated Date of the Series 2023 Bonds.

		Series 2023 Bonds		
Year	**Existing Parity Bonds[1]**	**Principal**	**Interest**	**Total Principal and Interest**
2023	$9,346,794	--	--	$9,346,794
2024	9,348,063	$170,000	$223,028	9,741,090
2025	9,341,863	175,000	220,900	9,737,763
2026	9,360,563	185,000	212,150	9,757,713
2027	9,368,338	190,000	202,900	9,761,238
2028	9,365,844	200,000	193,400	9,759,244
2029	9,227,969	210,000	183,400	9,621,369
2030	9,023,556	225,000	172,900	9,421,456
2031	8,662,781	235,000	161,650	9,059,431
2032	8,666,388	245,000	149,900	9,061,288
2033	7,896,031	255,000	140,100	8,291,131
2034	7,901,025	265,000	129,900	8,295,925
2035	7,893,413	275,000	119,300	8,287,713
2036	6,159,063	285,000	108,300	6,552,363
2037	4,261,363	300,000	96,900	4,658,263
2038	3,587,194	310,000	84,900	3,982,094
2039	2,767,113	325,000	72,500	3,164,613
2040	1,719,444	335,000	59,500	2,113,944
2041	1,471,950	350,000	46,100	1,868,050
2042	797,513	365,000	31,663	1,194,175
2043	--	380,000	16,150	396,150
	$136,166,263	$5,280,000	$2,625,540	$144,071,803

[1] Represents total principal and interest; does not take into account amounts in the respective bond reserve funds for each of the City's outstanding Parity Bonds. Per each respective Parity Bond Resolution, bond reserve funds are expected to pay the last outstanding bonds of the respective bonds for which the bond reserve fund was created, whether at maturity or earlier redemption. Approximately 69% of Existing Parity Bonds principal is scheduled to mature within approximately ten years.

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RISK FACTORS AND INVESTMENT CONSIDERATIONS

A PROSPECTIVE PURCHASER OF THE SERIES 2023 BONDS DESCRIBED HEREIN SHOULD BE AWARE THAT THERE ARE CERTAIN RISKS ASSOCIATED WITH THE SERIES 2023 BONDS WHICH MUST BE RECOGNIZED. THE FOLLOWING STATEMENTS REGARDING CERTAIN RISKS ASSOCIATED WITH THE OFFERING SHOULD NOT BE CONSIDERED AS A COMPLETE DESCRIPTION OF ALL RISKS TO BE CONSIDERED IN THE DECISION TO PURCHASE THE SERIES 2023 BONDS. PROSPECTIVE PURCHASERS OF THE SERIES 2023 BONDS SHOULD ANALYZE CAREFULLY THE INFORMATION CONTAINED IN THIS OFFICIAL STATEMENT AND ADDITIONAL INFORMATION IN THE FORM OF THE COMPLETE DOCUMENTS SUMMARIZED HEREIN, COPIES OF WHICH ARE AVAILABLE AND MAY BE OBTAINED FROM THE ISSUER OR THE UNDERWRITER.

Legal Matters

Various state and federal laws, regulations and constitutional provisions apply to the obligations created by the Series 2023 Bonds. There is no assurance that there will not be any change in, interpretation of, or addition to such applicable laws, provisions and regulations which would have a material effect, either directly or indirectly, on the Issuer or the taxing authority of the Issuer.

Limitations on Remedies Available to Owners of Series 2023 Bonds

The enforceability of the rights and remedies of the owners of Series 2023 Bonds, and the obligations incurred by the Issuer in issuing the Series 2023 Bonds, are subject to the following: the federal Bankruptcy Code and applicable bankruptcy, insolvency, reorganization, moratorium, or similar laws relating to or affecting the enforcement of creditors' rights generally, now or hereafter in effect; usual equity principles which may limit the specific enforcement under state law of certain remedies; the exercise by the United States of America of the powers delegated to it by the United States Constitution; and the reasonable and necessary exercise, in certain unusual situations, of the police power inherent in the State of Kansas and its governmental subdivisions in the interest of serving a legitimate and significant public purpose. Bankruptcy proceedings, or the exercise of powers by the federal or state government, if initiated, could subject the owners of the Series 2023 Bonds to judicial discretion and interpretation of their rights in bankruptcy and otherwise, and consequently may involve risks of delay, limitation or modification of their rights.

Special Obligations

The Series 2023 Bonds are special, limited obligations of the Issuer. Neither the Series 2023 Bonds nor the interest thereon constitute a general obligation or indebtedness of, nor is the payment thereof guaranteed by, the Issuer, or any governmental subdivision, agency or instrumentality. The Series 2023 Bonds are not payable in any manner from tax revenues.

Debt Service Source

The Series 2023 Bonds are payable solely from the Net Revenues. While the future ability of the Issuer to meet its obligations under the Bond Resolution is based upon assumptions and business judgments which the Issuer believes are reasonable and appropriate, they are subject to conditions which may change in the future to an extent that presently cannot be determined. Thus, no assurance can be given that revenues will be realized by the Issuer in amounts sufficient to pay the principal of and interest on the Series 2023 Bonds as they become due.

Bond Reserve Account

Pursuant to the Bond Resolution, an amount equal to the Bond Reserve Requirement will be deposited in the Bond Reserve Account. Moneys in the Bond Reserve Account may be invested in Permitted Investments. Moneys, including such Permitted Investments, may be applied by the Issuer to prevent default in payment of the principal of and interest on the Parity Bonds in accordance with the Bond Resolution in the event funds on hand in the Principal and Interest Account are insufficient to provide funds for payments due on any Payment Date. In the event the Issuer is required to sell such Permitted Investments for such purpose, the price realized upon such sale may not equal the Bond Reserve Requirement.

In the event of a default by the Issuer under the Bond Resolution, moneys deposited in the Bond Reserve Account may, under certain circumstances and, ordinarily under the supervision of and under order of the courts, be applied for purposes other than payment of the Parity Bonds. Such purposes may include preservation of and security for the System, maintenance of insurance, payment of expenses incurred in attempting to operate the System and payment of other similar costs.

State and Federal Regulation

The rates, fees and charges for water and sewer service through the System as currently constructed and operated will be exempt from rate regulation by the Kansas Corporation Commission. The precise nature and extent future governmental regulation and the resulting impact of such regulation on the operation and profitability of the System cannot now be determined. The Issuer has covenanted in the Bond Resolution to comply with all such governmental regulation.

Kansas Public Employees Retirement System

As described in "***APPENDIX A*** – FINANCIAL INFORMATION – Pension and Employee Retirement Plans," the Issuer participates in the Kansas Public Employees Retirement System ("KPERS"), as an instrumentality of the State to provide retirement and related benefits to public employees in Kansas. KPERS administers three statewide defined benefit retirement plans for public employees which are separate and distinct with different membership groups, actuarial assumptions, experience, contribution rates and benefit options. The Issuer participates in the Police and Firemen's Retirement System ("KP&F") and the Public Employees Retirement System – Local Group (the "Plan"). Under existing law, employees make contributions and the Issuer makes all employer contributions to the Plan; neither the employees nor the Issuer are directly responsible for any unfunded accrued actuarial liability ("UAAL"). However, the Plan contribution rates may be adjusted by legislative action over time to address any UAAL. According to KPERS' Valuation Report, the Local Group had an UAAL of approximately $1.783 billion in calendar year 2021 and KP&F had an UAAL of approximately $1.140 billion.

Taxation of Interest on the Series 2023 Bonds

An opinion of Bond Counsel will be obtained to the effect that interest earned on the Series 2023 Bonds is excludable from gross income for federal income tax purposes under current provisions of the Internal Revenue Code of 1986, as amended (the "Code"), and applicable rulings and regulations under the Code; however, an application for a ruling has not been made and an opinion of counsel is not binding upon the Internal Revenue Service. There can be no assurance that the present provisions of the Code, or the rules and regulations thereunder, will not be adversely amended or modified, thereby rendering the interest earned on the Series 2023 Bonds includable in gross income for federal income tax purposes.

The Issuer has covenanted in the Bond Resolution and in other documents and certificates to be delivered in connection with the issuance of the Series 2023 Bonds to comply with the provisions of the Code, including those which require the Issuer to take or omit to take certain actions after the issuance of the Series 2023 Bonds. Because the existence and continuation of the excludability of the interest on the Series 2023 Bonds depends upon events occurring after the date of issuance of the Series 2023 Bonds, the opinion of Bond Counsel described under "TAX MATTERS" assumes the compliance by the Issuer with the provisions of the Code described above and the regulations relating thereto. No opinion is expressed by Bond Counsel with respect to the excludability of the interest on the Series 2023 Bonds in the event of noncompliance with such provisions. The failure of the Issuer to comply with the provisions described above may cause the interest on the Series 2023 Bonds to become includable in gross income as of the date of issuance.

Premium on Series 2023 Bonds

The initial offering prices of certain maturities of the Series 2023 Bonds that are subject to optional redemption may be in excess of the respective principal amounts thereof. Any person who purchases a Series 2023 Bond in excess of its principal amount, whether during the initial offering or in a secondary market transaction, should

consider that the Series 2023 Bonds are subject to redemption at par under the various circumstances described under "THE SERIES 2023 BONDS – Redemption Provisions."

No Additional Interest or Mandatory Redemption upon Event of Taxability

The Bond Resolution does not provide for the payment of additional interest or penalty on the Series 2023 Bonds or the mandatory redemption thereof if the interest thereon becomes includable in gross income for federal income tax purposes. Likewise, the Bond Resolution does not provide for the payment of any additional interest or penalty on the Series 2023 Bonds if the interest thereon becomes subject to income taxation by the State.

Suitability of Investment

An investment in the Series 2023 Bonds involves a certain degree of risk. The interest rate borne by the Series 2023 Bonds (as compared to prevailing interest rates on more secure tax exempt bonds such as those which constitute general obligations of fiscally sound municipalities) is intended to compensate the investor for assuming this element of risk. Furthermore, the tax exempt feature of the Series 2023 Bonds is more valuable to high tax bracket investors than to investors who are in low tax brackets, and so the value of the interest compensation to any particular investor will vary with individual tax rates. Each prospective investor should carefully examine this Official Statement, including the Appendices hereto, and its own financial condition to make a judgment as to its ability to bear the economic risk of such an investment, and whether or not the Series 2023 Bonds are an appropriate investment.

Market for the Series 2023 Bonds

Bond Rating. The Series 2023 Bonds have been assigned the financial rating set forth in the section hereof entitled "BOND RATING." There is no assurance that a particular rating will remain in effect for any given period of time or that it will not be revised, either downward or upward, or withdrawn entirely, if in the judgment of the agency originally establishing such rating, circumstances so warrant. Any downward revision or withdrawal of any rating may have an adverse affect on the market price of the Series 2023 Bonds.

Secondary Market. There is no assurance that a secondary market will develop for the purchase and sale of the Series 2023 Bonds. Prices of bonds traded in the secondary market, though, are subject to adjustment upward and downward in response to changes in the credit markets. From time to time it may be necessary to suspend indefinitely secondary market trading in the Series 2023 Bonds as a result of financial condition or market position of broker-dealers, prevailing market conditions, lack of adequate current financial information about the Issuer, or a material adverse change in the financial condition of the Issuer, whether or not the Series 2023 Bonds are in default as to principal and interest payments, and other factors which may give rise to uncertainty concerning prudent secondary market practices.

Cybersecurity Risks

Security breaches, including electronic break-ins, computer viruses, attacks by hackers and similar breaches could create disruptions or shutdowns of the Issuer and the services it provides, or the unauthorized disclosure of confidential personal, health-related, credit and other information. If a security breach occurs, the Issuer may incur significant costs to remediate possible injury to the affected persons, and the Issuer may be subject to sanctions and civil penalties. Any failure to maintain proper functionality and security of information systems could interrupt the Issuer's operations, delay receipt of revenues, damage its reputation, subject it to liability claims or regulatory penalties and could have a material adverse effect on its operations, financial condition and results of operations.

Natural Disasters or Terrorist Attacks

The occurrence of a terrorist attack or natural disasters, such as fires, tornados, earthquakes, floods or droughts, could damage the Issuer and its systems and infrastructure, and interrupt services or otherwise impair operations of the Issuer.

COVID-19 Pandemic

On March 11, 2020, the World Health Organization proclaimed the Coronavirus (COVID-19) to be a pandemic. In an effort to lessen the risk of transmission of COVID-19, the United States government, state and local governments and private industries have taken measures to limit social interactions in an effort to limit the spread of COVID-19, affecting business activities and impacting global, state and local commerce and financial markets. The Governor of the State issued various Executive Orders in response to the COVID-19 pandemic, including Executive Orders temporarily preventing foreclosures and evictions, deferring certain tax deadlines and payments, instituting a temporary State-wide stay-at-home (expired as of May 2020), and instituting a mask mandate which granted each county the right to opt out of such order.

The COVID-19 pandemic could result in increased costs to the Issuer and/or negative impacts on revenue collections, including revenues of the System (a primary source of revenue for the Issuer which are essential to repayment of the Series 2023 Bonds) due to increased payment delinquencies or disruption of the System's operations and revenue collections. Limited commercial activity may also negatively impact supply chain operations and disrupt the System's capability to timely acquire goods and services. As of the date hereof, the Issuer has not experienced material adverse changes relating to expenditures or receipt of revenues related to the System.

State and local governmental authorities continue efforts to contain and limit the spread of COVID-19. Future revenue collections, including revenues of the System, may deviate from historical or anticipated levels.

The emergence of COVID-19 and the spread thereof is an emerging and evolving issue. The Issuer is not able to predict and makes no representations as to the economic impact of the COVID-19 pandemic on the Issuer or the System.

BOND RATING

S&P Global Ratings, a division of S&P Global Inc., has assigned a rating of "AA" to the Series 2023 Bonds.

Such rating reflects only the view of such rating agency, and an explanation of the significance of such rating may be obtained therefrom. No such rating constitutes a recommendation to buy, sell, or hold any bonds, including the Series 2023 Bonds, or as to the market price or suitability thereof for a particular investor. There is no assurance that a particular rating will remain in effect for any given period of time or that it will not be revised, either downward or upward, or withdrawn entirely, if in the judgment of the agency originally establishing such rating, circumstances so warrant. Any downward revision or withdrawal of any rating may have an adverse affect on the market price of the Series 2023 Bonds.

ABSENCE OF LITIGATION

The Issuer, in the ordinary course of business, is a party to various legal proceedings. In the opinion of management of the Issuer, any judgment rendered against the Issuer in such proceedings would not materially adversely affect the financial position of the Issuer.

There is no controversy, suit or other proceedings of any kind pending or threatened wherein or whereby any question is raised or may be raised, questioning, disputing or affecting in any way the legal organization of the Issuer or its boundaries, or the right or title of any of its officers to their respective offices, or the legality of any official act shown to have been done in the transcript leading up to the issuance of the Series 2023 Bonds, or the constitutionality or validity of the indebtedness represented by the Series 2023 Bonds shown to be authorized in the transcript, or the validity of the Series 2023 Bonds or any of the proceedings in relation to the issuance or sale thereof, or the pledging of the Net Revenues of the System to pay the principal of and interest thereon.

LEGAL MATTERS

Approval of Series 2023 Bonds

All matters incident to the authorization and issuance of the Series 2023 Bonds are subject to the approval of Gilmore & Bell, P.C., Kansas City, Missouri ("Bond Counsel"). The factual and financial information appearing herein has been supplied or reviewed by certain officials of the Issuer and its certified public accountants, as referred to herein. Bond Counsel has participated in the preparation of the Official Statement but expresses no opinion as to the accuracy or sufficiency thereof, except for the matters appearing in the sections of this Official Statement captioned "THE SERIES 2023 BONDS," "LEGAL MATTERS," "TAX MATTERS," "***APPENDIX B*** – FORM OF CONTINUING DISCLOSURE UNDERTAKING," and "***APPENDIX E*** – SUMMARY OF FINANCING DOCUMENTS." Payment of the legal fee of Bond Counsel is contingent upon the delivery of the Series 2023 Bonds.

TAX MATTERS

The following is a summary of the material federal and State of Kansas income tax consequences of holding and disposing of the Series 2023 Bonds. This summary is based upon laws, regulations, rulings and judicial decisions now in effect, all of which are subject to change (possibly on a retroactive basis). This summary does not discuss all aspects of federal income taxation that may be relevant to investors in light of their personal investment circumstances or describe the tax consequences to certain types of holders subject to special treatment under the federal income tax laws (for example, dealers in securities or other persons who do not hold the Series 2023 Bonds as a capital asset, tax-exempt organizations, individual retirement accounts and other tax deferred accounts, and foreign taxpayers), and, except for the income tax laws of the State of Kansas, does not discuss the consequences to an owner under state, local or foreign tax laws. The summary does not deal with the tax treatment of persons who purchase the Series 2023 Bonds in the secondary market. Prospective investors are advised to consult their own tax advisors regarding federal, state, local and other tax considerations of holding and disposing of the Series 2023 Bonds.

Opinion of Bond Counsel

In the opinion of Bond Counsel, under the law existing as of the issue date of the Series 2023 Bonds:

Federal Tax Exemption. The interest on the Series 2023 Bonds is excludable from gross income for federal income tax purposes.

Alternative Minimum Tax. The interest on the Series 2023 Bonds is not an item of tax preference for purposes of computing the federal alternative minimum tax.

Bank Qualification. The Series 2023 Bonds have **not** been designated as "qualified tax-exempt obligations" for purposes of Code § 265(b).

Kansas Tax Exemption. The interest on the Series 2023 Bonds is exempt from income taxation by the State of Kansas.

Bond Counsel's opinions are provided as of the date of the original issue of the Series 2023 Bonds, subject to the condition that the Issuer comply with all requirements of the Code that must be satisfied subsequent to the issuance of the Series 2023 Bonds in order that interest thereon be, or continue to be, excludable from gross income for federal income tax purposes. The Issuer has covenanted to comply with all such requirements. Failure to comply with certain of such requirements may cause the inclusion of interest on the Series 2023 Bonds in gross income for federal income tax purposes retroactive to the date of issuance of the Series 2023 Bonds. Bond Counsel is expressing no opinion regarding other federal, state or local tax consequences arising with respect to the Series 2023 Bonds.

Other Tax Consequences

Original Issue Premium. For federal income tax purposes, premium is the excess of the issue price of a Series 2023 Bond over its stated redemption price at maturity. The stated redemption price at maturity of a Series

2023 Bond is the sum of all payments on the Series 2023 Bond other than "qualified stated interest" (i.e., interest unconditionally payable at least annually at a single fixed rate). The issue price of a Series 2023 Bond is generally the first price at which a substantial amount of the Series 2023 Bonds of that maturity have been sold to the public. Under Code § 171, premium on tax-exempt obligations amortizes over the term of the Series 2023 Bond using constant yield principles, based on the purchaser's yield to maturity. As premium is amortized, the owner's basis in the Series 2023 Bond and the amount of tax-exempt interest received will be reduced by the amount of amortizable premium properly allocable to the owner, which will result in an increase in the gain (or decrease in the loss) to be recognized for federal income tax purposes on sale or disposition of the Series 2023 Bond prior to its maturity. Even though the owner's basis is reduced, no federal income tax deduction is allowed. Prospective investors should consult their own tax advisors concerning the calculation and accrual of premium.

Sale, Exchange or Retirement of Bonds. Upon the sale, exchange or retirement (including redemption) of a Series 2023 Bond, an owner of the Series 2023 Bond generally will recognize gain or loss in an amount equal to the difference between the amount of cash and the fair market value of any property received on the sale, exchange or retirement of the Series 2023 Bond (other than in respect of accrued and unpaid interest) and such owner's adjusted tax basis in the Series 2023 Bond. To the extent the Series 2023 Bonds are held as a capital asset, such gain or loss will be capital gain or loss and will be long-term capital gain or loss if the Series 2023 Bond has been held for more than 12 months at the time of sale, exchange or retirement.

Reporting Requirements. In general, information reporting requirements will apply to certain payments of principal, interest and premium paid on Series 2023 Bonds, and to the proceeds paid on the sale of Series 2023 Bonds, other than certain exempt recipients (such as corporations and foreign entities). A backup withholding tax will apply to such payments if the owner fails to provide a taxpayer identification number or certification of foreign or other exempt status or fails to report in full dividend and interest income. The amount of any backup withholding from a payment to an owner will be allowed as a credit against the owner's federal income tax liability.

Collateral Federal Income Tax Consequences. Prospective purchasers of the Series 2023 Bonds should be aware that ownership of the Series 2023 Bonds may result in collateral federal income tax consequences to certain taxpayers, including, without limitation, financial institutions, property and casualty insurance companies, individual recipients of Social Security or Railroad Retirement benefits, certain S corporations with "excess net passive income," foreign corporations subject to the branch profits tax, life insurance companies, and taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry or have paid or incurred certain expenses allocable to the Series 2023 Bonds. Bond Counsel expresses no opinion regarding these tax consequences. Purchasers of Series 2023 Bonds should consult their tax advisors as to the applicability of these tax consequences and other federal income tax consequences of the purchase, ownership and disposition of the Series 2023 Bonds, including the possible application of state, local, foreign and other tax laws.

Bond Counsel notes that for tax years beginning after December 31, 2022, the interest on the Series 2023 Bonds may be included in adjusted financial statement income of applicable corporations for purposes of determining the applicability and amount of the federal corporate alternative minimum tax.

FINANCIAL ADVISOR

Columbia Capital Management, LLC, Merriam, Kansas, has acted as Financial Advisor to the Issuer in connection with the sale of the Series 2023 Bonds. The Financial Advisor is a "municipal advisor" as defined in the Dodd-Frank Wall Street Reform and Consumer Protection Act of 2010. The Financial Advisor has assisted the Issuer in the preparation of this Official Statement and in other matters relating to the issuance of the Series 2023 Bonds. The Financial Advisor has not, however, independently verified the factual information contained in this Official Statement. The Financial Advisor will not be a manager or a member of any underwriting group submitting a proposal for the purchase of the Series 2023 Bonds.

UNDERWRITING

The Series 2023 Bonds have been sold at public sale by the Issuer to TD Securities (USA) LLC (the "Underwriter") on the basis of lowest true interest cost. Five (5) bids were received by the Issuer. The Underwriter has agreed, subject to certain conditions, to purchase the Series 2023 Bonds at a price equal to the principal amount of the Series 2023 Bonds, plus accrued interest from the Dated Date to the Issue Date, plus a premium of $269,142.30, less an underwriting discount of $50,160.00.

The Series 2023 Bonds will be offered to the public initially at the prices determined to produce the yield to maturity or applicable redemption date set forth on the inside cover page of this Official Statement. The Underwriter may offer and sell the Series 2023 Bonds to certain dealers (including dealers depositing the Series 2023 Bonds into investment trusts) at prices other than the price stated on the inside cover page hereof and may change the initial offering price from time to time subsequent to the date hereof. In connection with the offering, the Underwriter may over allot or effect transactions which stabilize or maintain the market price of the Series 2023 Bonds at a level above that which might otherwise prevail in the open market. Such stabilizing, if commenced, may be discontinued at any time.

AUTHORIZATION OF OFFICIAL STATEMENT

The preparation of this Official Statement and its distribution has been authorized by the governing body of the Issuer as of the date on the cover page hereof. This Official Statement is submitted in connection with the issuance of the Series 2023 Bonds and may not be reproduced or used as a whole or in part for any other purpose. This Official Statement does not constitute a contract between the Issuer or the Underwriter and any one or more of the purchasers, Owners or Beneficial Owners of the Series 2023 Bonds

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APPENDIX A

INFORMATION CONCERNING THE ISSUER

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APPENDIX A

INFORMATION CONCERNING THE ISSUER

GENERAL INFORMATION

Size and Location

The City of Olathe (the "City") is the county seat of Johnson County, Kansas, (the "County") and is located approximately 20 miles southwest of downtown Kansas City. The City encompasses approximately 63.24 square miles and has a current estimated population of 151,780 people.

Government and Organization of the Issuer

The City was incorporated in 1857 and is a city of the first class.

The City operates under the Mayor-Council form of government. The mayor is elected at-large for a four-year term. Four members are elected (non-partisan) by wards for four-year terms and two members are elected at-large to four-year terms.

The City Manager is appointed by the Mayor and City Council as the chief administrative officer of the City and is charged with the efficient and effective administration of the City. The current City Manager, J. Michael Wilkes, was appointed in 1999. The following tables list the principal elected officials and appointed executive officers of the City.

Elected Officials

Name	Title	Current Term Expires
John Bacon	Mayor	2024
Kevin Gilmore	Mayor Pro Tem and Council Member, At-Large	2026
Robyn Essex	Council Member, Ward 1	2024
Adam Mickelson	Council Member, Ward 2	2024
LeEtta Felter	Council Member, Ward 3	2026
Marge Vogt	Council Member, Ward 4	2026
Wes McCoy	Council Member, At-Large	2024

Key Administrative Officials

Name	Title	Employed Since
J. Michael Wilkes	City Manager	1999
Susan Sherman	Deputy City Manager	1989
Briana Burrichter	Chief Financial Officer	2022
Ronald R. Shaver	City Attorney	2005
Brenda Swearingian	City Clerk	2013

Municipal Services and Utilities

The City owns and operates its own water and sewer utility systems. The water system includes two sources of supply, a water treatment plant, and treated water storage facilities. In addition, Johnson County Water District No. 1 provides water service to a portion of the City and for northeast Johnson County from its well fields in the Kansas River Valley and water supply intakes on the Kansas River and Missouri River.

The City operates two wastewater treatment plants and one lagoon system. Johnson County Wastewater serves a portion of east Olathe. The City handles all residential solid waste disposal. Commercial solid waste disposal is handled by the City and private contractors.

Evergy, Inc. provides electrical service to the City as well as the majority of the greater Kansas City metropolitan area. Ample electricity is available to meet the City's future needs. The City receives its natural gas supply from Atmos Energy Corporation.

Telephone service is supplied by AT&T, which serves most of the metropolitan area, and several other smaller suppliers. AT&T provides prototype fiber optic network services to a large, upscale residential subdivision in the City. Several cellular phone companies service the City. Google Fiber network is available in many Olathe neighborhoods providing high-speed internet access.

Police and Fire Protection

The City's police department has approximately 222 police personnel providing continuous full-time protection to the City. The City currently has eight fire stations. The City's fire department has a staff of approximately 168 full-time employees providing round-the-clock fire protection for the City. Johnson County Med-Act provides ambulance services to the City.

Transportation

The City has easy access to I-435 and I-35, which provides direct access to other U.S., Interstate, and State highways in the metropolitan area. I-435 encircles the greater Kansas City area. Kansas City International Airport (MCI) is located about 30 miles north of the City and is easily accessible via the interstate system. The County operates both Johnson County Executive Airport located in Olathe and New Century AirCenter located less than one mile from the City. The New Century AirCenter is FAA certified with full instrument control approach systems. Kansas City Area Transportation Authority provides daily bus service for commuters to and from downtown Kansas City through its Ride KC bus system. BNSF provides freight rail service.

Education

The City is predominantly served by Unified School District No. 233 (the "District"), with a total of 36 elementary schools, ten middle schools, and five high schools. The District ranks as the second largest in the State of Kansas with enrollment of approximately 29,043 students as of September 20, 2022. The City also reaches into the boundaries of four other public school districts: Blue Valley Unified School District No. 229, Spring Hill Unified School District No. 230, Gardner Edgerton Unified School District No. 231, and De Soto Unified School District No. 232. Approximately ten private schools are also located in the City.

The City is home to Mid America Nazarene University with an estimated enrollment of 1,800. A wide variety of high-level educational opportunities are available in communities surrounding the City. Johnson County Community College is less than three miles east of the City limits. The University of Kansas Edwards Campus is located approximately one mile east of the City offering a variety of undergraduate and graduate classes. Numerous additional private and public colleges and universities such as Avila College, Rockhurst University, and the University of Missouri-Kansas City are all located within a short driving distance of the City. Kansas State University Olathe's campus works with government, industry, and university partners to promote technology-based economic development in Johnson County and the State of Kansas.

Health Care Facilities

Olathe Health, part of The University of Kansas Health System since 2023, operates a 300-bed facility located in the City. Menorah Medical Center, a division of Health Midwest, operates a 158-bed hospital and medical office complex approximately four miles from the City. St. Joseph's Hospital, a full-service, privately-owned facility, is located outside the City limits in the western part of the City of Kansas City, Missouri. AdventHealth Shawnee Mission is a 504-bed acute care facility located approximately 8.5 miles northeast of the City. Overland Park Regional Medical Center is a 343-bed acute care facility located approximately two miles east of the City on Interstate 435. All hospitals offer a full range of medical services including 24-hour emergency care.

Johnson County Med-Act provides emergency medical assistance with Type I equipment and personnel training. The City participates in the Metro Area 911 program.

Recreational and Cultural Facilities

The City of Olathe Parks and Recreation Department (the "Department") offers a variety of youth and adult activities. The Department has an active partnership with the Olathe Unified School District, providing programs and utilizing school district facility resources to conduct recreational activities for the community. The Department maintains year-round activities including music, dance, sports, and health and fitness programs.

The City offers four municipal swimming pools and 43 municipal parks covering approximately 1,916 acres of park and public lands.

The City operates a 72,000 square foot Community Center. The Community Center provides recreational, fitness, and community outreach programs. Community Center amenities include a leisure pool, classrooms/party rooms, aerobic/dance studios, a jogging track, a multi-activity court gym, an events hall, a catering kitchen, a child watch/babysitting area, a fitness/weight room, and a fitness studio.

Just beyond the City's border is the county-operated approximately 1,238-acre Heritage Park, offering a 40-acre lake, marina, boat rental, fishing, nature trails, an 18-hole golf course, and softball, football, and soccer fields. The YMCA of Kansas City has a full-service branch in the City that offers swimming facilities, a fitness center, and additional recreation amenities and programs. Lake Olathe, located in west Olathe, is a 170-acre municipally-owned lake offering boating, fishing, and picnic shelters. The City has 79 miles of bike/pedestrian trails. Two historic museums located in the area are on the National Register of Historical Places. Additional recreational activities include jogging trails, bicycling, fishing, and boating. The Olathe area is also popular for hot-air balloons and sail boarding.

The Olathe Public Library currently operates two facilities. The Indian Creek Library branch opened in 2019, replacing the former Indian Creek location that experienced significant water damage in 2016. This new facility includes more space to develop state-of-the-art library programs. The Downtown Library opened in April 2023 and features a large multi-use room, a creative space, meeting and study rooms, a rooftop terrace, and a local history area. The Johnson County Library System also serves City residents. The City is the only city in the County with an arts alliance that offers year-round arts and cultural events through a community theatre, orchestra, civic band, chorus, and art exhibits.

The Kansas City metropolitan area is home to many nationally recognized attractions, including Union Station, Science City, the T-Mobile Center, the American Royal, the Country Club Plaza shopping area, the Kansas City Zoo, the Nelson Atkins Museum of Art, Starlight Theater, Kauffman Center for the Performing Arts, Kansas Speedway, Missouri river boat gambling, Worlds of Fun amusement park, and Oceans of Fun water park.

Professional sports teams include the Kansas City Chiefs football team, the Kansas City Royals baseball team, the Sporting Kansas City major league soccer team, the Kansas City Current women's soccer team, the Kansas City Monarchs minor league baseball team, and the Kansas City Mavericks minor league hockey team. The Kansas City Symphony, Lyric Opera, and Kansas City Ballet present annual seasons in Kansas City. Johnson County Community College, located east of the City, operates a performing arts center that has become a venue for larger cultural events in Johnson County.

Economic Development

In 2022, the City issued 805 residential building permits totaling approximately $264,703,852 in valuation, and 972 commercial building permits totaling approximately $472,506,709 in valuation.

Retail, manufacturing/warehouse and office development continues to grow throughout the City. In 2022, nearly 800,000 square feet of new space opened for an investment of $191 million. Through economic initiatives, approximately 1,000 jobs were created or retained in 2022. Examples of major projects in 2022 include:

- KCAS Bioanalytical and Biomarker Services – $19 million investment.
- Lineage Logistics – Refrigerated Warehouse, $100 million investment, 150 employees.
- Arrello Apartments – Downtown Multifamily Development, $36 million investment.

Garmin Olathe Soccer Complex has opened at K-10 Highway and Ridgeview Road, including nine fields, and development of two hotels and several new retail pads. The total project is a $59,950,000 private investment.

Industrial development has grown over the last year due to the region's centralized location and the opening of the BNSF Intermodal in nearby Edgerton, Kansas. Several recent industrial highlights include:

- Garmin completed renovation and repurposing of its approximately 580,000 square foot facility formerly used for warehousing to office and research purposes at its campus located at 1200 E. 151st Street within the City.
- BCB Olathe Holdings LLC is under construction on three speculative warehouse facilities totaling approximately 385,000 square feet near the intersection of I-35 and W. 151st Street within the City.
- An affiliate of BlueScope Properties Group LLC completed construction of an approximately 236,000 square foot industrial facility near the intersection of Lone Elm Road and 159th Street within the City. An affiliate of BlueScope Properties Group LLC plans to construct an additional approximately 140,000 square foot industrial facility adjacent to this facility.
- LECC Building 3, LLC is under construction on an approximately 135,000 square foot industrial facility near the intersection of Monticello Road and 167th Street within the City.
- LECC Building 4, LLC is under construction on an approximately 148,000 square foot industrial facility near the intersection of Monticello Road and 167th Street within the City.
- Scannell Properties #542, LLC completed construction of an approximately 568,000 square foot industrial facility near the intersection of 159th Street and S. Clare Road within the City, which is fully leased to The Clorox Co. An affiliate, Scannell Properties #634, LLC, plans to construct an additional approximately 568,000 square foot industrial facility adjacent to this facility.
- 1918, LLC plans to construct an approximately 320,000 square foot industrial facility near the intersection of 167th Street and 169 Highway within the City.
- BT 175 Phase 1, LLC is nearing completion of an approximately 1,123,000 square foot industrial facility near the intersection of 175th Street and Hedge Lane within the City.

Healthcare has been a large area of recent development for the City. Since 2013, six facilities have opened, including Centra Care opening a new Urgent Care Center in 2016. These projects include rehab facilities, senior living and medical clinics totaling approximately $60 million in investment and 252,000 square feet of space. In 2017, Olathe Health completed its largest expansion with the construction of a four-story obstetrics wing and neonatal intensive care unit. This $100 million-plus project added more than 200,000 square feet to the 250-acre campus. A 25,000 square foot Cancer Center opened in 2018. In 2023, Olathe Health joined The University of Kansas Health System.

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ECONOMIC INFORMATION

Major Employers

Employer	Products/Services	Approximate Number of Employees
Garmin International	Technology	4,600
Olathe Unified School District	Education	4,500
Olathe Health System*	Healthcare	2,500
Johnson County Government	Government	2,400
Farmers Insurance	Insurance	1,733
City of Olathe	Government	962
TransAm Trucking	Logistics	800
TVH	Manufacturing	670
FAA/Air Route Traffic Control Center	Government	600
Honeywell Aerospace Electronic Systems	Technology	561

*Olathe Health is now part of the University of Kansas Health System.

Source: Olathe Chamber of Commerce.

Labor Force

The following table sets forth labor force figures for the City of Olathe, Johnson County, and the State of Kansas:

	City of Olathe		Johnson County		State of Kansas	
Year	Civilian Labor Force	Unemployment Rate	Civilian Labor Force	Unemployment Rate	Civilian Labor Force	Unemployment Rate
2023	*83,376	2.3%	*355,560	2.5%	*1,517,965	2.9%
2022	81,999	2.2	349,503	2.3	1,504,932	2.7
2021	80,671	2.5	343,991	2.7	1,500,677	3.3
2020	80,093	4.7	341,523	4.9	1,503,002	5.8
2019	80,174	2.6	341,751	2.7	1,504,552	3.3
2018	79,412	2.7	337,941	2.8	1,493,360	3.4

* April 2023.

Source: Kansas Labor Information Center: https://klic.dol.ks.gov/vosnet/Default.aspx (accessed May 2023).

Sales and Use Tax

The City has historically levied a one-cent local option sales and use tax on all applicable goods and services purchased or provided within City limits. In April 2023, voters approved a 10-year renewal of a 1/8-cent sales tax to provide funding for the City's parks (sunsetting March 2035 unless renewed by voters) and renewal of a 10 year, 3/8-cent sales tax to provide funding for rehabilitation of City streets (sunsetting March 2034 unless renewed by voters). These taxes are in addition to a 1.475-cent countywide local option sales and use tax and a 6.50-cent state sales and use tax. As of the Dated Date, total sales and use tax in the City is 9.475%. There are certain areas in the City where up to an additional 2% tax is in place as part of a transportation development district or a community improvement district.

The State of Kansas is responsible for collection and distribution of all sales and use taxes. City local option taxes are distributed directly to the City each month. Countywide local option sales taxes are distributed monthly by the State to all incorporated cities within the County based on population and relative property tax levies. Statewide taxes are retained by the State and not distributed to local municipalities. The following table shows receipts for the Citywide and the City's portion of the countywide local option sales tax in recent years.

Year	Citywide Sales and Use Tax Receipts [1]	City's Portion of Countywide Sales and Use Tax Receipts
2022	$40,976,336	$22,205,879
2021	37,454,759	20,054,612
2020	30,024,253	16,945,045
2019[2]	28,646,331	16,536,861
2018	29,766,317	16,107,460

[1] Represents the City's local option sales tax. Does not include sales tax collections used to finance tax increment districts, community improvement districts, transportation development districts, the 0.125-cent park sales tax, or the 0.375-cent street sales tax.

[2] Decrease in sales tax receipts from 2018 to 2019 is due primarily to a significant rebate of compensating use tax to a taxpayer in 2019 in connection with the State's High Performance Incentive Program, a state-administered economic development incentive program.

Source: City of Olathe.

The City's park sales tax revenues are used to fund park projects. See "GENERAL INFORMATION – Recreational and Cultural Facilities" herein. The City's street maintenance sales tax revenues are used to fund street maintenance projects. The following table shows receipts for the 0.125-cent park sales tax and 0.375-cent street maintenance sales tax:

Year	Citywide Park Sales Tax Receipts	Citywide Street Maintenance Sales Tax Receipts
2022	$5,254,909	$15,764,664
2021	4,868,104	14,604,190
2020	3,947,551	11,837,862
2019[1]	3,768,005	11,302,111
2018	3,878,210	11,632,788

[1] Decrease in sales tax receipts from 2018 to 2019 is due primarily to a significant rebate of compensating use tax to a taxpayer in 2019 in connection with the State's High Performance Incentive Program, a state-administered economic development incentive program.

Source: City of Olathe.

Building Permits

The following table indicates the number of building permits and total valuation of these permits issued within the City for the years indicated. These numbers reflect permits issued for new construction and renovations.

	Number of Permits Issued		Total Valuation	
Year	Residential	Commercial [1]	Residential	Commercial [1]
2022	805	972	$264,703,852	$472,506,709
2021	1,383	658	356,541,975	175,318,550
2020	1,181	555	270,446,501	212,195,657
2019	791	387	173,346,970	245,386,393
2018	872	604	172,684,201	313,605,001[2]

[1] Includes multi-family dwellings.
[2] $91,532,581 of 2018 Commercial permit valuation is attributable to 19 publicly owned projects that are exempt from ad valorem property taxes.

Source: City of Olathe.

Population Trends

The following table shows the approximate population of the City and Johnson County in the years indicated:

Year	City Population	Johnson County Population
2023	[1]151,780	n/a
2020	141,290	609,863
2010	125,872	544,179
2000	92,962	451,479
1990	63,402	355,021
1980	37,258	270,269
1970	17,917	220,073
1960	10,987	143,792

[1] City estimate.

Source: Kansas Statistical Abstract: https://ipsr.ku.edu/ksdata/ksah/population/ (accessed March 2023).

Personal Income Trends

Johnson County personal income (in thousands of dollars) and per capita income and the State of Kansas per capita income are listed for the years indicated in the following table.

Year	Johnson County Personal Income	Johnson County Per Capita Income	State of Kansas Per Capita Income
2021	$51,838,335	$84,535	$58,924
2020	48,991,145	80,681	55,677
2019	45,906,867	78,670	53,439
2018	44,225,223	74,892	51,474
2017	41,368,735	71,643	48,600

Data revised annually.

Source: Kansas Statistical Abstract: http://www.ipsr.ku.edu/ksdata/ksah/income/ (accessed March 2023); U.S. Bureau of Economic Analysis.

FINANCIAL INFORMATION

Accounting, Budgeting, and Auditing Procedures

The City has established a uniform system of accounting maintained in accordance with the laws of the State of Kansas and accounting principles generally accepted in the United States of America (GAAP).

An annual budget of estimated receipts and disbursements for the coming calendar year is required by statute to be prepared for all funds (unless specifically exempted). The budget is prepared utilizing the modified accrual basis which is further modified by the encumbrance method of accounting. For example, commitments such as purchase orders and contracts, in addition to disbursements and accounts payable, are recorded as expenditures. The budget lists estimated receipts by funds and sources and estimated disbursements by funds and purposes. The proposed budget is presented to the governing body of the City prior to August 1, with a public hearing required to be held prior to August 15, with the final budget to be adopted by a majority vote of the governing body of the City prior to August 25 of each year (or September 20 if the City must conduct a public hearing to levy taxes in excess of its revenue neutral rate described below). Budgets may be amended upon action of the governing body after notice and public hearing, provided that no additional tax revenues may be raised after the original budget is adopted.

The City may levy taxes in accordance with the requirements of its adopted budget. Property tax levies are based on the adopted budget of the City and the assessed valuations provided by the County appraiser. In 2021, the

Kansas Legislature passed legislation (the "Revenue Neutral Tax Act") that repeals the "tax lid" (formerly K.S.A. 79-2925c) and provides that, beginning January 1, 2021, a taxing subdivision (which includes any political subdivision of the State that levies an ad valorem property tax, including the City) is not authorized to levy a property tax rate in excess of its revenue neutral rate without first providing notice, holding a public hearing, and authorizing such property tax rate by majority vote of its governing body. The revenue neutral rate means the tax rate for the current tax year that would generate the same property tax revenue as levied the previous tax year using the current tax year's total assessed valuation.

The Revenue Neutral Tax Act provides that by June 15 of every year, each county clerk shall calculate the revenue neutral rate for each taxing subdivision in their respective county. If a taxing subdivision desires to levy a tax rate in excess of its revenue neutral rate, it must first publish notice of a public hearing and notify, by July 20, the county clerk of the taxing subdivision's intent to exceed the revenue neutral rate. The county clerk is required to provide notice of the public hearing to each taxpayer with property in the taxing subdivision, along with following information concerning the taxing subdivision: (1) the revenue neutral rate, (2) the proposed property tax revenue needed to fund the proposed budget, (3) the proposed tax rate based on the proposed budget, (4) the tax rate and property tax of each taxing subdivision on the taxpayer's property from the previous year's tax statement, (5) the appraised value and assessed value of the taxpayer's property, (6) estimates of the tax for the current tax year on the taxpayer's property based on the revenue neutral rate of each taxing subdivision and any proposed tax rates that exceed the revenue neutral rates, (7) the difference between the estimates of tax based on the proposed tax rate and the revenue neutral rate. The public hearing regarding exceeding the revenue neutral rate is to be held between August 20 and September 20, and can be held in conjunction with the taxing subdivision's budget hearing. If multiple taxing subdivisions within the county are required to hold a public hearing, the county clerk's notices to the taxpayer can be combined into a single notice. After the public hearing, the taxing subdivision can approve exceeding the revenue neutral rate by governing body approval of a resolution or ordinance, and thereafter the taxing subdivisions will hold the public hearing and adopt the budget by majority vote of its governing body. The amount of tax to be levied and the adopted budget must be certified to the county clerk by October 1. The taxing subdivision's adopted budget shall not result in a tax rate in excess of its proposed rate stated in the notice provided to the taxpayers. If a taxing subdivision fails to comply with the requirements of the Revenue Neutral Tax Act, it shall refund to the taxpayers any property taxes over-collected based on the amount of the levy that was in excess of the revenue neutral rate.

However, as described above, the Revenue Neutral Tax Act only applies to increases in ad valorem tax and does not apply to increases in rates and charges established and collected by the City related to use of the System. Therefore, the City is permitted under the Revenue Neutral Tax Act to increase rates and charges related to the System as necessary to produce Net Revenues sufficient to pay principal of and interest on the Series 2023 Bonds, as required by the Bond Resolution.

The City cannot predict the impact of the Revenue Neutral Tax Act on the ratings on the Series 2023 Bonds, or the general rating of the City. A change in the ratings on the Series 2023 Bonds or a change in the general rating of the City may adversely impact the market price of the Series 2023 Bonds in the secondary market.

Kansas law prohibits governmental units from creating indebtedness unless there are funds on hand in the proper accounts and unencumbered by previous action with which to pay such indebtedness. An exception to this cash-basis operation is made where provision has been made for payment of obligations by bonds or other specific debt obligations authorized by law.

The financial records of the City are audited annually by a firm of independent certified public accountants in accordance with generally accepted auditing standards. Allen, Gibbs & Houlik, L.C., Wichita, Kansas, currently serves as the City's independent auditor. Copies of past five audit reports are on file in the Clerk's office and are available for review. The City's Annual Comprehensive Financial Report for the Fiscal Year ended 2022 is attached hereto as ***APPENDIX C***.

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Financial Statement Summary

The following is a summary of the combined revenues, expenditures, and fund balances for the City's General and Debt Service Funds over the last five years as shown in the City's General Purpose Financial Statements. This summary has not been prepared or reviewed by the City's external auditor. For the 2023 fiscal year, the City has budgeted approximately $130.3M of General Fund revenues and expenditures and approximately $40.3M of revenues and $43.0M of expenditures for the Debt Service Fund.

	2018	2019	2020*	2021	2022
General Fund					
Revenues:					
Property taxes	$19,844,209	$20,888,757	$22,010,400	$23,146,341	$24,058,868
Sales taxes	51,558,306	50,969,434	52,750,515	64,157,972	70,542,273
Franchise taxes	12,009,645	11,638,652	10,898,406	10,494,220	12,460,414
Intergovernmental	980,257	1,207,182	1,955,618	1,404,687	1,556,613
Licenses and permits	2,858,757	2,568,592	2,724,055	2,118,160	3,576,880
Fines, forfeitures, and penalties	3,002,155	3,154,619	2,373,703	2,665,530	2,146,556
Charges for services	6,561,137	6,177,071	6,907,022	8,405,750	9,242,268
Use of money and property	596,109	1,195,136	287,912	23,785	1,207,056
Transfers	--	--	--	--	--
Miscellaneous	935,185	911,315	383,912	552,101	614,274
Total Revenues	$98,345,760	$98,710,758	$100,291,543	$112,968,546	$125,405,202
Expenditures:					
General Government	$22,303,959	$22,877,570	$22,610,770	$24,951,220	$18,383,446
Public Safety	49,666,849	51,748,508	50,582,114	55,074,304	57,718,671
Public Works	10,849,650	10,652,244	9,906,290	14,957,237	12,446,435
Community Services	7,619,589	8,147,225	7,301,875	7,147,306	9,672,964
Debt Service	2,879	973	--	--	55,896
Total Expenditures	$90,442,926	$93,426,520	$90,401,049	$102,130,067	$98,277,412
Excess of Revenue over (under) Expenditures	7,902,834	5,284,238	9,890,494	10,838,479	27,127,790
Total other financing sources (uses)	(6,494,794)	(4,872,566)	(10,080,883)	(5,440,443)	(7,859,956)
Excess of revenues and other financing sources over (under) expenditures and other financing uses	1,408,040	411,672	(190,389)	5,398,036	19,267,834
General Fund balance at beginning of year	29,105,528	30,513,568	30,925,240	30,734,851	36,132,887
General Fund balance at end of year	**$30,513,568**	**$30,925,240**	**$30,734,851**	**$36,132,887**	**$55,400,721**

* In anticipation of the potential negative impact of COVID-19, the City took certain measures that resulted in lowered General Government expenditures in 2020 as compared to prior years, including implementing a hiring freeze, a spending cap on personnel-related expenses, rolling two-week furloughs for most City employees, and deferral of certain capital projects.

	2018	2019	2020	2021	2022
Debt Service Fund					
Revenues:					
Property taxes	$19,324,042	$20,384,793	$21,526,947	$22,638,883	$23,527,221
Sales taxes	346,118	424,913	362,133	--	--
Special assessments	6,083,398	5,694,851	4,508,296	3,924,331	3,166,971
Use of money and property	798,607	1,285,989	446,655	39,418	737,275
Transfers	--	--	--	--	--
Miscellaneous	85,595	21,344	6,874	--	--
Total Revenues	$26,637,760	$27,811,890	$26,850,905	$26,602,632	$27,431,467
Expenditures:					
General Government	$49,362	$89,865	$222,103	126,335	31,450
Debt Service	29,966,683	29,078,256	27,274,893	26,819,309	33,351,815
Total Expenditures	30,016,045	29,168,121	27,496,996	$26,945,644	$33,383,265
Excess of Revenue over (under) Expenditures	(3,378,285)	(1,356,231)	(646,091)	(343,012)	(5,951,798)
Total other financing sources (uses)	7,269,707	(4,340,269)	12,025,036	12,155,715	10,826,901
Excess of revenues and other financing sources over expenditures and other financing uses	3,891,422	(5,696,500)	11,378,945	11,812,703	4,875,103
Debt Service Fund balance at beginning of year	47,067,398	50,958,820	45,262,320	56,641,265	68,453,968
Debt Service Fund balance at end of year	**$50,958,820**	**$45,262,320**	**$56,641,265**	**$68,453,968**	**$73,329,071**
Total General and Debt Service Fund balances at beginning of year	76,172,926	81,472,388	76,187,560	87,376,116	104,586,855
Total General and Debt Service Fund balances at end of year	**$81,472,388**	**$76,187,560**	**$87,376,116**	**$104,586,855**	**$128,729,792**

Source: Clerk; Annual Report of the City of Olathe.

Property Valuations

The determination of assessed valuation and the collection of property taxes for all political subdivisions in the State of Kansas is the responsibility of the various counties under the direction of state statutes.

Determination of Appraised Value. The Johnson County Appraiser's office determines the value of all taxable property within Johnson County and the assessed valuation thereof that is to be used as a basis for the mill levy on property located in the City. The appraiser's determination is based on a number of criteria established by Kansas statute. All property, with the exception of agricultural land, is appraised based on estimated fair market value. Agricultural property is appraised based on productivity value. Kansas statutes require that each parcel of real property be reviewed and inspected by the county appraiser once every four years for taxation purposes. Once appraised valuations have been determined, they are multiplied by the applicable statutory assessment rates to arrive at the assessed valuations. The total assessed valuation is then used to establish property tax rates.

Determination of Assessed Value. Property subject to ad valorem taxation is divided into two classes, real property and personal property. Real property is divided into seven subclasses; there are six subclasses of personal property. The real property (Class 1) subclasses are: (i) real property used for residential purposes including multi-family mobile or manufactured homes and the real property on which such homes are located, assessed at 11.5%, (ii) agricultural land, valued on the basis of agricultural income or productivity, assessed at 30%, (iii) vacant lots, assessed at 12%, (iv) real property, owned and operated by a not-for-profit organization not subject to federal income taxation, pursuant to Code §501, assessed at 12%, (v) public utility real property, except railroad real property, assessed at the average rate that all other commercial and industrial property is assessed, assessed at 33%, (vi) real property used for commercial and industrial purposes and buildings and other improvements located on land devoted to agricultural use, assessed at 25%, and (vii) all other urban and real property not otherwise specifically classified, assessed at 30%. Tangible personal property (Class 2) subclasses are: (i) mobile homes used for residential purposes, assessed at 11.5%, (ii) mineral leasehold interests, except oil leasehold interests, the average daily production from which is 5 barrels or less, and natural gas leasehold interests, the average daily production from which is 100 mcf or less, which shall be assessed at 25%, assessed at 30%, (iii) public utility tangible personal property, including inventories thereof, except railroad personal property, including inventories thereof, which shall be assessed at the average rate all other commercial and industrial property is assessed, assessed at 33%, (iv) all categories of motor vehicles not defined and specifically valued and taxed pursuant to law enacted prior to January 1, 1985, assessed at 30%, (v) commercial and industrial machinery and equipment which if its economic life is 7 years or more, shall be valued at its retail cost, when new, less seven-year straight-line depreciation, or which, if its economic life is less than 7 years, shall be valued at its retail cost when new, less straight-line depreciation over its economic life, except that, the value so obtained for such property, notwithstanding its economic life and as long as such property is being used, shall not be less than 20% of the retail cost when new of such property, assessed at 25%, and (vi) all other tangible personal property not otherwise specifically classified, assessed at 30%. All property used exclusively for state, county, municipal, literary, educational, scientific, religious, benevolent and charitable purposes, farm machinery and equipment, merchants' and manufacturers' inventories, other than public utility inventories included in subclass (3) of class 2, livestock, and all household goods and personal effects not used for the production of income, shall be exempted from property taxation.

The Kansas Legislature (the "Legislature") reduced the applicable assessment rates on motor vehicles from 30% of market value to 20% of market value as of January 1, 2000.

The 2006 Legislature exempted from all property or ad valorem property taxes levied under the laws of the State all commercial, industrial, telecommunications and railroad machinery and equipment acquired by qualified purchase or lease after June 30, 2006, or transported into the State after June 30, 2006, for the purpose of expanding an existing business or creation of a new business.

The Legislature may from time to time adopt changes in the property tax system or method of imposing and collecting property taxes within the State. Taxpayers may also challenge the fair market value of property assigned by the county appraiser. The effects of such legislative changes and successful challenges to the appraiser's determination of fair market value could affect the Issuer's property tax collections. If a taxpayer valuation challenge is successful,

the liability of the Issuer to refund property taxes previously paid under protest may have a material impact on the Issuer's financial situation.

Fair Market Value

The following table shows the fair market value of the taxable property within the City for the following years:

Year	Fair Market Value
2022	$17,693,799,521
2021	17,466,684,440
2020	16,060,301,000
2019	15,293,254,000
2018	14,364,117,000

Source: County Clerk. Market value is calculated by dividing the County appraiser's appraised value by the preliminary median sales ratio of 100.0% for Johnson County as determined by the State Department of Revenue.

Assessed Valuation

The following table shows the assessed valuation of the taxable tangible property within the City for the following years:

Year	Real Property	Personal Property	Utilities	Motor Vehicles	Total Valuation
2022	$2,354,639,126	$12,894,136	$57,232,863	$225,536,932	$2,650,303,057
2021	2,167,129,439	13,716,491	52,672,392	215,288,304	2,448,806,626
2020	2,059,268,543	14,420,309	50,248,687	214,462,396	2,338,399,935
2019	1,960,326,495	15,287,003	47,328,027	208,760,354	2,231,701,879
2018	1,840,100,618	15,801,734	45,349,856	199,969,041	2,101,221,249

Source: County Clerk.

Property Tax Levies and Collections

Tax statements are mailed November 1 each year and may be paid in full or one-half on or before December 20 with the remaining one-half due on or before May 10 of the following year. Taxes that are unpaid on the due dates are considered delinquent and accrue interest at a per annum rate established by State law until paid or until the property is sold for taxes. Real estate bearing unpaid taxes is advertised for sale on or before August 1 of each year and is sold by the County for taxes and all legal charges on the first Tuesday in September. Properties that are sold and not redeemed within two years after the tax sale are subject to foreclosure sale, except homestead properties which are subject to foreclosure sale after three years.

Personal taxes are due and may be paid in the same manner as real estate taxes, with the same interest applying to delinquencies. If personal taxes are not paid when due, and after written notice, warrants are issued and placed in the hands of the Sheriff for collection. If not paid on or before October 1, legal judgment is entered and the delinquent tax becomes a lien on the property. Unless renewed, a non-enforced lien expires five years after it is entered.

Motor vehicle taxes are collected periodically throughout the year concurrently with the renewal of motor vehicle tags based upon the value of such vehicles. Such tax receipts are distributed to all taxing subdivisions, including the State of Kansas, in proportion to the number of mills levied within each taxpayer's tax levy unit.

Tax Rates of the City (Expressed in Dollars Per Thousand Dollars of Assessed Value)

Levy Year	Budget Year	General	Fire Levy	Bond and Interest	Library (including Employee Benefit)	Total
2022	2023	9.708	1.736	9.744	3.053	24.241
2021	2022	9.945	1.733	9.731	3.049	24.458
2020	2021	9.938	1.731	9.724	3.047	24.440
2019	2020	9.921	1.727	9.707	3.042	24.397
2018	2019	9.925	1.727	9.711	3.043	24.406

Property Tax Rates of Jurisdictions Overlapping with the City (Expressed in Dollars Per Thousand Dollars of Assessed Value)

Levy Year	Budget Year	State	County	Comm. College	USD No. 233*	Parks	Total Including City
2022	2023	1.500	17.772	8.617	65.168	3.021	120.319
2021	2022	1.500	18.564	9.110	68.282	3.096	125.010
2020	2021	1.500	18.799	9.191	69.138	3.093	126.161
2019	2020	1.500	19.036	9.121	69.878	3.090	127.022
2018	2019	1.500	19.024	9.266	70.665	3.088	127.949

* Unified School District No. 233 (Olathe) is used as an example, but depending upon resident location, Unified School District Nos. 229, 230, 231, or 232 would be the applicable taxing jurisdiction.

Property Tax Levies and Collections

Tax Year[1]	Total Tax Levy	Current Tax Collections	% Current Tax Collected	Prior Years Tax Collected	Total Tax Collections	Ratio Collection Versus Levy
[2]2022	$59,733,670	$34,221,440	57.29%	$25,483	$34,246,923	57.33%
2021	54,453,294	53,902,023	98.99	(60,851)	53,941,172	98.88
2020	52,322,131	50,320,997	96.18	71,051	50,392,048	96.31
2019	49,261,715	48,722,143	98.90	184,805	48,906,948	99.28
2018	46,401,800	45,806,541	98.72	159,453	45,965,994	99.06
2017	43,012,242	42,651,555	99.16	96,486	42,748,041	99.39

(1) The year shown is the year in which the levy was made; the collections are received the following year (budget year).
(2) Collections in progress.

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Special Assessment Collections

Special assessments are spread on benefited real estate with the property tax levy in August of each year. Interest on special assessments is computed at a rate equal to the rate of the obligations which financed the public improvements. The following table presents special assessments levies and collections for the years listed below.

Tax Year[1]	Certified Assessment	Collections	Percent Collected	Prior Year Collected	Total Collections	Percent Total
[2]2022	$3,388,073	$1,865,014	55.0%	$127,758	$1,992,772	58.8%
2021	3,314,333	3,235,567	97.6	42,044	3,277,611	98.9
2020	5,022,058	4,547,796	90.6	362,648	4,910,444	97.8
2019	5,664,203	5,314,454	93.8	484,767	5,799,221	102.4
2018	6,051,367	5,524,676	91.3	52,989	5,577,665	92.2
2017	6,301,761	5,521,284	87.6	67,744	5,589,028	88.7

[1] The year shown is the year in which the levy was made; the collections are received the following year (budget year).
[2] Collections in progress.

Major Taxpayers

The following table sets forth the ten largest property taxpayers in the City for taxes levied in the 2022 collection period:

Taxpayer	Type of Property	Assessed Value
1. GARMIN International	Manufacturer	$28,273,857
2. Evergy Metro Inc.	Utility	20,984,788
3. JDM III SF Kansas City DC LLC	Information Processing	15,860,436
4. Atmos Energy Corp.	Utility	14,505,045
5. G&I X Industrial	Warehouse	11,638,102
6. Evergy Kansas Central Inc.	Utility	11,161,956
7. U.S. Bank	Information Processing	10,599,618
8. Homestead Apartment Homes, LLC	Apartments	10,451,602
9. Northridge 07 A LLC	Retail	8,994,617
10. HOA Hotels Kansas LLC	Hotel	8,937,251
		$141,407,272

* Represented approximately 5.34% of the City's 2022 assessed valuation.

Source: City of Olathe.

Employee Relations

The City's Human Resources Division describes its formalized relationship with its approximately 1,272 employees as good. None of the City's employees are part of an organized bargaining unit.

Pension and Employee Retirement Plans

The Issuer participates in the Kansas Public Employees Retirement System ("KPERS") established in 1962, as an instrumentality of the State, pursuant to K.S.A. 74-4901 *et seq.*, to provide retirement and related benefits to public employees in Kansas. KPERS is governed by a board of trustees consisting of nine members each of whom serve four-year terms. The board of trustees appoints an executive director to serve as the managing officer of KPERS and manage a staff to carry out daily operations of the system.

As of June 30, 2022, KPERS serves approximately 333,000 members and approximately 1,500 participating employers, including the State, school districts, counties, cities, public libraries, hospitals and other governmental units. KPERS administers the following three statewide, defined benefit retirement plans for public employees:

(a) Kansas Public Employees Retirement System;
(b) Kansas Police and Firemen's Retirement System; and
(c) Kansas Retirement System for Judges.

These three plans are separate and distinct with different membership groups, actuarial assumptions, experience, contribution rates and benefit options. The Kansas Public Employees Retirement System is the largest of the three plans, accounting for approximately 95% of the members. The Kansas Public Employees Retirement System is further divided into two separate groups, as follows:

(a) *State/School Group* - includes members employed by the State, school districts, community colleges, vocational-technical schools and educational cooperatives. The State of Kansas makes all employer contributions for this group, the majority of which comes from the State General Fund.

(b) *Local Group* - all participating cities, counties, library boards, water districts and political subdivisions are included in this group. Local employers contribute at a different rate than the State/School Group rate.

KPERS is currently a qualified, governmental, § 401(a) defined benefit pension plan, and has received IRS determination letters attesting to the plan's qualified status dated October 14, 1999 and March 5, 2001. KPERS is also a "contributory" defined benefit plan, meaning that employees make contributions to the plan. This contrasts it from noncontributory pension plans, which are funded solely by employer contributions. The Issuer's employees currently annually contribute 6% of their gross salary to the plan if such employees are KPERS Tier 1 members (covered employment prior to July 1, 2009), KPERS Tier 2 members (covered employment on or after July 1, 2009), or KPERS Tier 3 members (covered employment on or after January 1, 2015).

In 2021, the Legislature authorized the issuance of revenue bonds to provide net proceeds of up to $500 million (the "Revenue Bonds") the proceeds of which must be applied to the unfunded actuarial pension liability as directed by KPERS. The Revenue Bonds in the principal amount of $504,535,000 were issued August 26, 2021. The repayment of the Revenue Bonds shall be subject to legislative annual appropriation, shall not be an obligation of the KPERS system, and the full faith and credit or taxing power of the State shall not be pledged to the repayment of the Revenue Bonds. Due to the authorization of the Revenue Bonds, the Legislature changed the State/School employer contribution rate from 14.09% to 13.33% for fiscal year 2022 and from 13.86% to 13.11% for fiscal year 2023. In 2022, the Legislature authorized additional contributions totaling $1.125 billion in four payments to be deposited into the KPERS trust fund for the School Group. Typically when such additional contributions are made by the State, the statutory employer contribution rates for the following two fiscal years are recertified by the Legislation; however the recertification has not yet occurred. For more information about the Legislature's actions related to KPERS, please see the 2021 Valuation Report referenced below.

The Issuer's contribution varies from year to year based upon the annual actuarial valuation and appraisal made by KPERS, subject to legislative caps on percentage increases. The Issuer's contribution is 8.43% of the employee's gross salary for calendar year 2023. The Issuer's contribution is projected to change to 9.26% of gross compensation for calendar year 2024. In addition, the Issuer contributes 1% of the employee's gross salary for Death and Disability Insurance for covered employees.

According to the Valuation Report as of December 31, 2021 (the "2021 Valuation Report") the KPERS Local Group, of which the Issuer is a member, carried an unfunded accrued actuarial liability ("UAAL") of approximately $1.783 billion at the end of 2021. The amount of the UAAL in 2021 changed from the previous year's amount due to the factors discussed in the 2021 Valuation Report; such report also includes additional information relating to the funded status of the KPERS Local Group, including recent trends in the funded status of the KPERS Local Group. A copy of the 2021 Valuation Report is available on the KPERS website at kpers.org/about/reports.html. The Issuer has no means to independently verify any of the information set forth on the KPERS website or in the 2021 Valuation Report, which is the most recent financial and actuarial information available on the KPERS website relating to the funded status of the KPERS Local Group. The 2021 Valuation Report sets the employer contribution rate for the period beginning January 1, 2024, for the KPERS Local Group, and KPERS' actuaries identified that an employer contribution rate of 9.26% of covered payroll would be necessary, in addition to statutory contributions by covered

employees, to eliminate the UAAL by the end of the actuarial period set forth in the 2021 Valuation Report. The statutory contribution rate of employers currently equals the 2021 Valuation Report's actuarial rate. As a result, members of the Local Group are adequately funding their projected actuarial liabilities and the UAAL can be expected to diminish over time. The required employer contribution rate may increase up to the maximum statutorily allowed rate, which is 1.2% in fiscal year 2017 and thereafter.

The Issuer has established membership in the Kansas Police and Fire Retirement System ("KP&F") for its police and fire personnel. KP&F is a division of and is administered by KPERS. Annual contributions are adjusted annually based on actuarial studies, subject to legislative caps on percentage increases. According to the 2021 Valuation Report, KP&F carried an UAAL of approximately $1.140 billion at the end of 2021. For KP&F, the Issuer's employees currently annually contribute 7.15% of their gross salary to the plan. For the year beginning January 1, 2023, the Issuer contributes 22.99% of employees' gross compensation.

The Issuer is required to implement GASB 68 – Accounting and Financial Reporting for Pensions. KPERS produces a Schedule of Employer and Nonemployer Allocations and Schedules of Pension Amounts by Employer and Nonemployer (the "GASB 68 Report") which provides the net pension liability allocated to each KPERS participant, including the Issuer. The GASB 68 Report is available on the KPERS website at kpers.org/about/reports.html. The Issuer has no means to independently verify any of the information set forth on the KPERS website or in the GASB 68 Report. It is important to note that under existing State law, the Issuer has no legal obligation for the UAAL or the net pension liability calculated by KPERS, and such figures are for informational purposes only.

Other Post-Employment Benefits

The Governmental Accounting Standards Board (GASB) has issued Statement No. 75, Accounting and Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans (GASB 75), which addresses how state and local governments must account for and report their obligations related to postemployment benefits other than pensions (referred to as Other Post-Employment Benefits or "OPEB"). GASB 75 replaced GASB 45 effective for fiscal years beginning after June 15, 2017. The City implemented GASB 75 for the year ended December 31, 2018.

The City provides health insurance for retired City employees and officials who meet KPERS eligibility requirements based on both age and years of service. This coverage may also extend to the retiree's family for employees that have retired prior to December 31, 2009. The rate of coverage is not based on the length of service the employee has with the City.

As of January 1, 2022, the City had 1,000 OPEB participants. The City currently finances the plan on a pay-as-you-go basis. During 2022, the City expended $2,544,679 for these benefits. Under GASB 45 such costs must be accounted for on an accrual basis.

The City must report an annual OPEB cost based on actuarially determined amounts that, if paid on an ongoing basis, will provide sufficient resources to pay these benefits as they come due. The City may establish its OPEB liability at zero as of the beginning of the initial year of implementation; however, the unfunded actuarial liability is required to be amortized over future periods.

In 2022, the City hired Lewis & Ellis to perform an actuarial analysis of the projected annual cost of these benefits. Lewis & Ellis estimated the annual cost at $2,131,785. The City does not intend to fund the liability and will continue to pay the costs on a pay-as-you-go basis.

Components of the City's annual OPEB cost, the amount actually contributed to the plan, and the changes in the City's net OPEB obligation to the plan for the fiscal year ended December 31, 2022, are as follows:

Service cost	$1,535,344
Interest cost	640,288
Changes in benefit terms	0
Differences between actual and expected experience	1,241,391
Changes in assumptions and inputs	(680,228)
Less: Contributions made	1,846,000
Increase in net OPEB obligation	$890,795
Net OPEB obligation – beginning of year	$30,774,341
Net OPEB obligation – end of year	$31,665,136

The City's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for the past five years are as follows:

Fiscal Year Ended	Annual OPEB Cost	Employer Contribution	Percentage Contributed	Net OPEB Obligation
December 31, 2022	$2,544,679	$1,846,000	72.54%	$31,665,136
December 31, 2021	2,234,164	1,657,000	74.17	30,774,343
December 31, 2020	2,131,785	1,634,000	76.65	28,618,736
December 31, 2019	2,867,509	1,734,000	60.47	27,399,493
December 31, 2018*	2,133,995	1,711,000	74.00	26,265,984

* A change in accounting method was implemented with respect to OPEB in fiscal year ended December 31, 2018.

For more information concerning the City's OPEB obligations, please reference "Note 14 – Postemployment Benefits Other than Pension Benefits (OPEB)" of the City's Annual Comprehensive Financial Report for fiscal year ended December 31, 2022, which is included as ***APPENDIX C*** to this Official Statement.

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DEBT STRUCTURE

Debt Summary

The following table summarizes certain key statistics with respect to the City's general obligation debt:

Debt Summary (as of July 18, 2023)	Debt
Fair Market Value of Taxable Property [1]	$17,693,799,521
Equalized Assessed Valuation of Tangible Valuation for Computation of Bonded Debt Limitations [2]	$2,650,303,057
Legal limitation of Bonded Debt [3]	$795,090,917
Outstanding General Obligation Bonds [6]	$256,695,000
Additional Debt Capacity [3] [6]	$538,395,917
Direct Debt Per Capita (Est. Population = 151,780) [4] [6]	$1,691
Overlapping Debt [5]	$656,771,234
Direct and Overlapping Debt Per Capita	$6,398
Direct Debt as a Percentage of Assessed Valuation	9.7%
Direct and Overlapping Debt as a Percentage of Assessed Valuation	34.5%
Direct Debt as a Percentage of Actual Fair Market Value	1.45%
Direct and Overlapping Debt as a Percentage of Actual Fair Market Value	5.16%

(1) See "Fair Market Value" herein.
(2) The assessed value of all tangible taxable property within the City, as certified to the County Clerk on the preceding August 25. Also includes the taxable value of motor vehicles within the City. See K.S.A. 10-301 *et seq.*
(3) See K.S.A. 10-301 *et seq.*, specifically including K.S.A. 10-309.
(4) Population is City estimate.
(5) See "Overlapping Debt" herein.
(6) Includes the principal amount of general obligation bonds expected to be issued on July 18, 2023. See "Current Indebtedness – General Obligation Bonds" herein. Relatively minor portions of the City's outstanding general obligation bonds may be exempt from the City's limitation of bonded debt and/or supported by dedicated revenue sources such as special assessments and revenues of the City's water and sewer system. For purposes of this table, 100% of the City's outstanding general obligation debt is shown as non-exempt from the limitation of bonded debt and unsupported by other revenue sources.

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Current Indebtedness

General Obligation Bonds

Dated Date of Issue	Final Maturity	Purpose	Original Amount	Principal Outstanding as of July 18, 2023
6/12/2014	10/1/2024	Improvements, Series 223	$9,315,000	$2,855,000
11/20/2014	9/1/2035	Taxable Improvements, Series 225	12,905,000	9,580,000
6/11/2015	10/1/2025	Improvements, Series 226	11,695,000	3,650,000
7/7/2015	10/1/2027	Refunding, Series 227	8,290,000	2,675,000
6/9/2016	10/1/2031	Refunding & Improvement, Series 228	25,315,000	13,240,000
12/15/2016	10/1/2028	Improvements, Series 229	5,765,000	2,520,000
7/20/2017	10/1/2029	Refunding & Improvements, Series 230	27,525,000	18,270,000
7/19/2018	10/1/2028	Improvements, Series 231	34,170,000	22,445,000
7/1/2019	10/1/2030	Refunding & Improvements, Series 232	21,115,000	14,335,000
7/16/2020	10/1/2031	Refunding & Improvements, Series 233	29,365,000	22,565,000
7/15/2021	10/1/2041	Refunding & Improvements, Series 234 [(1)]	98,445,000	89,105,000
7/19/2022	10/1/2042	Improvements, Series 235	19,800,000	19,800,000
7/18/2023	10/1/2043	Improvements, Series 2023A	35,655,000	35,655,000
			Total	***$256,695,000***

[(1)] A portion of the Series 234 Bonds are expected to be paid from the net revenues of the City's water and sewer system; however, the Series 234 Bonds are ultimately legally secured by only the City's ability to levy unlimited ad valorem taxes.

Source: City of Olathe.

General Obligation Temporary Notes

Dated Date of Issue	Final Maturity	Purpose	Original Amount	Principal Outstanding as of July 18, 2023
7/19/2022	8/1/2023	Temporary Notes, Series 2022-A	$65,740,000	$0
7/18/2023	8/1/2024	Temporary Notes, Series 2023-A	72,140,000	72,140,000
			Total	***$72,140,000***

Note: General Obligation Temporary Notes, Series 2023-A are expected to be issued on July 18, 2023. A portion of the proceeds of such temporary notes and the City's General Obligation Improvement Bonds, Series 2023A, will be used to redeem the General Obligation Temporary Notes, Series 2022-A at maturity.

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Water and Sewer System Revenue Bonds ("Parity Bonds")

Dated Date of Issue	Original Amount	Purpose	Final Maturity	Principal Outstanding as of Dated Date[1]
12/18/2012	$9,585,000	Water & Sewer Improvements, 2012	7/1/2032	$4,815,000
10/1/2015	18,895,000	Water & Sewer Improvements, 2015	7/1/2035	12,835,000
4/4/2017	11,340,000	Water & Sewer Imp. and Refunding, 2017	7/1/2037	8,210,000
4/3/2018	11,580,000	Water & Sewer Improvements, 2018	7/1/2038	9,510,000
4/18/2019	16,360,000	Water & Sewer Imp. and Refunding, 2019	7/1/2039	13,715,000
5/19/2020	13,335,000	Water & Sewer Imp. and Refunding, 2020	7/1/2040	10,460,000
5/20/2021	35,270,000	Water & Sewer Imp. and Refunding, 2021	7/1/2041	30,730,000
7/12/2022	11,740,000	Water & Sewer Improvements, 2022	7/1/2042	11,305,000
7/11/2023	5,280,000	Water & Sewer Improvements, 2023	7/1/2043	5,280,000
			Total	***$106,860,000***

[1] Does not include principal payments payable on July 1, 2023.

Stormwater System Revenue Bonds

Dated Date of Issue	Original Amount	Purpose	Final Maturity	Principal Outstanding as of Dated Date
2/20/2019	$3,225,000	Stormwater Improvements, Series 2019	10/1/2038	$2,740,000
7/12/2022	3,025,000	Stormwater Improvements, Series 2022	10/1/2042	3,025,000
			Total	***$5,765,000***

State Revolving Fund Loans

The City has entered into the following loan agreements with the State of Kansas to finance various construction improvements to the City's water and wastewater treatment systems. Payments for these loans are subordinate to the payment of the water and sewer system bonds listed above, together with a pledge of unlimited ad valorem property tax levies of the City.

Purpose of Indebtedness	Dated Date	Final Payment Date	Original Principal Amount	Amount Outstanding as of 3/31/2023
Cedar Creek WWTP Sludge	07/16/03	09/01/24	$2,184,000	$211,567
Cedar Creek WWTP Effluent	03/07/06	09/01/26	768,500	179,445
42" Finished Water Transmission	11/13/07	09/01/28	16,883,916	6,413,328
Cedar Creek WWTP Expansion	03/09/09	03/01/29	5,000,000	1,787,118
			Total	***$8,591,158***

Special Obligation Revenue Bonds

While the City is the issuer of the bonds noted below, each series of bonds is supported solely by the economic development district benefitting from the issuance of such bonds and is not secured by any general obligation or annual appropriation pledge by the City.

Dated Date of Issue	Original Amount	Purpose	Final Maturity	Est. Amount Outstanding as of Dated Date
12/15/2006	$13,030,000	TIF – Gateway	3/1/2026	$6,830,201
12/15/2006	9,195,000	TDD – Gateway	12/1/2028	6,481,800
7/1/2007	16,565,000	TIF – West Village	9/1/2026	5,040,000
			Total	***$18,352,001***

Lease Obligations

Dated Date of Issue	Original Amount	Purpose	Final Maturity	Est. Amount Outstanding as of Dated Date
2022	$170,849	Office Equipment	2026	$170,849
			Total	***$170,849***

Debt Payment Record

The City has never in its history defaulted on the payment of any of its direct debt obligations nor has it defaulted on any of its lease obligations.

An event of default occurred with respect to certain special obligation bonds issued by the City to fund improvements related to the Olathe Gateway project. Principal and interest payment delinquencies occurred with respect to Special Obligation Transportation Development District Sales Tax Revenue Bonds (The Olathe Gateway TDD No. 1a Project), Series 2006 and Special Obligation Tax Increment Revenue Bonds (The Olathe Gateway TIF Area 1 Project), Series 2006. These bonds are not secured by any general obligation or annual appropriation pledge of the City.

Historical Debt Information

Calendar Year	Population[1]	Assessed Valuation	Actual Value	GO Debt[2]	GO Debt to Actual Value	GO Debt to Assessed Value	Per Capita GO Debt
2022	151,780	$2,650,303,057	$17,693,799,521	$221,040,000	1.25%	8.34%	$1,456
2021	148,665	2,448,806,626	17,466,684,440	227,265,000	1.30	9.28	1,529
2020	145,459	2,338,399,935	16,060,301,000	171,055,000	1.07	7.32	1,176
2019	142,767	2,231,701,879	15,293,254,000	173,795,000	1.14	7.79	1,217
2018	141,116	2,101,221,249	14,364,117,000	186,735,000	1.30	8.89	1,323

[1] City estimate.
[2] Excludes temporary notes. Debt is as of December 31 of each year.

Source: City of Olathe; County Clerk.

Private Purpose Bonds

The City issues private activity bonds (Industrial Revenue Bonds) on behalf of other parties to encourage economic development. The City has no obligation, either directly or indirectly, for payment of principal of or interest on such bonds.

Overlapping Debt

Taxing Unit[1]	Total Debt Outstanding	Percent	Debt Applicable to Assessed Value in City
Johnson County [2]	$262,880,000	18.22%	$47,896,736
U.S.D. No. 229 (Blue Valley)	341,215,000	3.28	11,191,852
U.S.D. No. 230 (Spring Hill)	214,565,000	40.79	87,521,064
U.S.D. No. 231 (Gardner - Edgerton)	105,365,000	1.37	1,443,501
U.S.D. No. 232 (De Soto)	146,705,000	2.11	3,095,476
U.S.D. No. 233 (Olathe)	727,811,440	69.47	505,610,607
Johnson County Fire District No. 2	4,615,000	0.26	11,999
	Total		***$656,771,234***

[1] Only those taxing units that have general obligation debt outstanding are shown. Unless otherwise noted below, the source for this data is Johnson County Records and Tax Administration.

[2] Source: The County as of December 31, 2022. Excludes general obligation debt intended to be repaid by certain revenues (including utility revenues) and special assessments and includes $250,410,000 of lease purchase revenue bonds issued by the Public Building Commission of Johnson County (PBC) which are payable solely from lease payments received by the PBC from Johnson County.

Future Financing

Every year, the City prepares a five-year Capital Improvements Program ("CIP"). The CIP includes estimated costs for constructing, upgrading, and replacing the City's physical infrastructures. The CIP for fiscal years 2023 to 2027 includes projects totaling an estimated $471 million to be financed by a variety of funding sources. No additional System revenue bonds are currently expected to be issued in 2023.

In mid-2023, the City expects to issue approximately $35.7M in general obligation bonds and approximately $72.1M in general obligation temporary notes to fund various public improvements.

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APPENDIX B

FORM OF CONTINUING DISCLOSURE UNDERTAKING

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CONTINUING DISCLOSURE UNDERTAKING

Dated as of July 11, 2023

By

CITY OF OLATHE, KANSAS

$5,280,000
Water and Sewer System Improvement Revenue Bonds
Series 2023

CONTINUING DISCLOSURE UNDERTAKING

This **CONTINUING DISCLOSURE UNDERTAKING** dated as of July 11, 2023 (this **"Continuing Disclosure Undertaking"**), is executed and delivered by **CITY OF OLATHE, KANSAS** (the **"Issuer"**).

RECITALS

1. This Continuing Disclosure Undertaking is executed and delivered by the Issuer in connection with the issuance by the Issuer of **$5,280,000 Water and Sewer System Improvement Revenue Bonds, Series 2023** (the **"Bonds"**), pursuant to an Ordinance and a Resolution adopted by the governing body of the Issuer (collectively, the **"Resolution"**).

2. The Issuer is entering into this Continuing Disclosure Undertaking for the benefit of the Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with Rule 15c2-12 of the Securities and Exchange Commission under the Securities Exchange Act of 1934 (the **"Rule"**). The Issuer is the only **"obligated person"** with responsibility for continuing disclosure hereunder.

The Issuer covenants and agrees as follows:

Section 1. Definitions. In addition to the definitions set forth in the Resolution, which apply to any capitalized term used in this Continuing Disclosure Undertaking unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" means any Annual Report provided by the Issuer pursuant to, and as described in, **Section 2** of this Continuing Disclosure Undertaking.

"Beneficial Owner" means any registered owner of any Bonds and any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

"Business Day" means a day other than (a) a Saturday, Sunday or legal holiday, (b) a day on which banks located in any city in which the principal office or designated payment office of the paying agent or the Dissemination Agent is located are required or authorized by law to remain closed, or (c) a day on which the Securities Depository or the New York Stock Exchange is closed.

"Dissemination Agent" means any entity designated in writing by the Issuer to serve as dissemination agent pursuant to this Continuing Disclosure Undertaking and which has filed with the Issuer a written acceptance of such designation.

"EMMA" means the Electronic Municipal Market Access system for municipal securities disclosures established and maintained by the MSRB, which can be accessed at www.emma.msrb.org.

"Financial Obligation" means a (a) debt obligation; (b) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (c) guarantee of (a) or (b) in this definition; *provided however*, the term Financial Obligation shall not

include municipal securities as to which a final official statement has been provided to the MSRB consistent with the Rule.

"Fiscal Year" means the **12**-month period beginning on **January 1** and ending on **December 31** or any other **12**-month period selected by the Issuer as the Fiscal Year of the Issuer for financial reporting purposes.

"Material Events" means any of the events listed in **Section 3** of this Continuing Disclosure Undertaking.

"**MSRB"** means the Municipal Securities Rulemaking Board, or any successor repository designated as such by the Securities and Exchange Commission in accordance with the Rule.

"Participating Underwriter" means any of the original underwriter(s) of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

"System" means the entire waterworks plant and system and sewerage plant and system owned and operated by the Issuer for the production, storage, treatment and distribution of water and for the collection, treatment and disposal of sewage together with all alterations, repairs, extensions, enlargements and improvements thereto hereafter made or acquired by the Issuer.

Section 2. Provision of Annual Reports.

(a) The Issuer shall, not later than 180 days after the end of the Issuer's Fiscal Year, commencing with the year ending December 31, 2023, file with the MSRB, through EMMA, the following financial information and operating data (the "**Annual Report**"):

(1) The audited financial statements of the System for the prior Fiscal Year, prepared in accordance with accounting principles generally accepted in the United States. If audited financial statements are not available by the time the Annual Report is required to be provided pursuant to this Section, the Annual Report shall contain unaudited financial statements in a format similar to the summary unaudited financial information contained in the final Official Statement relating to the Bonds, and the audited financial statements shall be provided in the same manner as the Annual Report promptly after they become available.

(2) Updates as of the end of the Fiscal Year of certain financial information and operating data contained in the final Official Statement related to the Bonds, as described in **Exhibit A,** in substantially the same format contained in the final Official Statement with such adjustments to formatting or presentation determined to be reasonable by the Issuer.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues with respect to which the Issuer is an **"obligated person"** (as defined by the Rule), which have been provided to the MSRB and are available through EMMA or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the MSRB on EMMA. The Issuer shall clearly identify each such other document so included by reference.

In each case, the Annual Report may be submitted as a single document or as separate documents comprising a package and may cross-reference other information as provided in this Section; provided that the audited financial statements of the Issuer may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the Issuer's Fiscal Year changes, it shall give notice of such change in the same manner as for a Material Event under **Section 3**, and the Annual Report deadline provided above shall automatically become 180 days after the end of the Issuer's new Fiscal Year.

(b) The Annual Report shall be filed with the MSRB in such manner and format as is prescribed by the MSRB.

Section 3. Reporting of Material Events. Not later than **10** Business Days after the occurrence of any of the following events, the Issuer shall give, or cause to be given to the MSRB, through EMMA, notice of the occurrence of any of the following events with respect to the Bonds ("**Material Events**"):

(1) principal and interest payment delinquencies;
(2) non-payment related defaults, if material;
(3) unscheduled draws on debt service reserves reflecting financial difficulties;
(4) unscheduled draws on credit enhancements reflecting financial difficulties;
(5) substitution of credit or liquidity providers, or their failure to perform;
(6) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;
(7) modifications to rights of bondholders, if material;
(8) bond calls, if material, and tender offers;
(9) defeasances;
(10) release, substitution or sale of property securing repayment of the Bonds, if material;
(11) rating changes;
(12) bankruptcy, insolvency, receivership or similar event of the obligated person;
(13) the consummation of a merger, consolidation, or acquisition involving the obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;
(14) appointment of a successor or additional trustee or the change of name of the trustee, if material;
(15) incurrence of a Financial Obligation of the obligated person, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the obligated person, any of which affect security holders, if material; and
(16) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the obligated person, any of which reflect financial difficulties.

If the Issuer has not submitted the Annual Report to the MSRB by the date required in **Section 2(a)**, the Issuer shall send a notice to the MSRB of the failure of the Issuer to file on a timely basis the Annual Report, which notice shall be given by the Issuer in accordance with this **Section 3**.

Section 4. Termination of Reporting Obligation. The Issuer's obligations under this Continuing Disclosure Undertaking shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If the Issuer's obligations under this Continuing Disclosure Undertaking are assumed in full by some other entity, such person shall be responsible for compliance with this Continuing Disclosure Undertaking in the same manner as if it were the Issuer, and the Issuer shall have no further responsibility hereunder. If such termination or substitution occurs prior to the final maturity of the Bonds, the Issuer shall give notice of such termination or substitution in the same manner as for a Material Event under **Section 3**.

Section 5. Dissemination Agents. The Issuer may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Continuing Disclosure Undertaking, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. Any Dissemination Agent may resign as dissemination agent hereunder at any time upon **30** days prior written notice to the Issuer. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report (including without limitation the Annual Report) prepared by the Issuer pursuant to this Continuing Disclosure Undertaking.

Section 6. Amendment; Waiver. Notwithstanding any other provision of this Continuing Disclosure Undertaking, the Issuer may amend this Continuing Disclosure Undertaking and any provision of this Continuing Disclosure Undertaking may be waived, provided that Bond Counsel or other counsel experienced in federal securities law matters provides the Issuer with its written opinion that the undertaking of the Issuer contained herein, as so amended or after giving effect to such waiver, is in compliance with the Rule and all current amendments thereto and interpretations thereof that are applicable to this Continuing Disclosure Undertaking.

In the event of any amendment or waiver of a provision of this Continuing Disclosure Undertaking, the Issuer shall describe such amendment or waiver in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or, in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the Issuer. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (1) notice of such change shall be given in the same manner as for a Material Event under **Section 3**, and (2) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

Section 7. Additional Information. Nothing in this Continuing Disclosure Undertaking shall be deemed to prevent the Issuer from disseminating any other information, using the means of dissemination set forth in this Continuing Disclosure Undertaking or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Material Event, in addition to that required by this Continuing Disclosure Undertaking. If the Issuer chooses to include any information in any Annual Report or notice of occurrence of a Material Event, in addition to that specifically required by this Continuing Disclosure Undertaking, the Issuer shall have no obligation under this Continuing Disclosure Undertaking to update such information or include it in any future Annual Report or notice of occurrence of a Material Event.

Section 8. Default. If the Issuer fails to comply with any provision of this Continuing Disclosure Undertaking, any Participating Underwriter or any Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandamus or specific performance by court order, to cause the Issuer to comply with its obligations under this Continuing Disclosure Undertaking. A default under this Continuing Disclosure Undertaking shall not be deemed an event of default under the Resolution or the Bonds, and the sole remedy under this Continuing Disclosure Undertaking in the event of any failure of the Issuer to comply with this Continuing Disclosure Undertaking shall be an action to compel performance.

Section 9. Beneficiaries. This Continuing Disclosure Undertaking shall inure solely to the benefit of the Issuer, the Participating Underwriter, and the Beneficial Owners from time to time of the Bonds and shall create no rights in any other person or entity.

Section 10. Severability. If any provision in this Continuing Disclosure Undertaking, the Resolution or the Bonds shall be invalid, illegal or unenforceable, the validity, legality and enforceability of the remaining provisions shall not in any way be affected or impaired thereby.

Section 11. Electronic Transactions. The arrangement described herein may be conducted and related documents may be sent, received, or stored by electronic means. Copies, telecopies, facsimiles, electronic files and other reproductions of original documents shall be deemed to be authentic and valid counterparts of such original documents for all purposes, including the filing of any claim, action or suit in the appropriate court of law.

Section 12. Governing Law. This Continuing Disclosure Undertaking shall be governed by and construed in accordance with the laws of the State of Kansas.

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IN WITNESS WHEREOF, the Issuer has caused this Continuing Disclosure Undertaking to be executed as of the day and year first above written.

CITY OF OLATHE, KANSAS

By: _____
Title: Mayor

EXHIBIT A
TO CONTINUING DISCLOSURE UNDERTAKING

FINANCIAL INFORMATION AND OPERATING DATA TO BE INCLUDED IN ANNUAL REPORT

The financial information and operating data contained in the following sections and tables contained in Appendix A of the final Official Statement relating to the Bonds (with such modifications to the formatting and general presentation thereof as deemed appropriate by the Issuer):

- Historical Financials
- Number of Customers
- Water Production Requirements
- Sewage Treatment Requirements
- Water and Sewer Peak Daily Demand
- Largest Customers

APPENDIX C

ANNUAL COMPREHENSIVE FINANCIAL REPORT
(FOR THE FISCAL YEAR ENDED 12/31/2022)

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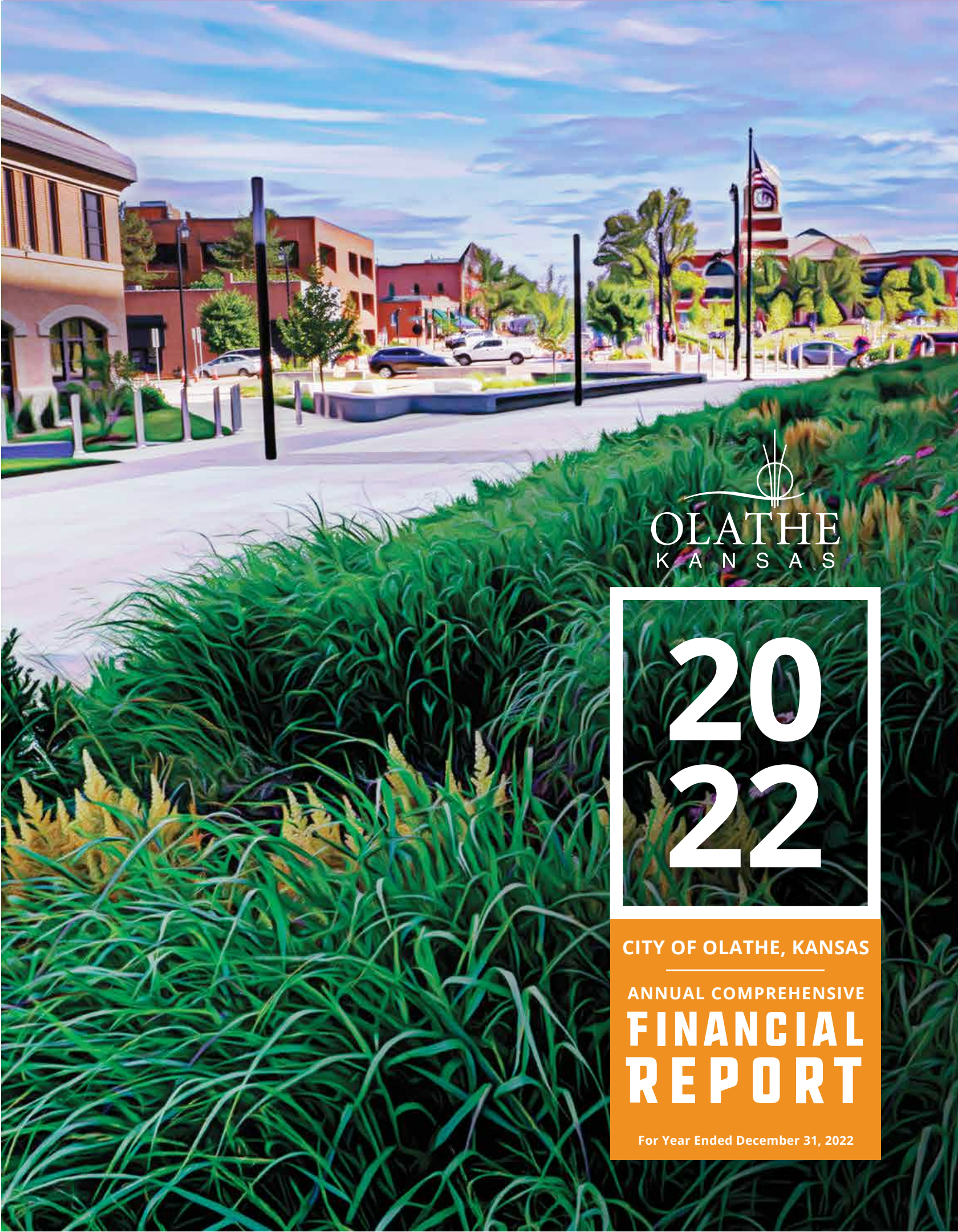

OLATHE
KANSAS

2022

CITY OF OLATHE, KANSAS

ANNUAL COMPREHENSIVE

FINANCIAL REPORT

For Year Ended December 31, 2022

City of Olathe, Kansas

Annual Comprehensive Financial Report

Year Ended December 31, 2022

Principal Officials

Mayor

John Bacon

City Council

Robyn Essex

LeEtta Felter

Kevin Gilmore

Wesley McCoy

Adam Mickelson

Marge Vogt

City Manager

J. Michael Wilkes

Deputy City Manager

Susan E. Sherman

City Clerk

Brenda Long

Legal Counsel

Ronald R. Shaver

Prepared by Economy Focus Area

Jamie Robichaud, Economy Director

Briana Burrichter, Chief Financial Officer

Erin Hanavan, Financial Services Manager

OLATHE
KANSAS

City of Olathe, Kansas
Comprehensive Annual Financial Report
Year Ended December 31, 2022

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City of Olathe, Kansas
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Introductory Section

May 31, 2023

Honorable Mayor, Members of the City Council,
and Citizens of the City of Olathe, Kansas

Finance Services is pleased to present the Annual Comprehensive Financial Report (ACFR) of the City of Olathe, Kansas (the City), for the fiscal year ended December 31, 2022.

Management of the City assumes full responsibility for the accuracy, completeness, and fairness of the data presented, including all disclosures, based upon a comprehensive framework of internal control that has been established for this purpose. Because the cost of internal control should not exceed anticipated benefits, the objective is to provide reasonable, rather than absolute, assurance that the financial statements are free of any material misstatements. To the best of our knowledge and belief, the enclosed data is accurate in all material aspects and is presented in a manner designed to present fairly the financial position and results of operations of the various funds of the government. All disclosures necessary to enable the reader to gain an understanding of the City's financial activities have been included.

Accounting principles generally accepted in the United States of America (GAAP) require that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The City's MD&A can be found immediately following the report of the independent auditors.

The City's financial statements have been audited by Allen, Gibbs, & Houlik, L.C. as required by K.S.A. 75-1122. The goal of the independent audit is to provide reasonable assurance that the financial statements of the City for the year ended December 31, 2022, are free from material misstatement. The independent auditors' report is presented as the first component of the financial section of this report.

The City is required to undergo an annual single audit in conformity with the provisions of the Single Audit Act of 1996 and Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards. As a recipient of federal, state, and local financial assistance, the City is also responsible for ensuring that an adequate internal control structure is in place to maintain compliance with applicable laws and regulations related to those programs. This internal control structure is subject to periodic evaluation by management of the City.

In evaluating the City as a reporting entity, management has considered all potential component units. Determination of whether an entity is controlled by, or dependent on, the City is made on the basis of budget adoption, taxing authority, outstanding debt secured by revenues or general obligations of the City, or the City's obligation to fund any deficit that may occur. As required by GAAP, the City has included the Olathe Public Housing Authority's activities in its financial statements as a discretely presented component unit.

Profile of the City

Olathe has always been an important destination – just as it is today. Among its earliest visitors were those who traveled the Santa Fe Trail, whether they were turn-of-the-century freighters ferrying cargo to the Southwest, farm families on the move to Oregon, or stagecoach travelers stopping at Mahaffie Stagecoach Stop and Farm while

making their way west. Olathe played a vital role in Western expansion as the site where three historic trails – the Santa Fe, Oregon, and California trails – converged.

The City was founded in 1857. Its name was derived from the Shawnee Indian word for "beautiful" and is pronounced "o-LAY-tha." The City operates under a Mayor-Council form of government with the addition of a City Manager. The Mayor is elected at-large for a four-year term. Four of the six council members are elected on a non-partisan basis by wards for four-year terms. The other two council members are elected on a non-partisan basis by the City at large for a four-year term. The City Manager is appointed by the Mayor and City Council as the Chief Administrative Officer of the City and is charged with the efficient and effective administration of the City.

As a city in a free state, Olathe was the scene of Civil War clashes. After the war, businesses opened, churches and cultural centers were built, and the community flourished. Olathe is home to Mid-America Nazarene University, the largest private college in the State, and the Kansas School for the Deaf, a 15-acre campus founded in 1861. Today, Olathe is a full-service community operating its own water, wastewater, and refuse programs as well as a full array of public safety, public works, and development and support services.

Olathe has encountered tremendous growth over the last several decades and evolved into the dynamic community it is today. Olathe is the county seat of Johnson County, Kansas, the Greater Kansas City area's most affluent and fastest-growing county. Olathe's strong and steady growth began about 50 years ago. Olathe was still a small, rural town in the 1960s with a population of just over 10,000. Olathe began to experience a tremendous amount of growth that continues today; adding nearly 57,000 new residents since 2000. The City estimates the 2022 population to be 151,780 making it the second largest city in Johnson County and the fourth largest city in the State. Olathe has blossomed not only into a full-blown city, but also a strong suburban community in the southwest portion of the metropolitan Kansas City area.

The City is also financially accountable for a legally separate housing authority, which is reported as a component unit in the City's financial statements.

Expenditures are authorized in a budget, approved by the City Council, as required by state statute. Expenditures cannot exceed the budgeted amount for each fund. Budgetary control is maintained through the use of an encumbrance system. As purchase orders are issued, corresponding amounts of appropriations are reserved with the use of encumbrances, for later payment, so that appropriations may not be overspent. Kansas statute also requires unencumbered cash to be on hand before an obligation can be incurred. Budget-to-actual comparisons are provided in this report for each individual fund for which an appropriated budget has been adopted.

Factors Affecting Financial Condition

Local Economy

The City is a fast-growing community with an average of over five new residents every day over the last decade. The recent expansion of industrial and commercial businesses provides new jobs for local and regional residents. The City has transformed from a bedroom community into a force in the Kansas City Metropolitan Area. It continues to be an attractive location for both families and businesses. At the end of 2022, the City's unemployment rate was approximately 2.0% compared to 2.9% for the State of Kansas and the national rate of 3.5%. Recent City awards include:

- NAACP Diversity Advocate in Government Award
- ETC Institute's Leading the Way Award"
- American Public Works Association (APWA) Project of the Year Award
- American Council of Engineering Companies (ACEC) of Kansas Engineering Excellence Award
- National Association of Clean Water Awards
- Cigna Well-Being Award
- SmartAsset's Safest Cities in America
- Kansas City Business Journals' Healthiest Employers

Long-Term Financial Planning

The City prepares a five-year Capital Improvement Plan (CIP). The CIP includes estimated costs for constructing, upgrading, and replacing the City's physical infrastructure The fiscal year 2023-2027 CIP includes project costs totaling an estimated $471 million. In preparing the capital budget, needs are assessed, public improvements are prioritized, and costs are projected. This budget is reviewed annually as projects are re-prioritized and the financial condition of the City is evaluated. The City has been building fund balance in the Debt Service Fund for several years which will help keep the mill levy rate constant as several major projects are bonded (Downtown Library, Street Reconstruction and Arterial Improvements, Police Building Expansion, and the Lake Olathe/Park Master Plan).

In addition to the infrastructure projects contained in the CIP, the City works closely with the Olathe Chamber of Commerce to aggressively promote economic development by attracting companies to locate or relocate facilities to Olathe. Retail manufacturing/distribution and office development continues to grow throughout the City. In 2022, nearly 800,000 square feet of new construction development opened for an investment of $191 million. Through economic initiatives, approximately 1,000 jobs were created or retained in 2022. Major projects in 2022 include:

- KCAS Bioanalytical and Biomarker Services - $19 million investment
- Lineage Logistics - $100 million investment and 150 employees
- Arrello Apartments - $36 million investment

Relevant Financial Policies

Olathe's 2040 Strategic Plan, adopted in 2019, was designed to guide the City down a path of resilience and prosperity. The plan is organized into five focus areas: Future Ready, Quality of Life, Infrastructure, Economy, and Exceptional Services. The 2040 Strategic Plan helps manage progress toward the City's long-term goals and support the prioritization of major investments in the community.

Fiscal principles have also been established to ensure the City meets its responsibility to citizens to carefully account for public funds, manage municipal finances wisely, and plan for adequate funding of city services and improvements. These principles provide the framework for day-to-day decision making and are the foundation for long term financial stability. Fiscal principles are reviewed by the City Manager and finance staff on a periodic basis to ensure the City is prepared for changing circumstances and economic conditions. The fiscal principles are listed below.

- The City will continuously evaluate its financial position to ensure stability of the City to its citizens.
- The City will minimize the use of long-term debt to finance major projects to avoid placing debt on future taxpayers.
- The City will provide a balanced revenue structure which is responsive to economic conditions.
- The budget will be prepared in a way that all current revenues will pay the costs of all current expenditures (balanced budget).
- The City Council will hold public hearings which will allow public input on budgetary spending.
- The budget will establish legal fund level spending limits.
- The budget will establish maintenance reserves to allow for maintenance of capital assets.
- The budget will apply one-time cash revenues to non-recurring expenditures.
- The budget will address major capital improvement priorities which have been prioritized by the City Council.
- The City will maintain city services through innovative budgeting procedures and fiscal management to maintain the current mill levy rate.

Major Initiatives

Stewardship has allowed the City to remain on solid financial footing. Being financially resilient has allowed the City to maintain its fund balance at the Council target of approximately 30% and receive an AA+ rating with both S&P Global and Fitch Ratings. Stewardship has also led the City to invest in its assets to ensure costs are planned for and controlled preventing a draining of reserves or neglect in maintenance. In 2014, Olathe voters approved a 3/8 cent sales tax to ensure streets are maintained at the most cost-effective level. The 2023 budget increases the cash allocated to that program to stay ahead of the street maintenance curve.

Providing excellent services at an excellent value, has been, and continues to be, a consistent driver for the City. Citizen satisfaction remains exceptionally high. Rather than relying solely on additional manpower, the City has achieved those results though community partnerships, public engagement, fostering a culture of innovation and excellences within its employees, and technology. The 2022 DirectionFinder survey results demonstrate the City continues to be a leader in both the Kansas City metropolitan area and the nation in overall satisfaction as rated by residents. The survey shows most residents in Olathe (69%) are satisfied with the overall value received for the taxes and fees.

Awards and Acknowledgements

Government Finance Officers Association of the United States and Canada (GFOA) awarded a Certificate of Achievement for Excellence in Financial Reporting to the City of Olathe for its annual comprehensive financial report for the fiscal year ended December 31, 2021. This was the 44th consecutive year that the government has achieved this prestigious award. In order to be awarded a Certificate of Achievement, a government must publish an easily readable and efficiently organized annual comprehensive financial report. This report must satisfy both accounting principles generally accepted in the United States of America and applicable legal requirements.

A Certificate of Achievement is valid for a period of one year only. We believe our current annual comprehensive financial report continues to meet to the Certificate of Achievement Program's requirements and will submit it to the GFOA to determine its eligibility for another certificate.

In addition, the City received GFOA's Distinguished Budget Presentation Award for its annual budget for the year beginning January 1, 2023, and the Popular Annual Financial Reporting Award for the fiscal year ended December 31, 2021.

We want to express our appreciation to the entire staff of the Financial Services Department whose professionalism, efficiency, and dedication are responsible for the preparation of this report. Individuals worked many extra hours and exhibited extraordinary effort in ensuring the accuracy and timeliness of the report. We would also like to thank the City Council and City Manager for the direction and support necessary to plan and conduct the financial operations of the City in a responsible, sound manner. Finally, we would like to extend the City's thanks to Allen, Gibbs, & Houlik, L.C. for the cooperation and professional assistance provided during the audit of the City's 2022 financial records.

Respectfully submitted,

Jamie Robichaud
Economy Director

Briana Burrichter
Chief Financial Officer

Government Finance Officers Association

Certificate of Achievement for Excellence in Financial Reporting

Presented to

City of Olathe
Kansas

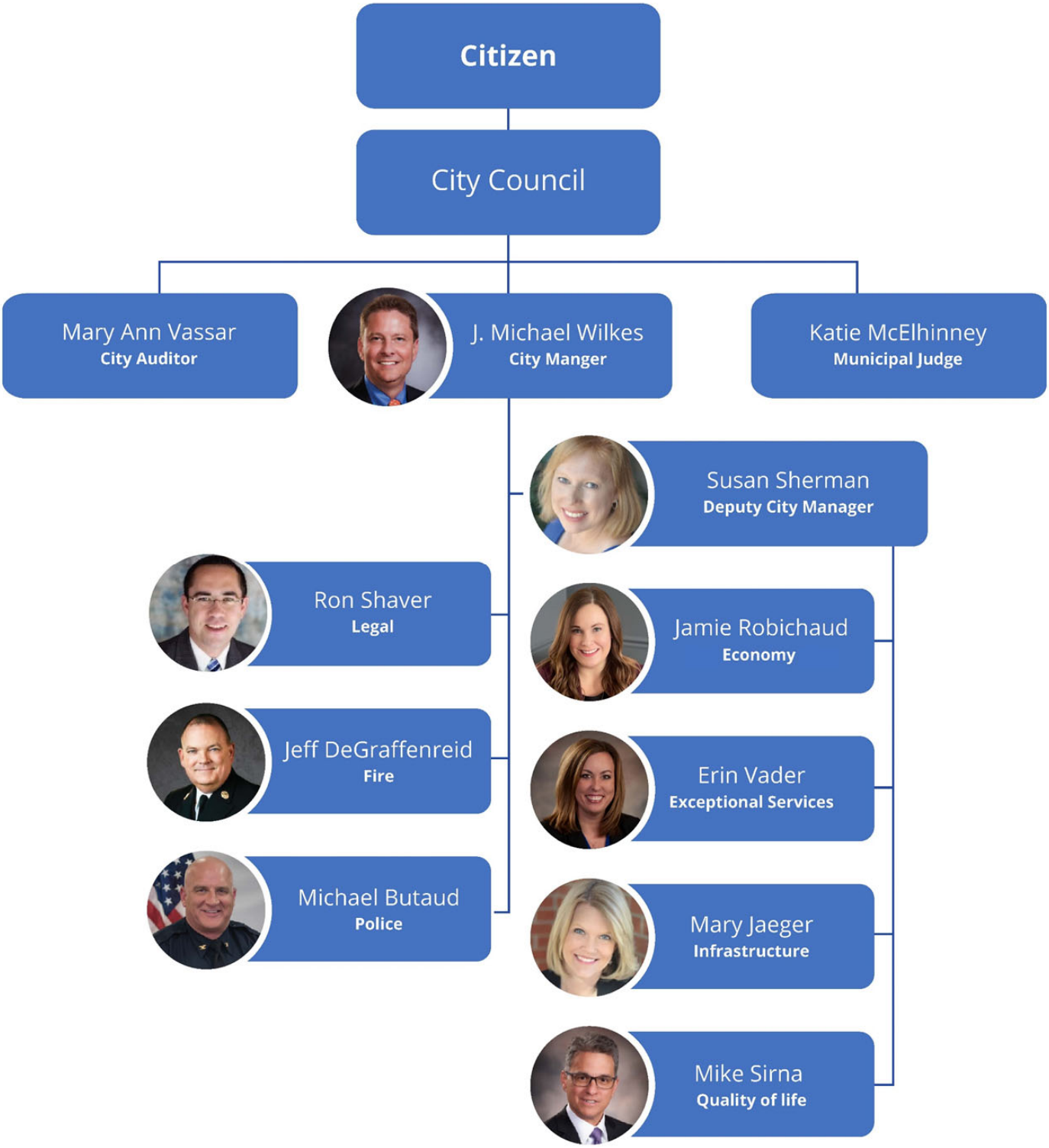
For its Annual Comprehensive
Financial Report
For the Fiscal Year Ended

December 31, 2021

Christopher P. Morrill

Executive Director/CEO

Organizational Chart



Financial Section

AGH
CPAs & ADVISORS

INDEPENDENT AUDITOR'S REPORT

Honorable Mayor and City Council Members
City of Olathe, Kansas

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the City of Olathe, Kansas (the City) as of and for the year ended December 31, 2022, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, the discretely presented component unit, each major fund, and the aggregate remaining fund information of the City of Olathe, Kansas, as of December 31, 2022, and the respective changes in financial position, and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS), the *Kansas Municipal Audit and Accounting Guide,* and the standards applicable to financial audits contained in Government Auditing Standards (*Government Auditing Standards*), issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we

- exercise professional judgment and maintain professional skepticism throughout the audit.
- identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.
- evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information
Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information listed on the table of contents be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information
Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The combining and individual nonmajor fund financial statements and schedules are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining and individual nonmajor fund financial statements and schedules is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information
Management is responsible for the other information included in the annual report. The other information consists of the introductory, statistical and annual operating data sections as listed in the table of contents but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards
In accordance with *Government Auditing Standards*, we have also issued our report dated May 31, 2023 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

Allen, Gibbs & Houlik, L.C.
CERTIFIED PUBLIC ACCOUNTANTS

Overland Park, KS
May 31, 2023

Management's Discussion and Analysis

As management of the City of Olathe (City), we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the year ended December 31, 2022. We encourage readers to consider the information presented here in conjunction with additional information that we have furnished in our letter of transmittal, the City's basic financial statements, and the related notes to the basic financial statements.

Financial Highlights

- The assets and deferred outflows of resources of the City exceeded its liabilities and deferred inflows of resources as of December 31, 2022, by $999 million (net position). Of this amount, $72 million (unrestricted net position) may be used to meet the City's ongoing obligations.

- The City's net position of its government activities increased by $21 million or 3.3%, while the net position of its business-type activities saw an increase of $12 million or 3.8%.

- Capital assets increased $44 million primarily due to a net increase in construction in progress of more than $41 million. The $41 million, construction in progress increase, includes key capital enhancements of the new Downtown Olathe Library, as well as the Police building expansion outlined in the adopted 2022-2026 Capital Improvement Plan.

- The City's net pension liability increased $42 million or 59%.

- The City's Other liabilities increased $28 million or 35%. Key factors in this increase were the issuance of temporary notes of $67,565,600, principal payments of $49,531,641 in temporary notes, an increase in unearned revenue of $4,599,375 and an increase of accounts and other current liabilities of $4,309,420.

- As of December 31, 2022, the fund balance for the general fund was $55 million or 44% of general fund revenues. The 44% though greater than are target 30% reserve was expected due in part to the onetime $10 million in American Rescue Plan Act funds the city opted to leverage the general government services allowance to cover personnel costs. Additionally, $2.5 million will remain in fund balance to cover the implementation of a compensation study in 2023. City Council has since authorized a transfer of $10 million to fund the Downtown Revitalization Project.

The Basic Financial Statements

The discussion and analysis provided here are intended to serve as an introduction to the City's basic finance statements. The City's basic financial statements consist of three components: (1) government-wide financial statements, (2) fund financial statements, and (3) the notes to financial statements. The notes to the basic financial statements are essential for the reader's understanding of the financial statements. This report also includes supplementary information intended to furnish additional detail to support the basic financial statements themselves.

Government-wide financial statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's operations using the accrual basis accounting, the basis of accounting used by private-sector businesses. These statements focus on the long-term financial picture of the City as a whole.

The statement of net position presents financial information on all of the City's assets, liabilities, and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in

net position can be monitored, along with other non-financial factors, to determine whether the financial position of the City is improving or deteriorating.

The statement of activities shows how the City's net position changed during the most recent fiscal year. This statement is unique as it shows the revenues and expenses related to specific programs and how much of the programs were supported by the general taxes of the City. All changes in the net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes and earned but unused vacation leave).

Both statements present the operations as either governmental or business-type activities. Governmental activities are the operations of the City generally supported by taxes and intergovernmental revenues, such as public safety, public works, and community services. Business activities are operations of the City that are intended to recover all or a significant portion of their costs through user fees and charges. Currently, the City's business activities include water and sewer and solid waste.

The government-wide financial statements include not only the City itself (known as the primary government), but also the legally separate entity for which the City is financially accountable. Financial information for the discretely presented component unit (Olathe Public Housing Authority) is reported separately from the financial information presented for the primary government.

Fund financial statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. The funds of the City can be divided into two categories: governmental funds and proprietary funds.

Governmental funds

Governmental fund financial statements are prepared on the modified accrual basis. Under the modified accrual basis, revenues are recognized when they become measurable and available, and expenditures are recognized when the related fund liability is incurred, except for long-term debt and other similar items, which are recorded when due. The focus, therefore, is on the short-term financial picture of the operations reported, rather than the City as a whole. Such information may be useful in assessing a government's near-term financing requirements.

Because the focus of the governmental funds is narrower than that of the government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the government's near-term financing decisions. Both the governmental fund balance sheet and governmental fund statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate this comparison between the governmental funds and governmental activities.

The City maintains 19 individual governmental funds. Information is presented separately in the governmental fund balance sheet and the governmental fund statement of revenues, expenditures, and changes in fund balances for the General Fund, Debt Service Fund, Capital Projects Fund, and Special Tax Financing Fund (debt service), all of which are considered to be major funds. Data from the other 15 governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements in the supplementary information following the notes to the financial statements.

The City adopts an annual appropriated budget for the General Fund. A budgetary comparison statement has been provided for this fund to demonstrate compliance with this budget.

Proprietary funds

The City maintains two different types of proprietary funds: enterprise funds and internal service funds. All proprietary funds are prepared on the accrual basis of accounting. Enterprise funds are used to present the same information that is in the government-wide financial statements for business activities, only in greater detail. The City uses enterprise funds to account for its solid waste and water and sewer operations. Internal service funds are used to account for the cost of operations shared by various functions of the City. The City uses five internal service funds to account for its central garage, risk management, vehicle replacement, personal computer replacement activities, and building maintenance. These five funds are combined into a single column on the proprietary fund statement. Combining statements for these funds can be found in the supplementary information following the notes to the financial statements. In the governmental-wide statements, the information for these internal service funds is presented as part of the governmental activities information.

Notes to the Basic Financial Statements

The notes to the basic financial statements provide additional information that is necessary to acquire a full understanding of the data provided in the government-wide and fund financial statements.

Other Information

In addition to the financial statements and notes described above, required supplementary information regarding the City's participation in the Kansas Public Employees Retirement System and Other Post-Employment Benefit Plan, has been included to give the reader further insight into the City's pension and other postemployment benefit plan results. The combining statements for non-major funds and budgetary schedules referred to above are included after the required supplementary information on pension plans. Finally, the statistical section includes statistical data about the City.

Analysis of Government-wide Statements

Net Position

The combined net position of the City as of December 31 was:

	Governmental Activities		Business-type Activities		Totals	
	2022	2021	2022	2021	2022	2021
Current and other assets	$ 367,485,513	$ 348,596,710	$ 87,566,842	$ 72,709,535	$ 455,052,355	$ 421,306,245
Capital assets	840,777,052	800,321,005	389,503,321	385,749,716	1,230,280,373	1,186,070,721
Total assets	1,208,262,565	1,148,917,715	477,070,163	458,459,251	1,685,332,728	1,607,376,966
Deferred outflows	36,894,856	24,043,632	7,038,352	4,689,366	43,933,208	28,732,998
Long-term liabilities	304,261,060	308,116,548	131,369,749	128,549,586	435,630,809	436,666,134
Net pension liability	98,241,243	62,044,420	15,510,533	9,327,887	113,751,776	71,372,307
Other liabilities	104,803,640	77,087,514	1,843,614	1,787,184	106,647,254	78,874,698
Total liabilities	507,305,943	447,248,482	148,723,896	139,664,657	656,029,839	586,913,139
Deferred inflows of resources	70,765,133	79,814,399	3,497,620	3,639,287	74,262,753	83,453,686
Net position						
Net investment in capital assets	514,551,384	503,693,697	280,604,883	262,745,169	795,156,267	766,438,866
Restricted	122,512,791	101,009,719	9,365,758	8,403,527	131,878,549	109,413,246
Unrestricted	30,022,170	41,195,050	41,916,358	48,695,977	71,938,528	89,891,027
Total net position	$ 667,086,345	$ 645,898,466	$ 331,886,999	$ 319,844,673	$ 998,973,344	$ 965,743,139

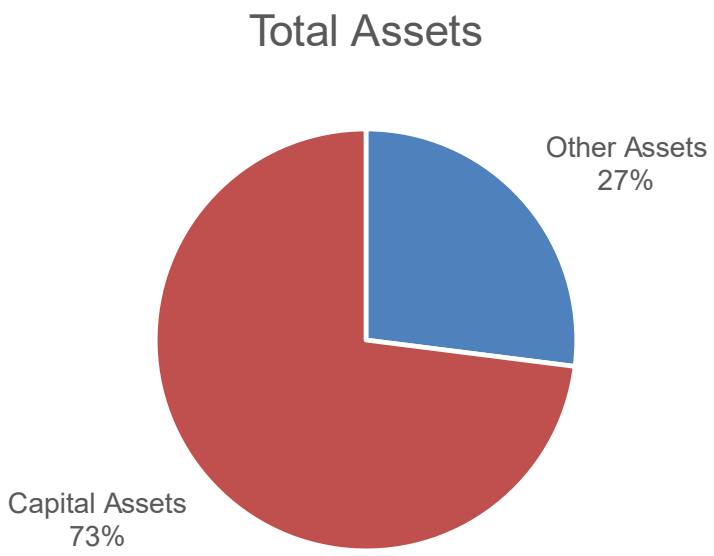
As noted earlier, net position may serve over time as a useful indicator of the City's financial position. In the case of the City, assets and deferred outflows of resources exceeded liabilities and deferred inflows of resources by $999 million at December 31, 2022.

The largest portion of the City's net position (79.6%) reflects its investments in capital assets (e.g., land, buildings, infrastructure, machinery, and equipment), less any related debt used to acquire those assets that is still outstanding. The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investments in its capital assets is reported net of related debt, it should be noted that the resources needed to repay the debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

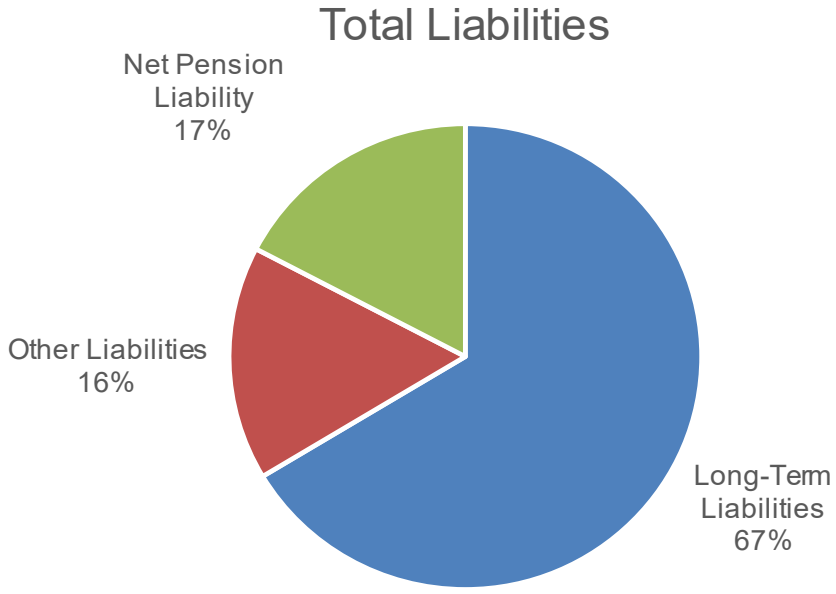
An additional portion of the City's net position (13.2%) represents resources that are subject to external restrictions on how they may be used. Unrestricted net position, which totals $72 million (7.2%), represents assets that may be used to meet the government's ongoing obligations to citizens and creditors. The government's net position increased by $33 million or 3.4% during the current year.

A review of the government-wide financial statement of net position reveals the following:

- The City ended the year with a positive net position of $998,973,344.
- Total assets for the City were $1,685,332,728. Of this total, $1,230,280,373 were capital assets.



- Total liabilities for the City were $656,029,839. Of these total liabilities, $435,630,809 were long-term liabilities. The majority of the long-term liabilities are for debt issued for major capital projects. Debt issues are never extended longer than the useful life of the project for which debt is being issued.



Statement of Activities

Revenues, expenses, and changes in net position for the years ended December 31 were:

	Governmental Activities		Business-type Activities		Totals	
	2022	2021	2022	2021	2022	2021
Revenues:						
Program revenues:						
Charges for services	$ 28,785,241	$ 28,478,218	$ 73,802,496	$ 70,816,341	$ 102,587,737	$ 99,294,559
Operating grants and contributions	7,562,128	3,816,162	206,860	-	7,768,988	3,816,162
Capital grants and contributions	15,511,711	41,853,456	-	-	15,511,711	41,853,456
General revenues:						
Property taxes	61,432,277	60,297,199	-	-	61,432,277	60,297,199
Sales tax	96,461,239	88,308,857	-	-	96,461,239	88,308,857
Other taxes	14,758,997	12,180,705	-	-	14,758,997	12,180,705
Interest	3,047,564	105,806	335,672	12,777	3,383,236	118,583
Other	4,543,878	315,531	2,198,248	1,327,396	6,742,126	1,642,927
Total revenues	232,103,035	235,355,934	76,543,276	72,156,514	308,646,311	307,512,448
Expenses:						
General government	29,793,717	27,620,858	-	-	29,793,717	27,620,858
Public safety	60,278,175	56,950,109	-	-	60,278,175	56,950,109
Public works	83,859,369	66,082,643	-	-	83,859,369	66,082,643
Community services	27,984,576	21,072,224	-	-	27,984,576	21,072,224
Interest on long-term debt	8,980,984	6,563,929	-	-	8,980,984	6,563,929
Water and sewer	-	-	48,603,398	46,325,732	48,603,398	46,325,732
Solid waste	-	-	15,915,887	14,427,967	15,915,887	14,427,967
Total expenses	210,896,821	178,289,763	64,519,285	60,753,699	275,416,106	239,043,462
Excess revenues before transfers	21,206,214	57,066,171	12,023,991	11,402,815	33,230,205	68,468,986
Transfers	(18,335)	3,269,886	18,335	(3,269,886)	-	-
Change in net position	21,187,879	60,336,057	12,042,326	8,132,929	33,230,205	68,468,986
Net position - beginning of year	645,898,466	585,562,409	319,844,673	311,711,744	965,743,139	897,274,153
Net position - end of year	$ 667,086,345	$ 645,898,466	$ 331,886,999	$ 319,844,673	$ 998,973,344	$ 965,743,139

The City's net position increased for governmental activities by $21 million in 2022 compared to $60 million in 2021. Below is a summary of the performance and highlights:

- Capital grants and contributions – Decreased $26 million from the prior year and is comparable to capital grants received in 2020. Funding from federal, state and local governments increased in 2021 as the Coronavirus State and Local Fiscal Recovery Funds provided funding to governments to support their response and recovery from the COVID-19 public health emergency. Capital grants for the I-35 & 119th Street Interchange Reconfiguration program were also received in 2021.

- Sales taxes – Sales and use tax increased $8.2 million or 9% due to inflation and a strong local economy with low unemployment.

- Other taxes – Franchise taxes received from energy providers saw an increase of $2 million from the prior year due in part to a raise in the transmission delivery charge for Evergy customers. The City collects a 5% franchise fee per agreements between the City and utility providers.

- Interest – Investment earnings increased $3 million from the prior year due to the City engaging with a third-party investment advisor in early 2022 as well as a rising interest rates.

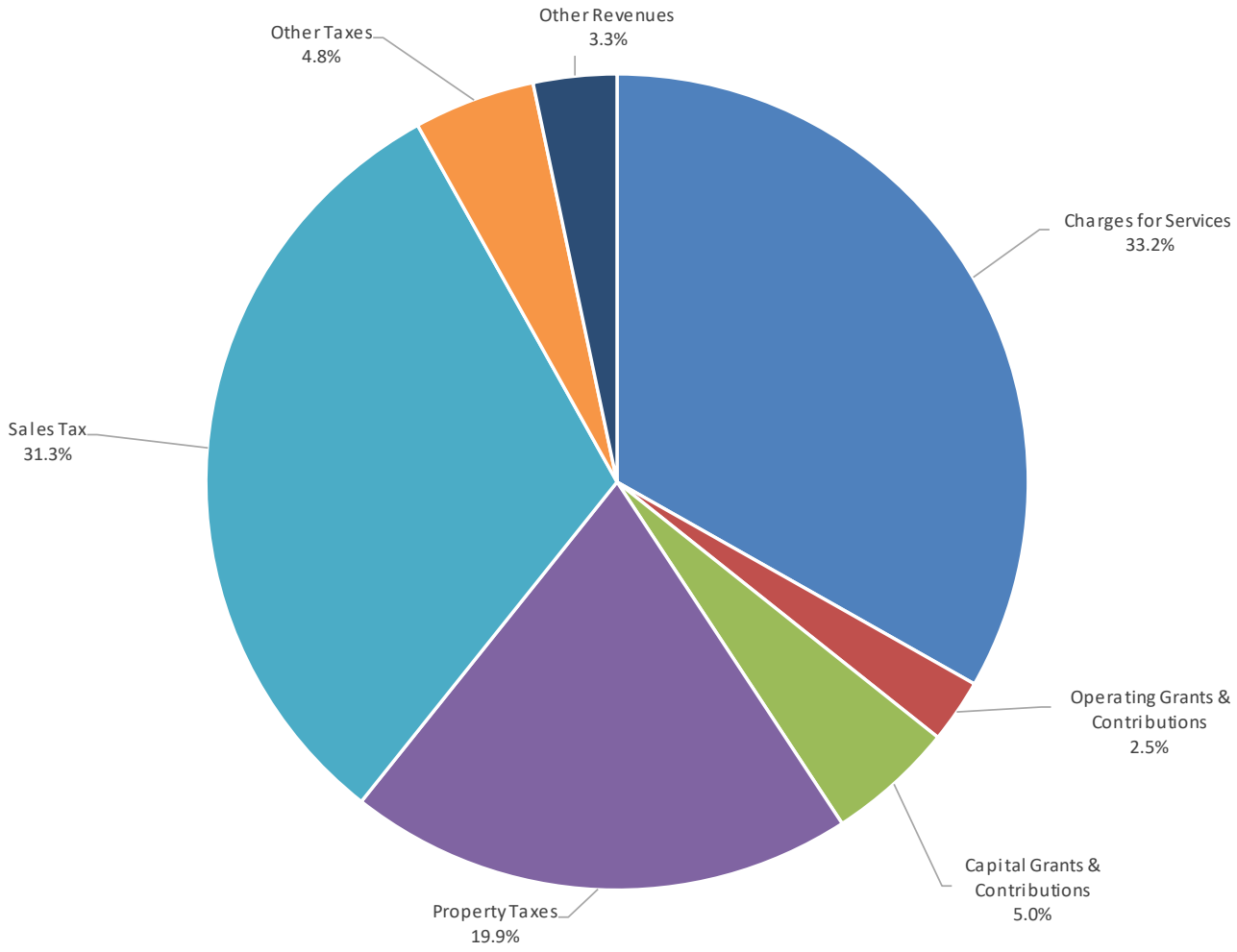
- Total expenses – Increased $36 million related in part to the change in capital outlay from 2021. In the statement of activities, the cost of these assets are allocated over their estimated useful lives and reported as depreciation expense instead of reporting them as expenditures in 2022. The increase also reflects a nation-wide trend of increased wages and benefits, due to record inflation. The city notes this impact in our largest expense employees. However, inflation is increasing expenses across contractual, commodities, and capital projects city wide.

The City's net position increased for business-type activities by $12 million, which is comparable to the excess revenues before transfers noted 2021. 2022, saw a decrease in $2.4 million in capital projects funded through cash transfers.

The government-wide statement of activities indicates the major sources of program revenues are charges for water, sewer and solid waste services. General revenues of $176 million comprised 75.7% of total revenues for governmental activities. Sales and use taxes are the largest general revenue source for governmental activities accounting for $96 million (54.9%) of general revenues, followed by property taxes which account for $61 million (35.0%) of general revenues.

The following graph depicts the composition of primary government revenues as presented in the statement of activities.

2022 Revenue by Source



The total cost of governmental and business-type activities was $275 million. However, $126 million was funded by users directly benefiting from the services or by other organizations through grants and contributions. The remaining $149 million of these services were paid by the City's taxpayers primarily through property and sales taxes.

Analysis of the Fund Financial Statements

As noted earlier, the City uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental funds

The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year.

The general fund is the main operating fund of the City. At the end of 2022, the fund balance of the general fund was $55,400,721 which is 44.2% of the total general fund revenues and an increase of 53.3% over the previous year's balance. This change is due to an increase in tax, primarily sales and use, revenues and a decrease in expenditures. The general fund saw a decrease in expenditures, as the City elected to use a portion of the State and Local Fiscal Recovery Funds (SLFRF) to pay for employee salaries during 2022. Salaries reimbursed by SLFRF funds were recorded to the grant fund.

The debt service fund has a total fund balance of $73,329,071. This represents an increase of $4.9 million or 7.1% from the previous year's balance. The change in the current year can be attributed to transfers to the debt service fund of $10.8 million and revenues under expenditures of $5.9 million. The debt service fund balance is restricted for the payment of debt service.

The capital projects fund has a deficit fund balance of $13,016,986 at the end of 2022. This is a decrease of $37.3 million from the prior year. The change in the capital projects fund balance is due to the use of short-term debt to finance certain capital projects and is further described in Note 8 in the notes to the basic financial statements.

The park sales and street maintenance sales tax funds are both nonmajor funds that both saw increases in fund balance of $1.6 million during 2022. These increases are due to increased sales and use tax received during the year.

Proprietary funds

The City's proprietary funds financial statements provide the same type of information found in the government-wide financial statements, but in more detail. The City reports the water and sewer fund and the solid waste fund as enterprise funds. All activities necessary to provide such services are accounted for in these funds, including administration, operations, maintenance, financing and related debt service.

The internal service funds information is included with the governmental activities information on the government-wide statements.

Fluctuations within these funds were discussed in the government-wide statement section above.

General Fund Budgetary Highlights

The legally adopted budget for the general fund was not amended by the governing body during 2022. However, departments within the City are allowed to transfer budget between line item and activities. During the

year, revenues were more than budgetary estimates by $21.6 million (20.9%). Sales taxes were $18.5 million more than budget due to a continued increase in sales. Total expenditures were less than budgetary estimates by $29.2 million (22.3%). As part of the budgeting process the City budgets for a contingency reserve for unforeseen expenditures. Any funds allocated from this budget are transferred to the requesting department so there will not be any actual expenditures charged to this category. Of the total difference in the budgeted expenditures, $26,031,312 is due to the restricted reserve.

Capital Asset and Debt Administration

Capital assets

The total amount invested in capital assets for the City as of December 31, 2022 was $1,230,280,373, net of accumulated depreciation. This investment in capital assets includes land, buildings, improvements, vehicles and equipment, park and pool facilities, storm sewers, bridges, streets, and water and sewer lines. The following chart details the City's capital asset balance by category. Additional information about the City's capital assets is presented in Note 5 to the basic financial statements.

	Governmental Activities		Business-type Activities		Totals	
	2022	2021	2022	2021	2022	2021
Land	$ 123,412,610	$ 128,605,774	$ 4,730,825	$ 4,659,930	$ 128,143,435	$ 133,265,704
Other nondepreciable assets	35,585	50,225	-	-	35,585	50,225
Land improvements	466,753	66,753	-	-	466,753	66,753
Buildings	137,348,628	125,701,570	33,778,295	33,778,295	171,126,923	159,479,865
Machinery & equipment	98,371,347	87,133,295	5,955,589	5,051,065	104,326,936	92,184,360
Swimming pools	10,351,984	10,251,984	-	-	10,351,984	10,251,984
Water system	-	-	231,965,586	225,200,847	231,965,586	225,200,847
Sewer system	-	-	216,525,457	216,652,112	216,525,457	216,652,112
Infrastructure	885,261,741	867,543,251	-	-	885,261,741	867,543,251
Books and materials	4,470,741	4,339,604	-	-	4,470,741	4,339,604
Construction in progress	265,044,840	226,762,325	48,459,493	45,132,666	313,504,333	271,894,991
Right of Use Asset	225,738	-	-	-	225,738	-
Total capital assets	1,524,989,967	1,450,454,781	541,415,245	530,474,915	2,066,405,212	1,980,929,696
Less accumulated depreciation	684,212,915	650,133,776	151,911,924	144,725,199	836,124,839	794,858,975
Total capital assets, net	$ 840,777,052	$ 800,321,005	$ 389,503,321	$ 385,749,716	$ 1,230,280,373	$ 1,186,070,721

Major additions to the capital assets, including construction in progress, this year include:

- Downtown Library
- I-35 and 119th improvements
- Cedar Creek Parkway improvements
- Mill Creek improvements
- Pflumm Road, 143rd to 151st street improvements
- Lone Elm Road, Old 56 Highway to 151st street improvements

Long-term debt

As of December 31, 2022, the City had total bonded debt outstanding of $352,587,001. Of this amount, $221,040,000 is comprised of debt backed by the full faith and credit of the City and $18,352,001 is special obligation tax increment financing debt and transportation development district debt payable solely from the specific TIF or TDD revenues. The remainder of the City's debt represents bonds secured solely by specific revenue sources (i.e., revenue bonds). The rating for the City's general obligation bonds is a "AA+" rating from Standard & Poor's (S&P) and from Fitch Ratings (Fitch). The rating for the Water and Sewer Utility revenue

bonds is a "AA" rating from S&P. Under current state statutes, the City's bonded debt issuances are subject to a legal limitation based on a percentage of the assessed valuation of real estate and personal property. As of December 31, 2022, the total general obligation debt of $221,040,000 was well below the City's legal limit of $727,429,838. A summary of the City's bonded debt outstanding as of December 31st can be found in the chart below. Additional information about the City's long-term debt is presented in Note 7 to the basic financial statements.

	Governmental Activities		Business-type Activities		Totals	
	2022	2021	2022	2021	2022	2021
General obligation bonds	$ 216,925,000	$ 221,315,000	$ 4,115,000	$ 5,950,000	$ 221,040,000	$ 227,265,000
Special obligation bonds	18,352,001	20,077,454	-	-	18,352,001	20,077,454
Revenue bonds	5,765,000	2,860,000	107,430,000	100,910,000	113,195,000	103,770,000
Total	$ 241,042,001	$ 244,252,454	$ 111,545,000	$ 106,860,000	$ 352,587,001	$ 351,112,454

Economic Factors and Next Year's Budget

Future Ready – One of the key features of Olathe's budget and operational framework is to build a city that is "resilient, innovative, nimble and collaborative in how we address tomorrow's challenges today." Informed by the city's strategic plan "Olathe 2040," the city is making investments in Infrastructure capacity and maintenance, and risk management.

Quality of Life – Olathe is committed to providing an excellent Quality of Life to its residents and visitors. This value encompasses health, safety, quality neighborhoods, and connections to important places and one another. The budget and CIP include improvements to Animal Care and Control staffing, improvements to parks, and a historic investment in the new downtown library. The library will be both an anchor for downtown and provide a top-notch facility for residents of all ages to learn and grow.

Infrastructure – Olathe's infrastructure is designed be safe, reliable, efficient and sustainable. Budget investments hope to propel these values for future generations and include key staff to maintain solid waste, water and wastewater services; street improvements and capacity building; and preliminary engineering on key arterial roads.

Economy – Olathe hopes to improve its already diverse economic base to be a regional leader. Budget investments in this area include the downtown library, which will provide office space for the chamber of commerce, and a development review coordinator to maintain timeliness in application turnaround and work with community development partners. The city also closely monitors changing economic factor that may affect Olathe's tax base, employment and financial sustainability.

Exceptional Services – Olathe strives to provide the highest quality services to its customers – the residents and taxpayers of the city. This budget invests in a compensation specialist to ensure the city can attract and retain the best talent who will continue serving the community with courtesy, professionalism and efficiency.

Requests for information

This financial report is designed to provide a general overview of the City's finances. Questions concerning any information provided in this report or requests for additional financial information should be addressed to the Chief Financial Officer, City of Olathe, 100 E. Santa Fe, Olathe, Kansas 66061.

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Basic Financial Statements

City of Olathe, Kansas
Statement of Net Position
December 31, 2022

	Primary Government			Discretely Presented Component Unit
	Governmental Activities	Business-type Activities	Total	
Assets				
Cash, cash equivalents, and investments	$ 255,638,528	$ 55,040,774	$ 310,679,302	$ 723,051
Cash held by trustee or restricted	2,007,446	9,365,758	11,373,204	-
Receivables (net of allowance)				
Taxes	85,148,768	-	85,148,768	-
Special assessments	21,548,028	-	21,548,028	-
Accounts	1,037,452	7,649,750	8,687,202	60,808
Accrued interest	2,660,122	-	2,660,122	-
Loans	3,714,340	-	3,714,340	-
Leases	-	2,800,715	2,800,715	-
Internal balances	(11,663,092)	11,663,092	-	-
Due from other governments	6,407,594	-	6,407,594	-
Inventories and other prepaid items	975,327	1,046,753	2,022,080	-
Capital assets:				
Land and construction in progress	388,493,035	53,190,318	441,683,353	-
Other capital assets, net of accumulated depreciation	452,284,017	336,313,003	788,597,020	2,218,646
Other assets	11,000	-	11,000	-
Total assets	1,208,262,565	477,070,163	1,685,332,728	3,002,505
Deferred Outflows of Resources				
KPERS pension	32,304,477	5,472,633	37,777,110	-
OPEB	4,179,023	707,960	4,886,983	-
KPERS OPEB	355,529	60,230	415,759	-
Deferred amounts on refunding	55,827	797,529	853,356	-
Total deferred outflows of resources	36,894,856	7,038,352	43,933,208	-
Total assets and deferred outflows of resources	$ 1,245,157,421	$ 484,108,515	$ 1,729,265,936	$ 3,002,505
Liabilities				
Accounts and other current liabilities	$ 22,798,441	$ 1,424,450	$ 24,222,891	$ 313,975
Interest payable	9,829,224	154,839	9,984,063	-
Unearned revenue	4,599,375	-	4,599,375	-
Temporary notes	67,565,600	-	67,565,600	-
Deposits	11,000	264,325	275,325	-
Noncurrent liabilities:				
Due within one year: bonds, notes, leases, compensated absences	49,310,730	10,432,717	59,743,447	-
Due in more than one year:				
Bonds, notes, leases, OPEB, compensated absences	254,950,330	120,937,032	375,887,362	34,171
Net pension liability	98,241,243	15,510,533	113,751,776	-
Total liabilities	507,305,943	148,723,896	656,029,839	348,146
Deferred Inflows of Resources				
Property taxes levied for a subsequent period	65,961,309	-	65,961,309	-
Deferred amounts on refunding	653,986	-	653,986	-
Deferred inflows related to leases	-	2,790,819	2,790,819	-
KPERS pension	1,654,089	281,725	1,935,814	-
OPEB	1,644,027	280,011	1,924,038	-
KPERS OPEB	851,722	145,065	996,787	-
Total Deferred Inflows of Resources	70,765,133	3,497,620	74,262,753	-
Net Position				
Net investment in capital assets	514,551,384	280,604,883	795,156,267	2,218,646
Restricted for:				
Debt service	94,703,155	9,365,758	104,068,913	-
Capital improvements	8,367,932	-	8,367,932	-
Community services	13,751,241	-	13,751,241	-
General government	5,690,463	-	5,690,463	-
Unrestricted	30,022,170	41,916,358	71,938,528	435,713
Total net position	667,086,345	331,886,999	998,973,344	2,654,359
Total liabilities, deferred inflows of of resources, and net position	$ 1,245,157,421	$ 484,108,515	$ 1,729,265,936	$ 3,002,505

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Statement of Activities
For the Year Ended December 31, 2022

Functions / Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions	Program Revenues: Capital Grants and Contributions	Net (Expense) Revenue
Primary government					
Governmental activities					
General government	$ 29,793,717	$ 8,877,299	$ 6,205,871	$ -	$ (14,710,547)
Public safety	60,278,175	3,282,524	-	-	(56,995,651)
Public works	83,859,369	9,932,908	79,000	15,511,711	(58,335,750)
Community services	27,984,576	6,692,510	1,277,257	-	(20,014,809)
Interest on long-term debt	8,980,984	-	-	-	(8,980,984)
Total governmental activities	210,896,821	28,785,241	7,562,128	15,511,711	(159,037,741)
Business-type activities					
Water and sewer	48,603,398	55,858,007	206,860	-	7,461,469
Solid waste	15,915,887	17,944,489	-	-	2,028,602
Total business-type activities	64,519,285	73,802,496	206,860	-	9,490,071
Total primary government	$ 275,416,106	$ 102,587,737	$ 7,768,988	$ 15,511,711	$ (149,547,670)
Nonmajor discretely presented component unit					
Olathe Public Housing Authority	$ 5,359,019	$ 633,816	$ 4,128,501	$ 382,263	$ (214,439)

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Statement of Activities
For the Year Ended December 31, 2022

	Primary Government			Discretely Presented Component Unit
	Governmental Activities	Business-type Activities	Total	
Changes in net position				
Net (expense) revenue	$ (159,037,741)	$ 9,490,071	$ (149,547,670)	$ (214,439)
General revenues				
Taxes:				
Property taxes, levied for general purpose	35,661,329	-	35,661,329	-
Property taxes, levied for debt service	25,770,948	-	25,770,948	-
Sales tax	96,461,239	-	96,461,239	-
Franchise taxes	12,460,414	-	12,460,414	-
Transient guest tax	2,298,583	-	2,298,583	-
Unrestricted investment earnings	3,047,564	309,222	3,356,786	579
Lease interest income	-	26,450	26,450	-
Miscellaneous	4,543,878	2,198,248	6,742,126	-
Transfers - internal activities	(18,335)	18,335	-	-
Total general revenues and transfers	180,225,620	2,552,255	182,777,875	579
Change in net position	21,187,879	12,042,326	33,230,205	(213,860)
Net position - beginning of year	645,898,466	319,844,673	965,743,139	2,868,219
Net position - end of year	$ 667,086,345	$ 331,886,999	$ 998,973,344	$ 2,654,359

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Balance Sheet
Governmental Funds
December 31, 2022

	General	Debt Service: Debt Service	Debt Service: Special Tax Financing	Capital Projects	Other Governmental Funds	Total Governmental Funds
Assets						
Cash, cash equivalents, and investments	$ 50,774,278	$ 71,597,975	$ 6,673,718	$ 55,237,236	$ 39,633,941	$ 223,917,148
Cash held by trustee	-	-	2,007,446	-	-	2,007,446
Receivables (net of allowance)						
Taxes	37,830,777	27,289,448	4,055,196	-	15,973,347	85,148,768
Accounts	270,467	-	-	-	745,730	1,016,197
Accrued interest	2,660,122	-	-	-	-	2,660,122
Special assessments	-	21,548,028	-	-	-	21,548,028
Loans	-	-	-	-	3,714,340	3,714,340
Due from other funds	601,435	-	-	-	-	601,435
Due from other governments	594,324	-	-	4,432,149	1,381,121	6,407,594
Prepaid assets	568,761	-	-	-	40,500	609,261
Total assets and deferred outflows of resources	$ 93,300,164	$ 120,435,451	$ 12,736,360	$ 59,669,385	$ 61,488,979	$ 347,630,339
Liabilities and Fund Balances						
Liabilities						
Accounts payable	$ 11,776,956	$ -	$ -	$ 3,372,427	$ 771,268	$ 15,920,651
Accrued payroll	2,570,119	-	-	-	-	2,570,119
Due to other funds	-	-	-	1,289,528	599,931	1,889,459
Unearned revenue	-	-	-	-	4,599,375	4,599,375
Temporary notes	-	-	-	67,565,600	-	67,565,600
Total liabilities	14,347,075	-	-	72,227,555	5,970,574	92,545,204
Deferred Inflows of Resources						
Property taxes levied for a subsequent period	23,552,368	27,289,448	3,081,080	-	12,038,413	65,961,309
Unavailable revenue - intergovernmental	-	-	-	458,816	19,781	478,597
Unavailable revenue - special assessments	-	19,816,932	-	-	-	19,816,932
Total deferred inflows of resources	23,552,368	47,106,380	3,081,080	458,816	12,058,194	86,256,838
Fund balances						
Nonspendable	568,761	-	-	-	40,500	609,261
Restricted	-	73,329,071	9,655,280	-	27,809,636	110,793,987
Committed	-	-	-	-	15,610,075	15,610,075
Assigned	3,948,318	-	-	-	-	3,948,318
Unassigned	50,883,642	-	-	(13,016,986)	-	37,866,656
Total fund balances	55,400,721	73,329,071	9,655,280	(13,016,986)	43,460,211	168,828,297
Total liabilities, deferred inflows of resources, and fund balances	$ 93,300,164	$ 120,435,451	$ 12,736,360	$ 59,669,385	$ 61,488,979	$ 347,630,339

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Reconciliation of the Balance Sheet of Governmental Funds
To the Statement of Net Position
December 31, 2022

Total fund balance - all governmental funds		$ 168,828,297
Amounts reported for governmental activities in the statement of net position are different because		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.		840,777,052
Land and construction in progress	$ 388,493,035	
Capital assets being depreciated	1,136,496,932	
Accumulated depreciation	(684,212,915)	
Some liabilities, including bonds payable, leases payable and compensated absences, are not due and payable in the current period and, therefore, are not reported in the funds.		(412,331,527)
Interest payable	(9,829,224)	
Noncurrent liabilities:		
Due within one year		
General obligation bonds	(26,480,000)	
Special obligation bonds	(14,612,001)	
Revenue bonds	(220,000)	
Compensated absences	(4,679,937)	
Bond issuance premium	(3,263,022)	
Bond issuance discount	126	
Leases	(55,896)	
Due in more than one year		
General obligation bonds	(190,445,000)	
Special obligation bonds	(3,740,000)	
Revenue bonds	(5,545,000)	
Compensated absences	(858,840)	
Total OPEB liabilities	(29,483,818)	
Bond issuance premium	(24,764,046)	
Bond issuance discount	1,327	
Leases	(114,953)	
Pension liability	(98,241,243)	
Long-term assets or deferred outflows of resources are not available to pay current period expenditures and are therefore deferred in the fund statements.		52,386,561
Special assessments	19,816,932	
Deferred refunding (net)	(598,159)	
Deferred outflows - pension	32,304,477	
Deferred outflows - KPERS OPEB	355,529	
Deferred outflows - OPEB	4,179,023	
Deferred inflows - KPERS pension	(1,654,089)	
Deferred inflow - OPEB	(1,644,027)	
Deferred inflows - KPERS OPEB	(851,722)	
Due from other governments	478,597	
Internal service funds are used by management to charge costs of certain activities, such as insurance, purchasing, and fleet maintenance to certain funds. The assets and liabilities of certain internal service funds are included in governmental activities in the statement of net position.		17,425,962
Internal service fund capital assets, net	(30,623,987)	
Internal service fund compensated absences	154,540	
Internal service fund net position	59,558,501	
Internal service fund due to business-type	(11,663,092)	
Net position of governmental activities		$ 667,086,345

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Statement of Revenues, Expenditures, and Changes in Fund Balances
Governmental Funds
For the Year Ended December 31, 2022

	General	Debt Service: Debt Service	Debt Service: Special Tax Financing	Capital Projects	Other Governmental Funds	Total Governmental Funds
Revenues						
Taxes:						
Property	$ 24,058,868	$ 23,527,221	$ 2,243,727	$ -	$ 11,974,700	$ 61,804,516
Sales	70,542,273	-	4,899,393	-	21,019,573	96,461,239
Franchise	12,460,414	-	-	-	-	12,460,414
Transient guest	-	-	726,811	-	1,571,772	2,298,583
Special assessments	-	3,166,971	-	-	-	3,166,971
Intergovernmental	1,556,613	-	-	11,825,015	9,529,529	22,911,157
Licenses and permits	3,576,880	-	-	-	-	3,576,880
Fines, forfeitures, and penalties	2,146,556	-	-	-	110,421	2,256,977
Charges for services	9,242,268	-	-	-	13,709,116	22,951,384
Use of money and property	1,207,056	737,275	112,846	117,653	530,850	2,705,680
Miscellaneous	614,274	-	55,727	2,417,504	742,608	3,830,113
Total revenues	125,405,202	27,431,467	8,038,504	14,360,172	59,188,569	234,423,914
Expenditures						
Current:						
General government	18,383,446	31,450	18,400	-	8,198,078	26,631,374
Public safety	57,718,671	-	-	-	1,212,340	58,931,011
Public works	12,446,435	-	-	-	6,356,483	18,802,918
Community services	9,672,964	-	-	-	15,909,742	25,582,706
Capital improvements	-	-	5,195,216	95,427,705	-	100,622,921
Debt service:						
Principal retirements	54,889	24,745,000	1,725,453	-	120,000	26,645,342
Interest and fiscal charges	1,007	8,606,815	611,206	1,988,413	156,695	11,364,136
Total expenditures	98,277,412	33,383,265	7,550,275	97,416,118	31,953,338	268,580,408
Excess of revenues over (under) expenditures	27,127,790	(5,951,798)	488,229	(83,055,946)	27,235,231	(34,156,494)
Other financing sources (uses)						
Bond issuance proceeds	-	-	-	22,825,000	-	22,825,000
Lease issuance proceeds	116,979	-	-	-	-	116,979
Bond premium	-	-	-	1,702,257	-	1,702,257
Transfers in	9,296,188	10,827,227	-	33,532,295	8,725,270	62,380,980
Transfers out	(17,273,123)	(326)	(765,384)	(12,312,714)	(31,199,980)	(61,551,527)
Total other financing sources (uses)	(7,859,956)	10,826,901	(765,384)	45,746,838	(22,474,710)	25,473,689
Net changes in fund balances	19,267,834	4,875,103	(277,155)	(37,309,108)	4,760,521	(8,682,805)
Fund balances - beginning of year	36,132,887	68,453,968	9,932,435	24,292,122	38,699,690	177,511,102
Fund balances - end of year	$ 55,400,721	$ 73,329,071	$ 9,655,280	$ (13,016,986)	$ 43,460,211	$ 168,828,297

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds To the Statement of Activities
For the Year Ended December 31, 2022

Net change in fund balances - all governmental funds		$ (8,682,805)
Amounts reported for governmental activities in the statement of activities are different because		
Governmental funds report capital outlay as expenditures. However, in the statement of activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlay exceeded depreciation in the current period.		34,320,985
Capital outlay	$ 65,447,193	
Net book value on diposals of capital assets	(9,738)	
Depreciation	(31,116,470)	
The issuance of long-term debt provides current financial resources to governmental funds, but issuing debt increase long-term liabilities in the statement of net assets. Repayment of debt principal is an expenditure in the governmental funds, but the repayment reduces long-term liabilities in the statement of net assets. This is the amount by which proceeds exceeded repayments.		3,750,715
Principal payments	26,645,342	
Proceeds of bonds	(22,825,000)	
Premium/discount	1,518,083	
Transfer of debt	(861,733)	
Lease proceeds	(116,979)	
OPEB	(653,598)	
KPERS OPEB	44,600	
Some expenses in the statement of activities do not require the use of current financial resources and, therefore, are not reported as expenditures in governmental funds.		(7,173,468)
Compensated absences	(390,779)	
Pension	(5,894,049)	
Interest expense	(888,640)	
Revenues in the statement of activities that do not provide current financing resources are not reported as revenues in the funds.		(3,325,076)
Special assessments	(3,539,210)	
Deferred refunding	51,452	
Capital grant	162,682	
Internal service funds are used by management to charge costs of certain activities, such as insurance, purchasing, and fleet maintenance to certain funds. The net revenue (expense) of certain internal service funds is reported with governmental activities.		2,297,528
Change in net position of governmental activities		$ 21,187,879

See accompanying notes to the basic financial statements

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City of Olathe, Kansas
Statement of Revenues, Expenditures, and Changes in Fund Balance
General Fund
Budget and Actual - Budgetary Basis
For the Year Ended December 31, 2022

	Original and Final Amended Budget	Actual	Variance Positive (Negative)
Revenues			
Taxes:			
Property	$ 24,405,962	$ 24,058,868	$ (347,094)
Sales	52,058,886	70,542,273	18,483,387
Franchise	11,282,418	12,460,414	1,177,996
Intergovernmental	1,411,908	1,556,613	144,705
Licenses and permits	3,742,071	3,576,880	(165,191)
Fines, forfeitures, and penalties	3,154,619	2,146,556	(1,008,063)
Charges for services	6,354,980	9,242,268	2,887,288
Use of money and property	293,699	1,207,056	913,357
Miscellaneous	1,058,370	614,274	(444,096)
Total revenues	103,762,913	125,405,202	21,642,289
Expenditures			
General government	20,632,111	20,984,636	(352,525)
Public safety	56,092,419	58,012,039	(1,919,620)
Public works	14,901,573	12,891,239	2,010,334
Community services	13,306,653	9,887,899	3,418,754
Contingency	26,031,312	-	26,031,312
Total expenditures	130,964,068	101,775,813	29,188,255
Excess of revenues over expenditures	(27,201,155)	23,629,389	50,830,544
Other financing sources (uses)			
Transfers in	8,397,705	9,296,188	898,483
Transfers out	(14,161,421)	(17,273,123)	(3,111,702)
Total other financing sources (uses)	(5,763,716)	(7,976,935)	(2,213,219)
Net change in fund balance	$ (32,964,871)	15,652,454	$ 48,617,325
Fund balance - beginning of year - budget basis		35,799,949	
Fund balance - end of year - budget basis		51,452,403	
Encumbrances incurred and outstanding		3,948,318	
Fund balance - end of year - GAAP basis		$ 55,400,721	

City of Olathe, Kansas
Statement of Net Position
Proprietary Funds
December 31, 2022

	Business-type Activities - Enterprise Funds			Governmental Activities -
	Major			
	Water and Sewer Fund	Solid Waste Fund	Total	Internal Service Funds
Assets				
Current assets:				
Cash and cash equivalents	$ 52,193,081	$ 2,847,693	$ 55,040,774	$ 31,721,380
Accounts receivable (net of allowance)	5,740,250	1,909,500	7,649,750	21,255
Lease receivable	148,101	-	148,101	-
Inventories and other prepaid items	1,046,753	-	1,046,753	366,066
Total current assets	59,128,185	4,757,193	63,885,378	32,108,701
Noncurrent assets:				
Restricted assets:				
Cash and cash equivalents	9,365,758	-	9,365,758	-
Due from other funds	-	-	-	1,289,528
Other	-	-	-	11,000
Total restricted assets	9,365,758	-	9,365,758	1,300,528
Capital assets:				
Capital assets not being depreciated				
Land	3,475,820	1,255,005	4,730,825	-
Construction in progress	48,459,493	-	48,459,493	-
Total capital assets not being depreciated	51,935,313	1,255,005	53,190,318	-
Capital assets being depreciated				
Buildings	33,778,295	-	33,778,295	-
Machinery and equipment	4,401,511	1,554,078	5,955,589	78,299,767
Water system	231,965,586	-	231,965,586	-
Sewer system	216,525,457	-	216,525,457	-
Total capital assets being depreciated	486,670,849	1,554,078	488,224,927	78,299,767
Less accumulated depreciation	(150,541,336)	(1,370,588)	(151,911,924)	(47,675,780)
Total capital assets (net of accumulated depreciation)	388,064,826	1,438,495	389,503,321	30,623,987
Lease receivable	2,652,614	-	2,652,614	-
Total noncurrent assets	400,083,198	1,438,495	401,521,693	31,924,515
Total assets	459,211,383	6,195,688	465,407,071	64,033,216
Deferred Outflows of Resources				
Deferred pension	3,790,885	1,681,748	5,472,633	-
Deferred OPEB	490,403	217,557	707,960	-
Deferred KPERS OPEB	41,721	18,509	60,230	-
Deferred amounts on refunding	797,529	-	797,529	-
Total deferred outflows of resources	5,120,538	1,917,814	7,038,352	-
Total assets and deferred outflows of resources	$ 464,331,921	$ 8,113,502	$ 472,445,423	$ 64,033,216

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Statement of Net Position
Proprietary Funds
December 31, 2022

	Business-type Activities - Enterprise Funds			Governmental Activities -
	Major			
	Water and Sewer Fund	Solid Waste Fund	Total	Internal Service Funds
Liabilities				
Current liabilities:				
Accounts and claims payable	$ 1,424,450	$ -	$ 1,424,450	$ 4,307,671
Interest payable	154,839	-	154,839	-
Due to other funds	-	-	-	1,504
Compensated absences	734,261	246,162	980,423	130,166
Current portion of general obligation bonds	1,330,000	-	1,330,000	-
Current portion of revolving loan	1,509,703	-	1,509,703	-
Current portion of revenue bonds	6,612,591	-	6,612,591	-
Total current liabilities	11,765,844	246,162	12,012,006	4,439,341
Noncurrent liabilities:				
Compensated absences	114,972	51,916	166,888	24,374
General obligation bonds	2,785,000	-	2,785,000	-
Revolving loan, net	7,918,611	-	7,918,611	-
Revenue bonds, net	106,494,856	-	106,494,856	-
Total KPERS OPEB liability	131,654	57,928	189,582	-
Total OPEB liability	2,278,072	1,104,023	3,382,095	-
Net pension liability	10,771,204	4,739,329	15,510,533	-
Deposit	264,325	-	264,325	11,000
Total noncurrent liabilities	130,758,694	5,953,196	136,711,890	35,374
Total liabilities	142,524,538	6,199,358	148,723,896	4,474,715
Deferred Inflows of Resources				
Deferred inflows related to leases	2,790,819	-	2,790,819	-
KPERS pension	193,932	87,793	281,725	-
KPERS OPEB	99,859	45,206	145,065	-
OPEB	192,752	87,259	280,011	-
Total deferred inflows of resources	3,277,362	220,258	3,497,620	-
Net position				
Net investment in capital assets	279,166,388	1,438,495	280,604,883	30,597,829
Restricted for bond requirements	9,365,758	-	9,365,758	-
Unrestricted	29,997,875	255,391	30,253,266	28,960,672
Total net position	318,530,021	1,693,886	320,223,907	59,558,501
Total liabilities and net position	$ 464,331,921	$ 8,113,502		$ 64,033,216

Reconciliation to government-wide statement of net position:

Adjustments to reflect the consolidation of internal service fund activities related to enterprise funds	11,663,092
Net position of business-type activities	$ 331,886,999

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Statement of Revenues, Expenses, and Changes in Fund Net Position
Proprietary Funds
For the Year Ended December 31, 2022

	Business-type Activities - Enterprise Funds			Governmental Activities -
	Major			
	Water and Sewer Fund	Solid Waste Fund	Total	Internal Service Funds
Operating revenues				
Charges for services	$ 55,858,007	$ 17,944,489	$ 73,802,496	$ 44,379,876
Intergovernmental	206,860	-	206,860	-
Miscellaneous	2,198,248	-	2,198,248	-
Total operating revenues	58,263,115	17,944,489	76,207,604	44,379,876
Operating expenses				
Water production	6,520,306	-	6,520,306	-
Wastewater treatment	2,539,967	-	2,539,967	-
Water and sewer maintenance	4,660,688	-	4,660,688	-
Administration and general	22,737,670	4,944,473	27,682,143	26,730,645
Equipment maintenance	-	-	-	9,803,708
Sanitation expense	-	6,582,153	6,582,153	-
Transfer station expense	-	4,600,259	4,600,259	-
Depreciation	7,340,271	71,520	7,411,791	6,027,286
Total operating expenses	43,798,902	16,198,405	59,997,307	42,561,639
Operating income	14,464,213	1,746,084	16,210,297	1,818,237
Nonoperating revenues (expenses)				
Interest income	254,831	54,391	309,222	341,884
Lease interest income	26,450	-	26,450	-
Interest expense	(3,946,853)	-	(3,946,853)	-
Gain/(Loss) from sale of equipment	(230,139)	-	(230,139)	640,209
Total nonoperating revenues (expenses)	(3,895,711)	54,391	(3,841,320)	982,093
Net income (loss) before transfers and capital contributions	10,568,502	1,800,475	12,368,977	2,800,330
Transfers in	719,687	4,438	724,125	49,476
Transfers out	(215,932)	(1,351,591)	(1,567,523)	(35,531)
Change in net position	11,072,257	453,322	11,525,579	2,814,275
Net position - beginning of year	307,457,764	1,240,564		56,744,226
Net position - end of year	$ 318,530,021	$ 1,693,886		$ 59,558,501

Reconciliation to government-wide statement of activities:	
Adjustment to reflect the consolidation of internal service funds activities related to enterprise funds.	516,747
Change in net position of business-type activities	$ 12,042,326

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Statement of Cash Flows
Proprietary Funds
For the Year Ended December 31, 2022

	Business-type Activities - Enterprise Funds			Governmental Activities -
	Major			
	Water and Sewer Fund	Solid Waste Fund	Total	Internal Service Funds
Cash Flows from Operating Activities				
Receipts from customers and users	$ 55,584,049	$ 17,970,782	$ 73,554,831	$ 44,376,614
Payments to suppliers	(24,571,730)	(11,693,373)	(36,265,103)	(31,693,613)
Payments to employees	(8,652,628)	(4,100,450)	(12,753,078)	(3,159,178)
Net cash provided by operating activities	22,359,691	2,176,959	24,536,650	9,523,823
Cash Flows from Noncapital Financing Activities				
Transfers from other funds	719,687	4,438	724,125	49,476
Transfers to other funds	(215,932)	(1,351,591)	(1,567,523)	(35,531)
Net cash provided by (used in) noncapital financing activities	503,755	(1,347,153)	(843,398)	13,945
Cash Flows from Capital and Related Financing Activities				
Acquisitions and construction of capital assets	(11,395,535)	-	(11,395,535)	(12,245,642)
Proceeds from sale of capital assets	-	-	-	723,503
Proceeds from revenue bonds	12,401,213	-	12,401,213	-
Principal paid on revenue bonds	(6,313,390)	-	(6,313,390)	-
Principal paid on general obligation bonds	(1,835,000)	-	(1,835,000)	-
Principal paid on revolving loans	(1,461,503)	-	(1,461,503)	-
Interest paid	(4,034,416)	-	(4,034,416)	-
Net cash (used in) capital and related financing activities	(12,638,631)	-	(12,638,631)	(11,522,139)
Cash Flows from Investing Activities				
Interest received	281,281	54,391	335,672	341,884
Net cash provided by investing activities	281,281	54,391	335,672	341,884
Net increase (decrease) in cash and cash equivalents	10,506,096	884,197	11,390,293	(1,642,487)
Cash and cash equivalents - beginning of year	51,052,743	1,963,496	53,016,239	33,363,867
Cash and cash equivalents - end of year	$ 61,558,839	$ 2,847,693	$ 64,406,532	$ 31,721,380

See accompanying notes to the basic financial statements

City of Olathe, Kansas
Statement of Cash Flows
Proprietary Funds
For the Year Ended December 31, 2022

	Business-type Activities - Enterprise Funds			Governmental Activities -
	Major			
	Water and Sewer Fund	Solid Waste Fund	Total	Internal Service Funds
Reconciliation of operating income to net cash provided by operating activities				
Operating income	$ 14,464,213	$ 1,746,084	$ 16,210,297	$ 1,818,237
Adjustments to reconcile operating income to cash provided by operating activities				
Depreciation	7,340,271	71,520	7,411,791	6,027,286
Changes in assets and liabilities				
(Increase) Decrease in receivables	121,649	26,293	147,942	(3,262)
(Increase) in lease receivables	(2,800,715)	-	(2,800,715)	-
(increase) in deferred outflows	(1,602,340)	(746,646)	(2,348,986)	-
(Increase) Decrease in inventories	(297,494)	-	(297,494)	11,192
Increase in accounts and claims payable	115,268	-	115,268	1,642,879
Increase in net pension liability	4,293,505	1,889,141	6,182,646	-
Increase (Decrease) in deferred inflows	749,910	(891,577)	(141,667)	-
(Decrease) in total KPERS OPEB liability	(66,585)	(29,297)	(95,882)	-
Increase (Decrease) in total OPEB liability	(856)	106,201	105,345	-
Increase in deposits	28,725	-	28,725	-
Increase in due to other funds	-	-	-	1,504
Increase in compensated absences	14,140	5,240	19,380	25,987
Total adjustments	7,895,478	430,875	8,326,353	7,705,586
Net cash provided by operating activities	$ 22,359,691	$ 2,176,959	$ 24,536,650	$ 9,523,823

See accompanying notes to the basic financial statements

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Notes to the Basic

Financial Statements

1. Summary of Significant Accounting Policies

The City of Olathe, Kansas (City) was incorporated February 20, 1857 under the provisions of K.S.A. 12-101, et seq. The City operates under a Council-Manager form of government and provides the following services as authorized by its charter: public safety (police and fire), highways and streets, sanitation, health and social services, culture/recreation, education, public improvements, water and sewer, planning and zoning, and general administrative services.

This summary of significant accounting policies of the City is presented to assist in understanding the City's basic financial statements. The basic financial statements and notes are representations of the City's management, which is responsible for their integrity and objectivity. These accounting policies conform to accounting principles generally accepted in the United States of America (GAAP) as applicable to local governments and have been consistently applied in the preparation of the basic financial statements. The following is a summary of the more significant policies:

a. Reporting Entity

An elected seven-member council (including the Mayor) governs the City. As required by GAAP, the financial statements present data for all departments and funds of the City, including all boards and commissions (the primary government, herein referred to as the City) and a component unit, an entity for which the City is considered to be financially accountable.

The determination of financial accountability includes consideration of a number of criteria including: (1) the appointment of a voting majority of an entity's governing authority and the ability of the primary government to impose its will on the entity, (2) the potential for the entity to provide specific financial benefits to, or impose specific financial burdens on, the primary government, and (3) the entity's fiscal dependency on the primary government.

b. Individual Component Unit Disclosures

Discretely Presented Component Unit – The discretely presented component unit is presented in a separate column in the government-wide financial statements to emphasize it is legally separate from the primary government.

The Olathe Public Housing Authority (Authority) is a separate legal entity governed by a five-member board, which is appointed by the City Council. Although City employees perform administration of various programs, management of the Authority has responsibility for its own operations. The City provides a significant portion of the Authority's support and property. The Authority does not issue separate financial statements.

c. Basis of Presentation – Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations.

The City's funds are grouped into two broad fund categories for basic financial statement presentation purposes. Governmental funds include the general, special revenue, debt service, and the capital projects funds. Proprietary funds include enterprise and internal service funds.

d. Basis of Accounting

Government-wide Financial Statements

The statement of net position and the statement of activities display information about the City (the primary government) as a whole. Internal service funds and other interfund activities are eliminated to avoid "doubling up" revenues and expenses. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support. Likewise, the primary government is reported separately from the legally separate component unit for which the primary government is financially accountable.

The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared. Therefore, each of the governmental fund financial statements includes a reconciliation with brief explanations to better identify the relationship between the governmental fund's statements and the government-wide statements.

The government-wide statement of activities presents a comparison between expenses and program revenues for each program of the governmental activities. Expenses are specifically associated with a service, program, or department and are therefore clearly identifiable to a particular function. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program is self-financing or draws from the general revenues of the City.

Fund Financial Statements

Fund financial statements report detailed information about the City. The focus of governmental fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. The major individual enterprise funds are reported as separate columns in the proprietary fund financial statements. Nonmajor funds are aggregated and presented in a single column on the governmental and proprietary fund financial statements.

The City reports the following major governmental funds:

General

The General Fund is the main operating fund of the City. It accounts for all financial resources of the general government, except those accounted for and reported in another fund.

Debt Service

The Debt Service Fund accounts for the accumulation of resources for, and the payment of, long-term general obligation debt principal, interest, and related costs.

Special Tax Financing

The Special Tax Financing Fund accounts for ad valorem and sales tax monies received from the increased assessed values of the tax increment financing (TIF) districts and its sales activities, the transportation development district (TDD) sales activities, and the Community Improvement District (CID) sales activities. This fund is considered a debt service fund.

Capital Projects

The Capital Projects Fund accounts for the financing and construction of street improvement projects, water and sewer improvement projects, and various other citywide improvement projects.

The City reports the following major proprietary funds:

Water and Sewer

The Water and Sewer Fund accounts for the activities of the sewage treatment plant, sewage pumping stations, collection systems, and the water distribution system.

Solid Waste

The Solid Waste Fund accounts for the provision of solid waste collection and disposal services to the residents and businesses of the City.

Proprietary Funds

Proprietary funds use the flow of economic resources measurement focus and the accrual basis of accounting. Under this method, revenues are recorded when earned and expenses are recorded at the time liabilities are incurred. All assets and liabilities (whether current or noncurrent) associated with a proprietary fund's activities are included on its statement of net assets.

Proprietary funds include the following fund types:

Enterprise Funds account for operations that are financed and operated in a manner similar to private business enterprises, as the intent of the governing body is that the costs (expenses, including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges.

Internal Service Funds account for the financing of goods and services, such as insurance and fleet management, provided to other departments or agencies of the City on a cost reimbursement basis.

Proprietary funds distinguish operating revenues and expenses from nonoperating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's enterprise funds and of the City's internal service funds are charges for services. Operating expenses for enterprise funds and internal service funds include the cost of sales and services, administrative expenses, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

Governmental Funds

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Under the modified accrual basis of accounting, revenues are recognized as they are both measurable and available to finance the City's current operations.

"Measurable" means the amount of the transaction can be determined and "available" means collectible within the current period or soon enough thereafter to be used to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal year. Significant revenues, which are considered susceptible to accrual, include property taxes, sales taxes, franchise taxes, interest, and certain state and federal grants and entitlements. Expenditures, including capital outlays, are recorded in all nonproprietary fund types when the related liability is both measurable and incurred except for general obligation debt principal and interest which are reported as expenditures in the year due.

In applying the susceptible-to-accrual concept to intergovernmental revenues, the legal and contractual requirements of the numerous individual programs are used as guidance. There are, however, essentially two types of these revenues. In one, monies must be expended on the specific purposes or project before any amounts will be paid to the City; therefore, revenues are recognized based on the expenditures recorded. In the other, monies are virtually unrestricted as to purpose of expenditure and nearly irrevocable, i.e., revocable only for failure to comply with prescribed compliance requirements. These resources are reflected as revenues at the time of receipt or earlier if they meet the measurable and available criteria.

Licenses and permits, fines and forfeitures, charges for services and miscellaneous revenues are recorded when received in cash because they are generally not measurable until actually received.

In accordance with state statutes, projects financed in part by special assessments are financed through issuance of general obligation bonds of the City and are retired from the Debt Service Fund. Special assessments are recorded as unearned revenues in the year the assessments are levied. Special assessments paid in full prior to the issuance of bonds are recorded as revenue in the capital project fund. Special assessments received after the issuance of bonds are recorded as revenue in the Debt Service Fund.

e. Cash and Cash Equivalents

In the statement of cash flows for the proprietary funds, cash and cash equivalents include cash held in financial institutions and investments with original maturities less than three months.

f. Accounts Receivable

Accounts receivable result primarily from water, sewer, and sanitation services accounted for in the Water and Sewer Fund and the Solid Waste Fund (Enterprise Funds).

g. Inventories and Other Prepaid Items

Inventories are stated at cost using the first-in/first out (FIFO) method. Inventories of governmental funds are recorded as expenditures when consumed rather than when purchased.

Certain payments represent costs applicable to future accounting periods and are recorded as prepaid items in both government-wide and fund financial statements. The cost of prepaid items is recorded as expenditures/expenses when consumed rather than when purchased.

h. Capital Assets

Capital assets, which include property, plant, equipment, and infrastructure assets (e.g. streets, traffic signals, sewers, and similar items), are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost at or above the capitalization threshold listed below and an estimated useful life in excess of one year. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets lives are not capitalized.

Major outlays for capital assets and improvements are capitalized as projects are constructed.

Capital assets of the primary government, as well as the component units, are depreciated using the straight-line method over the following estimated useful lives:

		Capitalization Threshold
Buildings and improvements	40 years	$ 100,000
Vehicles and equipment	4 - 20 years	5,000
Water system	75 years	50,000
Sewage system	75 years	50,000
Streets	20 years	100,000
Storm sewer	40 years	25,000
Traffic signals	30 years	25,000
Land	Not Depreciated	25,000

i. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position includes a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represent a consumption of net assets that applies to a future period(s) and will not be recognized as an outflow of resources (expense/expenditure) until then. The City has three items that qualify for reporting in this category. One is the deferred charge on refunding reported in the government-wide statement of net position. A deferred charge on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. In addition, for Pension and OPEB there is the differences between expected and actual experience, the net difference between projected and actual earnings on pension investments, changes of assumptions, deferred change in proportion and contributions made after the measurement date. These represent a consumption of net assets that applies to future periods and is not recognized as an outflow of resources until then.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future period(s) and will not be recognized as an inflow of resources (revenue) until that time. The City has nonexchange revenue transactions where a receivable has been recorded because property taxes were levied, but the resources cannot be used until a future period. This item has been reported as deferred inflow on the government-wide statement of net position. The City also reports a deferred charge on refunding which is the result from the difference in carrying value of refunded debt and its reacquisition price. In addition, nonexchange revenue transactions for intergovernmental, special assessments, and loan related transactions have receivables recorded, but resources are not available on the modified accrual basis and therefore are recorded as deferred inflows in the governmental funds. Also, a deferred inflow of resources dealing with OPEB and pension is reported for the differences between expected and actual experience, change in proportion, and changes of assumptions.

j. Budgets and Budgetary Accounting

Applicable Kansas statutes require budgets be legally adopted for all funds unless exempt by a specific statute. Specific funds exempt from legally adopted budgets are all federal and state assistance funds and capital projects funds. Specific special revenue funds exempt from legally adopted budgetary requirements include the Reimbursable Programs, Grants, and Cemetery Funds. Controls over spending in funds which are not subject to legal budgets are maintained by the use of the internal spending limits established by management.

Funds requiring legally adopted budgets are the General, Fire Levy, Motor Fuel Tax, Library Operating, Economic Development and Tourism, Special Park and Recreation, Special Alcohol, Storm Water, Park Sales Tax, Street Maintenance Sales Tax, Recreation, Special Tax Financing, and Debt Service.

The annual operating budgets are prepared using the modified accrual basis of accounting, modified further by the encumbrance method of accounting. Revenues are recognized on the modified accrual basis. Expenditures include disbursements, accounts payable, and encumbrances.

Encumbrances are commitments of funds for unperformed contracts for goods and services. Encumbrance accounting is used, to the extent necessary, to ensure effective budgetary control and accountability and to facilitate effective cash planning and control in governmental funds. Encumbered appropriations which will be honored at year-end are included with the fund balance classifications to which resources had already been classified. If the balance had not been previously classified (general fund only), it is included within assigned. Subsequent year's appropriations will provide the authority to complete these transactions; they do not constitute either expenditures or liabilities of the fund.

All unencumbered appropriations lapse at year-end. Accordingly, the actual data presented in the budgetary comparison statements include encumbrances and, consequently, differ from the expenditure data presented in the basic financial statements prepared in accordance with GAAP.

The Debt Service Fund budget is prepared to provide a basis for a level ad valorem tax levy through the tax year life of the outstanding debt. Therefore, the timing of the amounts levied for the principal reduction does not necessarily correspond to the timing of the payment of principal maturities.

The statutes provide for the following sequence and timetable in the adoption of budgets:

(1) Preparation of the budget for the succeeding calendar year on or before August 1 of each year.

(2) Publication of the proposed budget on or before August 5 of each year.

(3) A minimum of 10 days notice of a public hearing, published in a local newspaper on or before August 15 of each year on the proposed budget.

(4) Adoption of the final budget on or before August 25 of each year.

Kansas statutes permit transferring budgeted amounts between line items within an individual fund; however, such statutes prohibit creating expenditures in excess of the total amount of the adopted budget of expenditures of individual funds. The City Manager can transfer appropriations within a fund without the approval of the governing body; however, total appropriations are not to exceed the fund's total budgeted amount.

k. Retirement Plans

Substantially all full-time City employees are members of the Kansas Public Employees Retirement System (KPERS) or the Kansas Police and Fire Retirement Plan (KP&F) (a cost-sharing multiple-employer public employee retirement system). The City's policy is to fund all pension costs accrued; such costs are determined annually by the State.

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pension expense, information about the fiduciary net position of the KPERS, and additions to/deductions from KPERS fiduciary net position have been determined on the same basis as they are reported by KPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

l. *Compensated Absences*

The City's policy permits employees to accumulate a maximum of 8 weeks of vacation time. Accumulated unpaid vacation for the governmental funds is included as a liability in the government-wide financial statements. Accumulated unpaid vacation for proprietary funds is included as a liability in both the fund and government-wide financial statements.

The City's policy permits employees to accumulate an unlimited amount of sick leave. The current policy is to compensate employees for 25% of unused accumulated sick leave based on a maximum of 960 hours upon retirement. The employee must be eligible for KPERS or KP&F retirement to qualify.

m. Interfund Transactions

Permanent reallocation of resources between funds of the reporting entity is classified as interfund transfers. For purpose of the statement of activities, all interfund transfers between individual governmental funds have been eliminated.

n. Equity Classifications

In the government-wide statements, equity is shown as net position and classified into three components:

(1) Net investment in capital assets – consisting of capital assets including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balances of any bonds, mortgages notes, or other borrowings that are attributable to the acquisitions, construction, or improvements of those assets.

(2) Restricted net position – consisting of net position with constraints placed on their use either by (1) external groups such as creditors, grantors, contributors, or laws or regulations of other governments; or (2) law through constitutional provisions or enabling legislation. The City first utilizes restricted resources to finance qualifying activities.

(3) Unrestricted net position – All other net position that does not meet the definition of "restricted" or "net investment in capital assets."

In the governmental funds, equity is shown as fund balance and classified into five components:

(1) Nonspendable – inherently nonspendable

(2) Restricted – externally enforceable limitations on use

(3) Committed – self – imposed limitations set in place prior to the end of the period at the highest level of decision making

(4) Assigned – limitation resulting from intended use

(5) Unassigned – residual net resources

o. Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

p. Leases

Lessee: The City is a lessee for a noncancellable lease of equipment. The City recognizes a lease liability and an intangible right-to-use lease asset (lease asset) in the government-wide financial statements. The City recognizes lease liabilities with an initial, individual value of $100,000 or more.

At the commencement of a lease, the City initially measurers the lease liability at the present value of payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of lease payments made. The lease asset is initially measured as the initial amount of the lease liability, adjusted for lease payments made at or

before the lease commencement date, plug certain initial direct costs. Subsequently, the lease asset is amortized on a straight-line basis over its useful life.

Key estimates and judgments related to leases include how the City determines (1) the discount rate it uses to discount the expected lease payments to present value, (2) lease term, and (3) lease payments.

The City uses the interest rate changed by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the City general uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are composed of fixed payments and purchase option price that the City is reasonably certain to exercise.

The City monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported with other capital assets and lease liabilities are reported with long-term debt on the statement of net position.

Lessor: The City is a lessor for noncancellable leases of antenna towers. The City recognizes a lease receivable and a deferred inflow of resources in the government-wide and proprietary fund financial statements.

At the commencement of a lease, the City initially measurers the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date. Subsequently, the deferred inflow of resources is recognized as revenue over the life of the lease term.

Key estimates and judgments include how the City determines (1) the discount rate it uses to discount the expected lease receipts to present value, (2) lease term, and (3) lease receipts.

The City uses its estimated incremental borrowing rate as the discount rate for leases.

The lease term includes the noncancellable period of the leases. Lease receipts included in the measurement of the lease receivable is composed of fixed payments from the lessee.

The City monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

2. Deposits and Investments

The City combines idle cash from all funds for the purpose of increasing income through investment activities. Investments are carried at fair value, which approximates cost. Interest income on investments and appreciation/depreciation in fair value investments are allocated to the governmental fund types and proprietary fund types on the basis of average monthly cash balances. State statutes authorize the City to invest in fully collateralized or fully insured money market accounts, time deposits, the State of Kansas Municipal Investment Pool, direct debt securities of the United States, and fully collateralized repurchase

agreements. The State of Kansas Municipal Investment Pool is operated by the State Treasurer and is not a SEC registered pool. The Pooled Money Investment Board (PMIB) provides the regulatory oversight for this pool. The fair value of the City's position in the pool is the same as the value of the City's pool shares.

Facts and Assumptions – The City holds investments that are measured at fair value on a recurring basis. Since investing is not a core part of the City's mission, the City determines that the disclosures related to these investments only need to be disaggregated by major type. The City chooses a narrative format for the fair value disclosures.

The City categorizes its fair value measurements within the fair value hierarchy established by GAAP. The hierarchy is based on the valuation inputs used to measure the fair value of the assets. Level 1 inputs are quoted prices in active markets for identical assets; Level 2 inputs are significant other observable inputs; Level 3 inputs are significant unobservable inputs.

The City has the following recurring fair value measurements as of December 31, 2022:

State investment pool of $8,803,893 and are valued using net asset value (Level 1 inputs).
Treasury Notes of $53,389,031 are valued at market value (Level 1 inputs).
Government Agencies of $174,684,775 are valued using matrix pricing using the price or yield of a similar bond (Level 2 inputs).

Interest Rate Risk and Reconciliation of Cash and Investments to the Statement of Net Position – As a means of limiting its exposure to fair value losses arising from rising interest rates, the City's investment policy limits its investment maturities to less than four years. Listed as follows are the City's investments with maturity dates.

Cash, Cash Equivalents, and Investments	Maturities	Fair Value
State investment pool - overnight	6 months or less	$ 8,803,893
Government Agency	2 years or less	174,684,775
Treasury Note	1 year or less	53,389,031
Total investments		236,877,699
Certificates of deposit		65,017,000
Cash held by trustee		2,007,446
Restricted cash deposits		9,365,758
Unrestricted cash deposits		8,784,603
Total cash, cash equivalents, and investments		$ 322,052,506

Credit Risk – State law limits investments to Temporary Notes of the City, Collateralized Certificates of Deposit, Collateralized Repurchase Agreements, U.S. Treasury Obligations, the Kansas Municipal Investment Pool, Commercial Bank Savings Accounts, U.S. Government Agency Securities, U.S. Government Sponsored Corporation's Instruments, and Multiple Client Investment Pools. The City's policy on credit risk follows state statutes. As of December 31, 2022, City funds not held in depository accounts had been invested in Certificates of Deposit, Government Sponsored Corporation Instruments, Guaranteed Investment Contracts, and the Kansas Municipal Investment Pool (rated AAAf/S1 by Standard & Poor's).

Concentration of Credit Risk – Presented below is the actual rating by Moody's Investor Services as of year-end for each cash and investment type, as well as the concentration, and respective fair value.

Investment Type	Total	Percentage of total cash and investments
Kansas Municipal Investment Pool	$ 8,803,893	2.73%
Certificates of deposit	65,017,000	20.19%
U.S. Government Securities		
Federal Home Loan Bank	137,968,806	42.84%
Federal Farm Credit Bank	36,715,969	11.40%
U.S. Treasury Notes	53,389,031	16.58%
Held by trustee or restricted accounts	11,373,204	3.53%
Unrestricted cash deposit accounts	8,784,603	2.73%
Total	$ 322,052,506	100.00%

Federal Home Loan Bank securities are a government sponsored instrument and are rated Aaa by Moody's. U.S. Treasury Notes (issued by the U.S. Government) are not rated as they are considered to be of the highest quality and are backed by the full faith and credit of the U.S. Government.

Custodial Credit Risk – For deposits or investments, custodial credit risk is the risk that, in the event of the failure of the bank or counterparty, the City will not be able to recover the value of its deposits, investments, or collateral securities that are in the possession of an outside party. The City's policy for deposits and investments follows state statutes. At December 31, 2022, all of the City's deposits were fully insured by federal depository insurance or otherwise collateralized by securities held in the City's name. The City has $228,073,806 of Government Agencies that are held by the investment counterparty.

3. Taxes and Special Assessments

Taxes and special assessments revenue by fund type, including interest and penalties, as of December 31, 2022 are as follows:

	Major			Other	
	General	Debt Service	Special Tax Financing	Governmental Funds	Total
Property tax	$ 24,058,868	$ 23,527,221	$ 2,243,727	$ 11,974,700	$ 61,804,516
Sales tax	70,542,273	-	4,899,393	21,019,573	96,461,239
Franchise tax	12,460,414	-	-	-	12,460,414
Transient guest tax	-	-	726,811	1,571,772	2,298,583
Special assessment	-	3,166,971	-	-	3,166,971
	$ 107,061,555	$ 26,694,192	$ 7,869,931	$ 34,566,045	$ 176,191,723

Taxes and special assessments receivable by fund type as of December 31, 2022 are as follows:

	Major			Other	
	General	Debt Service	Special Tax Financing	Governmental Funds	Total
Property tax	$ 23,552,368	$ 27,289,448	$ 3,081,080	$ 12,038,414	$ 65,961,310
Sales tax	12,590,545	-	774,528	3,506,484	16,871,557
Franchise tax	1,687,864	-	-	-	1,687,864
Transient guest tax	-	-	199,588	428,449	628,037
Special assessment	-	21,548,028	-	-	21,548,028
	$ 37,830,777	$ 48,837,476	$ 4,055,196	$ 15,973,347	$ 106,696,796

The City's Property tax is levied each November 1 on the assessed value as of the prior January 1 for all property located in the City. November 1 also serves as the lien date. The assessed values are established by the Johnson County Assessor. The assessed value for property (excluding motor vehicle) located in the City as of November 1, 2021 on which the 2022 levy was based was $2,424,766,125

The City's property tax levies per $1,000 assessed valuation for the year ended December 31, 2022 were as follows:

Fund	Levy
General	$ 9.708
Special revenue	4.789
Debt service	9.744
	$ 24.241

The City's property taxes for 2022 were assessed in November of 2021 and distributed to the City in 2022 in accordance with state statutes. Property taxes are due in total by December 31 following the levy date, or they may be paid in equal installments if paid by December 20 (first installment) and the following May 10 (second installment).

State statutes prohibit the County Treasurer from distributing taxes collected in the year levied prior to January 1 of the ensuing year. Therefore, taxes levied in the current year are recorded as taxes receivable and deferred inflows of resources at year-end and are recognized as revenue, net of estimated uncollectible and delinquent amounts, in the year they become due.

4. Intergovernmental Receivables and Revenue

Amounts due from other governments as of December 31, 2022 are as follows:

	Major		Other	
	General	Capital Projects	Governmental Funds	Total
Federal				
Department of Housing and Urban Development	$ -	$ -	$ 60,671	$ 60,671
State				
Department of Revenue	150,218	-	1,297,768	1,447,986
Department of Transportation	19,912	220,617	-	240,529
Local				
Kansas City Area Transportation Authority	-	-	22,682	22,682
Johnson County	424,194	4,211,532	-	4,635,726
	$ 594,324	$ 4,432,149	$ 1,381,121	$ 6,407,594

Intergovernmental revenues for the year ended December 31, 2022 consisted of the following:

	Major		Other	
	General	Capital Projects	Governmental Funds	Total
Federal				
Department of Housing and Urban Development	$ -	$ -	$ 1,140,409	$ 1,140,409
State and Local Fiscal Recovery Funds	-	884,561	2,540,755	3,425,316
FEMA	-	-	336,354	336,354
State				
Liquor Tax	640,665	-	1,281,328	1,921,993
State Highway Connecting Links	79,000	-	-	79,000
Special Highway	-	-	3,923,753	3,923,753
Library State Aid	-	-	40,569	40,569
Department of Wildlife and Parks	-	-	6,803	6,803
Department of Transportation	-	1,966,867	17,366	1,984,233
Historical Society	-	-	89,476	89,476
County				
Street Improvements	-	8,973,587	-	8,973,587
Heritage Trust	-	-	5,200	5,200
Local				
MARC	-	-	29,204	29,204
Kansas City Area Transportation Authority	-	-	118,312	118,312
Unified School District 233	836,948	-	-	836,948
	$ 1,556,613	$ 11,825,015	$ 9,529,529	$ 22,911,157

5. Capital Assets

Capital Asset activity for the year ended December 31, 2022 was as follows:

	Beginning of Year	Additions	Retirements	End of Year
Governmental activities				
Capital assets, not being depreciated				
Land	$ 128,605,774	$ 448,374	$ 5,641,538	$ 123,412,610
Art collection	13,445	-	-	13,445
Kansas Room Collection / Genealogy	36,780	-	14,640	22,140
Construction in progress	226,762,325	69,987,013	31,704,498	265,044,840
Total capital assets, not being depreciated	355,418,324	70,435,387	37,360,676	388,493,035
Capital assets being depreciated				
Land improvements	66,753	400,000	-	466,753
Buildings	125,701,570	11,647,058	-	137,348,628
Machinery and equipment	87,133,295	14,096,001	2,857,949	98,371,347
Swimming pools	10,251,984	100,000	-	10,351,984
Infrastructure	867,543,251	17,718,490	-	885,261,741
Books and materials	4,339,604	430,837	299,700	4,470,741
Right-to-use asset	-	225,738	-	225,738
Total capital assets being depreciated	1,095,036,457	44,618,124	3,157,649	1,136,496,932
Less accumulated depreciation for				
Land improvements	(36,150)	(3,338)	-	(39,488)
Buildings	(39,841,799)	(3,125,432)	-	(42,967,231)
Machinery and equipment	(58,516,408)	(6,855,869)	(2,764,917)	(62,607,360)
Swimming pools	(8,282,132)	(229,517)	-	(8,511,649)
Infrastructure	(540,338,080)	(26,404,513)	-	(566,742,593)
Books and materials	(3,119,207)	(469,842)	(299,700)	(3,289,349)
Right-to-use asset	-	(55,245)	-	(55,245)
Total accumulated depreciation	(650,133,776)	(37,143,756)	(3,064,617)	(684,212,915)
Total capital assets being depreciated, net	444,902,681	7,474,368	93,032	452,284,017
Governmental activities capital assets, net	$ 800,321,005	$ 77,909,755	$ 37,453,708	$ 840,777,052

	Beginning of Year	Additions	Retirements	End of Year
Business-type activities				
Capital assets, not being depreciated				
Land	$ 4,659,930	$ 70,895	$ -	$ 4,730,825
Construction in progress	45,132,666	11,395,534	8,068,707	48,459,493
Total capital assets, not being depreciated	49,792,596	11,466,429	8,068,707	53,190,318
Capital assets being depreciated				
Buildings	33,778,295	-	-	33,778,295
Machinery and equipment	5,051,065	904,524	-	5,955,589
Water system	227,898,768	4,522,021	455,203	231,965,586
Sewer system	213,954,191	2,571,266	-	216,525,457
Total capital assets being depreciated	480,682,319	7,997,811	455,203	488,224,927
Less accumulated depreciation for				
Buildings	(15,777,352)	(819,694)	-	(16,597,046)
Machinery and equipment	(3,750,955)	(100,439)	-	(3,851,394)
Water system	(72,370,758)	(2,797,417)	-	(75,168,175)
Sewer system	(52,826,134)	(3,694,241)	(225,066)	(56,295,309)
Total accumulated depreciation	(144,725,199)	(7,411,791)	(225,066)	(151,911,924)
Total capital assets being depreciated, net	335,957,120	586,020	230,137	336,313,003
Business-type activities capital assets, net	$ 385,749,716	$ 12,052,449	$ 8,298,844	$ 389,503,321

Component unit	Beginning of Year	Additions	Retirements	End of Year
Capital assets, not being depreciated				
Land	$ 442,111	$ -	$ -	$ 442,111
Total capital assets, not being depreciated	442,111	-	-	442,111
Capital assets being depreciated				
Buildings and improvements	8,821,936	380,161	-	9,202,097
Machinery and equipment	245,304	34,164	2,327	277,141
Total capital assets being depreciated	9,067,240	414,325	2,327	9,479,238
Less accumulated depreciation for				
Buildings	(7,258,315)	(225,364)	-	(7,483,679)
Machinery and equipment	(214,829)	(6,522)	(2,327)	(219,024)
Total accumulated depreciation	(7,473,144)	(231,886)	(2,327)	(7,702,703)
Total capital assets being depreciated, net	1,594,096	182,439	-	1,776,535
Component units capital assets, net	$ 2,036,207	$ 182,439	$ -	$ 2,218,646

Depreciation expense was charged to functions/programs of the primary government as follows:

Government activities	
General government	$ 670,834
Public safety	1,064,919
Public works	28,200,615
Community services	1,180,102
Capital assets held by the government's internal service funds are charged to the various functions based on their usage of assets	6,027,286
Total depreciation expense for governmental activities	$ 37,143,756
Business-type activities	
Water and sewer	$ 7,340,271
Solid waste	71,520
Total depreciation expense for business-type activities	$ 7,411,791
Component Unit	
Olathe public housing authority	$ 231,886

6. Leases receivable

During the current fiscal year, the City had antenna site leases that were leased to third parties. The City recognized $26,450 in lease interest income during the current fiscal year related to these leases recorded in the Water and Sewer Fund. As of December 31, 2022, the City's receivable for lease payments was $2,800,715. Also, the City has a deferred inflow of resources associated with these leases that will be recognized as revenue over the lease terms. As of December 31, 2022, the balance of the deferred inflow of resources was $2,790,819.

7. Debt

Short-term debt

The following is a summary of the short-term debt transactions of the City for the year ended December 31, 2022.

	Beginning of Year	Additions	Retirements	End of Year	Due in One Year
Governmental					
Temporary notes	$ 49,531,641	$ 67,565,600	$ 49,531,641	$ 67,565,600	$ 67,565,600

	Interest Rate	Maturity Date	End of Year
Temporary Notes			
Street and sidewalk improvements	5.00%	1-Aug-23	$ 28,205,646
Citywide improvements	5.00%	1-Aug-23	39,359,954
			$ 67,565,600

Long-term debt

The following is a summary of long-term debt transactions for the year ended December 31, 2022.

	Beginning of Year	Transfers	Additions	Retirements	End of Year	Due in One Year
Governmental						
General obligation bonds	$ 221,315,000	$ 555,000	$ 19,800,000	$ 24,745,000	$ 216,925,000	$ 26,480,000
Special obligations bonds	20,077,454	-	-	1,725,453	18,352,001	14,612,001
Revenue bonds	2,860,000	-	3,025,000	120,000	5,765,000	220,000
Leases payable	108,759	-	116,979	54,889	170,849	55,896
Compensated absences	5,122,011	-	4,411,935	3,995,169	5,538,777	4,679,937
Total KPERS OPEB liability	1,898,768	-	151,768	849,759	1,200,777	-
Total OPEB liability	27,497,591	-	2,933,626	2,148,176	28,283,041	-
	278,879,583	555,000	30,439,308	33,638,446	276,235,445	46,047,834
Add: bond issuance premium	29,238,544	306,733	1,702,257	3,220,466	28,027,068	3,263,022
Deduct: bond discount	(1,579)	-	-	(126)	(1,453)	(126)
Total governmental debt	308,116,548	861,733	32,141,565	36,858,786	304,261,060	49,310,730
Business-type						
General obligation bonds	5,950,000	(555,000)	-	1,280,000	4,115,000	1,330,000
Revenue bonds	100,910,000	-	11,740,000	5,220,000	107,430,000	5,850,000
KDHE revolving loan	10,889,817	-	-	1,461,503	9,428,314	1,509,703
Compensated absences	1,127,932	-	899,166	879,787	1,147,311	980,423
Total KPERS OPEB liability	285,465	-	23,961	119,844	189,582	-
Total OPEB liability	3,276,750	-	325,958	220,613	3,382,095	-
	122,439,964	(555,000)	12,989,085	9,181,747	125,692,302	9,670,126
Add: bond issuance premium	6,109,622	(306,733)	661,215	786,657	5,677,447	762,591
Total business-type debt	128,549,586	(861,733)	13,650,300	9,968,404	131,369,749	10,432,717
Total primary government	$ 436,666,134	$ -	$ 45,791,865	$ 46,827,190	$ 435,630,809	$ 59,743,447

Projects financed in part by special assessments are financed by the issuance of general obligation bonds of the City and are backed by the full faith and credit of the City and are included within the General Obligation Bonds and are retired from the Debt Service Fund.

Upon authorization for the issuance of general obligation bonds for certain improvements, Kansas law permits temporary financing of such improvements by the issuance of general obligation notes. General obligation notes issued may not exceed the aggregate amount of bonds authorized, are interest bearing, and have a maturity date not later than four years from the date of issuance of such general obligation notes.

Compensated absences and OPEB liabilities have typically been liquidated by the General, Water and Sewer, Solid Waste, and Central Garage Funds.

The City's General Obligation Bonds constitute general obligations of the City payable as to both principal and interest from ad valorem taxes which may be levied without limitation as to rate or amount upon all

the taxable tangible property, real and personal, within the territorial limits of the City. The full faither, credit and resources of the City are irrevocably pledged for the prompt payment of the principal of and interest on the Bonds as the same become due.

Bonds

	Original Issue	Original Issue Interest Rate	Maturity Date	End of Year
General Obligation Bonds				
Governmental activities				
2014 Series 223 improvement bonds	9,315,000	1.50 - 5.00	1-Oct-24	$ 2,855,000
2014 Series 225 improvement bonds	12,905,000	1.00 - 3.90	1-Sep-35	9,580,000
2015 Series 226 improvement bonds	11,695,000	2.50 - 5.00	1-Oct-25	3,650,000
2015 Series 227 refunding	8,290,000	2.00 - 4.00	1-Oct-27	2,675,000
2016 Series 228 refunding and improvement	25,315,000	0.65 - 2.29	1-Oct-31	13,240,000
2016 Series 229 improvement	5,765,000	0.90 - 2.55	1-Oct-26	2,520,000
2017 Series 230 refunding and improvement	27,525,000	2.50 - 5.00	1-Oct-29	18,270,000
2018 Series 231 improvement bonds	34,170,000	4.00 - 5.00	1-Oct-28	22,445,000
2019 Series 232 improvement bonds	21,115,000	4.00 - 5.00	1-Oct-30	14,335,000
2020 Series 233 improvement bonds	29,365,000	2.00 - 3.00	1-Oct-31	22,565,000
2021 Series 234 improvement and refunding	93,050,000	1.75 - 4.25	1-Oct-41	84,990,000
2022 Series 235 improvement bonds	19,800,000	3.50 - 5.00	1-Oct-42	19,800,000
				216,925,000
Business-type activities				
2021 Series 234 improvement and refunding	5,395,000	1.75 - 4.25	1-Oct-41	4,115,000
Total General Obligation Bonds				$ 221,040,000

	Original Issue	Original Issue Interest Rate	Maturity Date	End of Year
Governmental activities				
Special Obligation Bonds				
2006 Series Olathe Gateway TIF	$ 13,030,000	4.75 - 5.00	1-Mar-26	$ 6,830,201
2006 Series Olathe Gateway TDD	9,195,000	4.75 - 5.00	1-Dec-28	6,481,800
2007 Series West Village TIF	16,565,000	5.00 - 5.50	1-Sep-26	5,040,000
				$ 18,352,001

2006 Olathe Gateway TIF

The City has pledged 100% of the incremental increase in ad valorem tax revenues and 100% of the incremental increase in the City's sales tax revenues to repay the $13,030,000 in tax increment financing bonds issued in December 2006 to finance the redevelopment of the Olathe Gateway. The bonds are payable solely from the incremental ad valorem and sales taxes generated by Olathe Gateway. Incremental taxes were projected to produce $21,199,063, payable through September 2026. As of December 31, 2022, total principal and interest remaining on the bonds was $10,591,381. For 2022, principal and interest paid and total incremental tax revenues were $325,189 and $174,811, respectively.

Due to the insufficiency of funds to cover the principal on the bonds for the September 1, 2011, debt service payment, the Trustee has determined that an "event of default" has occurred under the Indenture and has declared the principal of all bonds outstanding and the interest accrued thereon to be immediately due and payable. The bonds are special, limited obligations of the City. Neither the bonds nor the interest thereon constitute a general obligation or indebtedness of, nor is the payment thereof guaranteed by the City.

2006 Olathe Gateway TDD

The City has pledged 100% of the transportation development district sales tax (1%) on the selling of tangible personal property or rendering or furnishing of services within the transportation district to repay the $9,195,000 in transportation development district bonds issued in December 2006 to finance the redevelopment of the Olathe Gateway. The bonds are payable solely from the transportation development district tax revenue generated by Olathe Gateway. Incremental taxes were projected to produce $19,042,625 over the life of the bonds. As of December 31, 2022, total principal and interest remaining on the bonds was $10,204,712, payable through December 2028. For 2022, principal and interest paid and total incremental tax revenues were $195,264 and $109,736, respectively.

Due to the insufficiency of funds to cover the principal on the bonds for the June 1, 2011, debt service payment, the trustee has determined that an "event of default" has occurred under the indenture and has declared the principal of all bonds outstanding and the interest accrued thereon to be immediately due and payable. The bonds are special, limited obligations of the City. Neither the bonds nor the interest thereon constitute a general obligation or indebtedness of, nor is the payment thereof guaranteed by the City.

2007 West Village TIF

The City has pledged 100% of the incremental increase in ad valorem tax revenues and 100% of the incremental increase in the City's sales tax revenues to repay the $16,565,000 in tax increment financing bonds issued in July 2007 to finance the redevelopment of the West Village. The bonds are payable solely from the incremental ad valorem and sales taxes generated by the West Village. Incremental taxes were projected to produce $32,108,898 over the life of the bonds. As of December 31, 2022, total principal and interest remaining on the bonds was $5,299,600, payable through March 2026. For 2022, principal and interest and total incremental tax revenues were $1,205,000 and $326,659, respectively.

Governmental activities				
2019 Stormwater System revenue bonds	3,225,000	3.00 - 5.000	1-Oct-38	$ 2,740,000
2022 Stormwater System revenue bonds	3,025,000	4.00 - 5.000	1-Oct-42	3,025,000
Total governmental activities				5,765,000
Business-type activities				
2012 Water and Sewer System revenue bonds	9,585,000	2.00 - 3.000	1-Jul-32	5,280,000
2015 Water and Sewer System revenue bonds	18,895,000	2.00 - 5.000	1-Jul-35	13,675,000
2017 Water and Sewer System revenue bonds	11,340,000	3.00 - 4.000	1-Jul-37	8,755,000
2018 Water and Sewer System revenue bonds	11,580,000	3.00 - 5.000	1-Jul-38	9,965,000
2019 Water and Sewer System revenue bonds	16,360,000	3.00 - 5.000	1-Jul-39	14,395,000
2020 Water and Sewer System revenue bonds	16,360,000	3.00 - 5.000	1-Jul-39	11,240,000
2021 Water and Sewer System revenue bonds	35,270,000	2.00 - 4.000	1-Jul-41	32,380,000
2022 Water and Sewer System revenue bonds	11,740,000	4.00 - 5.000	1-Jul-42	11,740,000
Total business-type activities				107,430,000
Total revenue bonds				$ 113,195,000

KDHE revolving loans

The City entered into a loan agreement with KDHE for the Cedar Creek Wastewater Treatment Plant Sludge Project. The loan was entered into on July 16, 2003 with an interest rate of 2.69% and a maximum amount of $2,207,863. As of December 31, 2022, $2,207,863 had been drawn on this loan and the payback amount was $280,056. Principal payments of $134,015 were made in 2022. The payback period for the amount of the loan remaining is 2 years. The loan payment began in 2005 when the project was completed.

The City entered into a loan agreement with KDHE for the Cedar Creek Wastewater Treatment Plant Pump Station Project. The loan was entered into on March 7, 2006 with an interest rate of 2.42% and a maximum amount of $768,500. As of December 31, 2022, $768,500 had been drawn on this loan and the payback amount was $203,747. Principal payments of $47,648 were made in 2022. The payback period for the amount of the loan remaining is 4 years. The loan payment began in 2007 when the project was completed.

The City entered into a loan agreement with KDHE for the 42" Finished Water Transmission Project. The loan was entered into on November 13, 2007 with an interest rate of 3.11% and a maximum amount of $16,883,916. As of December 31, 2022, $16,883,916 had been drawn on this loan and the payback amount was $6,938,568. Principal payments of $1,023,836 were made in 2022. The payback period for the amount of the loan remaining is 6 years. The loan payment began in 2009 when the project was completed.

The City entered into a loan agreement with KDHE for the Cedar Creek Wastewater Treatment Plant Expansion Project. The loan was entered into on March 9, 2009 with an interest rate of 2.55% and a maximum amount of $4,221,984. As of December 31, 2022, $4,221,984 had been drawn on this loan and the payback amount was $2,005,943. Principal payments of $256,004 were made in 2022. The payback period for the amount of the loan remaining is 7 years. The loan payment began in 2010 when the project was completed.

Annual debt service requirements to maturity for Governmental Activities are as follows:

	Governmental Activities							
	General Obligation Bonds		Revenue Bonds		Special Obligation Bonds		Totals	
Year	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2023	$ 26,480,000	$ 8,342,128	$ 220,000	$ 238,587	$ 14,612,001	$ 7,743,692	$ 41,312,001	$ 16,324,407
2024	26,370,000	7,210,170	230,000	227,588	1,405,000	186,588	28,005,000	7,624,346
2025	25,715,000	6,088,033	240,000	216,087	1,515,000	107,938	27,470,000	6,412,058
2026	24,725,000	5,003,045	255,000	204,088	820,000	22,550	25,800,000	5,229,683
2027	23,315,000	4,079,989	265,000	191,338	-	-	23,580,000	4,271,327
2028 - 2032	72,300,000	8,890,059	1,505,000	771,738	-	-	73,805,000	9,661,797
2033 - 2037	11,120,000	1,682,278	1,820,000	451,688	-	-	12,940,000	2,133,966
2038 - 2042	6,900,000	493,625	1,230,000	138,392	-	-	8,130,000	632,017
	216,925,000	41,789,327	5,765,000	2,439,506	18,352,001	8,060,768	241,042,001	52,289,601
Due within one year	26,480,000	8,342,128	220,000	238,587	14,612,001	7,743,692	41,312,001	16,324,407
Due in more than one year	$ 190,445,000	$ 33,447,199	$ 5,545,000	$ 2,200,919	$ 3,740,000	$ 317,076	$ 199,730,000	$ 35,965,194

Annual debt service requirements to maturity for Business-type Activities are as follows:

	Business-type Activities							
	General Obligation Bonds		Revenue Bonds		KDHE Revolving Loan		Totals	
Year	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2023	$ 1,330,000	$ 174,887	$ 5,850,000	$ 3,496,794	$ 1,509,703	$ 268,357	$ 8,689,703	$ 3,940,038
2024	1,360,000	118,363	6,075,000	3,273,062	1,559,505	223,428	8,994,505	3,614,853
2025	1,425,000	60,564	6,305,000	3,036,863	1,464,683	177,984	9,194,683	3,275,411
2026	-	-	6,575,000	2,785,562	1,513,521	133,983	8,088,521	2,919,545
2027	-	-	6,840,000	2,528,338	1,509,594	88,832	8,349,594	2,617,170
2028 - 2032	-	-	35,970,000	8,976,538	1,871,308	49,113	37,841,308	9,025,651
2033 - 2037	-	-	30,210,000	3,900,894	-	-	30,210,000	3,900,894
2038 - 2042	-	-	9,605,000	738,212	-	-	9,605,000	738,212
	4,115,000	353,814	107,430,000	28,736,263	9,428,314	941,697	120,973,314	30,031,774
Due within one year	1,330,000	174,887	5,850,000	3,496,794	1,509,703	268,357	8,689,703	3,940,038
Due in more than one year	$ 2,785,000	$ 178,927	$ 101,580,000	$ 25,239,469	$ 7,918,611	$ 673,340	$ 112,283,611	$ 26,091,736

The City has pledged future water customer revenues, net of specified operating expenses, to repay $113,195,000 ($5,280,000 Series 2012, $13,675,000 Series 2015, $8,755,000 Series 2017, $9,965,000 Series 2018, $17,135,000 Series 2019, $11,240,000 Series 2020, $32,380,000 Series 2021, and $14,765,000 Series 2022) in water system revenue bonds. Proceeds from the bonds provide financing for several new improvements to the City's water and sewer system. The bonds are payable solely from water customer net revenues and are payable through 2042. The total principal and interest remaining to be paid on the bonds is $144,370,769. Principal and interest paid for the current year were $5,220,000 and $3,168,331, respectively.

	Water & Sewer Revenue Bonds					
Fiscal Year	Revenues	Current Expenses	Net Revenue Available for Debt Service	Principal Requirement	Interest Requirement	Coverage
2022	$ 58,544,396	$ 36,688,770	$ 21,855,626	$ 5,220,000	$ 3,168,331	2.61

K.S.A. 10-308 restricts the level of the authorized and outstanding bonded indebtedness of the City to not more than 30% of the assessed valuation of the City. For purposes of calculating the legal debt margin of the City, the following types of bonds are excluded from the total indebtedness of the City: (a) bonds issued for the purpose of acquiring, enlarging, extending, or improving any storm or sanitary sewer system or any municipal utility, and (b) bonds issued to pay for the costs of improvements to intersections of streets and alleys or that portion of any street immediately in front of City or school district property.

GO Bonds and Revenue Bonds

The City issued Series 235 General Obligation Bonds on July 19, 2022 in the amount of $19,800,000. The bonds will be used for the purpose of permanently financing the costs of certain public improvements. The bonds have interest rates ranging from 3.50% to 5.00% with a final maturity of October 1, 2042.

The City issued Series 2022 revenue bonds on July 12, 2022 in the amount of $11,740,000 for the purpose of acquiring, constructing, reconstructing, altering, repairing, improving, extending or enlarging the operation of its water and sewer system. The bonds have interest rates ranging from 4.00% to 5.00% with a final maturity of July 1, 2042.

The City issued Series 2022 revenue bonds on July 12, 2022 in the amount of $3,025,000 for the purpose of repairing, altering, extending, reconstructing, enlarging, or improving the operation of its stormwater system. The bonds have interest rates ranging from 4.00% to 5.00% with a final maturity of October 1, 2042.

As of December 31, 2022, based on the assessed valuation as of December 15, 2022 of $2,424,766,125, the general obligation debt limit was $727,429,838 which, after reduction for outstanding eligible general obligation bonds and notes totaling $286,780,000 and amounts available for debt service of $94,703,155, provides a general obligation debt margin of $345,946,683.

Leases payable

During the current year, the City leased office equipment from a third-party. The initial term was for 4 years with a remaining term of 3 years. As of December 31, 2022, the value of the lease liability was $170,849. The City is required to make monthly principal and interest payments of $4,658. The lease has an interest rate of .55%. The value of the right-to-use asset as of the end of the current fiscal year was $225,738 and had accumulated depreciation of $55,245.

Annual lease payable requirements to maturity for Governmental Activities are as follows:

Year	Principal	Interest
2023	$ 55,092	$ 804
2024	55,397	499
2025	55,704	192
2026	4,656	2
	$ 170,849	$ 1,497

8. Fund Balances

In the fund financial statements, governmental funds report fund balance in five different classifications.

a. Nonspendable. Assets legally or contractually required to be maintained or are not in spendable form. Such constraint is binding until the legal requirement is repealed or the amounts become spendable.
b. Restricted. Assets with externally imposed constraints, such as those mandated by creditors, grantors, and contributors, or laws and regulations. Such constraint is binding unless modified or rescinded by the applicable external body, laws, or regulations.
c. Committed. Assets with a purpose formally imposed by ordinance by the City Council, binding unless modified or rescinded by the City Council.
d. Assigned. Assets constrained by the expressed written intent of the City Council (only possible if any fund balance is budgeted to be used in the next year), City Manager, Director of Resource Management, or designee. The designee is only allowed to assign for the purpose of encumbrances. Various people are allowed to approve encumbrances based upon the dollar amount per the City Council approved Purchasing Policy. Encumbrances shall be considered as assigned unless they specifically meet the requirements to be restricted or committed.

e. Unassigned. All amounts not included in the other fund balance classifications. The general fund shall be the only fund to report positive unassigned fund balance. All other governmental funds may report negative unassigned fund balance.

For unrestricted fund balance, committed amounts should be reduced first, followed by assigned amounts, followed by unassigned amounts. It is the goal of the City to maintain a minimum fund balance in the general fund of 15% of revenues, with an annual target of 30% of revenues. The following chart details the components of fund balance for the City at December 31, 2022.

	Major				Nonmajor	
	General	Debt Service	Special Tax Financing	Capital Projects	Other Governmental Funds	Total Governmental Funds
Fund Balances:						
Non Spendable:	$ 568,761	$ -	$ -	$ -	$ 40,500	$ 609,261
Restricted for:						
Debt service	-	73,329,071	9,655,280	-	-	82,984,351
Public works - motor fuel tax	-	-	-	-	397,293	397,293
Public works - street maintenance sales tax	-	-	-	-	7,970,639	7,970,639
Community services - special alcohol	-	-	-	-	1,227,324	1,227,324
Community services - special park & recreation	-	-	-	-	2,952,688	2,952,688
Community services - Park sales tax	-	-	-	-	4,883,549	4,883,549
Community services - grants	-	-	-	-	4,646,914	4,646,914
Community services - reimbursable programs	-	-	-	-	40,766	40,766
General government - reimbursable programs	-	-	-	-	1,043,767	1,043,767
General government - library	-	-	-	-	4,646,696	4,646,696
Committed to:						
Public works - storm water	-	-	-	-	2,766,543	2,766,543
Public works - future street improvement	-	-	-	-	10,173,302	10,173,302
Community services - Recreation	-	-	-	-	264,899	264,899
Community services - Cemetary	-	-	-	-	206,163	206,163
General government - Economic Development	-	-	-	-	2,199,168	2,199,168
Assigned to:						
General government encumbrances	3,948,318	-	-	-	-	3,948,318
Unassigned:	50,883,642	-	-	(13,016,986)	-	37,866,656
Total fund balances:	$ 55,400,721	$ 73,329,071	$ 9,655,280	$ (13,016,986)	$ 43,460,211	$ 168,828,297

Deficit fund equity

At December 31, 2022, the Capital Projects fund, a major fund, had a deficit fund balance of $13,016,986. The deficit is attributed to spending resources obtained through the issuance of long-term debt in the prior period on capital improvements. That is, the fund balance that resulted from the previous long-term debt issuance was spent down during the current period as the related capital projects progressed.

Another reason for the decrease in fund balance in the current year is due to the use of short-term debt. In the case of the capital projects funds, temporary notes were issued to finance expenditures of certain capital projects. When issued, temporary notes are reported as a liability on the balance sheet, with no effect on the fund balance (i.e., proceeds = liability for debt). However, as proceeds as spend, the related expenditures cause a decrease in fund balance. Temporary notes in the amount of $67,565,660 remained outstanding and were reported as a liability in the capital projects funds at year end, while less than $12,000,000 of the proceeds remained unspent.

The City of Olathe intends to issue long-term bonds to replace these temporary notes as capital projects are completed. The issuance of the bonds will eliminate the fund balance deficit in the capital projects funds.

9. Interfund Activities

Interfund transactions for the year were as follows:

	Transfer to							
	Major					Internal	Other	
Transfers from	General	Debt Service	Capital Projects	Water & Sewer	Solid Waste	Service Funds	Governmental Funds	Total
General	$ -	$ 6,334,841	$ 10,512,629	$ -	$ -	$ -	$ 425,653	$ 17,273,123
Capital Projects	557,679	2,918,725	-	674,688	4,438	49,476	8,107,708	12,312,714
Other Governmental Funds	8,164,548	1,573,661	21,416,612	44,999	-	-	160	31,199,980
Debt Service	-	-	-	-	-	-	326	326
Special financing	573,961	-	-	-	-	-	191,423	765,384
Proprietary Funds								
Water and sewer	-	-	215,932	-	-	-	-	215,932
Solid waste	-	-	1,351,591	-	-	-	-	1,351,591
Internal service funds	-	-	35,531	-	-	-	-	35,531
Total proprietary funds	-	-	1,603,054	-	-	-	-	1,603,054
Totals	$ 9,296,188	$ 10,827,227	$ 33,532,295	$ 719,687	$ 4,438	$ 49,476	$ 8,725,270	$ 63,154,581

Transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, including transfers from the fire levy and motor fuel tax funds to the general fund, (2) move receipts restricted to debt service from funds collecting the receipts to the debt service fund as debt service payments are due, and (3) use unrestricted revenues collected in various funds to finance various programs accounted for in other funds in accordance with budgetary authorization, including year-end transfers to fund projects within the capital projects and water and sewer funds. Any transfers within the government funds have been eliminated in the government-wide statement of activities.

Further, during the year ended December 31, 2022, the City of Olathe made the following one-time transfers:

- Transfer of $765,384 from the special tax financing fund to the park sales tax, street maintenance sales tax, and general fund to reallocate sales taxes assigned to a redevelopment that had not submitted an approved plan.
- Transfers totaling $10,512,629 from the general fund to the capital projects fund to cash finance various projects to align with the City's five-year capital improvement plan.
- Transfer of $14,500,000 from street maintenance sales tax fund to the capital projects fund to cash finance street maintenance projects to align with the City's five-year capital improvement plan.
- Transfer of $557,679 from capital projects fund to the general fund to return remaining funds after project closeout.

Interfund receivable/payable balances as of December 31, 2022 were as follows:

	Receivables	Payables
Fund Statements		
General	$ 601,435	$ -
Other governmental funds	-	599,931
Internal service funds	1,289,528	1,504
Capital projects	-	1,289,528
	$ 1,890,963	$ 1,890,963
Government-Wide Statements		
Governmental	$ (11,663,092)	$ -
Business-type	-	11,663,092

10. Pension Plans

Plan description

The City participates in the Kansas Public Employees Retirement System (KPERS), a cost-sharing multiple-employer defined benefit pension plan as provided by K.S.A. 74-4901, et. seq. Kansas law establishes and amends benefit provisions. KPERS issues a publicly available financial report that includes financial statements and required supplementary information. KPERS' financial statements are included in its Annual Comprehensive Financial Report which can be found on the KPERS website at http://www.kpers.org or by writing to KPERS (611 South Kansas, Suite 100, Topeka, KS 66603) or by calling 1-888-275-5737.

Benefits provided

KPERS provides retirement benefits, life insurance, disability income benefits, and death benefits. Benefits are established by statute and may only be changed by the General Assembly. Member employees (except Police and Firemen) with ten or more years of credited service, may retire as early as age 55 (Police and Firemen may be age 50 with 20 years of credited service), with an actuarially reduced monthly benefit. Normal retirement is at age 65, age 62 with ten years of credited service, or whenever an employee's combined age and years of credited service equal 85 "points" (Police and Firemen's normal retirement ages are age 60 with 15 years of credited service, age 55 with 20 years, age 50 with 25 years, or any age with 36 years of service).

Monthly retirement benefits are based on a statutory formula that includes final average salary and years of service. When ending employment, member employees may withdraw their contributions from their individual accounts, including interest. Member employees who withdraw their accumulated contributions lose all rights and privileges of membership. The accumulated contributions and interest are deposited into and disbursed from the membership accumulated reserve fund as established by K.S.A. 74-4922.

Member employees chose one of seven payment options for their monthly retirement benefits. At retirement a member employee may receive a lump-sum payment of up to 50% of the actuarial present value of the member employee's lifetime benefit. His or her monthly retirement benefit is then permanently reduced based on the amount of the lump-sum. Benefit increases, including ad hoc post-retirement benefit increases, must be passed into law by the Kansas Legislature. Benefit increases are under the authority of the Legislature and the Governor of the State of Kansas.

For all pension coverage groups, the retirement benefits are disbursed from the retirement benefit payment reserve fund as established by K.S.A. 74-4922.

Contributions

K.S.A. 74-4919 and K.S.A. 74-49,210 establish the KPERS member-employee contributions rates. KPERS has multiple benefit structures and contribution rates depending on whether the employee is a KPERS 1, KPERS 2 or KPERS 3 member. KPERS 1 members are active and contributing members hired before July 1, 2009. KPERS 2 members were first employed in a covered position on or after July 1, 2009, and KPERS 3 members were first employed in a covered position on or after January 1, 2015. Effective January 1, 2015, Kansas law established the KPERS member-employee contribution rate at 6% of covered salary for KPERS 1, KPERS 2 and KPERS 3 members. K.S.A. 74-4975 establishes the Police and Firemen (KP&F) member-employee contribution rate at 7.15% of covered salary. Member contributions are withheld by their employer and paid to KPERS according to the provisions of Section 414(h) of the Internal Revenue Code.

State law provides that the employer contribution rates for KPERS 1, KPERS 2, KPERS 3 and KP&F be determined based on the results of each annual actuarial valuation. KPERS is funded on an actuarial reserve basis. Kansas law sets a limitation on annual increases in the employer contribution rates. The actuarially determined employer contribution rate and the statutory contribution rate (not including the 1.00% contribution rate for the Death and Disability Program) was 8.90% for KPERS and 22.99% for KP&F for the fiscal year ended December 31, 2022.

Contributions to the pension plan from the City were $3,976,485 for KPERS and $7,031,807 for KP&F for the year ended December 31, 2022.

Employer Allocations

Although KPERS administers one cost sharing multiple-employer defined benefit pension plan, separate (sub) actuarial valuations are prepared to determine the actuarial determined contribution rate by group. Following this method, the measurement of the collective net pension liability, deferred outflows of resources, deferred inflows of resources, and pension expense are determined separately for each group of the plan. The City participates in the local (KPERS) group and the Police and Firemen (KP&F) group.

The allocation percentages for the City's share of the collective pension amounts as of June 30, 2022 and 2021 were based on the ratio of its contributions to the total of the employer and nonemployer contribution group for the fiscal years ended June 30, 2022 and 2021, respectively. The contributions used exclude contributions made for prior service, excess benefits, and irregular payments. At June 30, 2022, the City's proportion was 2.12% for the local plan, which was an increase of .01% from June 30, 2021, and 4.96% for the police and firemen plan, which was an increase of .13% from June 30, 2021.

Net Pension Liability

As of December 31, 2022 and 2021, the City reported a liability of $113,751,776 ($42,221,071 for local government employees and $71,530,705 for police and firemen) and $71,372,307 ($25,279,789 for local government employees and $46,092,518 for police and firemen), respectively, for its proportionate share of the net pension liability.

The total pension liability for KPERS in the December 31, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Price inflation	2.75%
Salary increases, including wage increases	3.50% to 12.00%, including inflation
Long-term rate of return, net of investment expense, and including price inflation	7.00%

Mortality rates were based on the RP 2014 Mortality Tables, with age setbacks and age set forwards as well as other adjustments based on different membership groups. Future mortality improvements are anticipated using Scale MP-2016.

The actuarial assumptions used in the December 31, 2021 valuation were based on the results of an actuarial experience study conducted for the three-year period beginning January 1, 2016. The experience study is dated January 7, 2020.

The actuarial assumptions changes adopted by the Pension Plan for all groups based on the experience study were as follows:

- Investment return assumption was lowered from 7.25% to 7.00%.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage. Best estimates of arithmetic real rates of return for each major asset class as of the most recent experience study dated January 7, 2020, as provided by KPERS' investment consultant, are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
U.S. equities	23.50%	5.20%
Non-U.S. equities	23.50	6.40
Private equity	8.00	9.50
Private real estate	11.00	4.45
Yield driven	8.00	4.70
Real return	11.00	3.25
Fixed income	11.00	1.55
Short-term investments	4.00	0.25
Total	100.00%	

Discount Rate

The discount rate used by KPERS to measure the total pension liability at June 30, 2022 was 7.00%. The discount rate used to measure the total pension liability at the prior measurement date of June 30, 2021 was 7.25%. The projection of cash flows used to determine the discount rate was based on member and employer contributions. The local employers do not necessarily contribute the full actuarial determined rate. Based on legislation passed in 1993 and subsequent legislation, the employer contribution rates certified by the KPERS' Board of Trustees for this group may not increase by more than the statutory cap. The statutory cap for the state fiscal year 2022 was 1.2%. The local employers are currently contributing the full actuarial contribution rate. Employers contribute the full actuarial determined rate for KP&F. The expected employer actuarial contribution rate was modeled for future years for these groups, assuming all actuarial assumptions are met in the future years. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the City's proportionate share of the collective net pension liability to changes in the discount rate.

The following presents the City's proportionate share of the collective net pension liability calculated using the discount rate of 7.00%, as well as what the City's proportionate share of the collective net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00%) or 1-percentage-point higher (8.00%) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
Local government	$ 60,651,934	$ 42,221,071	$ 26,865,486
Police and Firemen	98,114,832	71,530,705	49,411,179
Total	$ 158,766,766	$ 113,751,776	$ 76,276,665

Pension Expense

For the year ended December 31, 2022, the City recognized pension expense of $18,004,092 ($6,141,479 local government employees and $11,862,613 for police and firemen), which includes the changes in the collective net pension liability, projected earning on pension plan investments, and the amortization of deferred outflows of resources and deferred inflows of resources for the current period.

Deferred Outflows of Resources and Deferred Inflows of Resources

At December 31, 2022, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources Governmental Activities	Deferred Inflows of Resources Governmental Activities	Deferred Outflows of Resources Business Type	Deferred Inflows of Resources Business Type	Total Deferred Outflows of Resources	Total Deferred Inflows of Resources
Differences between actual and expected experience	$ 3,961,362	$ 64,665	$ 671,085	$ 11,014	$ 4,632,447	$ 75,679
Net differences between projected and actual earnings on investments	7,254,317	-	1,228,939	-	8,483,256	-
Changes in assumptions	13,631,644	-	2,309,308	-	15,940,952	-
Changes in proportion	2,333,685	1,589,424	395,345	270,711	2,729,030	1,860,135
Contributions after measurement date	5,123,469	-	867,956	-	5,991,425	-
Total	$ 32,304,477	$ 1,654,089	$ 5,472,633	$ 281,725	$ 37,777,110	$ 1,935,814

Contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent year. The remaining amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31:	KPERS	Police and Firemen
2023	$ 3,403,417	$ 5,403,748
2024	2,996,814	4,625,226
2025	1,304,860	2,385,322
2026	3,815,535	5,522,577
2027	152,158	240,214
Thereafter	-	-
Total	$ 11,672,784	$ 18,177,087

11. Commitments and Contingent Liabilities

Reimbursable Developer's Cost

The City has pledged revenues (property tax and sales tax) from development areas to repay eligible developers' costs associated with each project. These obligations represent redeveloper project costs that have been certified as eligible for reimbursement from the incremental taxes attributable to each project. The City is only obligated for the amounts of incremental taxes received attributable to the projects. Any deficiencies are the responsibility of the developer. The remaining certified project costs to be repaid as of December 31, 2022 totaled $33,363,291.

Encumbrances

The City uses encumbrances to control expenditure commitments for the year and to enhance cash management. Encumbrances represent commitments related to executory contracts not yet performed and purchaser orders not yet filled. Commitments for such expenditure of monies are encumbered to reserve a portion of applicable appropriations. Encumbrances still open at year-end are not accounted for as expenditures and liabilities, but rather, as restricted, committed, or assigned fund balance. Listed below are the encumbrances in governmental funds for the City as of December 31, 2022.

	Total Governmental Funds
General	$ 3,948,318
Nonmajor	240,061
Capital projects	46,898,567
Total encumbrances	$ 51,086,946

Commitments

As of December 31, 2022, uncompleted capital project authorizations compared with project costs from inception (excluding expenditures for general obligation notes, general obligation note interest, note and bond issuance costs and transfers of unused funds back to the funding source) were as follows:

	Project Authorizations	Costs - Project Inception to December 31, 2022
Street improvements	$ 417,650,781	$ 225,964,198
Citywide improvements	205,514,307	180,843,299
Water and sewer lines	89,812,927	59,217,597
	$ 712,978,015	$ 466,025,094

The City has entered into an agreement with Johnson County Indian Creek Middle Basin Main Sewer District No. 1 (the Sewer District) for the transportation and treatment of sewage. The agreement, which is effective for a period of 99 years from August 28, 1984, provides for the transportation of sewage to the county treatment plant and sets billing standards. The City will be billed by the Sewer District for operation, and maintenance, and capital improvements costs in the same manner as other Sewer District users. The City will then be responsible for allocating these costs to City property owners.
The City has estimated the costs to be billed under the agreement for the next three years to be as follows:

	Operation and Maintenance	Capital Improvements	Total
2023	$ 3,420,594	$ 900,649	$ 4,321,243
2024	3,591,624	945,682	4,537,306
2025	3,771,205	992,966	4,764,171

Litigation

There are claims and/or lawsuits to which the City is a party as a result of law enforcement activities, injuries and various other matters and complaints arising in the ordinary course of City activities. The City's management and legal counsel anticipate that potential claims against the City not covered by insurance would not materially affect the financial position of the City.

12. Risk Management

The City's risk management activities are reported separately in an Internal Service Fund. The City's risk management activities cover both the primary reporting unit and discretely presented component unit, the Authority. The insurance programs administered are property and various types of liability. The City uses a commercial insurance program with various levels of coverage.

The City has a deductible of $50,000 per occurrence for all property damage losses with the exception of windstorm/hail losses which has deductibles ranging from $50,000 to $100,000 per location. Liability deductibles are $25,000 per occurrence for auto liability, $25,000 per occurrence for general liability losses, $50,000 per occurrence for police liability losses, and $50,000 per occurrence for public official liability and employment practices losses. Property damage claims to City vehicles are subject to a $5,000 per vehicle deductible. The City maintains a loss reserves fund for pending claims and for claims incurred, but not reported. The City believes that there is no potential liability as of December 31, 2022 which will exceed coverage and the funds reserved. There were no significant reductions in insurance coverage during 2022. No significant settlements in excess of insurance coverage have been paid in the last three years.

Effective January 1, 1998, the City was granted a self-insured permit by the Kansas Workers' Compensation Division. The City had previously been a member of a self-insured pool for 11 years. As a stand-alone workers' compensation self-insured, the City must comply with very strict procedural and funding standards monitored by the Kansas Workers' Compensation Division. The City has recorded a liability of $1,742,893 that represents the estimated future cost of claims made and claims incurred, but not reported at December 31, 2022. All is considered due within one year and is included in accounts and claims payable in the Statement of Net Position.

Changes in the balances of workers' compensation claims liabilities during the past two years are as follows:

	Beginning of Year	Additions	Deletions	End of Year
2021	$ 789,450	$ 370,735	$ 540,697	$ 619,488
2022	619,488	1,808,478	685,073	1,742,893

Employee health and dental insurances are self-insured by the City. The City has an accrued liability for various insurance claims payable including claims incurred, but not yet paid of $1,168,800 at December 31, 2022. All is considered due within one year and is included in accounts and claims payable in the Statement of Net Position.

Changes in the balances of health and dental insurance claims liabilities during the past two years are as follows:

	Beginning of Year	Additions	Deletions	End of Year
2021	$ 1,006,300	$16,535,916	$ 16,367,116	$ 1,175,100
2022	1,175,100	15,067,448	15,073,748	1,168,800

The risk management claims payable are based on claims adjusters' and management's evaluations and a third party administrator's review of experience with respect to the probable number and nature of claims arising from losses that have been incurred, but not reported. The liability includes the estimated ultimate cost of settling the claims, including incremental costs, the effects of inflation and other societal and economic factors. Other nonincremental costs are not included in the basis of estimating the liability.

13. Landfill Closure

In October 1993, the City ceased landfill operations. In 1994, the City sold $1,015,000 of Solid Waste Revenue Bonds to finance closure and postclosure costs of the landfill and to construct a transfer station for waste collection and distribution to a regional landfill.

The Environmental Protection Agency (EPA), through the Kansas Department of Health and Environment, requires the former site to be capped. This cap must be inspected for erosion, and the ground water samples must be tested annually. In December 1995 the City obtained an environmental engineer study of the landfill to evaluate the ultimate postclosure liability in accordance with EPA regulations, state regulations and GASB Statement No. 18, *Accounting for Municipal Solid Waste Landfill Closure and Solid Waste Enterprise Fund*. Based on the information from the study no liability has been accrued and postclosure care costs will be expensed as incurred. The City will continue to evaluate the ultimate postclosure care cost annually. In the event that a material liability is estimated, the City will accrue the liability at that financial statement date. Total current cost of landfill closure and postclosure care is an estimate and subject to changes resulting from inflation, deflation, technology, or changes in applicable laws or regulations.

14. Postemployment Benefits Other than Pension Benefits (OPEB)

Plan Description

The City's health plan is self-funded. The City has a single employer plan for retirees health benefit. The benefit plan is authorized by Personnel Code Article III, Section 4 Group Insurance B and K.S.A. 12-5040. Retirees have the option to continue with the City plan and pay the monthly premium. Retirees who retire under the KPERS requirements are eligible for benefits. The City offers major medical health insurance, prescription coverage, and dental insurance. The City's OPEB liability is normally liquidated in the General Fund, the Water and Sewer Fund, and the Solid Waste Fund. Retiree health coverage is provided for under Kansas Statute 12-5040.

Retirees and spouses have the same benefits as active employees. Retiree coverage terminates either when the retiree becomes covered under another employer health plan or when the retiree reaches Medicare eligibility age which is currently age 65. Spousal coverage is available until the retiree becomes covered under another employer health plan, attains Medicare eligibility age, or dies.

Funding Policy

The current plan is financed on a pay as you go basis. The retirees pay the same premium established for active employees. The City did not contribute to the plan. The plan does not qualify as a trust.

At January 1, 2022, the following employees were covered by the benefit terms:

	Governmental	Business-type
Active employees	675	199
Retirees and covered spouses	108	18
	783	217

The total OPEB liability of $31,665,136 was measured as of December 31, 2022 and was determined by an actuarial valuation as of January 1, 2022.

The total OPEB liability in the December 31, 2022 actuarial valuation was determined using the following assumptions and other inputs, applied to all periods in the measurement, unless otherwise specified.

Acturial cost method	Entry age normal as a level percentage of payroll
Inflation	2.75%
Salary increase	3.50%
Discount rate	4.18%
Healthcare cost trend rate	Medical & Pharmacy: 7.00% for 2022, decreasing to an ultimate rate of 4.50% for 2030 and later years

The discount rate was based on an index rate for S&P Municipal Bond 20-year High Grade and the Fidelity GO AA-20 Years indexes.

Mortality rates were based on the Society of Actuaries Pub-2010 Public Retirement Plans Headcount-weighted General and Public Safety Mortality Tables using Scale MP-2021 Full Generational Improvement.

Changes in the total OPEB liability are as follows:

Total OPEB Liability - Beginning of Year	$ 30,774,341
1. Service cost	1,535,344
2. Interest cost	640,288
3. Changes in benefit terms	-
4. Differences between actual and expected experience	1,241,391
5. Changes in assumptions and inputs	(680,228)
6. Benefit payments (Employer Contributions)	1,846,000
Net Changes (1+2+3+4+5-6)	890,795
Total OPEB Liability - End of Year	$ 31,665,136

The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using the discount rate that is one percentage point lower (3.18% or one percentage point higher (5.18%) than the current discount rate.

	1% Decrease 3.18%	Discount Rate 4.18%	1% Increase 5.18%
Total OPEB Liability	$ 34,143,379	$ 31,665,136	$ 29,389,283

The following presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using healthcare cost trend rates that are one percentage point lower or one percentage point higher than the current cost trend rate.

	1% Decrease	Current Trend Assumption	1% Increase
Total OPEB Liability	$ 28,689,784	$ 31,665,136	$ 35,138,617

For the year ended December 31, 2022, the City recognized OPEB expense of $2,544,679.

Deferred Inflows of Resources.

At December 31, 2022 the City reported deferred inflows related to OPEB from the following sources:

	Deferred Outflows of Resources Governmental Activities	Deferred Inflows of Resources Governmental Activities	Deferred Outflows of Resources Business Type	Deferred Inflows of Resources Business Type	Total Deferred Outflows of Resources	Total Deferred Inflows of Resources
Changes in Assumptions	$ 2,247,943	$ 905,119	$ 380,819	$ 154,160	$ 2,628,762	$ 1,059,279
Differences between expected and actual experience	1,931,080	738,908	327,141	125,851	2,258,221	864,759
Total	$ 4,179,023	$ 1,644,027	$ 707,960	$ 280,011	$ 4,886,983	$ 1,924,038

Amounts reported as deferred inflows of resources will be recognized in OPEB expense as follows:

Year Ended December 31,	Deferred Outflows of Resources
2023	$ 369,049
2024	369,049
2025	369,049
2026	369,049
2027	369,046
2028 & thereafter	1,117,703
	$ 2,962,945

15. Other Postemployment Benefits – KPERS

Plan Description

The City participates in a cost-sharing, multiple-employer defined benefit other postemployment benefit (OPEB) plan (Plan) which is administered by the Kansas Public Employees Retirement System (KPERS). The Plan provides long-term disability benefits and a life insurance benefit for disabled members to KPERS members, as provided by K.S.A. 74-04927. The Plan is administered through a trust held by KPERS that is funded to pay annual benefit payments. However, because the trust's assets are used to pay employee benefits other than OPEB, the trust does not meet the criteria in paragraph 4 of GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. Accordingly, the Plan is considered to be administered on a pay-as-you-go basis.

Benefits

Benefits are established by statute and may be amended by the KPERS Board of Trustees. The Plan provides long-term disability benefits equal to 60% (prior to January 1, 2006, 66 2/3%) of annual compensation, offset by other benefits. Members receiving long-term disability benefits also receive credit towards their KPERS retirement benefits and have their group life insurance coverage continued under the waiver premium provision.

Long-term disability benefit: Monthly benefit is 60% of the member's monthly compensation, with a minimum of $100 and maximum of $5,000. The monthly benefit is subject to reduction by deductible sources of income, which include Social Security primary disability or retirement benefits, worker's compensation benefits, other disability benefits from any other source by reason of employment, and earnings from any form of employment. If the disability begins before age 60, benefits are payable while disability continues until the member's 65th birthday or retirement date, whichever occurs first. If the disability occurs after age 60, benefits are payable while disability continues, for a period of 5 years or until the member retires, whichever occurs first. Benefit payments for disabilities caused or contributed to by substance abuse or non-biologically based mental illnesses are limited to the term of the disability or 24 months per lifetime, whichever is less. There are no automatic cost-of-living increase provisions. KPERS has the authority to implement an ad hoc cost-of living increase.

Group life waiver of premium benefit: Upon the death of an employee who is receiving monthly disability benefits, the Plan will pay a lump-sum benefit to eligible beneficiaries. The benefit amount will be 150% of the greater of the member's annual rate of compensation at the time of disability or the member's previous 12 months of compensation at the time of the last date on payroll. If the member has been disabled for 5 or more years, the annual compensation or salary rate at the time of death will be indexed using the consumer price before the life insurance benefit is computed. The indexing is based on the consumer price index, less one percentage point, to compute the death benefit. If a member is diagnosed as terminally ill with a life expectancy of 12 months or less, the member may be eligible to receive up to 100% of the death benefit rather than having the benefit paid to the beneficiary. If a member retires or disability benefits end, the member may convert the group life insurance coverage to an individual life insurance policy.

Employees covered by benefit terms. At December 31, 2022, the following employees were covered by the benefit terms:

Active employees	642
Disabled members	15
	657

Total OPEB Liability

The City's total KPERS OPEB liability of $1,390,359 reported as of December 31, 2022 was measured as of June 30, 2022 and was determined by an actuarial valuation as of December 31, 2021, which was rolled forward to June 30, 2022 using the following actuarial assumptions:

Price inflation	2.75%
Payroll growth	3.00%
Salary increases, including inflation	3.50 to 10%, including price inflation
Discount rate	3.54%
Healthcare cost trend rates	Not applicable for the coverage in this plan
Retiree share of benefit cost	Not applicable for the coverage in this plan

The discount rate was based on the Bond Buyer General Obligation 20-Bond Municipal Index.

Mortality rates were based on the RP-2014 Mortality tables, as appropriate, with adjustment for mortality improvements based on Scale MP-2021.

The actuarial assumptions used in the June 30, 2022 valuation were based on an actuarial experience for the three-year period beginning January 1, 2016. Other demographic assumptions are set to be consistent with the actuarial assumptions reflected in the December 31, 2021 KPERS pension valuation.

Total OPEB Liability - Beginning of Year	$ 2,184,233
Service cost	180,873
Interest cost	48,835
Effect of economic/demographic gains or losses	(502,039)
Effect of assumptions changes or inputs	(311,978)
Benefit payments (Employer Contributions)	(209,565)
Net Changes	(793,874)
Total OPEB Liability - End of Year	$ 1,390,359

Sensitivity of the total KPERS OPEB liability to changes in the discount rate

The following presents the total KPERS OPEB liability of the City, as well as what the City's total KPERS OPEB liability would be if it were calculated using a discount rate that is 1 percentage point lower (2.54%) or 1 percentage point higher (4.54%) than the current discount rate.

	1% Decrease 2.54%	Discount Rate 3.54%	1% Increase 4.54%
Total OPEB Liability	$ 1,446,149	$ 1,390,359	$ 1,334,435

Sensitivity of the total KPERS OPEB liability to changes in the healthcare cost trend rates

The following presents the total KPERS OPEB liability of the City calculated using the current healthcare cost trend rates as well as what the City's total KPERS OPEB liability would be if it were calculated using trend rates that are 1 percentage point lower or 1 percentage point higher than the current trend rates. The reader should note that healthcare trend rates do not affect the liabilities related to the long-term disability benefits sponsored by KPERS, but this exhibit is provided as it is a required disclosure under GASB 75.

	1% Decrease	Healthcare Cost Trend Rates	1% Increase
Total OPEB Liability	$ 1,390,359	$ 1,390,359	$ 1,390,359

For the year ended December 31, 2022, the City recognized OPEB expense of $175,641 and an aggregate amount of OPEB expense for all plans of $2,720,320.

Deferred Outflows of Resources and Deferred Inflows of Resources

At December 31, 2022, the City reported deferred inflows and outflows related to OPEB from the following sources:

	Deferred Outflows of Resources Governmental Activities	Deferred Inflows of Resources Governmental Activities	Deferred Outflows of Resources Business Type	Deferred Inflows of Resources Business Type	Total Deferred Outflows of Resources	Total Deferred Inflows of Resources
Changes in assumptions	$ 105,926	$ 270,976	$ 17,944	$ 46,153	$ 123,870	$ 317,129
Differences between expected and actual experience	249,603	580,746	42,286	98,912	291,889	679,658
Total	$ 355,529	$ 851,722	$ 60,230	$ 145,065	$ 415,759	$ 996,787

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31,	Deferred (Inflows) Outflows Amount
2023	$ (54,066)
2024	(54,066)
2025	(54,066)
2026	(51,920)
2027	(43,465)
2028 & thereafter	(323,445)
	$ (581,028)

16. Tax Abatements

Property Tax Abatements

The City provides property tax abatements pursuant to and subject to the terms of Section 13 of Article 11 of the Kansas Constitution or K.S.A. 12-1740 et seq. and 79-201a. ("Economic Development Revenue Bond Act" (EDRB Act)). The purpose of the EDRB Act is to promote, stimulate, and develop the general welfare and economic prosperity of the State of Kansas. Cities are authorized by the EDRB Act to issue economic development revenue bonds, the proceeds of which shall be used for paying all or part of the cost of purchasing, acquiring, constructing, reconstructing, improving, equipping, furnishing, repairing, enlarging, or remodeling facilities for agricultural, commercial, hospital, industrial, natural resources, recreational development and manufacturing purposes. The EDRB Act defines the term facility to include a site and the necessary site preparation, structures, easements, rights-of-way, and appurtenances necessary and convenient to the facility being financed.

Property tax abatements are authorized by and subject to the terms of K.S.A. 79-201a, which provides that facilities financed pursuant to the EDRB Act are, upon issuance of the economic development revenue bonds (EDRBs), exempt from real property taxation for a period of ten calendar years after the calendar year in which the revenue bonds are issued. Pursuant to the EDRB Act the City may execute agreements which may provide for payment in lieu of taxes and provide for an origination fee and for the actual costs of administering and supervising the bond issue.

Issuance of EDRBs and approval of tax abatements are also subject to City Resolution No. 16-1003, establishing policies relating to industrial revenue bonds and property tax abatements. Resolution No. 16-1003 recognizes that it is essential to stimulate economic growth and development for industries and businesses to provide services, employment, and tax revenues for the benefit of the community. The Governing Body intends that all projects receiving property tax abatement meet the criteria that are detailed below.

a. Employment – Wages: The amount and diversity of additional employment opportunities which would be provided shall be a primary consideration. The City expects all projects which receive a property tax abatement to produce a high quantity of jobs and or pay above average wages.

b. Design Criteria: The City will, at its sole discretion, require higher design standards for the design of building and material used for projects receiving property tax abatement. Projects shall utilize construction material that meet or exceed the requirement set forth in the design guidelines as provided by the City's Planning Services Division. The project must be environmentally acceptable to the location intended as well as the surrounding area.

c. Compatibility with Adopted City Plans: All projects shall be consistent with the City's Comprehensive Plan, any applicable corridor plans, and other plans of the City which may be relevant to the project. When evaluating proposed projects, the City will consider a variety of factors to determine compliance, including compatibility of the location of the business with the land use and development plans of the City and the availability of existing infrastructure facilities and the essential public services.

The City will consider granting tax exemption incentives upon factual showing of direct economic benefit to the City through advancement of its economic development goals, including the creation of additional jobs and the stimulation of additional private investment. Before a tax exemption incentive is granted, a cost-benefit analysis report examining the costs and benefits to the public of the proposed tax exemption incentive is prepared. In addition, the City provides a public hearing notice and the City Council conducts

a public hearing to consider the abatement. Any tax exemption granted pursuant to Resolution No. 16-1003 shall be accompanied by a performance agreement which is subject to annual review and determination by the Governing Body that the conditions qualifying the business for the exemption continue to exist. If the Governing Body finds the business is not in compliance, then the tax exemption may be modified pursuant to the performant agreement or eliminated as the Governing Body deems appropriate.

For the fiscal year ending December 31, 2022, the City abated ad valorem property taxes. Listed below are projects that individually exceed 5% of the City's total amount abated. The projects listed total over 89% of the total abatement amount.

Project Name	I-35 Logistics Park - Building C
Project Description	Warehouse
Approved Abatement	50% of ad valorem property taxes
2022 amount	$100,603
Additional Commitment	N/A

Project Name	Himoinsa Power Systems, Inc
Project Description	Information services and data processing
Approved Abatement	50% of ad valorem property taxes
2022 amount	$106,182
Additional Commitment	N/A

Project Name	Garmin Realty, LLC
Project Description	Warehouse
Approved Abatement	75% of ad valorem property taxes
2022 amount	$665,493
Additional Commitment	N/A

Project Name	I-35 Logistics Park - Building B
Project Description	Warehouse
Approved Abatement	50% of ad valorem property taxes
2022 amount	$140,501
Additional Commitment	N/A

Project Name	Lineage Logistics, LLC
Project Description	Warehouse
Approved Abatement	50% of ad valorem property taxes
2022 amount	$83,187
Additional Commitment	N/A

Project Name	Milhaus Properties, LLC
Project Description	Warehouse
Approved Abatement	100% of ad valorem property taxes
2022 amount	$227,902
Additional Commitment	N/A

Project Name	Lone Elm 716
Project Description	Warehouse
Approved Abatement	50% of ad valorem property taxes
2022 amount	$131,411
Additional Commitment	N/A

Tax Increment Financing

The City provides tax increment financing (TIF) for projects pursuant to and subject to the terms of K.S.A. 12-1770 (TIF Act). The TIF Act authorizes the City to assist in the development and redevelopment of eligible areas within the City to promote, stimulate, and develop the general and economic welfare of the State of Kansas and its communities. The Governing Body recognizes that tax increment financing is an appropriate tool to utilize to provide services, employment, and tax revenues for the benefit of the community.

The TIF Act authorizes the City to apply the incremental increase in ad valorem property tax and other tax revenues to reimburse eligible project expenses. The increment increase is from a base established upon creation of a redevelopment district. The tax increment may be used to finance certain projects expenditures which are defined in the TIF Act. Tax increment revenues are available for a period of twenty years from the date of approval of a TIF project plan.

Approval of TIF financing is also subject to City Resolution No. 15-1089 which provides that the City will consider use of a TIF when a project meets the requirement of the TIF Act and which demonstrate a substantial and significant public benefit by constructing public improvement, in support of development that will, by creating new jobs and retaining existing employment, eliminate blight, strengthen the employment and economic base of the city, increase property values and tax revenues, reduce poverty, create economic stability, upgrade older neighborhoods, facilitate economic self-sufficiency, promote projects that are of community wide importance, and implement the Comprehensive Plan and economic development goals of the City.

The TIF Act and Resolution No. 15-1089 require creation of a redevelopment district (District). The District can only be established after completion of an eligibility study (as defined in the TIF Act), providing notice of and conducting a public hearing, and a finding by the Governing Body that the area of the proposed District meets criteria outlined in the TIF Act.

Authorization of eligible TIF project expenditures is accomplished through the adoption of a Project Plan. A Project Plan can only be established after completion of a feasibility study, providing notice of and conducting a public hearing on the Project Plan, and approval by the Governing Body. Additionally, all Project Plans approved by the City are subject to a development agreement between the City and the developer of the TIF. All development agreements entered by the City include performance milestones and provisions assuring that the redevelopment project is delivered as represented.

For the fiscal year ending December 31, 2022, the City applied incremental revenues to TIF projects as follows:

Project Name	Olathe Gateway
Project Description	Development of shopping area / entertainment district anchored by Bass Pro.
Approved TIF	100% Ad valorem property tax increment and 100% incremental sales tax
2022 amount	$849,401
Project Commitment	Development of shopping area / entertainment district
Additional Commitment	N/A

Project Name	West Village
Project Description	Development of shopping area anchored by Wal-Mart.
Approved TIF	100% Ad valorem property tax increment and incremental sales tax
2022 amount	$1,046,628
Project Commitment	Development of shopping area
Additional Commitment	N/A

Project Name	Santa Fe and Ridgeview
Project Description	Redevelopment of shopping area anchored by Sutherland's.
Approved TIF	100% Ad valorem property tax increment and 50% incremental sales tax
2022 amount	$104,445
Project Commitment	Redevelopment of shopping area
Additional Commitment	N/A

Project Name	Heritage Crossing
Project Description	Development of shopping area.
Approved TIF	100% Ad valorem property tax increment and 50% incremental sales tax.
2022 amount	$55,909
Project Commitment	Development of shopping area

Project Name	Heart of America / Hilton Garden Inn
Project Description	Development of Hilton Garden Inn hotel
Approved TIF	100% Ad valorem property tax increment and 100% incremental sales tax
2022 amount	$260,888
Project Commitment	Development of hotel
Additional Commitment	N/A

Project Name	Ancona Honda
Project Description	Redevelopment of car dealership
Approved TIF	100% Ad valorem property tax increment
2022 amount	$38,488
Project Commitment	Redevelopment of car dealership
Additional Commitment	N/A

Project Name	Heart of America / Conference Center & Hotel
Project Description	Development of conference center and Embassy Suites Hotel
Approved TIF	100% Ad valorem property tax, 100% incremental sales tax, and 100% incremental transient guest tax
2022 amount	$1,194,117
Project Commitment	Development of convention center and hotel.
Additional Commitment	N/A

Project Name	Ridgeview Soccer Complex
Project Description	Development of soccer complex
Approved TIF	100% Ad valorem property tax, 100% incremental sales tax, and 100% incre
2022 amount	$749,109
Project Commitment	Development of soccer complex.
Additional Commitment	N/A

As of December 31, 2022, there were 50 issues of industrial revenue and multi-housing bonds outstanding. Outstanding issues had an aggregate outstanding amount totaling $835,847,574 and a total assessed valuation of $153,764,473.

17. Component Unit Condensed Financial Statements and Restatement of Net Position

The City has one discretely presented component unit – Olathe Housing Authority. Listed below are condensed financial statements for the component unit.

	Olathe Public Housing Authority
Total assets	$ 3,002,505
Total liabilities and deferred inflows	348,146
Net Position	$ 2,654,359

Expenses	$ 5,359,019
Program revenues	5,144,580
Net program revenues	(214,439)
Other general revenues	579
Change in net position	(213,860)
Beginning net position, restated	2,868,219
Ending net position	$ 2,654,359

18. Pending GASB Statements

As of the date of the audit report, the Government Accounting Standards Board (GASB) has issued the following statements not yet implemented by the City:

GASB Statement No. 93, *Replacement of Interbank Offered Rates*, provides guidance where some governments have entered into agreements in which variable payments made or received depend on an interbank offered rate (IBOR), most notably, the London Interbank Offered Rate (LIBOR). As a result of global reference rate reform, LIBOR is expected to cease to exist in its current form at the end of 2021, prompting governments to amend or replace financial instruments for the purpose of replacing LIBOR with other reference rates, by either changing the reference rate or adding or changing fallback provisions related to the reference rate. The provisions of this statement were originally effective for the City's fiscal year ending December 31, 2022 and now postponed until December 31, 2023 per GASB Statement No. 95.

GASB Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements,* improves financial reporting by addressing issues related to public-private and public-public partnership arrangements (PPPs). A PPP is an arrangement in which a government contracts with an operator to provide public services by conveying control of the right to operate or use a nonfinancial asset, such as infrastructure or other capital asset, for a period of time in an exchange or exchange-like transaction. This statement also provides guidance for accounting and financial reporting for availability payment arrangements (APAs), which is an arrangement in which a government compensates an operator for services that may include designing, constructing, financing, maintaining, or operating an underlying nonfinancial asset for a period of time in an exchange or exchange-like transaction. The provisions of this statement are effective for the City's fiscal year ending December 31, 2023.

GASB Statement No. 96, *Subscription-Based Information Technology Arrangements*, provides new accounting and financial reporting guidance for subscription-based information technology arrangements (SBITAs), which have become increasingly common among state and local governments in recent years. Statement 96 is based on the standards established in Statement 87, *Leases*. The new defines a SBITA as a contract that conveys control of the right to use a SBITA vendor's IT software, alone or in combination with tangible capital assets (the underlying IT assets), as specified in the contract for a period of time in an exchange or exchange-like transaction. The guidance requires governments with SBITAs to recognize a right-to-use subscription asset, an intangible asset, and a corresponding subscription liability (with an exception for short-term SBITAs, those with a maximum possible term of 12

months) and provides guidance related to outlays other than subscription payments, including implementation costs, and requirements for note disclosures related to a SBITA. The provisions of this statement will be effective for the City's fiscal year ending December 31, 2023.

GASB Statement No. 99, *Omnibus 2022*, enhances comparability in accounting and financial reporting and improves the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB Statements. This statement addresses a variety of topics including: 1) classification and reporting of derivative instruments within the scope of Statement No. 53 that do not meet the definition of either an investment derivative instrument or a hedging derivative instrument; 2) clarification of certain provisions in Statement No. 87, Statement No. 94 and Statement No. 96; 3) extension of the period during which the London Interbank offered Rate (LIBOR) is considered an appropriate benchmark interest rate of the qualitative evaluation of the effectiveness of an interest rate swap that hedges the interest rate risk of taxable debt; 4) accounting for the distribution of benefits as part of the Supplemental Nutrition Assistance Program; 5) disclosures related to nonmonetary transactions; 6) pledges of future revenues when resources are not received by the pledging government; 7) clarification of provisions in Statement No 34 related to the focus of the government-wide financial statements; terminology updates related to certain provisions of Statement No. 63; and 8) terminology used in Statement No. 53 to refer to resource flows statements. The provisions of this statement for items 1 and 2 are effective for financial statements for the City's fiscal year ending December 31, 2024 and December 31, 2023, respectively. All other provisions of this statement are effective upon issuance.

GASB statement No. 100, Accounting Changes and Error Corrections, enhances accounting and financial reporting requirements for accounting changes and error corrections to provide more understandable, reliable, relevant, consistent and comparable information for making decisions or assessing accountability. This statement defines accounting changes as changes in accounting principles, changes in accounting estimates and changes to or within the financial reporting entity. This statement also addresses corrections of errors in previously issued financial statements. This statement prescribes the accounting and financial reporting for each type of accounting change and error corrections. This statement requires that changes in accounting principles and error corrections be reported retroactively by restating prior periods, changes to or within the financial reporting entity be reported by adjusting beginning balances of the current period, and changes in accounting estimates be reported prospectively by recognizing the change in the current period. This statement also requires disclosure in the notes to the financial statements of descriptive information about accounting changes and error corrections. Furthermore, this statement addresses how information that is affected by a change in accounting principle or error correction should be presented in required supplementary information and supplementary information. The provisions of this statement are effective for financial statements for the City's fiscal year ending December 31, 2024.

GASB Statement No. 101, Compensated Absences, better meets the information needs of financial statement users by updating the recognition and measurement guidance for compensated absences. This is achieved by aligning the recognition and measurement guidance under a unified model and by amending certain previously required disclosures. The provisions of this statement are effective for financial statements for the City's fiscal year ending December 31, 2024.

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Required

Supplementary Information

City of Olathe, Kansas
Required Supplementary Information
KPERS Other Postemployment Benefits
Schedule of Changes in the City's KPERS OPEB Total Liability and Related Ratios
Last Five Fiscal Years*

Total OPEB liability	2018	2019	2020	2021	2022
Service cost	$ 139,313	$ 140,465	$ 155,392	$ 125,456	$ 180,873
Interest	75,802	73,863	80,360	54,470	48,835
Benefit payments (employer contributions)	(187,461)	(398,213)	(222,707)	(227,277)	(209,565)
Economic/demographic gains or losses	(109,329)	435,014	41,575	(224,839)	(502,039)
Changes in assumptions	(23,958)	34,566	146,643	4,128	(311,978)
Net change in total OPEB liability	(105,633)	285,695	201,263	(268,062)	(793,874)
Total OPEB liability - beginning of year	2,070,970	1,965,337	2,251,032	2,452,295	2,184,233
Total OPEB liability - end of year	$ 1,965,337	$ 2,251,032	$ 2,452,295	$ 2,184,233	$ 1,390,359
Covered-employee payroll	$ 34,666,148	$ 37,224,241	$ 37,224,241	$ 38,657,315	$ 39,809,115
Total OPEB liability as a percentage of covered payroll	5.67%	6.05%	6.59%	5.65%	3.49%
Discount Rate	3.50%	3.87%	2.21%	2.16%	3.54%

* Data became available with the inception of GASB 75 during fiscal year 2018, therefore 10 years of data is unavailable.

There are no assets accumulated in the trust to pay related benefits.

City of Olathe, Kansas
Required Supplementary Information
Other Postemployment Benefits
Schedule of Changes in the City's Total OPEB Liability and Related Ratios
Last Five Fiscal Years*

Total OPEB liability	2018	2019	2020	2021	2022
Service cost	$ 1,102,462	$ 1,014,753	$ 1,175,257	$ 1,350,079	$ 1,535,344
Interest	903,255	972,026	832,733	571,150	640,288
Benefit payments (employer contributions)	(1,711,000)	(1,734,000)	(1,634,000)	(1,657,000)	(1,846,000)
Difference between expected and actual experience	(280,939)	(233,731)	(834,359)	1,426,211	1,241,391
Changes in assumptions	(894,144)	1,801,506	1,679,612	465,165	(680,228)
Changes in benefit terms	(484,927)	(687,045)	-	-	-
Net change in total OPEB liability	(1,365,293)	1,133,509	1,219,243	2,155,605	890,795
Total OPEB liability - beginning of year	27,631,277	26,265,984	27,399,493	28,618,736	30,774,341
Total OPEB liability - end of year	$ 26,265,984	$ 27,399,493	$ 28,618,736	$ 30,774,341	$ 31,665,136
Covered-employee payroll	$ 53,013,812	$ 53,013,812	$ 56,238,165	$ 56,238,165	$ 59,658,653
Total OPEB liability as a percentage of covered payroll	49.55%	51.68%	50.89%	54.72%	53.08%
Discount Rate	3.68%	3.00%	1.96%	2.04%	4.18%

* Data became available with the inception of GASB 75 during fiscal year 2018, therefore 10 years of data is unavailable.

There are no assets accumulated in the trust to pay related benefits.

City of Olathe, Kansas
Required Supplementary Information
Schedule of Net Pension Liability
Kansas Employees' Retirement System
Last Nine Fiscal Years

Local Government	2014	2015	2016	2017	2018	2019	2020	2021	2022
Proportion of the Net Pension Liability	1.878112%	1.936294%	1.938338%	1.997006%	2.092001%	2.156684%	2.210272%	2.106726%	2.123749%
Proportionate share of the net pension liability	$23,155,815	$ 25,424,394	$ 29,986,662	$ 28,925,745	$ 29,158,100	$ 30,136,906	$ 38,318,469	$ 25,279,789	$ 42,221,071
Covered payroll	34,408,016	35,530,007	33,922,111	36,032,058	41,149,580	40,039,507	40,408,036	40,899,942	46,325,204
Proportionate share of the net pension liability as a percentage of covered payroll	67.30%	71.56%	88.40%	80.28%	70.86%	75.27%	94.83%	61.81%	91.14%
Plan fiduciary net position as a percentage of total pension liability	66.60%	64.95%	65.09%	67.12%	68.88%	69.88%	66.30%	76.40%	69.75%

Police and Firemen	2015	2015	2016	2017	2018	2019	2020	2021	2022
Proportion of the Net Pension Liability	4.500889%	4.660566%	4.546739%	4.510839%	4.819524%	4.849212%	4.874002%	4.830263%	4.959723%
Proportionate share of the net pension liability	$29,829,218	$ 33,841,190	$ 42,228,453	$ 42,302,210	$ 46,373,540	$ 49,079,872	$ 60,103,119	$ 46,092,518	$ 71,530,705
Covered payroll	22,291,450	23,177,996	23,547,099	24,530,506	26,495,886	26,765,111	27,391,157	26,777,115	32,391,622
Proportionate share of the net pension liability as a percentage of covered payroll	133.81%	146.01%	179.34%	172.45%	175.02%	183.37%	219.43%	172.13%	220.83%
Plan fiduciary net position as a percentage of total pension liability	66.60%	64.95%	65.09%	67.12%	68.88%	69.88%	66.30%	76.40%	69.75%

Note: Due to the City's implenting GASB 68, only eight years of information is available.

City of Olathe, Kansas
Required Supplementary Information
Schedule of Agency Contributions
Kansas Employees' Retirement System
Last Seven Nine Years

Local Government	2014	2015	2016	2017	2018	2019	2020	2021	2022
Required contribution	$ 2,590,522	$ 2,961,053	$ 3,100,570	$ 3,123,646	$ 3,154,582	$ 3,445,055	$ 3,652,057	$ 3,764,469	$ 3,917,855
Contribution in relation to required contribution	2,590,522	2,961,053	3,100,570	3,123,646	3,154,582	3,445,055	3,652,057	3,764,469	3,917,855
Contribution deficiency	-	-	-	-	-	-	-	-	-
Covered payroll	34,764,813	35,723,597	34,689,897	36,369,668	41,613,279	40,039,507	40,408,036	42,440,457	44,020,836
Contributions as a percentage of covered payroll	7.45%	8.29%	8.94%	8.59%	7.58%	8.60%	9.04%	8.87%	8.90%

Police and Firemen	2015	2015	2016	2017	2018	2019	2020	2021	2022
Required contribution	$ 3,764,718	$ 4,378,971	$ 4,515,855	$ 4,446,415	$ 4,794,549	$ 5,481,040	$ 5,898,976	$ 6,539,274	$ 7,031,807
Contribution in relation to required contribution	3,764,718	4,378,971	4,515,855	4,446,415	4,794,549	5,481,040	5,898,976	6,539,274	7,031,807
Contribution deficiency	-	-	-	-	-	-	-	-	-
Covered payroll	22,752,844	23,380,484	23,644,300	25,055,519	27,234,594	26,765,111	27,391,157	28,681,025	30,586,375
Contributions as a percentage of covered payroll	16.55%	18.73%	19.10%	17.75%	17.60%	20.48%	21.54%	22.80%	22.99%

Note: Due to the city's implenting GASB 68, only nine years of information is available.

Changes in benefit terms for KPERS.

In the state fiscal year 2014, the KP&F group had a change in benefit terms. The Legislature increased this group's employee contributions to 7.15 percent and eliminated the reduction of employee contributions to 2.0 percent after 32 years of service. In addition, the maximum retirement benefit increased to 90 percent of final average salary (reached at 36 years of service). Before this change the maximum retirement benefit was limited to 80 percent of final average salary (reached at 32 years of service).

Effective January 1, 2014, KPERS 1 member's employee contribution rate increased to 5.0 percent and then on January 1, 2015, increase to 6.0 percent, with an increase in benefit multiplier to 1.85 percent for future years of service. For KPERS 2 members retired after July 1, 2012, the cost of living adjustment (COLA) is eliminated, but members will receive a 1.85 percent multiplier for all years of service.

January 1, 2015, the KPERS 3 cash balance plan became effective. Members enrolled in this plan are ones first employed in a KPERS covered position on or after January 1, 2015, or KPERS 1 or KPERS 2 members who left employment before vesting and returned to employment on or after January 1, 2015. The retirement benefit is an annuity based on the account balance at retirement.

For the state fiscal year 2017, the KP&F group had a change in benefit terms. The Legislature changed the duty-related death benefit for KP&F members to the greater of 50% of Final Average Salary and member's accrued retirement benefit under the 100% joint and survivor option, payable to the member's spouse. Including any benefits that may be due to child beneficiaries, the total monthly benefits may not exceed 90% of the member's Final Average Salary. Prior to this bill, the duty-related spousal death benefit for KP&F member was 50% of the Final Average Salary, and the maximum available to the family was 75% of the member's Final Average Salary.

For the state fiscal year 2017, the Legislature changed the working after retirement rules for members who retire on or after January 1, 2018. The key changes to the working after retirement rules were to lengthen the waiting period for KPERS members to return to work from 60 days to 180 days for members who retire before attaining age 62, remove the earnings limitation for all retirees and establish a single-employer contribution schedule for all retirees.

For the state fiscal year 2021, the Legislature provided an increased benefit for disabled members who pass away prior to retirement if the disability was service-connected. The monthly benefit is equal to 50% of the member's final average salary at disability plus 10% for each dependent child up to a maximum of 75% or the retirement benefit the member would have received if the member had retired on the date of death if there are no dependent children.

Changes in assumptions for KPERS.

As a result of the experience study completed in November 2016, there were several changes made to the actuarial assumptions and methods since the prior valuation. The changes that impact all groups were effective December 31, 2016 and include:

- The price inflation assumption was lowered from 3.00% to 2.75%.
- The investment return assumption was lowered from 8.00% to 7.75%.
- The general wage growth assumption was lowered from 4.00% to 3.50%.
- The payroll growth assumption was lowered from 4.00% to 3.00%.

Changes from the November 2016 experience study that impacted individual groups are listed below:

KPERS:

- The post-retirement healthy mortality assumption was changed to the RP-2014 Mortality Table, with adjustments to better fit the observed experience for the various KPERS groups. The most recent mortality improvement scale, MP-2016, is used to anticipate future mortality improvements in the valuation process through the next experience study.
- The active member mortality assumption was modified to also be based on the RP-2014 Employee Mortality Table with adjustments.
- The retirement rates for the select period (when first eligible for unreduced benefits under Rule of 85) were increased, but all other retirement rates were decreased.
- Disability rates were decreased for all three groups.
- The termination of employment assumption was increased for all three groups.
- The interest crediting rate assumption for KPERS 3 members was lowered from 6.50% to 6.25%.

KP&F:

- The post-retirement healthy mortality assumption was changed to the RP-2014 Mortality Table with 1-year age set forward and the MP-2016, is used to anticipate future mortality improvements.
- The mortality assumption for disabled members was changed to the RP-2014 Disabled Lives Table (generational using MP-2016) with a 1-year age set forward.
- The active member mortality assumption was modified to the RP-2014 Employee Mortality Table with a 1-year age set forward with a 90% scaling factor.
- The retirement rates for Tier 1 were lowered and the ultimate assumed retirement age was changed from 63 to 65 for Tier 2.
- The termination of employment rates for Tier 2 were increased to better match the observed experience.

As a result of the experience study completed in January 2020, there were several changes made to the actuarial assumptions and methods since the prior valuation. The changes that impact all groups were effective December 31, 2019 and include:

- The investment return assumption was lowered from 7.75% to 7.50%.
- The general wage growth assumption was lowered from 3.50% to 3.25%.
- The payroll growth assumption was lowered from 3.00% to 2.75%.

Changes from the January 2020 experience study that impacted individual groups are listed below:

KPERS:

- Retirement rates were adjusted to partially reflect observed experience.
- Termination rates were increased for most KPERS groups.
- Disability rates were reduced.
- Factors for the state group that are used to anticipate higher liabilities due to higher final average salary at retirement for pre-1993 hires were modified to better reflect actual experience.
- The administrative expense load for contributions rates was increased from 0.16% to 0.18%.

KP&F:

- Retirement rates were adjusted to partially reflect observed experience.
- Factors for the KP&F group that are used to anticipate higher liabilities due to higher final average salary at retirement for pre-1993 hires were modified to better reflect actual experience.
- The administrative expense load for contributions rates was increased from 0.16% to 0.18%.

Assumption changes effective December 31, 2021 were as follows:

For all groups, the investment rate of return assumption decreased from 7.25% to 7.00%

KPERS:

- Interest crediting rate assumption for KPERS 3 members was lowered from 6.25% to 6.00%.
- Annuity interest rate assumption for KPERS 3 members was lowered from 5.75% to 5.00%

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Nonmajor Governmental Funds

Nonmajor Governmental Funds

Special Revenue Funds

Fire Levy

To account for property taxes received for the fire department operations.

Motor Fuel Tax

To account for monies levied by the State of Kansas for the purpose of producing revenues to be used to defray in whole or in part the cost of constructing, altering, reconstructing, maintaining and repairing streets and highways.

Library Operating

To account for monies received from the annual tax levy and transfers to the Library Operating Fund for the operation of the Olathe Public Library.

Economic Development and Tourism

To account for monies provided from the transient guest tax for the purpose of funding economic development and tourism.

Special Park and Recreation

To account for monies provided by a state liquor taxation on private clubs and expended for the purchase, establishment, maintenance, or expansion of park and recreational services, programs and education.

Special Alcohol

To account for monies provided by a state liquor taxation on private clubs and expended for the purchase, establishment, maintenance or expansion of services or programs for alcoholism prevention and education.

Storm Water

To account for monies received from monthly residential and commercial fees for the enhancement of the City's storm water management system.

Nonmajor Governmental Funds

Special Revenue Funds

Reimbursable Programs

To account for miscellaneous donations for various designated purposes.

Grants Fund

To account for monies provided by various federal, state, and local granting agencies.

Recreation Fund

To account for recreation activities administered by the City. All activities necessary to provide such services are accounted for in this fund including, but not limited to, administration, concessions, aquatics and sports.

Cemetery

To account for monies received through the sale of cemetery lots and to be used for care of such lots.

Capital Projects Fund

Library Capital

To account for monies used for capital purchases of the Olathe Public Library

Park Sales Tax

To account for the one-eighth cent sales tax collected for the construction of various park projects.

Street Maintenance Sale Tax

To account for the three-eighth cent sales tax collected for the maintenance of streets.

Future Street Improvement

To account for monies provided by developers' deposits for future street improvements in proposed areas of development.

City of Olathe, Kansas
Combining Balance Sheet
Nonmajor Governmental Funds
December 31, 2022

	Special Revenue							
	Fire Levy	Motor Fuel Tax	Library Operating	Economic Development and Tourism	Special Park and Recreation	Special Alcohol	Stormwater	Reimbursable Programs
Assets								
Cash, cash equivalents, and investments	$ -	$ -	$ 3,993,860	$ 1,770,719	$ 2,802,700	$ 1,077,052	$ 2,113,118	$ 1,084,533
Receivables (net of allowance)								
Taxes	4,208,671	-	7,406,816	428,449	-	-	-	422,926
Accounts	-	-	-	-	-	-	653,425	-
Loans	-	-	-	-	-	-	-	-
Due from other governments	-	997,224	-	-	150,272	150,272	-	-
Prepaid asset	-	-	40,500	-	-	-	-	-
Total assets	$ 4,208,671	$ 997,224	$ 11,441,176	$ 2,199,168	$ 2,952,972	$ 1,227,324	$ 2,766,543	$ 1,507,459
Liabilities								
Accounts payable	$ -	$ -	$ -	$ -	$ 284	$ -	$ -	$ -
Unearned revenue	-	-	-	-	-	-	-	-
Due to other funds	-	599,931	-	-	-	-	-	-
Total liabilities	-	599,931	-	-	284	-	-	-
Deferred Inflows of Resources								
Deferred revenue - property taxes	4,208,671	-	7,406,816	-	-	-	-	422,926
Deferred revenue - intergovernmental	-	-	-	-	-	-	-	-
Total deferred inflows of resources	4,208,671	-	7,406,816	-	-	-	-	422,926
Fund balances								
Nonspendable	-	-	40,500	-	-	-	-	-
Restricted								
Public works	-	397,293	-	-	-	-	-	-
Community services	-	-	-	-	2,952,688	1,227,324	-	40,766
General government	-	-	3,993,860	-	-	-	-	1,043,767
Committed								
Public works	-	-	-	-	-	-	2,766,543	-
Community services	-	-	-	-	-	-	-	-
General government	-	-	-	2,199,168	-	-	-	-
Total fund balances	-	397,293	4,034,360	2,199,168	2,952,688	1,227,324	2,766,543	1,084,533
Total liabilities, deferred inflows of resources, and fund balances	$ 4,208,671	$ 997,224	$ 11,441,176	$ 2,199,168	$ 2,952,972	$ 1,227,324	$ 2,766,543	$ 1,507,459

City of Olathe, Kansas
Combining Balance Sheet
Nonmajor Governmental Funds
December 31, 2022

	Special Revenue			Capital Projects				Total
	Grants Fund	Cemetery	Recreation	Library Capital	Park Sales Tax	Street Maintenance Sales Tax	Future Street Improvement	Nonmajor Governmental Funds
Assets								
Cash, cash equivalents, and investments	$ 5,466,684	$ 206,163	$ 945,271	$ 652,836	$ 4,006,927	$ 5,340,776	$ 10,173,302	$ 39,633,941
Receivables (net of allowance)								
Taxes	-	-	-	-	876,622	2,629,863	-	15,973,347
Accounts	11,964	-	80,341	-	-	-	-	745,730
Loans	3,714,340	-	-	-	-	-	-	3,714,340
Due from other governments	83,353	-	-	-	-	-	-	1,381,121
Prepaid asset	-	-	-	-	-	-	-	40,500
Total assets	$ 9,276,341	$ 206,163	$ 1,025,612	$ 652,836	$ 4,883,549	$ 7,970,639	$ 10,173,302	$ 61,488,979
Liabilities								
Accounts payable	$ 10,271	$ -	$ 760,713	$ -	$ -	$ -	$ -	$ 771,268
Unearned revenue	4,599,375	-	-	-	-	-	-	4,599,375
Due to other funds	-	-	-	-	-	-	-	599,931
Total liabilities	4,609,646	-	760,713	-	-	-	-	5,970,574
Deferred Inflows of Resources								
Deferred revenue - property taxes	-	-	-	-	-	-	-	12,038,413
Deferred revenue - intergovernmental	19,781	-	-	-	-	-	-	19,781
Total deferred inflows of resources	19,781	-	-	-	-	-	-	12,058,194
Fund balances								
Nonspendable	-	-	-	-	-	-	-	40,500
Restricted								
Public works	-	-	-	-	-	7,970,639	-	8,367,932
Community services	4,646,914	-	-	-	4,883,549	-	-	13,751,241
General government	-	-	-	652,836	-	-	-	5,690,463
Committed								
Public works	-	-	-	-	-	-	10,173,302	12,939,845
Community services	-	206,163	264,899	-	-	-	-	471,062
General government	-	-	-	-	-	-	-	2,199,168
Total fund balances	4,646,914	206,163	264,899	652,836	4,883,549	7,970,639	10,173,302	43,460,211
Total liabilities, deferred inflows of resources, and fund balances	$ 9,276,341	$ 206,163	$ 1,025,612	$ 652,836	$ 4,883,549	$ 7,970,639	$ 10,173,302	$ 61,488,979

City of Olathe, Kansas
Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
For the Year Ended December 31, 2022

	Special Revenue							
	Fire Levy	Motor Fuel Tax	Library Operating	Economic Development and Tourism	Special Park and Recreation	Special Alcohol	Stormwater	Reimbursable Programs
Revenues								
Taxes:								
Property	$ 4,194,993	$ -	$ 7,374,039	$ -	$ -	$ -	$ -	$ 405,668
Sales	-	-	-	-	-	-	-	-
Transient guest	-	-	-	1,571,772	-	-	-	-
Intergovernmental	-	3,923,754	-	-	640,664	640,664	-	-
Fines, forfeitures, and penalties	-	-	110,421	-	-	-	-	-
Charges for services	-	-	79,347	-	814,810	-	5,136,981	281,751
Use of money and property	-	-	76,943	17,832	28,094	11,426	31,122	1,102
Miscellaneous	-	-	-	-	100,000	100,000	-	243,215
Total revenues	4,194,993	3,923,754	7,640,750	1,589,604	1,583,568	752,090	5,168,103	931,736
Expenditures								
General government	-		454,620	1,318,500	-	-	91,061	518,245
Public safety	-	-	-	-	-	314,251	-	19,253
Public works	-	-	-	-	460,569	-	2,807,522	-
Community services	-	-	6,603,552	-	140,008	226,475	66,452	25,509
Debt service								
Principal retirements	-	-	-	-	-	-	120,000	-
Interest and fiscal charges	-	-	-	-	-	-	156,695	-
Total expenditures	-	-	7,058,172	1,318,500	600,577	540,726	3,241,730	563,007
Excess of revenues over (under) expenditures	4,194,993	3,923,754	582,578	271,104	982,991	211,364	1,926,373	368,729
Other financing sources (uses)								
Transfers in	-	-	-	819	143,021	-	28,374	-
Transfers out	(4,316,712)	(3,849,829)	(200,102)	-	(450,000)	-	(2,179,539)	-
Total other financing sources (uses)	(4,316,712)	(3,849,829)	(200,102)	819	(306,979)	-	(2,151,165)	-
Net change in fund balances	(121,719)	73,925	382,476	271,923	676,012	211,364	(224,792)	368,729
Fund balances - beginning of year	121,719	323,368	3,651,884	1,927,245	2,276,676	1,015,960	2,991,335	715,804
Fund balances - end of year	$ -	$ 397,293	$ 4,034,360	$ 2,199,168	$ 2,952,688	$ 1,227,324	$ 2,766,543	$ 1,084,533

City of Olathe, Kansas
Combining Statement of Revenues, Expenditures and Changes in Fund Balances
Nonmajor Governmental Funds
For the Year Ended December 31, 2022

	Special Revenue			Capital Projects				Total
	Grant Fund	Cemetery	Recreation	Library Capital	Park Sales Tax	Street Maintenance Sales Tax	Future Street Improvement	Nonmajor Governmental Funds
Revenues								
Taxes:								
Property	$ -	$ -	$ -	$ -	$ -	$ -	$ -	$ 11,974,700
Sales	-	-	-	-	5,254,909	15,764,664	-	21,019,573
Transient guest	-	-	-	-	-	-	-	1,571,772
Intergovernmental	4,283,878	-	-	40,569	-	-	-	9,529,529
Fines, forfeitures, and penalties	-	-	-	-	-	-	-	110,421
Charges for services	-	325,032	5,481,932	209,393	-	-	1,379,870	13,709,116
Use of money and property	286	1,478	12,680	-	46,834	190,958	112,095	530,850
Miscellaneous	299,393	-	-	-	-	-	-	742,608
Total revenues	4,583,557	326,510	5,494,612	249,962	5,301,743	15,955,622	1,491,965	59,188,569
Expenditures								
General government	5,489,226	-	285,176	-	-	-	41,250	8,198,078
Public safety	878,836	-	-	-	-	-	-	1,212,340
Public works	2,132,975	-	682,418	-	272,999	-	-	6,356,483
Community services	3,157,616	497,474	4,919,119	273,537	-	-	-	15,909,742
Debt service								
Principal retirements	-	-	-	-	-	-	-	120,000
Interest and fiscal charges	-	-	-	-	-	-	-	156,695
Total expenditures	11,658,653	497,474	5,886,713	273,537	272,999	-	41,250	31,953,338
Excess of revenues over (under) expenditures	(7,075,096)	(170,964)	(392,101)	(23,575)	5,028,744	15,955,622	1,450,715	27,235,231
Other financing sources (uses)								
Transfers in	7,544,992	-	339,573	-	98,811	119,680	450,000	8,725,270
Transfers out	(166,836)	-	-	-	(3,573,661)	(14,500,000)	(1,963,301)	(31,199,980)
Total other financing sources (uses)	7,378,156	-	339,573	-	(3,474,850)	(14,380,320)	(1,513,301)	(22,474,710)
Net change in fund balances	303,060	(170,964)	(52,528)	(23,575)	1,553,894	1,575,302	(62,586)	4,760,521
Fund balances - beginning of year	4,343,854	377,127	317,427	676,411	3,329,655	6,395,337	10,235,888	38,699,690
Fund balances - end of year	$ 4,646,914	$ 206,163	$ 264,899	$ 652,836	$ 4,883,549	$ 7,970,639	$ 10,173,302	$ 43,460,211

Budgetary Schedules

City of Olathe, Kansas
Combining Schedule of Revenues, Expenditures
and Changes in Fund Balances
All Budgeted Special Revenue Funds
Budget and Actual - Budgetary Basis
For the Year Ended December 31, 2022

	Fire Levy Fund			Motor Fuel Tax Fund			Library Operating Fund		
	Original and Final Amended Budget	Actual	Variance - Positive (Negative)	Original and Final Amended Budget	Actual	Variance - Positive (Negative)	Original and Final Amended Budget	Actual	Variance - Positive (Negative)
Revenues									
Taxes	$ 4,252,100	$ 4,194,993	$ (57,107)	$ -	$ -	$ -	$ 7,483,252	$ 7,374,039	$ (109,213)
Intergovernmental	-	-	-	3,915,434	3,923,754	8,320	-	-	-
Fines, foreitures, and penalties	-	-	-	-	-	-	-	110,421	110,421
Charges for services	-	-	-	-	-	-	211,500	79,347	(132,153)
Use of money and property	-	-	-	359	-	(359)	36,189	76,943	40,754
Miscellaneous	26,651	-	(26,651)	-	-	-	32,686	-	(32,686)
Total revenues	4,278,751	4,194,993	(83,758)	3,915,793	3,923,754	7,961	7,763,627	7,640,750	(122,877)
Expenditures									
General government	-	-	-	-	-	-	390,738	454,620	(63,882)
Public safety	-	-	-	-	-	-	-	-	-
Public works	-	-	-	-	-	-	19,502	-	19,502
Community services	-	-	-	-	-	-	11,100,110	6,764,744	4,335,366
Debt service	-	-	-	-	-	-	-	-	-
Total expenditures	-	-	-	-	-	-	11,510,350	7,219,364	4,290,986
Excess of revenues over/ (under) expenditures	4,278,751	4,194,993	(83,758)	3,915,793	3,923,754	7,961	(3,746,723)	421,386	4,168,109
Other financing sources (uses)									
Transfers in	-	-	-	-	-	-	-	-	-
Transfers out	(4,413,902)	(4,316,712)	97,190	(3,983,957)	(3,849,829)	134,128	-	(200,102)	(200,102)
Total other financing sources/(uses)	(4,413,902)	(4,316,712)	97,190	(3,983,957)	(3,849,829)	134,128	-	(200,102)	(200,102)
Net change in fund balances	$ (135,151)	(121,719)	$ 13,432	$ (68,164)	73,925	$ 142,089	$ (3,746,723)	221,284	$ 3,968,007
Fund balances - beginning of year - Budget basis		121,719			323,368			3,646,054	
Fund balances - end of year - Budget basis		-			397,293			3,867,338	
Encumbrances incurred and outstanding / Due to other fund		-			-			167,022	
Fund balances - end of year - GAAP basis		$ -			$ 397,293			$ 4,034,360	

City of Olathe, Kansas
Combining Schedule of Revenues, Expenditures
and Changes in Fund Balances
All Budgeted Special Revenue Funds
Budget and Actual - Budgetary Basis
For the Year Ended December 31, 2022

	Economic Development and Tourism			Special Park and Recreation Fund			Special Alcohol Fund		
	Original and Final Amended Budget	Actual	Variance - Positive (Negative)	Original and Final Amended Budget	Actual	Variance - Positive (Negative)	Original and Final Amended Budget	Actual	Variance - Positive (Negative)
Revenues									
Taxes	$ 906,755	$ 1,571,772	$ 665,017	$ -	$ -	$ -	$ -	$ -	$ -
Intergovernmental	-	-	-	430,947	640,664	209,717	550,866	640,664	89,798
Fines, foreitures, and penalties	-	-	-	-	-	-	-	-	-
Charges for services	-	-	-	525,227	814,810	289,583	-	-	-
Use of money and property	-	17,832	17,832	15,003	28,094	13,091	19,159	11,426	(7,733)
Miscellaneous	-	-	-	-	100,000	100,000	-	100,000	100,000
Total revenues	906,755	1,589,604	682,849	971,177	1,583,568	612,391	570,025	752,090	182,065
Expenditures									
General government	2,506,657	1,318,500	1,188,157	-	-	-	-	-	-
Public safety	-	-	-	-	-	-	329,743	314,251	15,492
Public works	-	-	-	2,363,434	460,569	1,902,865	-	-	-
Community services	-	-	-	129,215	140,008	(10,793)	1,247,775	226,475	1,021,300
Debt service	-	-	-	-	-	-	-	-	-
Total expenditures	2,506,657	1,318,500	1,188,157	2,492,649	600,577	1,892,072	1,577,518	540,726	1,036,792
Excess of revenues over (under) expenditures	(1,599,902)	271,104	1,871,006	(1,521,472)	982,991	2,504,463	(1,007,493)	211,364	1,218,857
Other financing sources (uses)									
Transfers in	154	819	665	-	143,021	143,021	-	-	-
Transfers out	-	-	-	(450,000)	(450,000)	-	-	-	-
Total other financing sources/(uses)	154	819	665	(450,000)	(306,979)	143,021	-	-	-
Net change in fund balances	$ (1,599,748)	271,923	$ 1,871,671	$ (1,971,472)	676,012	$ 2,647,484	$ (1,007,493)	211,364	$ 1,218,857
Fund balances - beginning of year - Budget basis		1,927,245			2,276,676			1,015,960	
Fund balances - end of year - Budget basis		2,199,168			2,952,688			1,227,324	
Encumbrances incurred and outstanding / Due to other fund		-			-			-	
Fund balances - end of year - GAAP basis		$ 2,199,168			$ 2,952,688			$ 1,227,324	

City of Olathe, Kansas
Combining Schedule of Revenues, Expenditures
and Changes in Fund Balances
All Budgeted Special Revenue Funds
Budget and Actual - Budgetary Basis (continued)
For the Year Ended December 31, 2022

	Storm Water Fund			Recreation			Total		
	Original and Final Amended Budget	Actual	Variance - Positive (Negative)	Original and Final Amended Budget	Actual	Variance - Positive (Negative)	Original and Final Amended Budget	Actual	Variance - Positive (Negative)
Revenues									
Taxes	$ -	$ -	$ -	$ -	$ -	$ -	$ 12,642,107	$ 13,140,804	$ 498,697
Intergovernmental	-	-	-	-	-	-	4,897,247	5,205,082	307,835
Fines, foreitures, and penalties	-	-	-	-	-	-	-	110,421	110,421
Charges for services	4,987,587	5,136,981	149,394	6,262,000	5,481,932	(780,068)	11,986,314	11,513,070	(473,244)
Use of money and property	20,000	31,122	11,122	9,764	12,680	2,916	100,474	178,097	77,623
Miscellaneous	-	-	-	-	-	-	59,337	200,000	140,663
Total revenues	5,007,587	5,168,103	160,516	6,271,764	5,494,612	(777,152)	29,685,479	30,347,474	661,995
Expenditures									
General government	211,407	91,061	120,346	298,574	285,176	13,398	3,407,376	2,149,357	1,258,019
Public safety	-	-	-	-	-	-	329,743	314,251	15,492
Public works	4,574,917	2,807,952	1,766,965	652,840	686,168	(33,328)	7,610,693	3,954,689	3,656,004
Community services	69,946	66,452	3,494	5,272,805	4,917,036	355,769	17,819,851	12,114,715	5,705,136
Debt service	-	276,695	(276,695)	-	-	-	-	276,695	(276,695)
Total expenditures	4,856,270	3,242,160	1,614,110	6,224,219	5,888,380	335,839	29,167,663	18,809,707	10,357,956
Excess of revenues over (under) expenditures	151,317	1,925,943	1,774,626	47,545	(393,768)	(441,313)	517,816	11,537,767	11,019,951
Other financing sources (uses)									
Transfers in	-	28,374	28,374	-	339,573	339,573	154	511,787	511,633
Transfers out	(2,865,800)	(2,179,539)	686,261	(200,000)	-	200,000	(11,913,659)	(10,996,182)	917,477
Total other financing sources/(uses)	(2,865,800)	(2,151,165)	714,635	(200,000)	339,573	539,573	(11,913,505)	(10,484,395)	1,429,110
Net change in fund balances	$ (2,714,483)	(225,222)	$ 2,489,261	$ (152,455)	(54,195)	$ 98,260	$ (11,395,689)	1,053,372	$ 12,449,061
Fund balances - beginning of year - Budget basis		2,981,372			305,402			12,597,796	
Fund balances - end of year - Budget basis		2,756,150			251,207			13,651,168	
Encumbrances incurred and outstanding / Due to other fund		10,393			13,692			191,107	
Fund balances - end of year - GAAP basis		$ 2,766,543			$ 264,899			$ 13,842,275	

City of Olathe, Kansas
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budgeted Capital Projects Fund
Park Sales Tax Fund
Budget and Actual - Budgetary Basis
For the Year Ended December 31, 2022

	Original and Final Amended Budget	Actual	Variance - Positive (Negative)
Revenues			
Taxes	$ 4,400,930	$ 5,254,909	$ 853,979
Use of money and property	8,267	46,834	38,567
Total revenues	4,409,197	5,301,743	892,546
Expenditures			
Public works	2,532,529	272,999	2,259,530
Community services	-	-	-
Total expenditures	2,532,529	272,999	2,259,530
Excess of revenues over (under) expenditures	1,876,668	5,028,744	3,152,076
Other financing sources (uses)			
Transfers in	-	98,811	98,811
Transfers out	(3,573,661)	(3,573,661)	-
Total other financing sources (uses)	(3,573,661)	(3,474,850)	98,811
Net change in fund balance	$ (1,696,993)	1,553,894	$ 3,250,887
Fund balance - beginning of year		3,329,655	
Fund balance - end of year		$ 4,883,549	

City of Olathe, Kansas
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budgeted Capital Projects Fund
Street Maintenance Sales Tax Fund
Budget and Actual - Budgetary Basis
For the Year Ended December 31, 2022

	Original and Final Amended Budget	Actual	Variance - Positive (Negative)
Revenues			
Taxes	$ 13,456,485	$ 15,764,664	$ 2,308,179
Use of money and property	53,489	190,958	137,469
Total revenues	13,509,974	15,955,622	2,445,648
Expenditures			
General government	2,629,039	-	2,629,039
Total expenditures	2,629,039	-	2,629,039
Excess of revenues over (under) expenditures	10,880,935	15,955,622	5,074,687
Other financing sources (uses)			
Transfers in	-	119,680	119,680
Transfers out	(13,500,000)	(14,500,000)	(1,000,000)
Total other financing sources (uses)	(13,500,000)	(14,380,320)	(880,320)
Net change in fund balance	$ (2,619,065)	1,575,302	$ 4,194,367
Fund balance - beginning of year		6,395,337	
Fund balance - end of year		$ 7,970,639	

City of Olathe, Kansas
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Debt Service Fund
Budget and Actual - Budgetary Basis
For the Year Ended December 31, 2022

	Original and Final Amended Budget	Actual	Variance - Positive (Negative)
Revenues			
Taxes and special assessments	$ 26,004,651	$ 26,694,192	$ 689,541
Use of money and property	-	737,275	737,275
Miscellaneous	11,760,677	-	(11,760,677)
Total revenues	37,765,328	27,431,467	(10,333,861)
Expenditures			
General operations	-	31,450	(31,450)
Debt service:			
Principal retirements	29,488,717	24,745,000	4,743,717
Interest	73,800,374	8,606,815	65,193,559
Total expenditures	103,289,091	33,383,265	69,905,826
Excess of revenues over (under) expenditures	(65,523,763)	(5,951,798)	59,571,965
Other financing sources			
Transfers in	1,593,366	10,827,227	9,233,861
Transfers out	(225,450)	(326)	225,124
Total other financing sources/(uses)	1,367,916	10,826,901	9,458,985
Net change in fund balance	$ (64,155,847)	4,875,103	$ 69,030,950
Fund balance - beginning of year		68,453,968	
Fund balance - end of year		$ 73,329,071	

City of Olathe, Kansas
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Special Tax Financing Fund
Budget and Actual - Budgetary Basis
For the Year Ended December 31, 2022

	Original and Final Amended Budget	Actual	Variance - Positive (Negative)
Revenues			
Taxes and special assessments	$ 7,263,815	$ 7,869,931	$ 606,116
Intergovernmental	400,000	-	(400,000)
Use of money and property	48,176	112,846	64,670
Miscellaneous	-	55,727	55,727
Total revenues	7,711,991	8,038,504	326,513
Expenditures			
General operations	-	18,400	(18,400)
Capital improvements	-	5,195,216	(5,195,216)
Debt service	10,778,723	2,336,659	8,442,064
Total expenditures	10,778,723	7,550,275	3,228,448
Excess of revenues over (under) expenditures	(3,066,732)	488,229	3,554,961
Other financing sources			
Transfers out	-	(765,384)	(765,384)
Total other financing sources	-	(765,384)	(765,384)
Net change in fund balance	$ (3,066,732)	(277,155)	$ 2,789,577
Fund balance - beginning of year		9,932,435	
Fund balance - end of year		$ 9,655,280	

Internal Service Funds

Internal Service Funds

Central Garage

To account for the costs of operating a maintenance facility for automotive equipment provided to other city departments. Such costs are billed to other departments at actual cost plus a fixed overhead factor. The automotive equipment itself is acquired by the various user departments which are responsible for financing replacement vehicles as necessary.

Risk Management

To account for the monies provided for health and dental, workers' compensation, property, casualty and other liability insurance coverage purchased by the City.

Vehicle Replacement

To account for monies provided by usage charges for future replacement of City vehicles.

Personal Computer Replacement

To account for monies provided by usage charges for future replacement of City personal computers.

Building Maintenance Fund

To account for monies provided by usage charges for future maintenance costs.

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City of Olathe, Kansas
Combining Statement of Net Position
Internal Service Funds
December 31, 2022

	Central Garage	Risk Management	Vehicle Replacement	Personal Computer Replacement	Building Maintenance	Total
Assets						
Current assets						
Cash and cash equivalents	$ 883,233	$ 16,546,683	$ 12,285,436	$ 1,550,809	$ 455,219	$ 31,721,380
Accounts receivable	21,255	-	-	-	-	21,255
Inventories and prepaid assets	366,066	-	-	-	-	366,066
Total current assets	1,270,554	16,546,683	12,285,436	1,550,809	455,219	32,108,701
Noncurrent assets						
Restricted assets						
Due from other funds	-	-	1,289,528	-	-	1,289,528
Deposit	-	11,000	-	-	-	11,000
Total restricted assets	-	11,000	1,289,528	-	-	1,300,528
Capital assets	70,544	-	78,000,954	228,269	-	78,299,767
Less accumulated depreciation	(70,544)	-	(47,376,967)	(228,269)	-	(47,675,780)
Net capital assets	-	-	30,623,987	-	-	30,623,987
Total assets	$ 1,270,554	$ 16,557,683	$ 44,198,951	$ 1,550,809	$ 455,219	$ 64,033,216
Liabilities						
Current liabilities						
Accounts and claims payable	$ 1,027,134	$ 3,254,379	$ 26,158	$ -	$ -	$ 4,307,671
Due to other funds	-	1,504	-	-	-	1,504
Compensated absences	85,746	10,647	-	-	33,773	130,166
Total current liabilities	1,112,880	3,266,530	26,158	-	33,773	4,439,341
Noncurrent liabilities						
Deposit	-	11,000	-	-	-	11,000
Compensated absences	18,912	1,909	-	-	3,553	24,374
Total noncurrent liabilities	18,912	12,909	-	-	3,553	35,374
Total liabilities	1,131,792	3,279,439	26,158	-	37,326	4,474,715
Net position						
Net investment in capital assets	-	-	30,597,829	-	-	30,597,829
Unrestricted	138,762	13,278,244	13,574,964	1,550,809	417,893	28,960,672
Total net position	138,762	13,278,244	44,172,793	1,550,809	417,893	59,558,501
Total liabilities and net position	$ 1,270,554	$ 16,557,683	$ 44,198,951	$ 1,550,809	$ 455,219	$ 64,033,216

City of Olathe, Kansas
Combining Statement of Revenues, Expenses, and Changes in Net Position
Internal Service Funds
December 31, 2022

	Central Garage	Risk Management	Vehicle Replacement	Personal Computer Replacement	Building Maintenance	Internal Service Transfers	Total
Operating revenues							
Charges for services	$ 7,804,868	$ 24,667,553	$ 8,631,466	$ 1,469,406	$ 1,806,583	$ -	$ 44,379,876
Total operating revenues	7,804,868	24,667,553	8,631,466	1,469,406	1,806,583	-	44,379,876
Operating expenses							
Administration and general	24,068	24,403,776	1,002,293	1,300,508	-	-	26,730,645
Equipment maintenance	8,019,865	-	-	-	1,783,843	-	9,803,708
Depreciation	-	-	6,027,286	-	-	-	6,027,286
Total operating expenses	8,043,933	24,403,776	7,029,579	1,300,508	1,783,843		42,561,639
Operating income (loss)	(239,065)	263,777	1,601,887	168,898	22,740	-	1,818,237
Nonoperating revenues (expenses)							
Interest income	-	174,858	149,519	15,475	2,032	-	341,884
Gain from sale of equipment	-	-	640,209	-	-	-	640,209
Total nonoperating revenues (expenses)	-	174,858	789,728	15,475	2,032	-	982,093
Net income (loss)	(239,065)	438,635	2,391,615	184,373	24,772		2,800,330
Transfers in	65,262	-	-	-	-	(15,786)	49,476
Transfers out	-	-	(51,317)	-	-	15,786	(35,531)
Net income (loss)	(173,803)	438,635	2,340,298	184,373	24,772	-	2,814,275
Net position - beginning of year	312,565	12,839,609	41,832,495	1,366,436	393,121	-	56,744,226
Net position - end of year	$ 138,762	$ 13,278,244	$ 44,172,793	$ 1,550,809	$ 417,893	$ -	$ 59,558,501

City of Olathe, Kansas
Combining Statement of Cash Flows
Internal Service Funds
December 31, 2022

	Central Garage	Risk Management	Vehicle Replacement	Personal Computer Replacement	Building Maintenance	Internal Service Transfers	Total
Cash Flows from Operating Activities							
Receipts from customers and users	$ 7,801,606	$ 24,667,553	$ 8,631,466	$ 1,469,406	$ 1,806,583	$ -	$ 44,376,614
Payments to suppliers	(5,531,302)	(22,790,729)	(976,135)	(1,300,508)	(1,094,939)	-	(31,693,613)
Payments to employees	(1,961,335)	(513,176)	-	-	(684,667)	-	(3,159,178)
Net cash provided by (used in) operating activities	308,969	1,363,648	7,655,331	168,898	26,977	-	9,523,823
Cash Flows from Noncapital Financing Activities							
Transfers from other funds	65,262	-	-	-	-	(15,786)	49,476
Transfers to other funds	-	-	(51,317)	-	-	15,786	(35,531)
Net cash provided by (used in) noncapital financing activities	65,262	-	(51,317)	-	-	-	13,945
Cash Flows from Capital and Related Financing Activities							
Acquisitions and construction of capital assets	-	-	(12,245,642)	-	-	-	(12,245,642)
Proceeds from sale of capital assets	-	-	723,503	-	-	-	723,503
Net cash (used in) capital and related financing activities	-	-	(11,522,139)	-	-	-	(11,522,139)
Cash Flows from Investing Activities							
Interest received	-	174,858	149,519	15,475	2,032	-	341,884
Net cash provided by investing activities	-	174,858	149,519	15,475	2,032	-	341,884
Net increase (decrease) in cash and cash equivalents	374,231	1,538,506	(3,768,606)	184,373	29,009	-	(1,642,487)
Cash and cash equivalents - beginning of year	509,002	15,008,177	16,054,042	1,366,436	426,210	-	33,363,867
Cash and cash equivalents - end of year	$ 883,233	$ 16,546,683	$ 12,285,436	$ 1,550,809	$ 455,219	$ -	$ 31,721,380
Reconciliation of operating income (loss) to net cash provided by (used in) operating activities							
Operating income (loss)	$ (239,065)	$ 263,777	$ 1,601,887	$ 168,898	$ 22,740	$ -	$ 1,818,237
Adjustments to reconcile operating income (loss) to cash provided by (used in) operating activities							
Depreciation and amortization	-	-	6,027,286	-	-	-	6,027,286
Changes in assets and liabilities							
(Increase) in accounts receivable	(3,262)	-	-	-	-	-	(3,262)
Decrease in inventories and prepaid assets	11,192	-	-	-	-	-	11,192
Increase in accounts and claims payable	520,275	1,096,446	26,158	-	-	-	1,642,879
Increase in due to other funds	-	1,504	-	-	-	-	1,504
Increase in compensated absences	19,829	1,921	-	-	4,237	-	25,987
Total adjustments	548,034	1,099,871	6,053,444	-	4,237	-	7,705,586
Net cash provided by (used in) operating activities	$ 308,969	$ 1,363,648	$ 7,655,331	$ 168,898	$ 26,977	$ -	$ 9,523,823

OLATHE
KANSAS

Discretely Presented Component Unit

Discretely Presented Component Unit

Olathe Public Housing Authority

To account for the proprietary fund type financial activities of the public housing authority.

City of Olathe, Kansas
Statement of Net Position
Discretely Presented Component Unit
December 31, 2022

	Olathe Public Housing Authority
Assets	
Cash and cash equivalents	$ 723,051
Receivable	60,808
Capital assets, net of accumulated depreciation	2,218,646
Total assets	$ 3,002,505
Liabilities and net position	
Liabilities	
Accounts payable	$ 204,589
Accrued liabilities	109,386
Noncurrent liabilities	34,171
Total liabilities	348,146
Net position	
Net invested in capital assets	2,218,646
Unrestricted	435,713
Total net positioin	2,654,359
Total liabilities and net position	$ 3,002,505

City of Olathe, Kansas
Statement of Revenues, Expenses, and Changes in Net Position
Discretely Presented Component Unit
For the Year Ended December 31, 2022

	Olathe Public Housing Authority
Operating revenues	
Charges for services	$ 633,816
Intergovernmental	4,510,764
Total operating revenues	5,144,580
Operating expenses	
Community services	5,359,019
Total operating expenses	5,359,019
Operating (loss)	(214,439)
Nonoperating revenues	
Unrestricted investment earnings	579
Total nonoperating revenues	579
Change in net position	(213,860)
Net position - beginning of year, restated	2,868,219
Net position - end of year	$ 2,654,359

City of Olathe, Kansas
Statement of Cash Flows
Discretely Presented Component Unit
For the Year Ended December 31, 2022

	Olathe Public Housing Authority
Cash Flows from Operating Activities	
Receipts from customers and users	$ 5,135,120
Payments to suppliers	(4,379,644)
Payments to employees	(641,506)
Net cash provided by (used in) operating activities	113,970
Cash Flows from Capital and Related Financing Activities	
Acquisitions and construction of capital assets	(414,326)
Net cash (used in) capital and related financing activities	(414,326)
Cash Flows from Investing Activities	
Interest received	579
Net cash provided by investing activities	579
Net increase (decrease) in cash and cash equivalents	(299,777)
Cash and cash equivalents - beginning of year	1,022,828
Cash and cash equivalents - end of year	$ 723,051

Reconciliation of operating income to net cash provided by (used in) operating activities	
Operating loss	$ (214,439)
Adjustments to reconcile operating income to cash provided by (used in) operating activities	
Depreciation	231,887
Changes in assets and liabilities	
(Increase) in receivables	(9,460)
(Decrease) in accounts payable and accrued liabilities	130,617
(Decrease) in escrow account	(24,635)
Total adjustments	328,409
Net cash provided by (used in) operating activities	$ 113,970

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Statistical Section

City of Olathe, Kansas
Statistical Section

The statistical section of the City's Annual Comprehensive Financial Report (ACFR) presents detailed information as a context for understanding what the information presented in the financial statements, note disclosures, and required supplementary information say about the City's overall financial health.

Contents | **Exhibit**

Financial Trends
These schedules contain trend information to help the reader understand how the City's financial performance and well-being have changed over time. 1 - 4

Revenue Capacity
These schedules contain information to help the reader assess the City's most significant local revenue sources, property tax and sales tax. 5 - 12

Debt Capacity
These schedules present information to help the reader assess the affordability of the City's current levels of outstanding debt and the City's ability to issue additional debt in the future. 13 - 17

Demographic and Economic Information
These schedules offer demographic and economic indicators to help the reader understand the environment within which the City's financial activities take place. 18 - 21

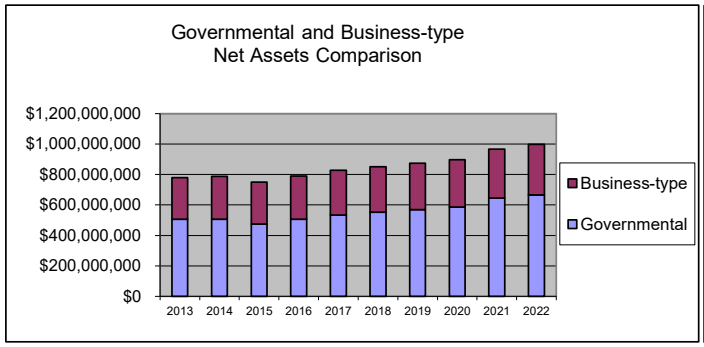
Operating Information
These schedules contain service and infrastructure data to help the reader understand how the information in the City's financial report relates to the services the City provides and the activities it performs. 22 - 24

Sources: Unless otherwise noted, the information in these schedules is derived from the annual comprehensive financial report for the relevant year.

Exhibit 1

City of Olathe, Kansas
Net Position by Component
Last Ten Fiscal Years
(accrual basis of accounting)

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Governmental activities										
Net investment in capital assets	$ 386,512,735	$ 370,692,154	$ 405,739,543	$ 412,629,059	$ 428,374,947	$ 468,020,359	$ 459,371,993	$ 471,816,066	$ 503,693,697	$ 514,551,384
Restricted	66,146,861	57,503,742	56,702,281	81,324,117	78,369,300	116,031,761	69,937,182	66,768,299	101,009,719	74,969,562
Unrestricted	54,031,890	78,729,704	11,859,425	11,528,670	27,219,955	(30,891,241)	39,888,618	46,978,044	41,195,050	77,565,399
Total governmental activities net position	$ 506,691,486	$ 506,925,600	$ 474,301,249	$ 505,481,846	$ 533,964,202	$ 553,160,879	$ 569,197,793	$ 585,562,409	$ 645,898,466	$ 667,086,345
Business-type activities										
Net investment in capital assets	$ 232,476,327	$ 239,782,857	$ 244,478,470	$ 240,994,461	$ 244,073,175	$ 239,764,049	$ 250,360,224	$ 262,044,600	$ 262,745,169	$ 280,604,883
Restricted	7,973,798	8,313,028	9,928,840	10,041,625	6,196,232	7,018,082	8,015,333	8,080,267	8,403,527	9,365,758
Unrestricted	33,057,503	32,283,790	21,204,555	33,935,078	43,939,745	50,105,406	46,625,246	41,586,877	48,695,977	41,916,358
Total business-type activities net position	$ 273,507,628	$ 280,379,675	$ 275,611,865	$ 284,971,164	$ 294,209,152	$ 296,887,537	$ 305,000,803	$ 311,711,744	$ 319,844,673	$ 331,886,999
Primary government										
Net investment in capital assets	$ 618,989,062	$ 610,475,011	$ 650,218,013	$ 653,623,520	$ 672,448,122	$ 707,784,408	$ 709,732,217	$ 733,860,666	$ 766,438,866	$ 795,156,267
Restricted	74,120,659	65,816,770	66,631,121	91,365,742	84,565,532	123,049,843	77,952,515	74,848,566	109,413,246	131,878,549
Unrestricted	87,089,393	111,013,494	33,063,980	45,463,748	71,159,700	19,214,165	86,513,864	88,564,921	89,891,027	71,938,528
Total primary government activities net position	$ 780,199,114	$ 787,305,275	$ 749,913,114	$ 790,453,010	$ 828,173,354	$ 850,048,416	$ 874,198,596	$ 897,274,153	$ 965,743,139	$ 998,973,344



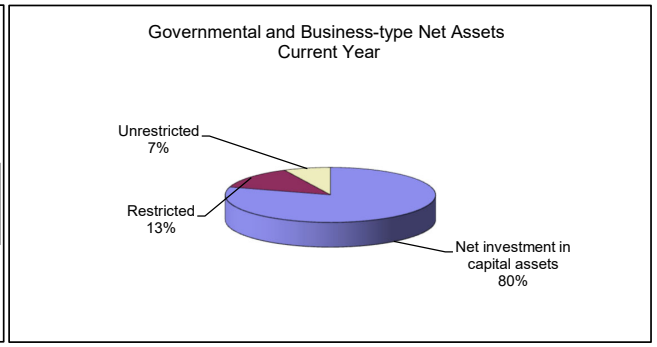


Exhibit 2

City of Olathe, Kansas
Changes in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Program expenses										
Governmental activities:										
General government	$ 22,936,723	$ 22,648,134	$ 22,935,349	$ 29,698,687	$ 30,659,017	$ 31,670,765	$ 33,634,434	$ 35,991,748	$ 27,620,858	$ 29,793,717
Public safety	38,518,949	41,446,154	41,065,601	43,586,807	51,947,482	53,518,929	56,203,958	52,193,052	56,950,109	60,278,175
Public works	48,561,843	72,495,919	70,291,556	74,644,080	61,820,535	45,025,053	65,535,157	63,983,483	66,082,643	83,859,869
Community services	10,960,318	12,509,572	13,744,699	16,168,880	16,667,781	16,270,619	16,129,998	15,467,438	21,072,224	27,984,576
Interest on long-term debt	11,049,332	8,620,577	8,496,066	7,239,575	7,906,438	7,294,666	7,275,226	5,400,068	6,563,929	8,980,984
Total governmental activities	132,027,165	157,720,356	156,533,271	171,338,029	169,001,253	153,780,032	178,778,773	173,035,789	178,289,763	210,897,321
Business-type activities:										
Water and sewer	34,389,123	35,799,511	37,538,379	38,786,625	41,493,532	43,452,685	48,649,227	49,102,197	46,325,732	48,603,398
Solid waste	10,738,154	11,740,294	11,854,241	12,176,917	12,863,072	13,945,482	14,178,471	14,125,846	14,427,967	15,915,887
Total business-type activities	45,127,277	47,539,805	49,392,620	50,963,542	54,356,604	57,398,167	62,827,698	63,228,043	60,753,699	64,519,285
Total primary government expenses	$ 177,154,442	$ 205,260,161	$ 205,925,891	$ 222,301,571	$ 223,357,857	$ 211,178,199	$ 241,606,471	$ 236,263,832	$ 239,043,462	$ 275,416,606
Program revenues										
Governmental activities:										
Charges for services										
General government	$ 3,965,047	$ 3,756,217	$ 4,155,156	$ 4,770,270	$ 4,660,223	$ 5,052,358	$ 4,852,589	$ 5,575,390	$ 5,958,325	$ 8,877,299
Public safety	4,523,774	4,537,798	4,315,123	4,191,244	3,091,130	3,512,133	3,607,841	2,898,957	3,118,926	3,282,524
Public works	5,688,762	7,772,860	7,558,545	8,064,710	9,472,541	10,731,989	8,752,953	8,328,295	11,879,017	9,932,908
Community services	2,380,047	3,709,630	4,780,084	5,524,930	5,994,725	5,902,968	6,135,471	5,106,418	7,521,950	6,692,510
Operating grants and contributions	2,277,453	2,338,420	2,642,863	2,798,886	2,691,260	2,548,814	3,212,795	3,954,109	3,816,162	7,562,128
Capital grants and contributions	20,204,382	21,906,462	27,214,326	47,057,319	38,451,050	17,409,373	24,823,201	19,504,894	41,853,456	15,511,711
Total governmental activities	39,039,465	44,021,387	50,666,097	72,407,359	64,360,929	45,157,635	51,384,850	45,368,063	74,147,836	51,859,080
Business-type activities:										
Charges for services										
Water and sewer	37,135,057	38,100,769	38,981,204	43,168,622	45,752,839	48,608,113	45,700,559	49,356,602	53,764,594	55,858,007
Solid waste	12,477,796	12,511,659	12,965,412	13,370,140	12,908,095	13,451,554	15,944,963	16,014,413	17,051,747	17,944,489
Operating grants and contributions	-	-	-	-	-	-	-	758,571	-	206,860
Capital grants and contributions	3,178,066	2,742,115	2,452,669	4,416,279	3,286,002	2,813,011	4,445,642	-	-	-
Total business-type activities	52,790,919	53,354,543	54,399,285	60,955,041	61,946,936	64,872,678	66,091,164	66,129,586	70,816,341	74,009,356
Total primary government program revenues	$ 91,830,384	$ 97,375,930	$ 105,065,382	$ 133,362,400	$ 126,307,865	$ 110,030,313	$ 117,476,014	$ 111,497,649	$ 144,964,177	$ 125,868,436
Net program expense	$ (85,324,058)	$ (107,884,231)	$ (100,860,509)	$ (88,939,171)	$ (97,049,992)	$ (101,147,886)	$ (124,130,457)	$ (124,766,183)	$ (94,079,285)	$ (149,548,170)

Exhibit 2

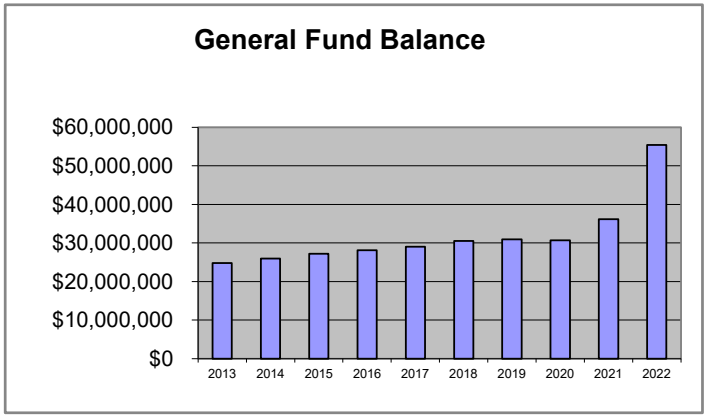
City of Olathe, Kansas
Changes in Net Position
Last Ten Fiscal Years
(accrual basis of accounting)

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
General revenues and other changes in net position										
Governmental activities:										
Taxes:										
Property taxes	$ 36,970,133	$ 38,287,765	$ 40,134,797	$ 43,336,975	$ 47,021,050	$ 51,746,347	$ 54,297,724	$ 57,381,851	$ 60,297,199	$ 61,432,277
Sales taxes	44,683,816	55,535,354	59,758,735	64,602,806	68,351,904	70,529,222	69,958,462	72,282,916	88,308,857	96,461,239
Franchise taxes	10,683,439	11,346,571	11,134,962	11,503,470	11,629,244	12,009,645	11,638,652	10,898,406	10,494,220	12,460,414
Other taxes	1,333,354	1,260,272	1,462,228	1,714,373	2,026,799	1,784,961	1,798,487	1,072,895	1,686,485	2,298,583
Investment earnings	378,433	642,836	602,315	862,779	1,512,957	3,013,147	4,679,309	1,518,553	105,806	3,047,564
Miscellaneous	2,318,868	6,671,826	1,825,250	2,165,115	2,443,044	4,497,232	3,162,265	1,412,662	315,531	4,543,878
Transfers	(107,331)	188,459	2,376,172	2,251,686	137,682	3,441,360	(2,104,062)	(534,941)	3,269,886	(18,335)
Total governmental activities	96,260,712	113,933,083	117,294,459	126,437,204	133,122,680	147,021,914	143,430,837	144,032,342	164,477,984	180,225,620
Business-type activities:										
Investment earnings	119,081	230,865	183,741	291,045	477,905	861,184	1,323,989	358,603	12,777	309,222
Lease interest income	-	-	-	-	-	-	-	-	-	26,450
Miscellaneous	1,103,970	1,014,903	1,108,050	1,328,441	1,307,433	1,341,098	1,421,749	2,915,854	1,327,396	2,198,248
Transfers	107,331	(188,459)	(2,376,172)	(2,251,686)	(137,682)	(3,441,360)	2,104,062	534,941	(3,269,886)	18,335
Total business-type activities	1,330,382	1,057,309	(1,084,381)	(632,200)	1,647,656	(1,239,078)	4,849,800	3,809,398	(1,929,713)	2,552,255
Total primary government general revenues	$ 97,591,094	$ 114,990,392	$ 116,210,078	$ 125,805,004	$ 134,770,336	$ 145,782,836	$ 148,280,637	$ 147,841,740	$ 162,548,271	$ 182,777,875
Change in net position	$ 12,267,036	$ 7,106,161	$ 15,349,569	$ 36,865,833	$ 37,720,344	$ 44,634,950	$ 24,150,180	$ 23,075,557	$ 68,468,986	$ 33,229,705

Exhibit 3

City of Olathe, Kansas
Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
General Fund										
Nonspendable	$ 372,171	$ 360,834	$ 273,262	$ 180,838	$ 65,974	$ 6,011	$ 109,998	$ 92,517	$ 437,938	$ 568,761
Assigned	691,195	575,716	308,646	408,916	313,803	367,726	152,861	305,369	332,938	3,948,318
Unassigned	23,714,931	25,029,566	26,653,214	27,547,843	28,660,751	30,139,831	30,662,381	30,336,965	35,362,011	50,883,642
Total general fund	$ 24,778,297	$ 25,966,116	$ 27,235,122	$ 28,137,597	$ 29,040,528	$ 30,513,568	$ 30,925,240	$ 30,734,851	$ 36,132,887	$ 55,400,721
All Other Governmental Funds										
Nonspendable	$ -	$ -	$ -	$ -	$ -	$ -	$ 44,704	$ 15,523	$ 3,199	$ 40,500
Restricted	57,084,752	52,559,149	58,520,874	70,680,019	69,992,308	84,594,066	39,582,543	45,163,035	84,970,442	110,793,987
Committed	11,259,718	12,690,925	16,931,314	13,253,562	14,393,464	16,173,584	14,356,140	15,672,679	15,849,022	15,610,075
Assigned	6,868,058	9,059,939	11,339,204	14,427,463	20,686,346	23,670,824	28,520,468	34,667,147	40,555,552	-
Unassigned	-	-	-	-	-	-	-	(30,667,594)	-	(13,016,986)
Total all other governmental funds	$ 75,212,528	$ 74,310,013	$ 86,791,392	$ 98,361,044	$ 105,072,118	$ 124,438,474	$ 82,503,855	$ 64,850,790	$ 141,378,215	$ 113,427,576



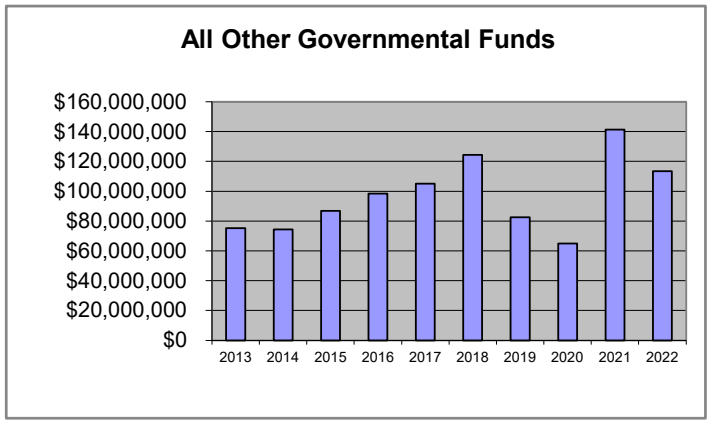


Exhibit 4

City of Olathe, Kansas
Changes in Fund Balances, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Revenues										
Taxes and special assessments	$ 104,216,196	$ 115,878,933	$ 119,895,961	$ 127,903,146	$ 134,793,488	$ 141,523,573	$ 143,388,176	$ 146,144,364	$ 164,711,092	$ 176,191,723
Intergovernmental	11,434,840	14,914,113	12,389,145	12,987,653	21,602,721	17,841,802	14,634,776	20,024,984	46,677,855	22,911,157
Licenses and permits	1,219,515	1,462,444	2,054,140	2,221,597	2,311,842	2,858,757	2,568,592	2,724,055	2,118,160	3,576,880
Fines, forfeitures, and penalties	4,028,710	3,973,992	3,866,565	3,861,676	2,766,930	3,156,629	3,289,874	2,460,077	2,780,050	2,256,977
Charges for services	11,309,405	14,340,069	14,888,203	16,467,881	18,139,856	19,184,062	17,490,388	16,724,928	20,282,516	22,951,384
Use of money and property	332,055	569,071	549,290	793,780	1,422,000	2,647,564	4,296,722	1,371,379	89,549	2,705,680
Miscellaneous	2,984,067	6,479,238	1,846,859	1,572,393	1,942,028	4,201,766	1,939,180	1,117,918	4,213,150	3,830,113
Total revenues	135,524,788	157,617,860	155,490,163	165,808,126	182,978,865	191,414,153	187,607,708	190,567,705	240,872,372	234,423,914
Expenditures										
Current:										
General government	21,332,265	21,094,027	22,375,960	28,554,144	28,267,167	30,304,050	31,876,684	31,598,849	27,122,934	26,631,374
Public safety	36,754,816	39,565,726	41,058,833	42,270,308	47,585,328	50,139,662	53,276,267	51,903,934	56,911,026	58,931,011
Public works	14,417,388	14,816,298	15,450,364	11,842,381	13,293,564	13,033,266	14,019,737	12,196,257	17,729,333	18,802,918
Community services	10,163,238	11,699,573	13,142,640	14,549,846	14,704,008	14,594,861	16,059,390	12,955,972	20,018,933	25,582,706
Capital improvements	45,828,161	57,620,792	44,172,182	56,384,322	59,411,140	69,670,738	84,023,479	91,008,714	101,633,665	100,622,921
Debt service:										
Principal retirements	24,980,629	28,371,830	24,098,465	20,680,816	21,767,175	22,139,589	22,960,974	22,097,653	21,766,215	26,645,342
Interest and fiscal charges	9,026,964	9,185,557	8,718,545	8,008,626	8,770,981	8,412,845	8,870,375	8,553,299	8,299,526	11,364,136
Total expenditures	162,503,461	182,353,803	169,016,989	182,290,443	193,799,363	208,295,011	231,086,906	230,314,678	253,481,632	268,580,408
Excess of revenues under expenditures	(26,978,673)	(24,735,943)	(13,526,826)	(16,482,317)	(10,820,498)	(16,880,858)	(43,479,198)	(39,746,973)	(12,609,260)	(34,156,494)
Other financing sources (uses)										
Payment to refunded bond escrow	-	(3,200,000)	(2,450,000)	(9,605,000)	(13,800,000)	(3,920,000)	(24,710,000)	(10,324,985)	(14,965,086)	-
Issuance of bonds	22,165,000	22,220,000	11,695,000	17,883,673	12,700,000	34,170,000	14,204,654	19,755,000	92,495,000	22,825,000
Issuance of refunding bonds	5,165,000	4,260,000	8,290,000	13,180,000	16,235,000	-	10,094,579	9,610,000	-	-
Lease issuance proceeds										116,979
Bond premium	1,905,100	1,200,740	1,759,969	3,089,684	2,460,806	4,160,857	3,231,035	2,662,103	14,054,446	1,702,257
Capital lease proceeds	237,839	9,255	-	-	-	-	-	224,023	-	-
Insurance proceeds	-	-	-	539,359	164,173	-	664,211	-	-	-
Transfers in	25,842,153	27,924,819	35,612,943	40,602,770	41,339,554	46,291,981	46,218,324	48,391,564	44,038,969	62,380,980
Transfers out	(25,655,128)	(27,393,567)	(31,090,979)	(40,416,462)	(40,649,195)	(42,986,886)	(47,831,882)	(48,414,186)	(41,088,608)	(61,551,527)
Total other financing sources (uses)	29,659,964	25,021,247	23,816,933	25,274,024	18,450,338	37,715,952	1,870,921	21,903,519	94,534,721	25,473,689
Net change in fund balances	$ 2,681,291	$ 285,304	$ 10,290,107	$ 8,791,707	$ 7,629,840	$ 20,835,094	$ (41,608,277)	$ (17,843,454)	$ 81,925,461	$ (8,682,805)
Debt service as a percentage of noncapital expenditures	27.2%	24.5%	21.9%	18.1%	20.0%	21.8%	18.3%	19.0%	17.6%	20.5%

Exhibit 5

City of Olathe, Kansas
Tax and Special Assessment Revenues by Source, Governmental Funds
Last Ten Fiscal Years
(modified accrual basis of accounting)

Fiscal Year	Property	Sales	Franchise	Special Assessments	Other Taxes	Total
2013	$ 36,970,133	$ 44,683,816	$ 10,683,439	$ 10,545,454	$ 1,333,354	$ 104,216,196
2014	$ 38,287,765	$ 55,529,354	$ 11,346,571	$ 9,448,971	$ 1,260,272	$ 115,872,933
2015	$ 40,134,797	$ 59,758,735	$ 11,134,962	$ 7,405,239	$ 1,462,228	$ 119,895,961
2016	$ 43,336,975	$ 64,602,806	$ 11,503,470	$ 6,745,522	$ 1,714,373	$ 127,903,146
2017	$ 47,021,050	$ 68,351,904	$ 11,629,244	$ 5,764,491	$ 2,026,799	$ 134,793,488
2018	$ 51,746,347	$ 70,529,222	$ 12,009,645	$ 5,453,398	$ 1,784,961	$ 141,523,573
2019	$ 54,297,724	$ 69,958,462	$ 11,638,652	$ 5,694,851	$ 1,798,487	$ 143,388,176
2020	$ 57,381,851	$ 72,282,916	$ 10,898,406	$ 4,508,296	$ 1,072,895	$ 146,144,364
2021	$ 60,297,199	$ 88,308,857	$ 10,494,220	$ 3,924,331	$ 1,686,485	$ 164,711,092
2022	$ 61,804,516	$ 96,461,239	$ 12,460,414	$ 3,166,971	$ 2,298,583	$ 176,191,723
Change 2013 to 2022	67.17%	115.88%	16.63%	-69.97%	72.39%	69.06%

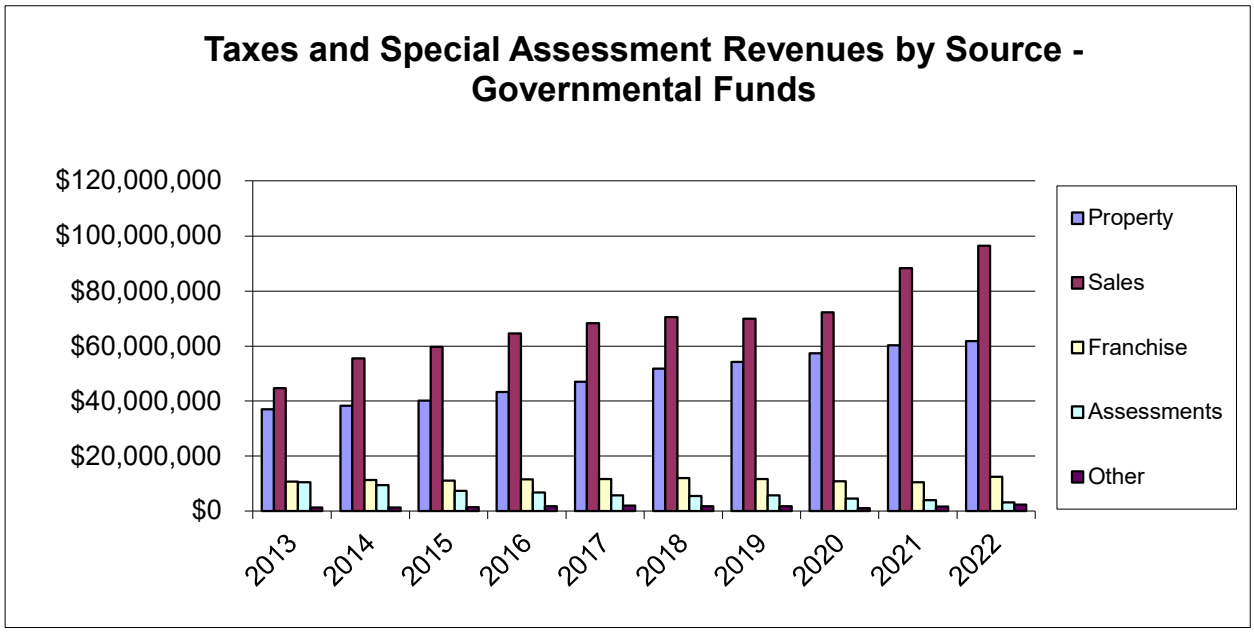


Exhibit 6

City of Olathe, Kansas
Taxable Sales by Category
City Sales Tax Only
Last Ten Fiscal Years

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Retail Trade										
(Big Box Retail, Grocery, Electronics)	$ 15,434,172	$ 17,474,368	$ 21,654,523	$ 22,314,004	$ 23,255,377	$ 23,454,605	$ 22,631,281	$ 24,957,732	$ 27,479,106	$ 28,481,139
Accommodation & Food Services										
(Hotel, Restaurant)	2,573,292	3,105,100	3,925,501	4,090,356	4,153,401	4,215,253	3,838,810	3,967,804	4,594,563	4,982,543
Utilities										
(Gas, Electric)	1,725,732	2,078,355	2,421,297	2,443,689	2,511,899	2,647,015	2,772,575	2,533,506	2,528,516	2,836,953
Information										
(Newsprint, Publishing)	1,283,752	1,605,851	1,966,346	1,624,835	1,595,511	1,637,132	1,296,756	1,294,798	1,488,432	1,631,804
Wholesale Trade										
(Wholesale Materials)	973,698	1,220,136	1,593,026	1,939,542	1,984,038	1,954,944	2,092,617	1,959,684	1,781,215	2,804,747
Manufacturing										
(Food, Beverage, Paper, Machinery)	611,627	811,627	967,271	983,735	948,760	929,794	760,624	780,948	835,937	1,179,506
Other Services										
(Auto Repair, Laundry)	674,440	824,551	1,047,467	1,111,621	1,129,824	1,147,384	1,477,371	1,210,238	1,293,359	1,526,874
Administrative, Support, Waste Management, & Remediation Services	200,444	229,120	287,092	319,937	382,946	419,703	417,450	711,645	619,516	629,513
Other	1,545,115	1,812,842	2,520,342	2,878,013	2,721,310	2,863,335	3,139,144	3,082,288	3,399,448	4,018,903
Total	$ 25,022,272	$ 29,161,950	$ 36,382,865	$ 37,705,732	$ 38,683,066	$ 39,269,165	$ 38,426,628	$ 40,498,643	$ 44,020,092	$ 48,091,982

Source: Kansas Department of Revenue

Exhibit 7

City of Olathe, Kansas
Direct and Overlapping Sales Tax Rates
Last Ten Fiscal Years
(modified accrual basis of accounting)

	City of Olathe			Johnson County							
Fiscal Year	General	Parks (1)	Streets (2)	General	Public Safety	Stormwater	Public Safety Capital (3)	Education Research Triangle (4)	Public Safety Courthouse (5)	State of Kansas (6)	Total
2013	1.000%	0.125%	-	0.500%	0.250%	0.100%	0.250%	0.125%	-	6.150%	8.500%
2014	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	-	6.150%	8.875%
2015	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	-	6.500%	9.225%
2016	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	-	6.500%	9.225%
2017	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	0.250%	6.500%	9.475%
2018	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	0.250%	6.500%	9.475%
2019	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	0.250%	6.500%	9.475%
2020	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	0.250%	6.500%	9.475%
2021	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	0.250%	6.500%	9.475%
2022	1.000%	0.125%	0.375%	0.500%	0.250%	0.100%	0.250%	0.125%	0.250%	6.500%	9.475%

Source: Kansas Department of Revenue

(1) The citizens of Olathe approved an 1/8% sales tax for various park projects for 10 years effective April 2015. In April 2023, Olathe citizens approved an extension of this tax through March 2035.

(2) The citizens of Olathe approved an 3/8% sales tax for street maintenance for 10 years effective April 2014. In April 2023, Olathe citizens approved an extension of this tax through March 2034.
(3) The citizens of Johnson County approved an 1/4% sales tax for public safety capital and operations effective January 2009.

(4) The citizens of Johnson County approved an 1/8% sales tax for the education research triangle effective January 2009.

(5) The citizens of Johnson County approved an 1/4% sales tax for public safety for a new courthouse effective April 2017.

(6) The State of Kansas decreased its sales tax rate effective July 2013 than increased its sales tax rate effective July 2015.

Exhibit 8

City of Olathe, Kansas
Assessed and Estimated Actual Value of Taxable Property
Last Ten Fiscal Years
(in thousands of dollars)

Collection Year	Real Property	Utilities	Personal Property	Total Assessed Value	Estimated Actual Value (1)	Total Direct Tax Rate
2013	1,212,161	38,311	28,765	1,279,238	9,562,962	24.818
2014	1,293,678	38,898	21,385	1,353,961	10,162,389	24.701
2015	1,400,333	40,813	19,349	1,460,496	10,980,846	24.688
2016	1,530,644	41,951	17,996	1,590,590	11,981,493	24.708
2017	1,682,451	42,752	16,293	1,741,496	13,145,013	24.700
2018	1,840,101	45,350	15,802	1,901,252	14,364,117	24.406
2019	1,960,326	47,328	15,287	2,022,942	15,293,254	24.397
2020	2,059,269	50,249	14,420	2,123,938	16,060,301	24.440
2021	2,167,129	52,672	13,717	2,233,518	16,895,001	24.458
2022	2,354,639	57,233	12,894	2,424,766	18,348,806	24.241

Source: Johnson County Appraiser 2022 Annual Abstract of Taxes

(1) Residential real estate is assessed at 11.5% of its fair market value. Commercial property is assessed at 25% of its fair market value. All other property is assessed at rates between 12% and 33% of its fair market value.

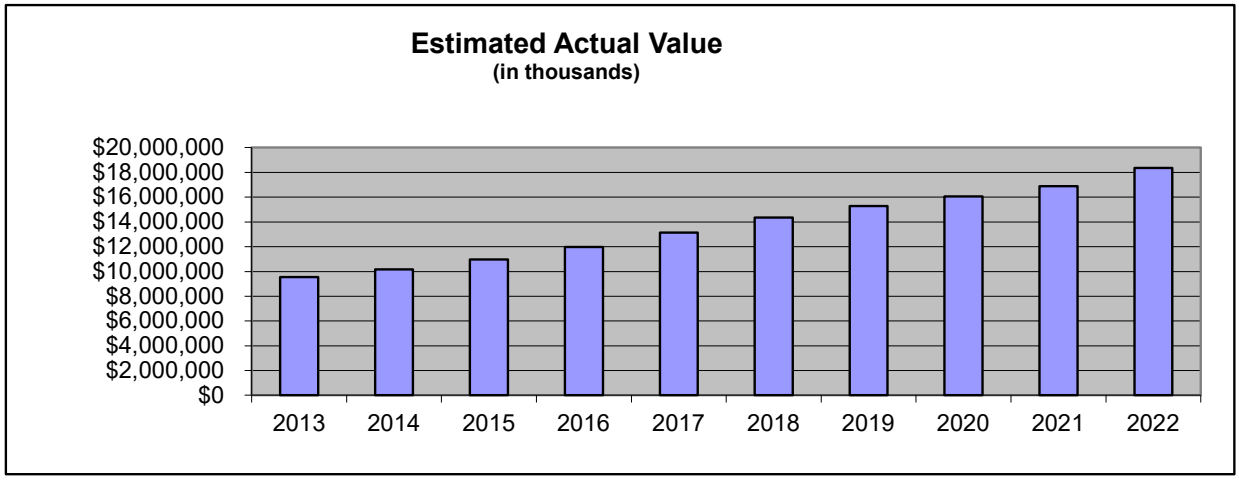


Exhibit 9

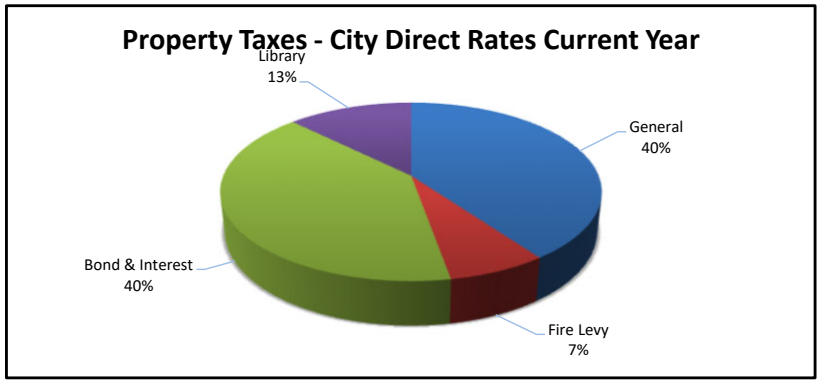
City of Olathe, Kansas
Property Tax Rates
Direct and Overlapping Governments
Last Ten Fiscal Years

	City Direct Rates					Overlapping Rates (1)					
Year	General	Fire Levy	Bond and Interest	Library	Total	State	County	Community College	County Park	Olathe Schools	Total
2013	9.010	1.705	11.337	2.766	24.818	1.500	17.745	9.551	2.347	69.486	125.447
2014	8.871	1.709	11.351	2.770	24.701	1.500	17.764	9.461	2.349	67.868	123.643
2015	8.866	1.710	11.345	2.767	24.688	1.500	19.582	9.469	3.101	67.764	126.104
2016	10.874	1.713	9.352	2.769	24.708	1.500	19.590	9.473	3.102	67.774	126.147
2017	10.193	1.730	9.979	2.798	24.700	1.500	19.318	9.503	3.112	71.174	129.307
2018	9.925	1.727	9.711	3.043	24.406	1.500	19.024	9.266	3.088	70.665	127.949
2019	9.921	1.727	9.707	3.042	24.397	1.500	19.036	9.121	3.090	69.878	127.022
2020	9.938	1.731	9.724	3.047	24.440	1.500	18.799	9.191	3.093	69.138	126.161
2021	9.945	1.733	9.731	3.049	24.458	1.500	18.564	9.110	3.096	68.282	125.010
2022	9.708	1.736	9.744	3.053	24.241	1.500	17.772	8.617	3.021	65.168	120.319

Per $1,000 of Assessed Valuation

Source: Johnson County Appraiser 2022 Annual Abstract of Taxes

(1) Overlapping rates are those of local, county, and state governments that apply to property owners within the City of Olathe. Not all overlapping rates apply to all property owners.



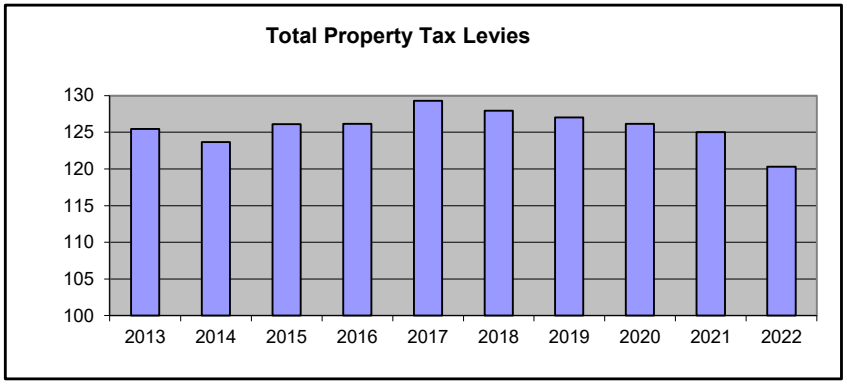


Exhibit 10

City of Olathe, Kansas
Principal Property Tax Payers
Current Year and Nine Years Ago

		2022			2013		
Taxpayer Name	**Type of Property**	**Total Assessed Value**	**Rank**	**Percentage of Total Assessed Valuation**	**Total Assessed Value**	**Rank**	**Percentage of Total Assessed Valuation**
Garmin International Inc		$ 28,273,857	1	1.17%			
JDM III SF KANSAS CITY DC		15,860,436	2	0.65%			
G&I X INDUSTRIAL KS LLC		11,638,102	3	0.48%			
US BANK		10,599,618	4	0.44%			
HOMESTEAD APARTMENT HOMES	Apartments	10,451,602	5	0.43%	6,546,146	5	0.51%
NORTHRIDGE 07 A LLC	Retail	8,994,617	6	0.37%	6,426,655	6	0.50%
HOA HOTELS KANSAS LLC		8,937,251	7	0.37%			
WAL-MART REAL ESTATE BUSINESS TRUST		8,841,566	8	0.36%			
FOODBRANDS AMERICA	Manufacturer	8,220,500	9	0.34%	5,000,001	9	0.39%
ALDI INC		8,176,111	10	0.34%			
KCPL	Utility				10,512,695	1	0.82%
ATMOS ENERGY (UNITED GAS)	Utility				9,670,082	2	0.76%
PASSCO OLATHE STATION	Retail				7,575,851	3	0.59%
HONEYWELL (BENDIX/KING)	Aircraft Communications				7,368,703	4	0.58%
WESTAR ENERGY (KPL)	Utility				5,723,557	7	0.45%
ARCITERRA OLATHE POINTE	Retail				5,328,001	8	0.42%
SPRINT SPECTRUM LLP	Utility				4,853,919	10	0.38%
Total		$ 119,993,660			$69,005,610		

Source: Real estate and personal property valuation from Johnson County Appraiser's Office.

Exhibit 11

City of Olathe, Kansas
Property Tax Levies and Collections
Last Ten Fiscal Years

Fiscal Year	Total Levy (1)	Current Tax Collection	Percent of Levy Collected	Delinquent Tax Collections (2)	Total Tax Collections	Total Collections as Percent of Current Levy
2013	30,902,949	31,116,334	100.7%	409,831	31,526,165	102.02%
2014	31,749,238	31,927,827	100.6%	425,649	32,353,476	101.90%
2015	33,439,317	33,426,577	100.0%	288,910	33,715,487	100.83%
2016	36,056,353	35,952,604	99.7%	473,432	36,426,036	101.03%
2017	39,304,956	38,673,924	98.4%	224,940	38,898,864	98.97%
2018	43,012,242	42,651,555	99.2%	96,486	42,748,041	99.39%
2019	46,401,800	45,806,541	98.7%	159,453	45,965,994	99.06%
2020	49,374,488	48,720,596	98.7%	197,366	48,917,962	99.08%
2021	51,908,685	51,277,663	98.8%	240,928	51,518,591	99.25%
2022	54,630,358	53,882,530	98.6%	(49,273)	53,833,257	98.54%

Source: Johnson County Appraiser

(1) The total levy is the original levy and does not include discoveries or abatements.

(2) Outstanding delinquent taxes are collected by Johnson County. County Treasurer's records do not provide a determination of delinquent outstanding taxes by year, therefore, it is possible for the total collections as a percent of current levy to be greater than 100%.

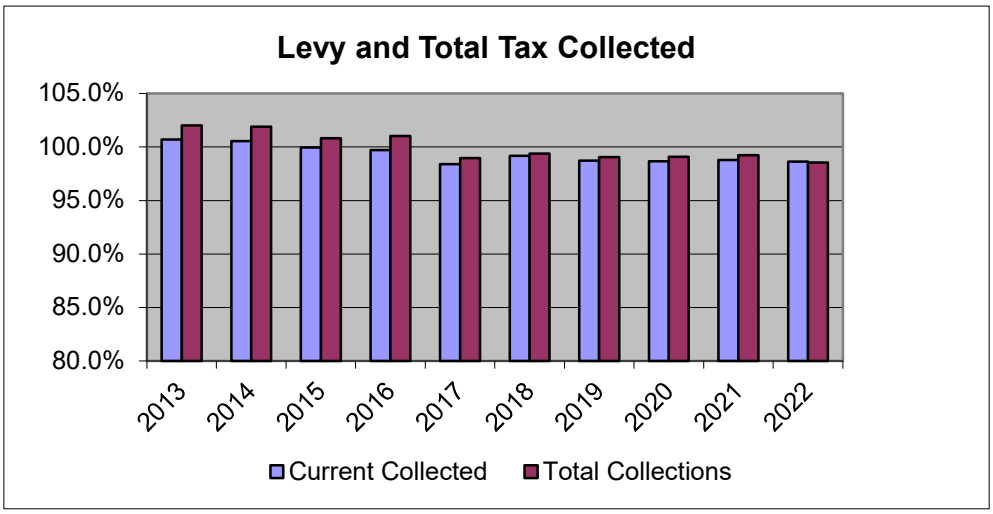


Exhibit 12

City of Olathe, Kansas
Special Assessment Collections
Last Ten Fiscal Years

Collection Year	Assessment Levy	Current Collections (1)	Percent of Levy Collected	Delinquent Collections	Current and Delinquent Collection	Percent of Levy Collected	Prepaid Assessment	Total Collections
2013	9,301,654	7,976,297	85.8%	854,213	8,830,510	94.9%	-	8,830,510
2014	8,944,804	7,753,386	86.7%	1,695,585	9,448,971	105.6%	-	9,448,971
2015	7,338,642	6,217,583	84.7%	1,025,219	7,242,802	98.7%	-	7,242,802
2016	6,664,058	6,333,943	95.0%	920,576	7,254,519	108.9%	-	7,254,519
2017	6,301,761	5,521,284	87.6%	67,744	5,589,028	88.7%	175,463	5,764,491
2018	6,051,367	5,524,676	91.3%	52,989	5,577,665	92.2%	138,383	5,716,048
2019	5,664,203	5,314,454	93.8%	484,767	5,799,221	102.4%	-	5,799,221
2020	5,048,715	4,145,649	82.1%	362,648	4,508,297	89.3%	-	4,508,297
2021	3,722,025	3,873,028	104.1%	51,303	3,924,331	105.4%	24,261	3,948,592
2022	3,319,885	3,324,259	100.1%	30,260	3,354,519	101.0%	-	3,354,519

Source: Johnson County

(1) Collections include interest.

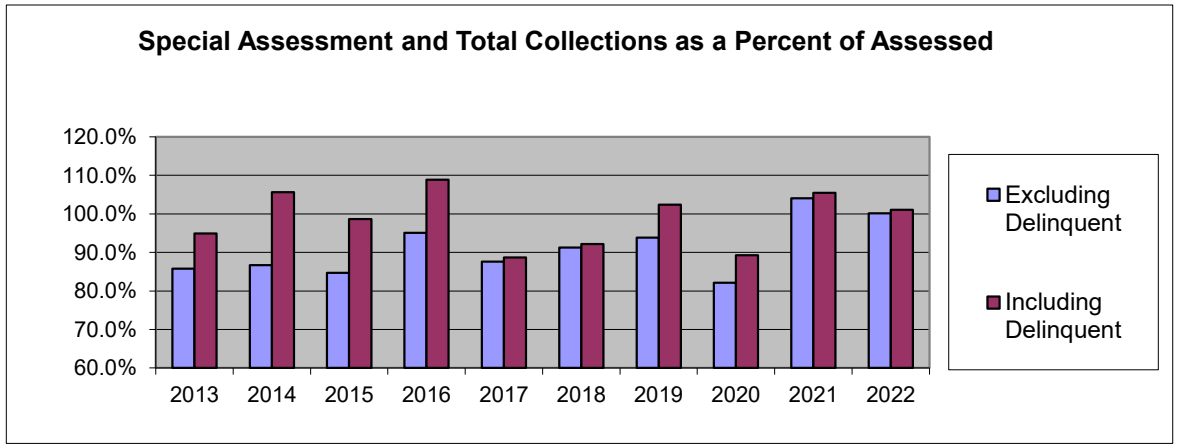
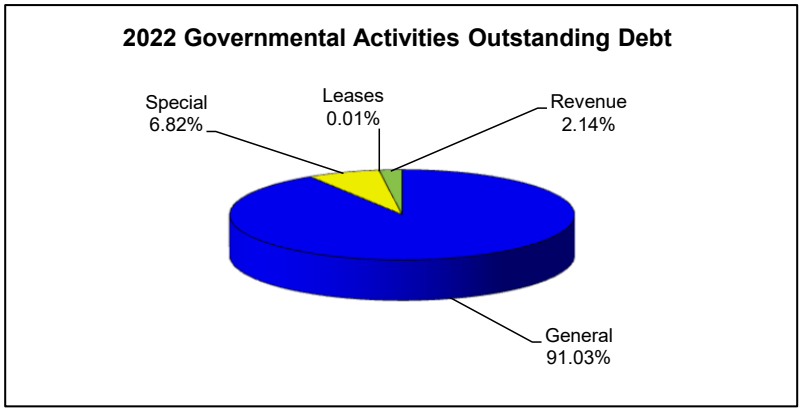


Exhibit 13

City of Olathe, Kansas
Ratios of Outstanding Debt by Type
Last Ten Fiscal Years

	Governmental Activities				Business-type Activities						
Fiscal Year	General Obligation Bonds	Special Obligation Bonds	Revenue Bonds	Capital Leases	Revenue Bonds	General Obligation Bonds	State Revolving Loan	Capital Leases	Total Primary Government	Percentage of Personal Income (1)	Per Capita
2013	201,346,499	35,653,366	-	520,070	61,003,683	15,880,000	22,526,925	10,345,822	347,276,365	1.7%	2,670
2014	198,103,868	34,055,952	-	420,696	58,740,557	14,745,000	21,014,983	9,154,514	336,235,570	1.8%	2,539
2015	193,986,805	32,408,327	-	304,857	75,907,189	13,585,000	19,463,078	7,971,817	343,627,073	1.8%	2,560
2016	198,534,607	30,699,594	-	87,774	72,706,973	12,405,000	17,754,002	6,721,860	338,909,810	1.8%	2,485
2017	195,446,767	28,091,571	-	3,622	79,531,354	11,195,000	16,361,106	5,432,563	336,061,983	2.0%	2,419
2018	209,076,614	24,754,653	-	951	87,987,835	9,945,000	15,000,389	4,029,068	350,794,510	2.0%	2,486
2019	185,067,576	23,209,629	3,075,000	-	99,536,787	8,650,000	13,674,379	2,549,498	335,762,869	2.2%	2,352
2020	182,571,407	21,715,170	2,970,000	177,344	99,674,564	7,320,000	12,304,672	992,747	327,725,904	2.3%	2,253
2021	250,551,965	20,077,454	2,860,000	108,759	107,019,622	5,950,000	10,889,817	-	397,457,617	2.0%	2,674
2022	245,035,556	18,352,001	5,765,000	37,309	113,107,447	4,115,000	9,428,314	-	395,840,627	2.1%	2,608

(1) For personal income and population data, see exhibit 18



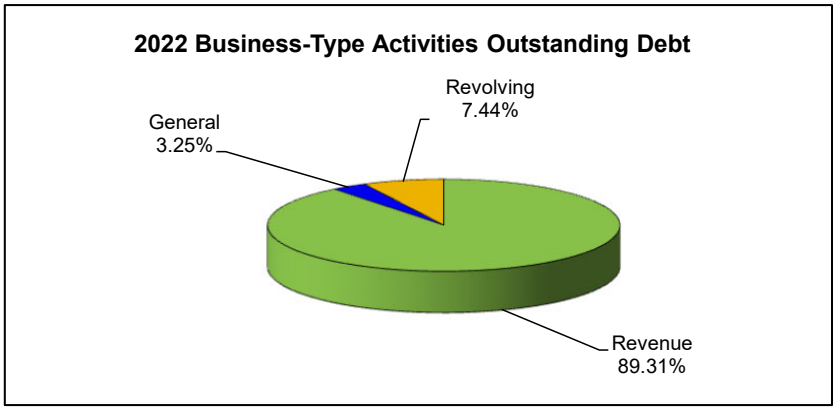
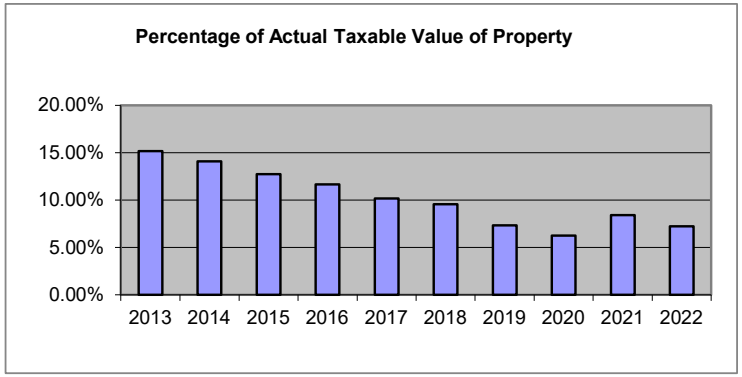


Exhibit 14

City of Olathe, Kansas
Ratios of Net General Bonded Debt Outstanding
Last Ten Fiscal Years

Fiscal Year	General Obligation Debt	Reserved for Debt Service	Net General Obligation Debt	Assessed Valuation	Percentage of Actual Taxable Value of Property	Population	Per Capita
2013	217,226,499	22,881,695	194,344,804	1,279,238,000	15.19%	130,055	1,494
2014	212,848,868	21,929,118	190,919,750	1,353,961,000	14.10%	132,437	1,442
2015	207,571,805	21,369,827	186,201,978	1,460,496,000	12.75%	134,231	1,387
2016	210,939,607	25,212,558	185,727,049	1,590,590,000	11.68%	136,394	1,362
2017	206,641,767	29,519,397	177,122,370	1,741,496,000	10.17%	138,922	1,275
2018	219,021,614	37,274,363	181,747,251	1,901,252,000	9.56%	141,116	1,288
2019	193,717,576	45,262,320	148,455,256	2,022,942,000	7.34%	142,767	1,040
2020	189,891,407	56,641,265	133,250,142	2,123,938,000	6.27%	145,459	916
2021	256,501,965	68,453,968	188,047,997	2,233,518,000	8.42%	148,665	1,265
2022	249,150,556	73,329,071	175,821,485	2,424,766,000	7.25%	151,780	1,158



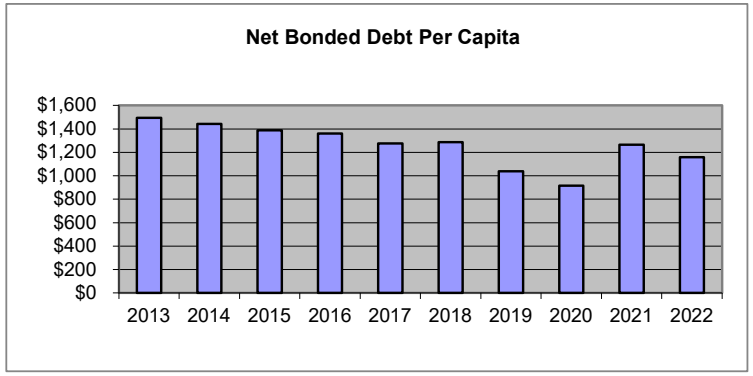


Exhibit 15

City of Olathe, Kansas
Direct and Overlapping Governmental Activities Debt
December 31, 2022

Taxing Unit	Net Debt to Nearest Date	Percentage Applicable to the City of Olathe	Estimated Share
Johnson County	$ 598,805,000	18.22%	$ 109,102,271
USD 229	376,230,000	3.28%	$ 12,340,344
USD 230	220,910,000	40.79%	$ 90,109,189
USD 231	114,415,000	1.37%	$ 1,567,486
USD 232	160,585,000	2.11%	$ 3,388,344
USD 233	801,434,386	69.47%	$ 556,756,468
Johnson County Fire District #2	5,115,000	0.26%	$ 13,299
NW Cons Fire	1,268,178	0.05%	$ 634
Total estimated overlapping debt			773,278,034
City of Olathe's direct debt			269,067,616
Total direct and overlapping debt			$ 1,042,345,650

Source: Johnson County

Note: Overlapping governments are those that coincide, at least in part, with the geographic boundaries of the City. This schedule estimates the portion of the outstanding debt of those overlapping governments that is borne by the residents and businesses of Olathe. This process recognizes that, when considering the City's ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account. However, this does not imply that every taxpayer is a resident, and therefore responsible for repaying the debt, of each overlapping government.

All Johnson County Taxing Units' debt is as of September 1, 2022. All other districts' debt is as of June 30, 2022.

Exhibit 16

City of Olathe, Kansas
Legal Debt Margin Information
Last Ten Fiscal Years

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Debt limit	$ 430,956,078	$ 455,980,038	$ 490,122,542	$ 531,685,602	$ 579,500,865	$ 630,366,375	$ 669,510,564	$ 637,181,262	$ 670,055,497	$ 727,429,838
Total net debt applicable to limit	100,536,250	121,451,182	126,719,078	129,097,192	136,166,161	158,746,899	181,513,450	205,875,413	237,266,874	286,780,000
Legal debt margin	$ 330,419,828	$ 334,528,856	$ 363,403,464	$ 402,588,410	$ 443,334,704	$ 471,619,476	$ 487,997,114	$ 431,305,849	$ 432,788,623	$ 440,649,838
Total net debt applicable to the limit as a percentage of debt limit	23.33%	26.64%	25.85%	24.28%	23.50%	25.18%	27.11%	32.31%	35.41%	39.42%

Legal Debt Margin Calculation for Fiscal Year 2022

Assessed valuation		$2,424,766,125
Legal debt limit (1)		727,429,838
Debt applicable to limit		
General obligation bonds	221,040,000	
Temporary notes	65,740,000	
Total general obligation debt outstanding		286,780,000
Less exempt capital projects (2)		-
Debt margin		$ 440,649,838

(1) Represents the valuation arrived at by using a formula as required by K.S.A. 79-5037. Debt limit is currently set at 30%.

(2) Represents the debt associated with projects exempt from debt limit calculation in accordance with K.S.A. 10-309.

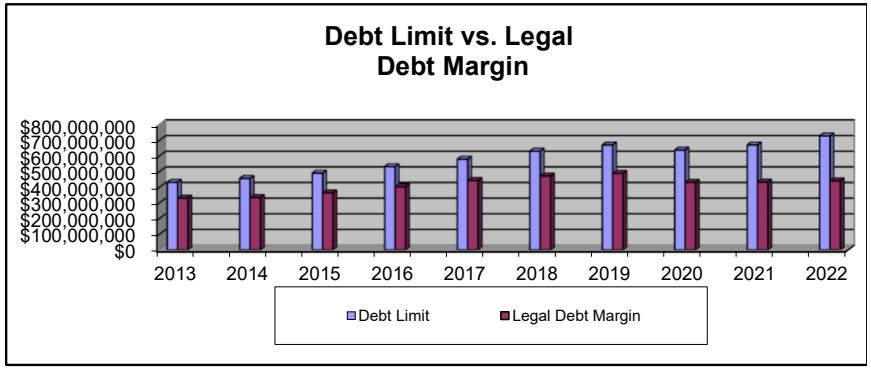


Exhibit 17

City of Olathe, Kansas
Pledged Revenue Coverage
Last Ten Fiscal Years

Water & Sewer Revenue Bonds

Fiscal Year	Revenues	Current Expenses (1)	Net Revenue Available for Debt Service	Principal Requirement	Interest Requirement	Coverage
2013	38,349,614	23,871,194	14,478,420	2,230,000	2,783,709	2.89
2014	39,327,067	24,801,732	14,525,335	2,165,000	2,789,113	2.93
2015	40,519,753	26,710,875	13,808,878	2,205,000	2,707,312	2.81
2016	44,771,642	27,342,877	17,428,765	3,065,000	3,253,529	2.76
2017	47,441,300	29,913,182	17,528,118	4,500,000	3,400,661	2.22
2018	50,659,278	31,706,303	18,952,975	3,400,000	3,698,015	2.67
2019	48,206,445	37,317,966	10,888,479	3,845,000	3,960,837	1.39
2020	53,340,380	36,173,340	17,167,040	4,450,000	4,115,468	2.00
2021	55,102,772	34,500,267	20,602,505	4,785,000	3,925,303	2.37
2022	58,544,396	38,126,779	20,417,617	5,220,000	3,168,331	2.43

Special Obligation Bonds and Developers' Agreements (2)

Fiscal Year	Revenues	Principal Requirement	Interest Requirement	Developers' Agreement	Coverage
2013	3,965,586	3,128,965	1,086,367	943,425	0.77
2014	4,013,561	1,597,414	1,017,481	960,974	1.12
2015	4,415,841	1,647,626	998,084	1,177,222	1.16
2016	5,477,980	1,708,733	972,027	1,317,683	1.37
2017	6,326,642	2,608,023	977,560	3,048,153	0.95
2018	7,321,032	3,336,918	866,630	3,758,742	0.92
2019	7,052,725	1,545,024	733,876	3,467,661	1.23
2020	6,792,915	1,494,459	656,010	3,602,740	1.18
2021	8,277,930	1,637,716	650,664	4,084,962	1.30
2022	8,038,504	1,725,453	611,206	5,195,216	1.07

(1) Current expenses do not include bad debt expense, depreciation, or amortization.
(2) The City is only obligated for the amounts of incremental taxes received attributable to the project. Any deficiencies are the responsibility of the redeveloper.

Exhibit 18

City of Olathe, Kansas
Demographic and Economic Statistics
Last Ten Fiscal Years

Fiscal Year	Population (3)	Personal Income (2)*	Per Capita Personal Income	Unemployment Rates (1)
2013	130,055	7,741,384	59,524	4.1%
2014	132,437	7,955,489	60,070	3.2%
2015	134,231	8,322,972	62,005	2.8%
2016	136,394	8,322,993	61,483	2.9%
2017	138,922	8,385,912	66,063	2.4%
2018	141,116	9,177,604	69,977	2.5%
2019	142,767	9,874,874	74,108	2.2%
2020	145,549	11,006,827	75,670	3.5%
2021	148,665	11,994,448	80,681	2.5%
2022	151,780	12,830,722	84,535	2.5%

* In thousands of dollars
(1) Source: Kansas Department of Labor
(2) Source: Derived from the personal income from Johnson County provided in the U.S. Department of Commerce Bureau of Economic Analysis
(3) Source: City of Olathe Planning Division

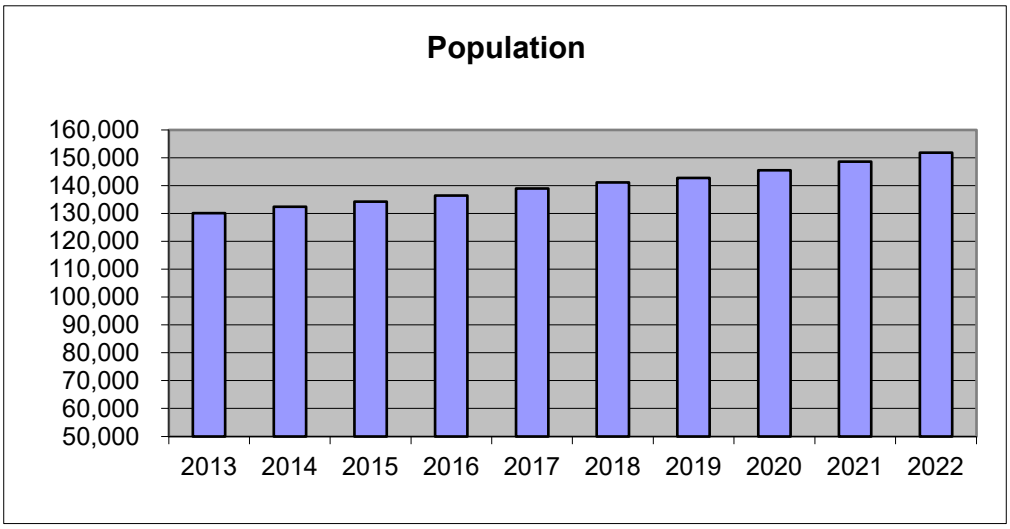


Exhibit 19

City of Olathe, Kansas
Principal Employers
Current Year and Nine Years Ago

Largest Employers	2022 Employees	2022 Rank	2022 Percentage of Total City Population	2013 Employees	2013 Rank	2013 Percentage of Total City Population
Company						
GARMIN International	4,600	1	3.09%	3,000	1	2.31%
Olathe Unified School District	4,500	2	3.03%	2,000	3	1.54%
Olathe Health System	2,500	3	1.68%	1,762	5	1.35%
Johnson County Government	2,400	4	1.61%	2,000	3	1.54%
Farmers Insurance	1,733	5	1.17%	3,000	1	2.31%
City of Olathe	962	6	0.65%	826	9	0.64%
TransAm Trucking	800	7	0.54%	1,000	6	0.77%
TVH	670	8				
FAA/Air Route Traffic Control Center	600	9	0.40%	600	10	0.46%
Honeywell Aerospace Electronic Systems	561	10	0.38%	850	8	0.65%
Covergys			0.00%	950	7	0.73%
Total	19,326		12.55%	15,988		12.30%

Source: Olathe Chamber of Commerce

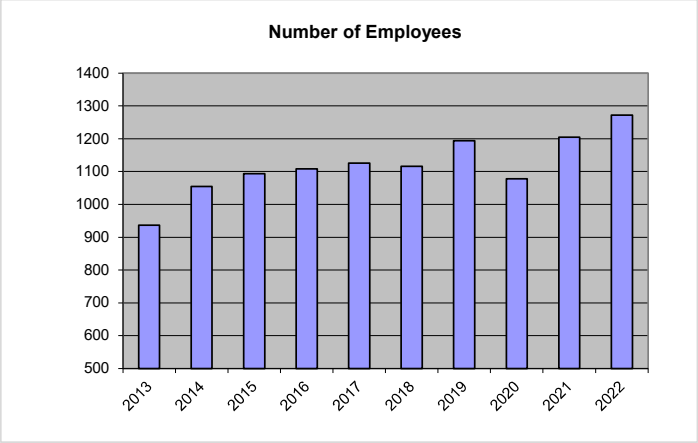
Exhibit 20

City of Olathe, Kansas
City Government Employees by Function/Program
Last Ten Fiscal Years

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Governmental										
General government	105	119	120	129	119	113	114	126	164	167
Public safety	341	348	348	347	374	379	396	391	382	390
Public works	134	126	134	135	128	140	130	85	147	144
Community services	162	280	307	308	291	275	346	270	335	383
Business-Type										
Water & Sewer	134	123	125	129	152	150	149	143	117	127
Solid Waste	61	59	60	60	62	59	59	63	60	61
Totals	937	1,055	1,094	1,108	1,126	1,116	1,194	1,078	1,205	1,272
Employees per budget	838	865	870	889	911	924	950	962	962	1009

Source: City's Payroll System

Note: The number of employees by function include full-time, part-time, and other variable employees. The annual budget does not include all variable employee types resulting in actual employees in excess of budgeted.



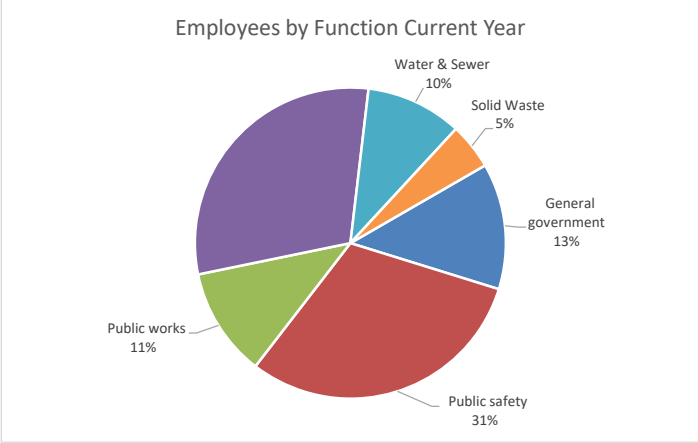


Exhibit 21

City of Olathe, Kansas
Operating Indicators by Function/Program
Last Ten Fiscal Years

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Public safety										
Police										
Violent Crime Rate per 1,000 residents	1.53%	1.46%	1.20%	1.43%	1.48%	1.91%	2.57%	1.18%	11.21%*	11.67%
Property Crime Rate per 1,000 residents	17.33%	16.29%	16.21%	16.84%	15.48%	15.54%	15.23%	2.69%	27.29%*	25.22%
Average calls for service per FTE - first responder	353	345	354	369	367	371	370	355	289	269
Fire										
Code 1 Emergencies response within 5 minutes	58%	51%	60%	53%	59%	61%	62%	64%	62%	60%
Fire Confined to Object or Room of Origin	74%	87%	73%	76%	73%	79%	81%	93%	74%	52%
Public works										
Governmental activities										
Maintenance of City Streets - Satisfactory or above	70.00%	74.00%	69.00%	74.12%	75.72%	74.95%	75.44%	75.60%	70.80%	76.01%
Major Street Snow Removal - Satisfactory or above	84.00%	85.00%	86.88%	84.94%	85.52%	86.04%	88.28%	92.48%	92.10%	91.32%
Residential Streets Snow Removal - Satisfactory or above	59.00%	61.00%	64.33%	66.80%	70.23%	70.64%	75.00%	81.84%	80.40%	79.81%
Maintenance of Sidewalks - Satisfactory or above	55.00%	61.00%	60.00%	57.20%	61.34%	60.00%	65.01%	63.86%	61.80%	62.98%
Business-type activities										
Water and sewer										
Time water meets regulatory standards	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Time wastewater meets effluent limits	100.00%	99.96%	99.86%	99.95%	100.00%	99.98%	100.00%	100.00%	99.98%	100.00%
Solid waste										
Tonnage diverted	38.29%	41.10%	43.88%	44.60%	45.27%	40.03%	42.42%	39.10%	38.85%	40.05%
Community services										
Quality of Parks and Recreation Programs and Facilities - Satisfactory or above	89.00%	90.00%	88.00%	92.32%	91.88%	91.00%	93.45%	91.62%	93.10%	92.88%
Quality of Outdoor Athletic Fields - Satisfactory or above	81.00%	81.00%	89.00%	83.54%	82.19%	80.75%	84.05%	86.42%	82.70%	84.82%
Quality of Indoor Recreation Facilities - Satisfactory or above	65.00%	75.00%	92.00%	82.03%	80.97%	84.00%	82.73%	85.51%	81.60%	82.92%

Source: Various City Departments and the annual Direction Finder Survey.

*The substantial increase in some police statistics is due to a change in reporting definitions to align with industry standards.

Exhibit 22

City of Olathe, Kansas
Capital Asset Statistics by Function/Program
Last Ten Fiscal Years

	Fiscal Year									
	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022
Function/Program										
Public safety										
Police										
Stations	1	1	1	1	1	1	1	1	1	1
Patrol units	58	58	58	58	58	58	60	60	62	62
Fire stations	7	7	7	7	7	7	7	7	8	8
Public works										
Governmental activities										
Streets (miles)	1,256	1,256	1,256	1,275	1,275	1,275	1,306	1,372	1345	1368
Business-type activities										
Water and sewer										
Water mains (miles)	590	590	590	600	600	600	600	600	627	632
Acre wellfield	95	95	95	95	95	95	95	95	95	190
Sanitary sewers (miles)	410	410	410	439	449	449	449	449	461	465
Solid waste										
Collection trucks	43	43	43	43	43	43	43	43	44	44
Community services										
Acreage	1,559	1,559	1,559	1,559	1,559	1,559	1,559	1,978	1,367	1,916
Parks	45	45	45	45	45	45	45	45	43	43
Swimming Facilities	4	4	5	5	5	5	5	5	6	6
Trails (miles)	31	31	31	33	33	32	58	71	79	45

Source: Various city departments
Note: No capital asset indicators are available for the general government.

Exhibit 23

City of Olathe, Kansas
Water and Sewer Information
Last Ten Fiscal Years

Number of Customers

The following table lists the approximate number of customers of the System for the last ten fiscal years.

Year	Water Customers	Sewer Customers
2013	34,860	29,004
2014	35,090	29,303
2015	35,323	29,633
2016	35,559	29,891
2017	35,879	30,262
2018	36,120	30,602
2019	36,600	30,830
2020	37,137	31,533
2021	36,947	31,669
2022	37,234	31,701

Water Production Requirements

The following table indicates historical water production requirements and comparison to the previous year.

	Average Daily Demand		Annual Demand	
Year	Gallons (in millions)	Percent Change	Gallons (in millions)	Percent Change
2013	13.64	-15.5%	4,976.95	-15.9%
2014	12.14	-11.0%	4,419.31	-11.2%
2015	11.30	-6.9%	3,634.00	-17.8%
2016	12.60	11.5%	4,585.00	26.2%
2017	11.82	-6.2%	4,304.00	-6.1%
2018	12.92	9.3%	4,717.27	9.6%
2019	11.75	-9.1%	4,289.66	-9.1%
2020	12.44	5.9%	4,541.29	5.9%
2021	12.74	2.4%	4,653.74	2.5%
2022	13.00	2.0%	4,900.00	5.3%

Exhibit 23

City of Olathe, Kansas
Water and Sewer Information
Last Ten Fiscal Years

Sewage Treatment Requirements

The following table indicates historical sewage treatment requirements of the City, but does not include that portion of the City that is served by the Johnson County Unified Wastewater District.

	Average Daily Flow		Annual Demand	
Year	Gallons (in millions)	Percent Change	Gallons (in millions)	Percent Change
2013	5.74	3.6%	2,105	3.5%
2014	5.11	-11.0%	1,893	-10.1%
2015	6.28	22.9%	2,298	21.4%
2016	5.95	-5.3%	2,186	-4.9%
2017	5.60	-5.9%	2,044	-6.5%
2018	5.15	-8.0%	1,899	-7.1%
2019	6.88	33.6%	2,535	33.5%
2020	5.68	-17.4%	2,092	-17.5%
2021	6.41	12.9%	2,338	11.8%
2022	6.23	-2.8%	2,306	-1.4%

Water and Sewer Peak Daily Demand

The following table indicates the peak daily demand of the water system and the maximum daily flow for the sewage treatment system for each of the last ten years.

Year	Water System Peak Daily Demand (millions of gallons)	Sewage System Maximum Daily Flow (millions of gallons)
2013	28.57	18.21
2014	24.12	18.08
2015	19.30	25.76
2016	24.68	31.28
2017	21.50	28.54
2018	25.26	35.20
2019	22.50	36.34
2020	22.41	29.09
2021	24.37	30.98
2022	26.51	23.30

continued

Exhibit 23

City of Olathe, Kansas
Water and Sewer Information

Largest Customers

The following table lists the ten largest users of the System based on the percentage of total 2022 revenue generated by each.

	Water System		
Customer	Type of Enterprise	2022 Water Billing	Percentage of Total 2022 System Revenues
Rural Water District 6	Rural Water	$ 571,792	2.64%
New Century Air Center	Wholesale	396,484	1.83%
Rural Water District 7	Rural Water	355,467	1.64%
FSI Santa Barbara Property LLC	Multi-family	157,880	0.73%
Olathe Medical Center	Hospital	149,938	0.69%
Cintas	Services	63,522	0.29%
Geiger Ready Mix	Industrial	47,913	0.22%
Green Lantern Car Wash LLC	Car Wash	45,810	0.21%
QuickTrip	Services	43,562	0.20%
Garmin International	Industrial	43,019	0.20%

	Sewer System		
Customer	Type of Enterprise	2022 Sewer Charge	Percentage of Total 2022 System Revenues
Olathe Medical Center	Hospital	$ 125,252	0.79%
Cintas	Services	116,608	0.73%
Green Lantern Car Wash LLC	Car wash	89,922	0.56%
AMC Theatres Mail Stop 4	Industrial	56,713	0.36%
Good Samaritan Center	Multi-family	54,300	0.34%
Villa St Francis	Multi-family	53,764	0.34%
ExxonMobil Grease Plant	Industrial	53,155	0.33%
HAMM Incorporated	Industrial	52,946	0.33%
Jerrerson on the Lake	Multi-family	47,570	0.30%
Johnson County Adult Detention	Government	46,989	0.30%

Exhibit 24

City of Olathe, Kansas
Risk Management Fund
December 31, 2022

	Workers' Compensastion	Health & Dental	General Liability	Other	Total
Assets					
Current assets					
Cash and cash equivalents	$ 6,178,106	$ 7,227,072	$ 3,141,505	$ -	$ 16,546,683
Total current assets	6,178,106	7,227,072	3,141,505	-	16,546,683
Noncurrent assets					
Restricted assets					
Deposit	-	11,000	-	-	11,000
Total restricted assets	-	11,000	-	-	11,000
Total assets	$ 6,178,106	$ 7,238,072	$ 3,141,505	$ -	$ 16,557,683
Liabilities					
Current liabilities					
Accounts and claims payable	$ 1,742,893	$ 1,168,800	$ 342,686	$ -	$ 3,254,379
Due to other funds	-	-	-	1,504	1,504
Compensated absences	453	6,578	-	-	7,031
Total current liabilities	1,743,346	1,175,378	342,686	1,504	3,262,914
Noncurrent liabilities					
Deposit	-	11,000	-	-	11,000
Compensated absences	322	5,203	-	-	5,525
Total noncurrent liabilities	322	16,203	-	-	16,525
Total liabilities	1,743,668	1,191,581	342,686	1,504	3,279,439
Net position					
Unrestricted	4,434,438	6,046,491	2,798,819	(1,504)	13,278,244
Total liabilities and net position	$ 6,178,106	$ 7,238,072	$ 3,141,505	$ -	$ 16,557,683
Operating revenues					
Charges for services	$ 1,620,778	$ 20,944,431	$ 2,057,556	$ 44,788	$ 24,667,553
Operating expenses					
Administration and general	2,226,080	19,863,308	2,139,658	174,730	24,403,776
Operating income (loss)	(605,302)	1,081,123	(82,102)	(129,942)	263,777
Nonoperating revenues (expenses)					
Interest income	64,653	76,038	33,794	373	174,858
Transfer out	-	-	-	-	-
Net income (loss)	(540,649)	1,157,161	(48,308)	(129,569)	438,635
Net position - beginning of year	4,975,087	4,889,330	2,847,127	128,065	12,839,609
Net position - end of year	$ 4,434,438	$ 6,046,491	$ 2,798,819	$ (1,504)	$ 13,278,244

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APPENDIX D

ESTIMATED SYSTEM REVENUES AND EXPENDITURES
WATER AND SEWER FUND
(FOR THE FISCAL YEAR ENDED 12/31/2023)

Net Position – January 1, 2023	$318,530,021
Est. Total Revenues[(a)]	51,106,705
Est. Total Expenditures[(b)]	(53,553,727)
Est. Change in Fund Balance	(2,447,022)
Est. Net Position – December 31, 2023	**$316,082,999**

(a) Not representative of Gross Revenues as defined in the Bond Resolution.

(b) Not representative of Current Expenses as defined in the Bond Resolution. Includes depreciation and amortization and interest on revenue bonds of the System.

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APPENDIX E

SUMMARY OF FINANCING DOCUMENTS

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SUMMARY OF THE BOND RESOLUTION

The following is a summary of certain provisions contained in the Resolution authorizing the issuance of the Series 2023 Bonds. The following is not a comprehensive description, however, and is qualified in its entirety by reference to the Resolution for a complete recital of the terms thereof.

Definitions

In addition to words and terms defined elsewhere in this Official Statement, the following are definitions of certain words and terms used in the Resolution and this Official Statement unless the context clearly otherwise requires. Reference is hereby made to the Resolution for complete definitions of all terms.

"Additional Bonds" means any bonds or other obligations secured by the Net Revenues and hereafter issued pursuant to and in accordance with the Resolution.

"Authorized Investments" shall mean the investments hereinafter described, provided, however, no monies or funds shall be invested in a Derivative: (a) investments authorized by K.S.A. 12-1675 and amendments thereto; (b) the municipal investment pool established pursuant to K.S.A. 12-1677a, and amendments thereto; (c) direct obligations of the United States Government or any agency thereof; (d) the City's temporary notes issued pursuant to K.S.A. 10-123 and amendments thereto; (e) interest-bearing time deposits in commercial banks or trust companies located in the county or counties in which the City is located which are insured by the Federal Deposit Insurance Corporation or collateralized by securities described in (c); (f) obligations of the federal national mortgage association, federal home loan banks or the federal home loan mortgage corporation; (g) repurchase agreements for securities described in (c) or (f); (h) investment agreements or other obligations of a financial institution the obligations of which at the time of investment are rated in either of the three highest rating categories by Moody's or Standard & Poor's; (i) investments and shares or units of a money market fund or trust, the portfolio of which is comprised entirely of securities described in (c) or (f); (j) receipts evidencing ownership interests in securities or portions thereof described in (c) or (f); (k) municipal bonds or other obligations issued by any municipality of the State as defined in K.S.A. 10-1101 which are general obligations of the municipality issuing the same; (l) bonds of any municipality of the State as defined in K.S.A. 10-1101 which have been refunded in advance of their maturity and are fully secured as to payment of principal and interest thereon by deposit in trust, under escrow agreement with a bank, of securities described in (c) or (f); or (m) other investment obligations authorized by the laws of the State, all as may be further restricted or modified by amendments to applicable State law.

"Average Annual Debt Service" means the average of the Debt Service Requirements as computed for the then current and all future fiscal years; provided that the Debt Service Requirements in the final Stated Maturity of any series of Parity Bonds shall be reduced by the value of cash and permitted investments on deposit in the applicable Bond Reserve Account, so long as such Bond Reserve Account is maintained at the applicable Bond Reserve Requirement.

"Bond Counsel" means the firm of Gilmore & Bell, P.C. or any other attorney or firm of attorneys whose expertise in matters relating to the issuance of obligations by states and their political subdivisions is nationally recognized and acceptable to the City.

"Bond Reserve Account" means the Bond Reserve Account for Water and Sewer System Improvement Revenue Bonds, Series 2023, created by the Resolution.

"Bond Reserve Requirement" means an amount equal to $397,900.

"Bondowner" means the same as the term Owner.

"Business Day" means a day on which financial institutions located in New York, New York or Topeka, Kansas are not required or authorized to remain closed.

"Cede & Co." means Cede & Co., as nominee name of The Depository Trust Company, New York, New York.

"City" means the City of Olathe, Kansas.

"City Clerk" shall mean the duly appointed and acting City Clerk or, in the City Clerk's absence, the duly appointed Deputy City Clerk or Acting City Clerk of the City.

"Code" means the Internal Revenue Code of 1986, as amended, together with any regulations applicable thereto or promulgated thereunder by the United States Department of the Treasury.

"Consultant" means the Consulting Engineer, the Independent Accountant, or an independent consultant qualified and having a favorable reputation for skill and experience in financial affairs selected by the City for the purpose of carrying out the duties imposed on the Consultant by the Parity Bond Resolutions.

"Consulting Engineer" means an independent engineer or engineering firm, having a reputation for skill and experience in the construction and operation of public utilities, at the time employed by the City for the purpose of carrying out the duties imposed on the Consulting Engineer by the Resolution.

"Costs of Issuance" means all costs of issuing any series of Bonds, including all publication, printing, signing and mailing expenses in connection therewith, registration fees, financial advisory fees, all legal fees and expenses of Bond Counsel and other legal counsel, expenses incurred in connection with compliance with the Code, all expenses incurred in connection with receiving financial ratings on any series of Bonds, and any premiums or expenses incurred in obtaining any credit enhancement.

"Costs of Issuance Account" means the Costs of Issuance Account for Water and Sewer System Improvement Revenue Bonds, Series 2023, created by the Resolution.

"Current Expenses" means all necessary expenses of operation, maintenance and repair of the System, including, current maintenance charges, expenses of reasonable upkeep and repairs, properly allocated share of charges for insurance, and all other expenses incident to the operation of the System, but shall exclude depreciation and amortization charges, interest paid on revenue bonds of the System, all general administrative expenses of the City not related to the operation of the System, and the payments into the Bond Reserve Account provided for in the Resolution.

"Dated Date" means the Issue Date.

"Debt Service Coverage Ratio" means, for any fiscal year the ratio determined by dividing (i) a numerator equal to the Net Revenues for such fiscal year by (ii) a denominator equal to the Average Annual Debt Service; provided that with respect to Additional Bonds that are proposed to be Parity Bonds, Debt Service Requirements on junior lien bonds issued pursuant to the Resolution or pursuant to any other Parity Bond Resolutions shall be disregarded.

"Debt Service Requirements" shall mean the required payments of principal, premium, if any, and interest on the Bonds, any Parity Bonds and any Additional Bonds in accordance with the terms and provisions of

the Resolution; provided, however, that for purposes of calculating such amounts, principal and interest shall be excluded from the determination of Debt Service Requirements to the extent that such principal or interest is payable from amounts deposited in trust, escrowed or otherwise set aside for the payment thereof.

"Defaulted Interest" means any interest on the Bonds which is payable but is not punctually paid on any Interest Payment Date.

"Derivative" means any investment instrument whose market price is derived from the fluctuating value of an underlying asset, index, currency, futures contract, including futures, options and collateralized mortgage obligations.

"Disclosure Undertaking" means the City's Continuing Disclosure Undertaking dated as of the Dated Date, relating to certain obligations contained in Rule 15c2-12 adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as may be amended from time to time.

"Event of Default" means each of the following occurrences or events:

(a) Payment of the principal of and interest and the redemption premium, if any, on any of the Bonds shall not be made when the same shall become due and payable, either at Stated Maturity or by proceedings for redemption or otherwise; or

(b) The City shall default in the due and punctual performance of any other of the covenants, conditions, agreements and provisions contained in the Bonds, in the Ordinance or in the Resolution on the part of the City to be performed, and such default shall continue for thirty (30) days after written notice specifying such default and requiring the same to be remedied shall have been given to the City by the owner of any of the Bonds then Outstanding; or

(c) The filing by the City of a voluntary petition in bankruptcy, or failure by the City to promptly lift any execution, garnishment or attachment of such consequence as would impair the ability of the City to carry on its operation, or adjudication of the City as a bankrupt, or assignment by the City for the benefit of creditors, or the entry by the City into an agreement of composition with creditors, or the approval by a court of competent jurisdiction of a petition applicable to the City in any proceedings instituted under the provisions of federal bankruptcy law, or under any similar acts which may hereafter be enacted.

"Federal Tax Certificate" means the Federal Tax Certificate (dated as of the Issue Date), as the same may be amended or supplemented in accordance with its terms.

"Governing Body" means the City Council of the City of Olathe or any successor governing body.

"Gross Revenues" means all charges, fees, income and revenues (including interest and investment earnings) derived and collected by the City from the operation and ownership of the System, including, without limitation the System Development Charge collected pursuant to Section 13.26 of the Municipal Code of the City, as amended, and any rate, fee or charge that succeeds to the System Development Charge, any amounts deposited in connection with the acquisition, construction, remodeling, renovation and equipping of facilities to be applied during the period of determination to pay debt service on revenue bonds of the System, and net proceeds of any business interruption insurance, but excluding any profits or losses on the early extinguishment of debt or on the sale or other disposition, not in the ordinary course of business, of investments or fixed or capital assets.

"Independent Accountant" means an independent certified accountant or firm of certified accountants at the time employed by the City for the purpose of carrying out the duties imposed on the Independent Accountant by the Resolution.

"Issue Date" means the date when the City delivers the Bonds to the Purchaser in exchange for the Purchase Price.

"Maturity" when used with respect to any Bond means the date on which the principal of such Bond becomes due and payable, whether at the Stated Maturity thereof or call for redemption or otherwise.

"Net Revenues" means Gross Revenues less Current Expenses.

"Operation and Maintenance Account" means the Water and Sewer System Operation and Maintenance Account created by the Resolution.

"Ordinance" means the ordinance authorizing the issuance of the Series 2023 Bonds, as from time to time amended in accordance with the terms thereof.

"Outstanding" shall mean, as of a particular date, all bonds previously issued, authenticated and delivered under the provisions of the Resolution, except:

(a) bonds theretofore cancelled by the Paying Agent or delivered to the Paying Agent for cancellation pursuant to the Resolution;

(b) bonds for the payment or redemption of which monies or investments have been deposited in accordance with the Resolution; and

(c) bonds in exchange for or in lieu of which other bonds have been authenticated and delivered pursuant to the Resolution,

"Owner" or "Registered Owner" when used with respect to any Bond means the person in whose name such Bond is registered on the Bond Register.

"Parity Bonds" means the Bonds, the Series 2012 Bonds, the Series 2015 Bonds, the Series 2017 Bonds, the Series 2018 Bonds, the Series 2019 Bonds, the Series 2020 Bonds, the Series 2021 Bonds, Series 2022 Bonds and any Additional Bonds hereinafter issued pursuant to the Resolution and standing on a parity and equality with the Bonds with respect to the payment of principal and interest out of the Net Revenues of the System.

"Parity Bond Resolutions" means jointly the Series 2012 Resolution, the Series 2015 Resolution, the Series 2017 Resolution, the Series 2018 Resolution, the Series 2019 Resolution, Series 2020 Resolution, the 2021 Resolution, the Series 2022 Bond Resolution, the Ordinance, the Resolution, and the ordinances and resolutions under which any additional Parity Bonds shall be issued.

"Person" means any individual, corporation, partnership, joint venture, association, joint-stock company, trust, unincorporated organization, or government or any agency or political subdivision thereof.

"Principal and Interest Account" means the Principal and Interest Account for Water and Sewer System Improvement Revenue Bonds, Series 2023 created by the Resolution.

"Principal Payment Dates" shall mean July 1 of each year, commencing July 1, 2024, until such time as the aggregate principal amount of the Bonds has been paid or provision is made for the payment thereof, whether at Stated Maturity or Redemption Date.

"Project" means the extension, enlargement and improvement of the System, described in the Resolution.

"Project Account" means the Project Account for Water and Sewer System Improvement Revenue Bonds, Series 2023, created by the Resolution.

"Purchase Price" shall mean principal amount of the Series 2023 Bonds, plus a premium of $269,142.30, less an underwriting discount of $50,160.00.

"Rebate Fund" means the Rebate Fund for Water and Sewer System Improvement Revenue Bonds, Series 2023, created by the Resolution.

"Record Date" means the fifteenth day of the month (whether or not a business day) next preceding each Interest Payment Date in each year the Bonds are Outstanding.

"Redemption Date" when used with respect to any Bond to be redeemed means the date fixed for such redemption pursuant to the terms of the Resolution.

"Redemption Price" when used with respect to any Bond to be redeemed means the price at which such Bond is to be redeemed, including the applicable redemption premium, if any, but excluding installments of interest whose Stated Maturity is on or before the Redemption Date.

"Resolution" means the resolution authorizing the issuance of the Series 2023 Bonds.

"Revenue Fund" means the Water and Sewer System Revenue Fund referred to in the Resolution.

"Series 2012 Bonds" means the Water and Sewer System Revenue Bonds, Series 2012, authorized by the Series 2012 Resolution.

"Series 2015 Bonds" means the Water and Sewer System Revenue Bonds, Series 2015, authorized by the Series 2015 Resolution.

"Series 2017 Bonds" means the Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2017, authorized by the Series 2017 Resolution.

"Series 2018 Bonds" means the Water and Sewer System Revenue Bonds, Series 2018, authorized by the Series 2018 Resolution.

"Series 2019 Bonds" means the Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2019, authorized by the Series 2019 Resolution.

"Series 2020 Bonds" means the Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2020, authorized by the Series 2020 Resolution.

"Series 2021 Bonds" means the Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2021, authorized by the Series 2021 Resolution.

"Series 2022 Bonds" means the Water and Sewer System Improvement Revenue Bonds, Series 2022, authorized by the Series 2022 Resolution.

"Series 2023 Bonds" means the Water and Sewer System Improvement Revenue Bonds, Series 2023, authorized by the Ordinance.

"Series 2012 Resolution" means Ordinance No. 12-59 and Resolution No. 12-1076 of the City passed on December 4, 2012, authorizing the issuance of the Series 2012 Bonds.

"Series 2015 Resolution" means Ordinance No. 15-57 and Resolution No. 15-1078 of the City passed on September 15, 2015, authorizing the issuance of the Series 2015 Bonds.

"Series 2017 Resolution" means Ordinance No. 17-19 and Resolution No. 17-1026 of the City passed on March 21, 2017, authorizing the issuance of the Series 2017 Bonds.

"Series 2018 Resolution" means Ordinance No. 18-11 and Resolution No. 18-1034 of the City passed on March 20, 2018, authorizing the issuance of the Series 2018 Bonds.

"Series 2019 Resolution" means Ordinance No. 19-11 and Resolution No. 19-1027 of the City passed on April 2, 2019, authorizing the issuance of the Series 2019 Bonds.

"Series 2020 Resolution" means Ordinance No. 20-18 and Resolution No. 20-1037 of the City passed on May 19, 2020, authorizing the issuance of the Series 2020 Bonds.

"Series 2021 Resolution" means Ordinance No. 21-20 and Resolution No. 21-1034 of the City passed on May 4, 2021, authorizing the issuance of the Series 2021 Bonds.

"Series 2022 Resolution" means Ordinance No. 22-28 and Resolution No. 22-1047 of the City passed on June 21, 2022, authorizing the issuance of the Series 2022 Bonds.

"Special Record Date" means a date fixed by the Bond Registrar for the payment of any Defaulted Interest.

"State Treasurer" means the duly elected Treasurer or, in the Treasurer's absence, the duly appointed Deputy Treasurer or acting Treasurer of the State.

"Stated Maturity" when used with respect to any Bond or any installment of interest thereon means the date specified in such Bond as the fixed date on which the principal of such Bond or such installment of interest is due and payable.

"Substitute Project" means a substitute or additional project of the System authorized in the manner set forth in the Parity Bond Resolution.

"Surplus Account" means the Water and Sewer System Surplus Account referred to in the Resolution.

"System" means the entire waterworks plant and system and sewerage plant and system owned and operated by the City for the production, storage, treatment and distribution of water and for the collection, treatment and disposal of sewage together with all alterations, repairs, extensions, enlargements and improvements thereto hereafter made or acquired by the City.

"Term Bonds" means any Bonds designated as Term Bonds in the Resolution or in any supplemental resolution authorizing the issuance of Additional Bonds.

"Treasurer" means the duly appointed and acting Treasurer of the City or, in the Treasurer's absence, the duly appointed Deputy Treasurer or acting Treasurer of the City.

Creation of Funds and Accounts

The Resolution creates, ratifies and orders to be established and maintained in the treasury of the City the following separate accounts to be known respectively as the:

Water and Sewer System Revenue Fund (the "Revenue Fund").

Water and Sewer System Operation and Maintenance Account (the "Operation and Maintenance Account").

Water and Sewer System Surplus Account (the "Surplus Account").

Principal and Interest Account for Water and Sewer System Revenue Bonds, Series 2012.

Bond Reserve Account for Water and Sewer System Revenue Bonds, Series 2012.

Project Account for Water and Sewer System Revenue Bonds, Series 2012.

Rebate Fund for Water and Sewer System Revenue Bonds, Series 2012.

Principal and Interest Account for Water and Sewer System Revenue Bonds, Series 2015.

Bond Reserve Account for Water and Sewer System Revenue Bonds, Series 2015.

Project Account for Water and Sewer System Revenue Bonds, Series 2015.

Rebate Fund for Water and Sewer System Revenue Bonds, Series 2015.

Principal and Interest Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2017.

Bond Reserve Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2017.

Project Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2017.

Rebate Fund for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2017.

Principal and Interest Account for Water and Sewer System Revenue Bonds, Series 2018.

Bond Reserve Account for Water and Sewer System Revenue Bonds, Series 2018.

Project Account for Water and Sewer System Revenue Bonds, Series 2018.

Rebate Fund for Water and Sewer System Revenue Bonds, Series 2018.

Principal and Interest Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2019.

Bond Reserve Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2019.

Project Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2019.

Rebate Fund for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2019.

Principal and Interest Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2020.

Bond Reserve Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2020.

Project Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2020.

Rebate Fund for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2020.

Principal and Interest Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2021.

Bond Reserve Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2021.

Project Account for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2021.

Rebate Fund for Water and Sewer System Improvement and Refunding Revenue Bonds, Series 2021.

Principal and Interest Account for Water and Sewer System Improvement Revenue Bonds, Series 2022.

Bond Reserve Account for Water and Sewer System Improvement Revenue Bonds, Series 2022.

Project Account for Water and Sewer System Improvement Revenue Bonds, Series 2022.

Rebate Fund for Water and Sewer System Improvement Revenue Bonds, Series 2022.

Principal and Interest Account for Water and Sewer System Improvement Revenue Bonds, Series 2023 (the "Principal and Interest Account").

Bond Reserve Account for Water and Sewer System Improvement Revenue Bonds, Series 2023 (the "Bond Reserve Account").

Project Account for Water and Sewer System Improvement Revenue Bonds, Series 2023 (the "Project Account").

Rebate Fund for Water and Sewer System Improvement Revenue Bonds, Series 2023 (the "Rebate Fund").

Costs of Issuance Account for Water and Sewer System Improvement Revenue Bonds, Series 2023 (the "Cost of Issuance Account").

Ratification of Funds and Accounts for Parity Bonds

The separate funds and accounts previously created and established pursuant to the Parity Bond Resolutions shall be maintained and administered by the City solely for the purposes and in the manner as provided in the Parity Bond Resolutions, so long as any of the Parity Bonds remain Outstanding within the meaning of any Parity Bond Resolution.

Disposition of Bond Proceeds and Other Moneys

The net proceeds received from the sale of the Series 2023 Bonds shall be deposited simultaneously with the delivery of the Series 2023 Bonds as follows: (a) in the Principal and Interest Account a sum equal to the accrued interest on the Bonds; (b) in the Bond Reserve Account, the Bond Reserve Requirement; (c) in the Costs of Issuance Account the sum equal to the amount necessary to pay the estimated costs of issuance; and (d) in the Project Account, the remaining balance of the proceeds of the Bonds.

Application of Monies in the Project Account

Monies in the Project Account shall be used for the sole purpose of (a) paying the costs of the Project, in accordance with the plans and specifications therefor prepared for the Project, heretofore approved by the Governing Body of the City and on file in the office of the City Clerk, including any alterations in or amendments to said plans and specifications deemed advisable by the City; (b) making transfers to the Principal and Interest Account to pay interest on the Bonds during construction of the Projects; and (c) transferring any amounts to the Rebate Fund as required by the Resolution.

Withdrawals from the Project Account shall be made only when authorized by the Governing Body of the City and only on duly authorized and executed warrants therefor accompanied by a certificate executed by the Treasurer or his or her designee that such payment is being made for a purpose within the scope of the

Resolution and that the amount of such payment represents only the contract price of the property, equipment, labor, materials or service being paid for or, if such payment is not being made pursuant to an express contract, that such payment is not in excess of the reasonable value thereof.

Upon completion of the Project, any surplus remaining in the Project Account shall be deposited in the Principal and Interest Account.

Application of Monies in the Costs of Issuance Account

Monies in the Costs of Issuance Account shall be used to pay the Costs of Issuance. Any funds remaining in the Costs of Issuance Account, after payment of all Costs of Issuance, but not later than January 1, 2024, shall be transferred to the Project Account until completion of the Project and thereafter to the Principal and Interest Account.

Deposits into and Application of Monies in the Rebate Fund

There shall be deposited in the Rebate Fund such amounts as are required to be deposited therein pursuant to the Federal Tax Certificate. All money at any time deposited in the Rebate Fund shall be held in trust, to the extent required to pay rebatable arbitrage to the federal government of the United States of America, and neither the City nor the owner of any Bonds shall have any rights in or claim to such money. All amounts deposited into or on deposit in the Rebate Fund shall be governed by this Section and by the Federal Tax Certificate (which is incorporated herein by reference).

The City shall periodically determine the rebatable arbitrage under Section 148 of the Code in accordance with the Federal Tax Certificate, and the City shall make payments to the United States Government at the times and in the amounts determined under the Federal Tax Certificate. Any monies remaining in the Rebate Fund after redemption and payment of all of the Bonds and payment and satisfaction of any rebatable arbitrage, or provision made therefor, shall be withdrawn and released to the City.

Notwithstanding any other provision of the Resolution, the obligation to remit rebatable arbitrage to the United States and to comply with all other requirements of this Section and the Federal Tax Certificate shall survive the defeasance or payment in full of the Bonds.

Revenue Fund

The City covenants and agrees that from and after the delivery of the Bonds, and continuing as long as any of the Bonds remain outstanding and unpaid, all of the revenues derived and collected by the City from the operation of the System will be paid and deposited into the Revenue Fund, and that said revenues shall be segregated and kept separate and apart from all other monies, revenues, funds and accounts of the City and shall not be mingled with any other monies, revenues, funds and accounts of the City. The Revenue Fund shall be administered and applied solely for the purposes and in the manner provided in the Resolution.

Application of Monies in the Revenue Fund

The City covenants and agrees that from and after the delivery of the Bonds and continuing so long as any of the Bonds shall remain Outstanding and unpaid, the City will on the first day of each month administer and allocate all of the monies then held in the Revenue Fund as follows:

(A) Operation and Maintenance Account. An amount equal to the anticipated Current Expenses for the ensuing month shall be deposited into the Operation and Maintenance Account. All

Current Expenses of the System shall be paid as bills accrue, and such bills shall be paid by a proper system of vouchers. Such amounts as may be necessary in the opinion of the governing body of the City to pay the reasonable and proper Current Expenses of the System for a period of sixty (60) days may be retained and accumulated in the Operation and Maintenance Account before transfers to the other Accounts hereinafter provided for.

(B) Principal and Interest Account. The City shall set aside and transfer monthly from the Revenue Fund to the Principal and Interest Account, beginning on the first said monthly payments, proportionate monthly amounts (less accrued credits to such Account) of the (i) next maturing interest on the Bonds; and (ii) next maturing principal on the Bonds, to the end that at all times one (1) month prior to maturity of interest, principal, or mandatory call requirements, if any, there shall be sufficient monies in the Principal and Interest Account to transmit maturing interest and principal on the Bonds to the Paying Agent for payment when due. All amounts transferred and credited to the Principal and Interest Account shall be used solely and exclusively for the payment of principal of and interest on the Bonds when the same shall become due and payable. In addition thereto, there shall be transferred to the Principal and Interest Account sufficient sums to pay any fees and expenses of the Bond Registrar and Paying Agent.

The amounts required to be paid and credited to the Principal and Interest Account pursuant to this Section shall be made at the same time and on a parity with the amounts at the time required to be paid and credited to the debt service funds established for the payment of principal of and interest on Parity Bonds under the provisions of the Parity Bond Resolutions.

If at any time the monies in the Revenue Fund shall be insufficient to make in full the payments and credits at the time required to be made by the City to the principal and interest accounts established by the City to pay principal of and interest on the Series 2023 Bonds and any Parity Bonds, the available monies in the Revenue Fund shall be divided among such principal and interest accounts in proportion to the respective principal amounts of the Series 2023 Bonds and any Parity Bonds of the City at the time outstanding which are payable from the monies in such principal and interest accounts.

(C) Bond Reserve Account. Simultaneously with the issuance of the Bonds, the City shall provide that the Bond Reserve Account shall contain an amount equal to the Bond Reserve Requirement. Except as hereinafter provided in this Section or as described under the heading "Investments" below, all amounts paid and credited to the Bond Reserve Account shall be expended and used by the City solely to prevent any default in the payment of interest on or principal of the Series 2023 Bonds if the monies in the Principal and Interest Account are insufficient to pay the interest on or principal of said Bonds as they become due. So long as the Bond Reserve Account aggregates the Bond Reserve Requirement, no further payments into said Account shall be required, but if the City shall ever be required to expend and use a part of the monies in said Account for the purpose herein authorized and such expenditure shall reduce the amount of said Account below the Bond Reserve Requirement or if the value of the investments in the Bond Reserve Account (determined in accordance with the Resolution) decline so that the amount of said Account is reduced below the Bond Reserve Requirement, the City shall commence equal monthly payments into said Account in amounts sufficient so that said Account shall aggregate the Bond Reserve Requirement in not more than 24 months, said payments into said Account to be made after making all payments and credits required at the time to be made by the City under the provisions of paragraphs (A) and (B) of this Section.

The amounts required to be paid and credited to the Bond Reserve Account pursuant to this Section shall be made at the same time and on a parity with the amounts at the time required to be paid

and credited to the bond reserve accounts established for the Parity Bonds under the provisions of the Parity Bond Resolutions.

Monies in the Bond Reserve Account may be used to call the Bonds for redemption and payment prior to their maturity provided all of the Bonds at the time outstanding are called for payment and funds are available to pay the same according to their terms. Monies in the Bond Reserve Account shall be used to pay and retire the last outstanding Bonds unless such Bonds and all interest thereon are otherwise paid.

If at any time the monies in the Revenue Fund shall be insufficient to make in full the payments and credits at the time required to be made by the City to the bond reserve accounts established by the City to protect the payment of the Series 2023 Bonds and Parity Bonds, the available monies in the Revenue Fund shall be divided among such bond reserve accounts in proportion to the respective principal amounts of said Parity Bonds of the City at the time outstanding which are payable from the monies in such bond reserve accounts.

(D) Surplus Account. After all payments and credits required at the time to be made by the City under the provisions of preceding subsections have been made, all monies remaining in the Revenue Fund shall be paid and credited to the Surplus Account. Monies in the Surplus Account may be expended and used for the following purposes as determined by the governing body of the City:

(1) Paying the cost of the operation, maintenance and repair of the System to the extent that may be necessary after the application of the monies held in the Revenue Fund under the provisions of this Section;

(2) Paying the cost of, or debt service on obligations incurred to finance the cost of, repairs to or extending, enlarging or improving the System;

(3) Preventing default in, anticipating payments into or increasing the amounts in funds and accounts referred to in preceding subsections, or any one of them, or establishing or increasing the amount of any principal and interest account or bond reserve account created by the City for the payment of any Parity Bonds;

(4) Calling, redeeming and paying prior to maturity, or, at the option of the City, purchasing in the open market at the best price obtainable the Bonds or any Parity Bonds;

(5) To make transfers to the Revenue Fund; or

(6) Subject to the provisions of the Parity Bond Resolutions, any general governmental or municipal purpose of the City.

Deficiency of Payments into Funds and Accounts

If at any time the revenues derived by the City from the operation of the System shall be insufficient to make any payment on the date or dates hereinbefore specified, the City will make good the amount of such deficiency by making additional payments or credits out of the first available revenues thereafter received by the City from the operation of the System, such payments and credits being made and applied in the order hereinbefore specified in the Resolution.

If at any time the monies in the Principal and Interest Account and in the Bond Reserve Account are not sufficient to pay the principal of and interest on the Bonds as and when the same become due, then monies in the Surplus Account may and shall be used by the City, to prevent any default in the payment of the principal of and interest on the Bonds.

Transfer of Funds to Paying Agent

The Treasurer of the City is hereby authorized and directed to withdraw from the Principal and Interest Account, and, to the extent necessary to prevent a default in the payment of either principal of or interest on the Bonds, from the Bond Reserve Account and the Surplus Account as provided herein, sums sufficient to pay the principal of and interest on the Bonds and the fees of the Bond Registrar and Paying Agent when the same become due, and to forward such sums to the Bond Registrar and Paying Agent prior to dates when such principal, interest and fees of the Bond Registrar and Paying Agent will become due. If, through lapse of time, or otherwise, the owners of Bonds shall no longer be entitled to enforce payment of their obligations, it shall be the duty of the Paying Agent forthwith to return said funds to the City. All monies deposited with the Paying Agent shall be deemed to be deposited in accordance with and subject to all of the provisions contained in the Resolution.

Deposits

Cash monies in each of the funds and accounts created by and referred to in the Resolution shall be deposited in a bank or banks or federal or state chartered savings and loan association with offices located as required by Kansas law, which are members of the Federal Deposit Insurance Corporation, and all such deposits shall be adequately secured by the bank or banks or savings and loan associations holding such deposits in accordance with Kansas law.

Investments

Monies held in the funds and accounts herein created, ratified or established in conjunction with the issuance of the Bonds may be invested by the City in Authorized Investments, or in other investments allowed by Kansas law in accordance with the Federal Tax Certificate in such amounts and maturing at such times as shall reasonably provide for monies to be available when required in said accounts or funds. Interest or earnings on any Authorized Investment held in any fund or account shall accrue to and become a part of such fund or account, except for amounts required to be deposited into the Rebate Fund in accordance with the Federal Tax Certificate, and except that so long as monies in the Bond Reserve Account are equal to or greater than the Bond Reserve Requirement, earnings on investments held in the Bond Reserve Account shall be credited to the Principal and Interest Account. In determining the amount held in any fund or account under the provisions of the Resolution, Authorized Investments shall be valued at their principal par value or at their then market value, whichever is lower.

So long as any of the Parity Bonds remain outstanding and unpaid, any investments made pursuant to this Section shall be subject to any restrictions in the Parity Bond Resolutions with respect to the funds and accounts created by and referred to in the Parity Bond Resolutions.

Efficient and Economical Operation

The City will continuously own and will operate the System in an efficient and economical manner and will keep and maintain the same in good repair and working order.

Rate Covenant

The City will fix, establish, maintain and collect such rates, fees and charges for the use and services furnished by or through the System, including all alterations, repairs, extensions, enlargements and improvements thereto hereafter constructed or acquired by the City, as will produce revenues sufficient to (a) pay the cost of the operation and maintenance of the System; (b) pay the principal of and interest on the Bonds and any Parity Bonds as and when the same become due; (c) enable the City to have in each fiscal year Net Revenues in an amount that will be not less than 110% of the debt service requirements required to be paid by the City in such fiscal year; and (d) provide reasonable and adequate reserves for the payment of the Bonds and the Parity Bonds and the interest thereon and for the protection and benefit of the System of the City as provided in the Resolution.

Reasonable Charges for all Services

None of the facilities or services provided by the System will be furnished to any user (excepting the City itself) without a reasonable charge being made therefor. In the event that the revenues derived by the City from the System shall at any time be insufficient to pay the reasonable expenses of operation and maintenance of the System and also to pay the Debt Service Requirements of the Bonds and any Parity Bonds as and when the same become due, then the City will thereafter pay into the Revenue Fund a fair and reasonable payment in accordance with effective applicable rates, fees and charges for all services or other facilities furnished to the City or any of its departments by the System, and such payments will continue so long as the same may be necessary in order to prevent or reduce the amount of any default in the payment of the interest on or principal of the Bonds.

Restrictions on Mortgage or Sale of System

The City will not sell, lease or otherwise dispose of the System or any material part thereof, or any extension or improvement thereof; provided, however, the City may permanently abandon the use of, or sell at fair market value, or lease any of its System facilities, provided that:

(a) It is in full compliance with all covenants and undertakings in connection with all of its bonds then outstanding and payable from the revenues of the System, or any part thereof;

(b) In the event of sale, it will apply the proceeds to either (i) redemption or outstanding bonds in accordance with the provisions governing repayment of bonds in advance of maturity, or (ii) replacement of the facility so disposed of by another facility the revenues of which shall be incorporated into the System as hereinbefore provided;

(c) It certifies, prior to any abandonment of use, that the facility to be abandoned is no longer economically feasible of producing Net Revenues;

(d) It certifies that the estimated Net Revenues of the remaining System facilities for the next succeeding fiscal year plus the estimated Net Revenues of the facilities, if any, to be added to the System satisfy the rate covenants provided in the Resolution; and

(e) With respect to a lease, the City may lease (1) as lessor, any real or personal property which is unused or unimproved, or which has become obsolete, nonproductive or otherwise unusable to the advantage of the City, or which is being acquired as a part of a lease/purchase financing for the acquisition and/or improvement of such property; and/or (2) as lessee, with an option of the City to purchase, any real or personal property for the extension and improvement of the System. Property

being leased as lessor and/or lessee pursuant to this subparagraph (e) shall not be treated as part of the System for purposes of this Section and may be mortgaged, pledged or otherwise encumbered.

Financial Records and Reports

The City will install and maintain proper books, records and accounts (entirely separate from all other records and accounts of the City) in which complete and correct entries will be made of all dealings and transactions of or in relation to the System. Such accounts shall show the amount of revenues received from the System, the application of such revenues, and all financial transactions in connection therewith. Said books shall be kept by the City according to generally accepted accounting principles as applicable to the operation of municipal utilities.

Annual Budget

Prior to the commencement of each fiscal year, the City will cause to be prepared and filed with the City Clerk a budget setting forth the estimated receipts and expenditures of the System for the next succeeding fiscal year. Said annual budget shall be prepared in accordance with the requirements of the laws of the State of Kansas, and shall contain normal budgetary items, including:

(a) An estimate of the receipts from the System during the next ensuing fiscal year.

(b) A statement of the estimated cost of operating the System during the next ensuing fiscal year.

(c) A statement of any anticipated unusual expenses for the System during the next fiscal year.

(d) A statement of any necessary replacements to the System which may be anticipated during the next fiscal year.

(e) A statement of the amount of principal and interest to be paid on outstanding revenue bonds and general obligation bonds to be paid from revenues of the System during the next fiscal year.

(f) A statement of the total estimated expenditures to be made from the revenues of the System during the next fiscal year.

(g) A statement of the estimated Net Revenues during the next fiscal year.

Annual Audit

Annually, promptly after the end of the fiscal year, the City will cause an audit to be made of the System for the preceding fiscal year by an Independent Accountant to be employed for that purpose and paid from the revenues of the System. Said annual audit shall include:

(a) A classified statement of the gross revenues received, the expenditures for operation and maintenance, the net operating revenues and the amount of any capital expenditures made in connection with the System during the previous fiscal year;

(b) A complete balance sheet as of the end of each fiscal year with the amount on hand at the end of such year in each of the funds and accounts created by and referred to in the Resolution;

(c) A statement showing the Net Revenues for such fiscal year;

(d) A statement of all System revenue bonds matured or redeemed and interest paid on bonds during said fiscal year;

(e) A statement of the number of customers served by the System at the beginning and the end of such fiscal year;

(f) A statement showing the amount and character of the insurance carried by the City on the property constituting the System and showing the names of the insurers, the expiration dates of the policies and the premiums thereon; and

(g) Such remarks and recommendations regarding the City's practices and procedures of operating the System and its accounting practices as said accountants may deem appropriate.

Within 30 days after the completion of each such audit, a copy thereof shall be filed in the office of the City Clerk. Such audits shall at all times during the usual business hours be open to examination and inspection by any taxpayer, any user of the services of the System, any owner of any of the Bonds, or by anyone acting for or on behalf of such taxpayer, user or owner.

As soon as possible after the completion of such annual audit, the governing body of the City shall review such audit, and if any audit shall disclose that proper provision has not been made for all of the requirements of the Resolution and the law under which the Bonds are issued, the City covenants and agrees that it will promptly cure such deficiency and will promptly (within 60 days) proceed to increase the rates, fees and charges to be charged for the use and services furnished by the System as may be necessary to adequately provide for such requirements.

Bondowners' Right of Inspection

The owner or owners of not less than 10% of the principal amount of the Bonds shall have the right at all reasonable times to inspect the System and all records, accounts and data relating thereto shall be furnished all such information concerning the System and the operation thereof which such may reasonably be requested.

Prior Lien Bonds

The City covenants and agrees that so long as any of the Bonds remain outstanding and unpaid, the City will not issue any Bonds or other long term obligations payable out of the revenues of the System or any part thereof which are superior to the Bonds.

Parity Lien Bonds

The City covenants and agrees that so long as any of the Bonds remain outstanding and unpaid, the City will not issue any Additional Bonds or other long-term obligations payable out of the revenues of the System or any part thereof which stand on a parity or equality with the Bonds unless all of the following conditions are met:

(a) The City shall not be in default in the payment of principal of or interest on the Bonds or in making any payment at the time required to be made into the respective funds and accounts created by and referred to in the Resolution.

(b) The City shall certify to *either* of the following:

(i) The Debt Service Coverage Ratio (as determined by the City) for the fiscal year immediately preceding the issuance of Additional Bonds shall have been equal to not less than 1.10, including the Additional Bonds proposed to be issued. In the event that the City has instituted any increase in rates for the use and services of the System and such increase shall not have been in effect during the full fiscal year immediately preceding the issuance of Additional Bonds, the additional Net Revenues which would have resulted from the operation of the System during said preceding fiscal year had such rate increase been in effect for the entire period, as certified by a Consultant, may be added to the stated Net Revenues.

(ii) The estimated Debt Service Coverage Ratio (as determined by a Consultant), for the fiscal year immediately following the fiscal year in which the project to be financed by the Additional Bonds proposed to be issued is to be in commercial operation, shall be not less than 1.10, including the Additional Bonds proposed to be issued. In the event that the City anticipates additional revenues as a result of an increase in rates and/or expansion or modification of the System by the Additional Bonds or any other obligations, the Consultant may adjust the estimated Net Revenues in determining the Debt Service Coverage Ratio, by adding thereto any estimated increase in Net Revenues resulting from any increase in revenues for the use and services of the System, which, in the opinion of the Consultant, are reasonable based on projected rates and operations of the System for such fiscal year.

(c) When the issuance of additional System revenue bonds of equal stature and priority is permitted by the Statutes of the State of Kansas.

(d) The ordinance and/or resolution authorizing such additional parity bonds shall contain or provide that the bond reserve account for such additional parity bonds shall be funded in an amount equal to the maximum amount permitted by the Code to be deposited from the proceeds of such additional parity bonds in a debt service reserve fund therefor without being subject to yield restriction under the Code and without causing the interest on such additional bonds to be includable in gross income for federal income tax purposes.

Notwithstanding the foregoing restrictions upon the issuance of Additional Bonds, Additional Bonds may be issued under this Section if it is necessary in the opinion of a Consulting Engineer to repair any damage or loss to the System if the same has been damaged or destroyed by disaster to such extent that it cannot be operated or if it is necessary to keep the System in good operating condition.

Additional revenue bonds of the City issued under the conditions set forth in this Section shall stand on a parity with the Bonds and shall enjoy complete equality of lien on and claim against the revenues of the System with the Bonds, and the City may make equal provision for paying said bonds and the interest thereon out of the Revenue Fund and may likewise provide for the creation of reasonable principal and interest accounts and bond reserve accounts for the payment of such Additional Bonds and the interest thereon out of monies in the Revenue Fund.

Junior Lien Bonds

In addition to the authority to issue Parity Bonds as set forth in the preceding section, the City may issue revenue bonds or other long-term obligations payable out of the revenues of the System or any part thereof which shall be junior and subordinate to the Bonds. If at any time the City shall be in default in paying any interest on or principal of the Bonds or in making any of the transfers required to any of the accounts or funds herein specified, then the City shall make no payment of either principal of or interest on such subordinate bonds or other long-term obligations payable out of the revenues of the System or any part thereof until all conditions of default shall be cured.

Refunding Bonds

The City shall have the right to refund any of the Bonds under the provisions of any law then available. Said Bonds or any part thereof may be refunded and the refunding bonds so issued shall enjoy complete equality of pledge and shall be on a parity with any of the Bonds which are not refunded, if any, upon the revenues of the System without complying with the requirements of the Resolution with respect to Parity Lien Bonds.

Contract with Owners

The provisions of the Resolution, including the covenants and agreements therein contained, shall constitute a contract between the City and the owners of the Bonds.

Acceleration and Other Remedies

If an Event of Default shall occur and continue for a period of 60 days after written notice specifying such default has been given to the City by the Registered Owner of any Bond then Outstanding, then, at any time thereafter and while such default continues, the Registered Owners of 25% in principal amount of the Bonds then Outstanding, may, by written notice to the City filed in the office of the City Clerk or delivered in person to said City Clerk, declare the principal of all Bonds then Outstanding to be due and payable immediately, and upon any such declaration given as aforesaid, all of said Bonds shall become and be immediately due and payable, anything in the Resolution or the Ordinance or in the Bonds contained to the contrary notwithstanding. This provision, however, is subject to the condition that if at any time after the principal of said Outstanding Bonds has been so declared to be due and payable, all arrears of interest upon all of said Bonds, except interest accrued but not yet due on such Bonds, and all arrears of principal upon all of said Bonds has been paid in full and all other defaults, if any, by the City under the provisions of the Resolution and the Ordinance and under the provisions of the statutes of the State of Kansas have been cured, then and in every such case the Registered Owners of a majority in principal amount of the Bonds then Outstanding, by written notice to the City given as hereinbefore specified, may rescind and annul such declaration and its consequences, but no such rescission or annulment shall extend to or affect any subsequent default or impair any rights consequent thereon.

If an Event of Default shall occur and be continuing, the Owner or Owners of not less than 10% in principal amount of the Bonds at the time Outstanding shall have the right for the equal benefit and protection of all Owners of Bonds similarly situated:

(a) by mandamus or other suit, action or proceedings at law or in equity to enforce the rights of such owner or owners against the City and its officers, agents and employees, and to require and compel duties and obligations required by the provisions of the Resolution or by the Constitution and laws of the State of Kansas;

(b) by suit, action or other proceedings in equity or at law to require the City, its officers, agents and employees to account as if they were the trustees of an express trust; and

(c) by suit, action or other proceedings in equity or at law to enjoin any acts or things which may be unlawful or in violation of the rights of the owners of the Bonds.

In case any proceeding taken by any owner on account of any default shall have been discontinued or abandoned for any reason, then and in every such case the City and the owners shall be restored to their former positions and rights hereunder, respectively, and all rights and remedies of the owners shall continue as though no such proceedings had been taken.

Limitation on Remedies

The covenants and agreements of the City contained in the Resolution and in the Bonds shall be for the equal benefit, protection, and security of the owners of any or all of the Bonds, all of which Bonds shall be of equal rank and without preference or priority of one Bond over any other Bond in the application of the funds pledged in the Resolution to the payment of the principal of and the interest on the Bonds, or otherwise, except as to rate of interest, date of maturity and right of prior redemption as provided in the Resolution. No one or more Bondowners secured by the Resolution shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security granted and provided for in the Resolution, or to enforce any right hereunder, except in the manner provided in the Resolution, and all proceedings at law or in equity shall be instituted, had and maintained for the equal benefit of all owners of such Outstanding Bonds.

Remedies Cumulative

No remedy in the Resolution conferred on the owners is intended to be exclusive of any other remedy or remedies, and each and every remedy conferred shall be cumulative and shall be in addition to every other remedy given hereunder and under the Act or now or hereafter existing at law or in equity or by statute.

No delay or omission of any owner to exercise any right or power accruing upon any default occurring and continuing as aforesaid shall impair any such right or power or shall be construed to be a waiver of any such default or an acquiescence therein; and every power and remedy given by this Article to the owners may be exercised from time to time and as often as may be deemed expedient. In case any suit, action or proceedings taken by any Bondowner on account of any default or to enforce any right or exercise any remedy shall have been discontinued or abandoned for any reason, or shall have been determined adversely to such Bondowner, then, and in every such case, the City and the owners of the Bonds shall be restored to their former positions and rights hereunder, respectively, and all rights, remedies, powers and duties of the Bondowners shall continue as if no such suit, action or other proceedings had been brought or taken.

No Obligation to Levy Taxes

Nothing contained in the Resolution shall be construed as imposing on the City any duty or obligation to levy any taxes either to meet any obligation incurred in the Resolution or to pay the principal of or interest on the Bonds.

Defeasance

When all of the Bonds shall have been paid and discharged, then the requirements contained in the Resolution and the pledge of revenues made hereunder and all other rights granted by the Resolution shall

terminate. Bonds shall be deemed to have been paid and discharged within the meaning of the Resolution if there shall have been deposited with the Paying Agent or a bank located in the State of Kansas and having full trust powers, at or prior to the maturity or redemption date of said Bonds, in trust for and irrevocably appropriated thereto, monies (insured at all times by the Federal Deposit Insurance Corporation or collateralized with the following direct obligations of the United States of America) and/or direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury) which, together with the interest to be earned on any such obligations, will be sufficient for the payment of the principal of said Bonds, the redemption premium thereon, if any, and interest accrued to the date of maturity or redemption, as the case may be, or if default in such payment shall have occurred on such date, then to the date of the tender of such payments; provided, however, that if any such Bonds shall be redeemed prior to the maturity thereof, the City shall have elected to redeem such Bonds and either notice of such redemption shall have been given or the City shall have given irrevocable instructions to the Bond Registrar to redeem such Bond. Any monies and obligations which at any time shall be deposited with said Paying Agent or other bank by or on behalf of the City, for the purpose of paying and discharging any of the Bonds, shall be assigned, transferred and set over to the Paying Agent or other bank in trust for the respective owners of the Bonds, and such monies shall be irrevocably appropriated to the payment and discharge hereof. All monies deposited with the Paying Agent or other bank shall be deemed to be deposited in accordance with and subject to all of the provisions contained in the Resolution.

Amendments

Except as set forth in the Resolution, the provisions of the Bonds and the provisions of the Resolution may be modified or amended at any time by the City with the written consent of the Owners of not less than a majority in aggregate principal amount of the Bonds authorized by Resolution at the time Outstanding; provided, however, that no such modification or amendment shall permit or be construed as permitting: (a) the extension of the maturity of the principal of any of the Bonds issued hereunder, or the extension of the maturity of any interest on the Bonds issued hereunder, or (b) a reduction in the principal amount of the Bonds or the rate of interest thereon, or (c) a reduction in the percentage in principal amount of the Bonds required for the written consent to any modification or alteration of the provisions of the Resolution, or (d) permit preference or priority of any Bonds over any other Bonds without in each instance the prior written consent of 100% of the Owners of Bonds authorized by the Resolution at the time Outstanding.

The City may from time to time, without the consent of or notice to any of the owners, provide for amendment to the Bonds or the Resolution, for any one or more of the following purposes:

(a) To cure any ambiguity or formal defect or omission in the Resolution or to make any other change not prejudicial to the owners;

(b) To grant to or confer upon the owners any additional rights, remedies, powers or authority that may lawfully be granted to or conferred upon the owners;

(c) To more precisely identify the Project;

(d) To conform such Resolution to the Code or future applicable federal law concerning tax-exempt obligations.

Written Evidence of Amendments

Every amendment or modification of a provision of the Bonds or of the Resolution to which the written consent of the owners is given shall be expressed in an ordinance of the City amending or supplementing the provisions of the Resolution and shall be deemed to be a part of the Resolution. It shall not be necessary to note on any of the Outstanding Bonds any reference to such amendment or modification, if any. Prior to the passage of such ordinance, the City shall receive an opinion from Bond Counsel to the effect that the proposed amendment is in compliance with the requirements of the preceding Section and that the adoption of the ordinance authorizing such amendment will not adversely affect the tax-exempt status of the interest on the Bonds. A certified copy of every such amendatory or supplemental ordinance, if any, and a certified copy of the Resolution shall always be kept on file in the office of the City Clerk and shall be made available for inspection by the owners of any Bond or prospective purchaser or owners of any Bond authorized by the Resolution, and upon payment of the reasonable cost of preparing the same, a certified copy of any such amendatory or supplemental ordinance or of the Resolution will be sent by the City Clerk to any such Owner or prospective Owner.

Notices, Consents and Other Instruments by Bondowners

Any notice, consent, request, direction, approval, objection or other instrument required by the Resolution to be signed and executed by the Bondowners may be in any number of concurrent writings of similar tenor and may be signed or executed by such Bondowners in person or by agent appointed in writing. Proof of the execution of any such instrument or of the writing appointing any such agent and of the ownership of Bonds, if made in the following manner, shall be sufficient for any of the purposes of the Resolution, and shall be conclusive in favor of the City, the Bond Registrar and Paying Agent with regard to any action taken, suffered or omitted under any such instrument, namely:

(a) The fact and date of the execution by any person of any such instrument may be proved by a certificate of any officer in any jurisdiction who by law has power to take acknowledgments within such jurisdiction that the person signing such instrument acknowledged before such officer the execution thereof, or by affidavit of any witness to such execution.

(b) The fact of ownership of Bonds, the amount or amounts, numbers and other identification of Bonds, and the date of holding the same shall be proved by the registration books of the City maintained by the Bond Registrar.

Parties Interested Herein; Third Party Beneficiaries

Nothing in the Resolution expressed or implied is intended or shall be construed to confer upon, or to give to, any person or entity, other than the City, the Paying Agent and the Owners, any right, remedy or claim under or by reason of the Resolution or any covenant, condition or stipulation hereof, and all covenants, stipulations, promises and agreements in the Resolution contained by and on behalf of the City shall be for the sole and exclusive benefit of the City, the Paying Agent and the Owners.

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